Equitas Small Fin (EQUITASBNK)

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"Equitas Small Finance Bank Limited
Earnings Call Q1 FY202 3"

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 Moderator: Ladies and gentlemen, good day and welcome to earnings call of Equitas Small Finance Bank Limited financial performance for Q1 FY202 3. We have with us today Mr. P.N. Vasudevan - M.D and CEO, Mr. Murali Vaidyanathan – Senior President and Country Head, Branch Banking, Liabilities, Product, and Wealth, Mr. Rohit Phadke – Senior President and Head Assets, Mr. Natrajan M – President and Heed Treasury , Mr. Dheeraj M – SVP and Head Strateg y IR, BI, and customer experience, Mr. Rahul Rajagopalan – DVP Strategy and IR, Ms. Srimathy Raghunathan - CFO Equitas Holdings Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask qu estions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I would now like to hand the co nference over to Mr. P.N. Vasudevan . Thank you and over to you Sir!

P. N. Vasudevan: Good morning to all of you and thank you for taking time out to be with us today. The financial year has started off well for the industry as a whole with pickup of credit growth, increased economic activity and the declining worry of any residual shocks from COVID. In the segment Equitas operates we are seeing very positive sentiments across small fleet owners, small business owners, and an upgrade in the housing sentiment s also. Inflationary worries have not yet crept into this segment and the impact of inflation on household consumption, investment etc remains unclear at this point in time. We largely believe that segment that we serve will generally remain reasonably res ilient to inflation because they deal with daily use product and services and their ability to adjust their selling price or service charges based on certain increase in their own input cost is very high given the fact that they are dealing with daily prod ucts and services. Coming to the first quarter performance it has been largely in line as disbursements remain strong despite the seasonal first quarter sluggishness. Our fee income has been robust. We had a very strong growth in our liabilities and our as set quality has been consistently improving . Our advances excluding the restructured loans are behaving normally and almost all the parameters of performance, the non - restructured book which is approximately around 95% of the total book has come back to the pre -COVID levels practically in all parameters in terms of performance matrix. The annualized gross slippage for the non - restructured book in the first quarter was 2.7% which is back to almost the old levels and that book also exhibits very strong expected collection which means that build up of stress into the future quarters is also very comfortable. Our provisions made during the quarter is elevated since we increased our provisions of those restructured accounts in the last year which has slipped into NPA in the first quarter. We increase the provision on these assets specifically with respect to vehicle finance where it has moved to 100% and small business loan which moved to 25% . If you remember during the last quar

ter
itself for the micro finance we have done a similar action that all restructured book in micro finance which slipped into NPA, we moved into 100% provision in the last quarter itself. This quarter we have added the vehicle finance into that category of moving it to D1 which in our case for D1 is 100% provision and for small business loan again D1 means 25% provision. So because of this for the quarter we had about an additional provision of 76 Crores which we did in the first quarter, but this we believe is a one of f because as you know our restructured book itself is
 coming down consistently quarter after quarter and most of the restructured book is behind us and we expect that the credit cost should start to normalize going forward. The bank continues to invest in technology to ensure we are future ready. We have now revamped our loan origination system for vehicle finance and that has now rolled out all over India and the work is under way to introduce a similar state of the art loan origination system for the rest of the product. This we believe will help us further improve our sales productivity and reduce our disbursement turnaround time. On the digital transformation we are actively engaging with partners to draw out a plan that will help us leverage clo ud data and customers and you shall be hearing shortly from us on this initiatives as they progress. Lastly we have progress well on our reverse merger. We have filed the scheme NCLT and we have received the order of NCLT for convening the meetings of cred itors and share holders, these are fixed on the 6th and 7th September, so the progress on the merger scheme is going actually slightly ahead of our estimate itself. We had guided that by March 23 we should be able to complete the merger but we believe that we will probably do that a few months ahead of that schedule. Thank you so much. Now I hand over to Rohit to talk about the asset side of the bank.

Rohit Phadke : Good morning everybody . This is Rohit here. The last quarters have been good for advances, witnessing 22% year on year and 5% quarter on quarter. We have seen stable growth across all the segments. Our disbursements of 3238 Crores was the highest ever in the beginning quarter of the year. In small business loans we continued to witness strong grow th and good log -ins. Here we cater to the informal segment and we also now plan to cover the formal segment in loan against property going forward. In vehicle finance , vehicle sales continued to show a upward trend, CV sales were higher by 4% from the pre -COVID levels in June 19. If we compare the sales in June 2021 with June 2021 sales were higher at 89% . We have disbursed 889 Crores which is phenomenal growth because first quarter of last year we had very low disbursements. We also saw the highest ever di sbursements in the used car segment which we started catering to last year. Freight rate have stabilized and the free cash flow for operators has also stabilized because fuel prices have been rationalize across so vehicle replacement demand has come back. Prices of used vehicles have also seen a slight increase. The most comforting part is that two wheeler sales have grown by 20% which does indicate that the stress in the rural segment has come down and the rural segment has begun to grow so two wheeler sal es grew by 20% year on year though they are yet to reach the pre -COVID levels. In micro finance our X bucket efficiency remains stable at about 99%. We have seen improvements across however some pockets in the south namely K umbakonam , Pondicherry , and Mayi laduthurai continue to show less improvement over the other regions. Affordable housing continues to show strong growth. We are now present in in 35 branches and other than West t we are now live in the southern states of Tamil Nadu, Andhra Pradesh, and T elangana and K

arnataka. We see good growt h momentum
across segments and as Vasu Sir explained that the impact of commodity prices and inflation is unclear. We see strong growth and I am quite optimistic that the quarter ahead wh ich is the festive season coming ahead will show good growth.
 Murali Vaidyanathan : Hello g ood morning Murali here . I would like to give you a perspective of liability, branch banking, TPP, digital and marketing. As we are aware we are cont inuing the journey what we laid for last two three quarters on focusing on key segments. I would like to give you some highlight which actually gives us the confidence that we are traveling in the right direction. Our program elite which is meant for middl e class growth is now close to 40% of the book that is Rs. 8900 + Crores and increasingly it is because of the primary reason the proportion and the relationship management structure which we netted behind it is actually showing us a good trajectory so that is one good perspective which is contributing towards buil t up of the segment . Most importantly saving centric approach and third important parameter which is happening is do it yourself we are seeing more from this segment so early , it is one prime drive r, second key highlight for this quarter is NR book crossing Rs. 1,000 Crores as a key measurement index. I am sure that all of us aware almost all of the SFB does not have a presence nor can we have representation outside India despite the fact the percen tage of goodwill beyond banking initiatives through marketing and most importantly the virtual RM based on time zone is actually

helping us to grow the book. It is not few customers we are adding granular customers month on month and most importantly the a ctive customers and the primary customers of NR has now got up to 80%. Now third important perspective which is giving us most comfort in terms of two things is people's aspiration towards saving and spending that is we call it as a demography that is entr y level customers which you get through digital mode so we are now having a B2C selfie that book has crossed Rs. 500 Crores and we have a tie up with Neo and which has also crossed R.s 500 Crores which means Rs. 1,000 Crores of book which is now close to 8 to 9% of our entire liability based has started coming from digital ly sourced account. Our ambition is to double it and we are on towards the trajectory, but the most important part here is the demographic excellence is actually helping the branches t o get more customers so now the relationship management structure which we have put in is actually helping us and now we have a full stack of UKYC convention and virtual management through CLCM so the entire VKYC to full KYC to business correspondent all t hese three things are actually happening us to get digitally savvy, demographic centric customers, so now all these three things backed by we have a strong propensity data lead management system which we run here that is helping us for cross sell also . So if we look into it whether it is AUM growth , whether it is a overall protection penetration into the book the actual activation of debit card where to go and how to get the unique card so the only favor as a echo system which we started two years back now it is expanded into spender, now it has expanded into investor now we have a tie up which has happened which has helped us to get into three in one accounts those demat we have now recently tied up with HDFC Securities also so the extension of favor to the investor is actually propelling the balances and last but not the least these are backed by predominantly marketing campaign, high visibility, high penetration, high impact which we do it through predominantly on social media platform and sticking to our core theme of beyond banking as an initiative so all coupled this put together and on

one slide which we will touch when we have the question and
answer session, the absolute transaction active part and primary part is actually propelling our customers to get more and more engaged through do it yourself mode. I think we continue to hold our retail focus. We are now close to 80% of our book is retail and very important part is

 individuals are close to 65% of the total book composition increasingly that will try to expand it also so overall we are looking ahead with lot of optimism, lot of planning and most importantly integrating multiple departments towards giving customer first as an objective and I will hand it over to Dheeraj .

Dheeraj M : Good morning all of you, Dheeraj here so this time I will walk you through the performance of the Bank as Sridharan is not feeling well and is on leave. Our the net interest income it came in Rs. 581 Crores as compared to Rs. 461 Crores during the same quarter last year registering a 26% YoY growth. Other income came in stood at Rs. 100 Crores as compared to Rs. 59 Crores the same quarter last year registering a 69% YoY growth. Net income grew at 31% and came in at Rs. 681 Crores for the quarter as compared to Rs. 520 Crores during the previous quarter last year. On treasury front, the profit on sale of investments for the quarter is about Rs. 6.25 Crores and MTM loss on investment was relatively less than a Crore, Rs. 0.83 Crores to be precise. From next quarter onwards we will invite Natarajan , our Head of Treasury to talk to us more about the Bank's treasury operation, coming to opex front, the total operating expenditure came at Rs. 412 Crores as compared to Rs. 356 Crores during the same quarter last year . Employee expenses for the quarter takes into account reversal of employee provision of Rs. 31 Crores. This is related to COVI D policy and some performance incentive which we have provided for. Adjusting for this our opex would been about Rs. 445 Crores instead of Rs. 411 as we have reported.

On a daily average basis our cost of funds has impro ved by 73 basis point and is now at 6.2%. PPoP came in at Rs. 269 Crores as compared to Rs. 164 Crores during the same quarter last year thereby registering a growth of 63% YoY . Our PPOP in terms of percentage to assets exp anded and is at 3.87% compared to 2.65 %. Our PAT came in at Rs. 97 Crores as against Rs. 12 Crores same quarter last year . Now talking on the asset quality, provisions and restructuring pool, the total restructuring pool now stands at Rs. 1,190 Crores. We have given segment wise break up and some other parameters in the presentation. The bank now carries total provision of Rs. 603 Crores. To give you the break up , NPA provision is about Rs. 415 Crores , provisions on restructured s tandard asset is about Rs. 114 Crores , provision on standard assets is Rs. 61 Crores and we made an additional provision on standard assets or what we would call management overlay is about Rs. 13 Crores. GNP A came in at 3 .95% in Q1 FY23 as compare d to 4.06% in the sequential quarter previous to this . NNPA came in at 2.07% compared to 2.37% in Q4 FY22 . Our provision coverage ratio has improved because we made some additional provisions and we have mentioned the details in the presentation so the PCR has improved to 48%, credit cost came at 2.68%. Provisions on Q1 FY23 is Rs. 142 Crores which comprises of Rs. 95 Crores from restructured loans and Rs. 47 from the non -restructured book. During the quarter the Bank also saw gross slippages at Rs. 296 Crores, and 53% of this Rs. 296 Crores is actually moved in from the restructured pool. Write off during the quarter was about Rs. 130 Crores. Lastly we remain well capitalized and in June our capital adequacy was 24.62 %. LCR has also improved sharply to 211% as we have been focusing on better quality deposit . With this , I would like to hand

over to
operator and we can start the Q&A session. .
 Moderator : Thank you very much . We will now begin the question and answer session. The first question is from the line of Shreepal Doshi from Equirus . Please go ahead.
Shreepal Doshi : So just wanted to check out of the Rs. 1,764 Crores of restructured pool that we had as on Q3 what has led to NPA and what is the write-off from the same like Rs. 1,764 Crores of the pool and how much have we collected from this pool wanted to get this number.
Rohit Phadke : So last quarter we were at Rs. 286 Crores in terms of NPA and this quarter we are showing Rs. 271 Crores but thi s takes into account we have written of micro finance loans of Rs. 95 Crores so roughly you can say about Rs. 80 odd Crores were added.
Shreepal Doshi : So basically the NPA is Rs. 271 Crores outstanding and the write of is Rs. 95 Crores from that Rs. 1,764 Crores pool and the remaining would have recovered and that is how the outstanding restructured book is Rs. 1,190 Crores.
Rohit Phadke : Correct, correct the normal rundown is also there.
Shreepal Doshi : In your presentation on slide 9 we show segment wise detail so there the average ticket size disbursement for MSE has gone up significantly high on a sequential basis so is there a change in thought process there or strategy there. Last quarter it was Rs. 4.6 million. This quarter it is Rs. 8.6 milli on.
Rohit Phadke : There is no change in strategy as far as MSE is concerned. We will continue to focus on the mid segment. We do not want to focus on the large ticket size so we are clear and there is no change in strategy there.
Dheeraj M : In MSE there are two types of loan so one is the working capital loan which we give and the other one which is called Treads which is screen based lending so there the ticket sizes would have improved which has resulted in this.
Shreepal Doshi : Okay so there the ticket size is like materially high or what would be the ticket size range there.
Rohit Phadke : Okay there the Treads ticket size is generally Rs. 1 to Rs. 5 Crores compared to the working capital loans which are Rs. 25 to Rs. 50 lakhs.
Shreepal Doshi : Okay got it. Thank you so much for answering my questions.
Moderator : Thank you. The next question is from the line of Savi Jain from 2Point2 Capital . Please go ahead.
Savi Jain : So one is I just wanted to know the guida nce for credit cost for the full financial year FY2023. I mean we have had very high credit cost this quarter so what is the expectation for the full year.
 Rohit Phadke : We will be below 2% for the year because we are witnessing improving co llection efficiencies also in the restructured book , see most of the restructured book was in the vehicle finance segment and there you know even while recovery we realize that loss on sale of vehicles is decreasing. The price of used vehicles is going up so we will see lesser credit cost going ahead.
Dheeraj M : So just to be little sharper. What we have said in the past is 1.5% credit cost. This takes into account a couple of factors. One it takes into account the guidance we have given in terms of loan growth about 30% and it also takes into account some level of beefing up our PCR and the provisions we need to make in regard to the restructured loans so far we seem to be track of that on those targets so we are quite hopeful that we wil l contain it at 1.5% for the year. I think Rohit was just trying to give you a slightly broader range but at this point in time that is what we are seeing.
Savi Jain : So most of the provisioning has been done this quarter or the rest of the year will be at normalized level or you expect another round of elevated provisioning and then sharp decline thereafter.
Dheeraj M : So it may not be uniformly distri

buted in the remaining three quarter so you may see some elevation in Q2 but definitely not in the lines you saw in Q1 and again Q1 Rs. 76 Crores is because we made some additional provisions which is reflecting in the improvement in PCR but we do not foresee that this level of provisions or credit cost will hit us in Q2 but Q3 and Q4 definitely will normalize to almost business as usual credit cost.
Savi Jain : And second was one of the opex, the opex does not seem to still stabilize it is still increasing every quarter so when do we see stabilization in the opex.
Dheeraj M : So jus t from opex stabilization in terms of percentage we can understand so Q1 also has wage

inflation which is reflected so you will not see that level of growth and this typically happens for most organization in Q1 so you should not see the same rate of growt h every quarter clearly but in terms cost to incomes comes in and obviously the operating expense will not grow at the same pace.

Savi Jain : So I understand the employee expenses but the other expenses for example in Q4 was Rs. 148 Crores it has gone up to Rs. 169 Crores in Q1 alone so is this a trajectory that is going to follow because in that case there will still be substantial increase.

Dheeraj M : As I think Vasu's commentary also had mentioned we are making some investments in technolog y to help increase business so these are largely in the digital transformation space. We have already gone live with the loan origination system for vehicles and some of them will reflect in the technology expense which comes under the other expense. These are technology not from Fintech technology but technology as foundation to the bank and we are now 5 years old so there

 are some upgrades which are happening but we do not think it will derail any of the cost to income or opex to assets numbers. It will b e calibrated.

Savi Jain : So RoA for the full year should be above 2% in that case.

Dheeraj M : At this point in time we are silent to it. I think what is more important is to see RoA hit 2% for a quarter then we will discuss of how mor e it can go to so at this point in time please pardon us for not answering that.

Savi Jain : Okay. That is all from my side.

Moderator : Thank you. The next question is from the line of Renish from ICICI Securities. Please go ahead.

Renish : Hi Sir, congrats on great set of numbers. Just two questions, again sort of one the restructuring side out of total slippages this quarter how much was or this quarter .

Dheeraj M : 53% of Rs. 296 Crores has flown from the restructured book, so about Rs. 156 Crores.

Renish : From the restructured book.

Dheeraj M : Yes.

Renish : And secondly on the PCR point. We have been always mentioning the LGD in vehicle finance will be lower and not of course at the 100% level so what is the thought process behind sort of improving t he coverage in vehicle finance in case to 100%.

Dheeraj M : So Renish last quarter we had given our coverage policy so if you see that doubtful one becomes 100% and this is an isolated provision I think we did two years back. I think you should draw comfort from the policy which we have so every incremental NPA is getting higher PCR then it was couple of years back so that is one.

Rohit Phadke : To add to what Dheeraj has said. The vehicle is earn and pay asset and its value is there till you use the vehicle. If the vehicle is stationery for some reason its value starts depreciating to make it start again you need investment in that so to just give you a perspective you will understand so If I compare the loss on sale in Q4 and Q1 and I am not going back into the COVID period. So if you just take Q4 and take the comparison between restructured and the normal regular book. If you take the restructured book, the loss on sale on the restructured book on vehicles where we had done r

estructuring in the COVID period it was 47% in Q4. The same loss has come down to 39% in Q1 and if you take the non -restructured book, the regular book in Q4, the loss on sale was 37% which has come down to 28%, so overall we had 45% loss in Q4. It has come down to 36% in Q1 so to be cons ervative we have decided to provide 100% but in actual as we go ahead the loss will keep decreasing because the prices of used vehicle will keep increasing. Another perspective which I want to give you see the cost as B6 vehicle as gone up phenomenally so who

 can afford a B6 vehicle a fleet operator who has got many vehicles who has got contract where the utilization is 100%, he can really go and buy a B6 vehicle. A B4 vehicle is still in demand and that is why the prices of B4 vehicles have gone up so that is another perspective to this.

Dheeraj M : And Renish the PCR on the vehicle finance restructured NPA pool is 77% .

Renish : So I was just confirming that we are maintaining the 30% growth that ends for FY2023.

Rohit Phadke : Yes Renish yes we will grow. See growth will be better because traditionally in India the festive season starts in August. In the end of August festive starts so August till October and November is a full festive season so we see growth. We are all poised for a growth.

Renish : Got it Sir. It is very helpful. Thank you everyone.

Moderator : Thank you. The next question is from the line of Nidhesh Jain from Investec India . Please go ahead.

Nidhesh Jain : Hello Sir. Firstly, on restructured book how are we saying that we will not see more slippages from this book or incremental slippages from this book given that 60 to 90 DPD in the restructured book in Rs. 169 Crores , less 1 to 60 DPD number that you have shared among let us say is Rs. 40 Crores of pool. On Rs. 40 Crores of pool in last three months only one EMI is

received so this Rs. 210 Crores of pool which have high probability of slippage even if we assume let us say 50% of that getting slippage that will still lead to reasonably high credit cost in coming quarter.
Dheeraj M : Nidhesh before Rohit comes in just want to put that credit cost to this number. Let us stick with your number. Let us say Rs. 200 odd Crores about 80% is vehicle finance and secured so there the LGD is about 40% and the remaining 20% or thereabout is micro finance so if you look at it from that perspective impact on credit cost on a terminal basis may be only about half a percent of advances not saying that it will come next month, next quarter but if I go with your numbers and put the loss on repo numbers t o that pool this is what it works out to but anyway I will give it to Rohit to talk more on what trends we are seeing.
Rohit Phadke : So Nidhesh even if you break this Rs. 169 Crores down , Rs. 64 Crores is from CV and Rs. 54 Crores is from SBL. In SBL t here is no loss because it is fully backed by property and we see good recoveries in SBL. In Rs. 64 Crores of CV I am just giving you the breakup of the loss on sale when we repurchase the vehicle, the loss has come down from 45% to 36% on a ove rall basis and particularly if you talk about the restructured basis it has come down from 47 % to 39 % so as I explained as prices of vehicle keep going as growth picks up so I think this number will keep going down .
Dheeraj M : And Nidhesh I want to reclarify the restructured book has come back into billing now about 6 to 7 months back. It is more than that so in 7 month period if you have paid two EMIs and you are
 in that 60 to 90 that essentially means you have only missed two out of those seven EMIs so we will have to look at it from that perspective also.
Nidhesh Jain : Can you share this number, the disclosure that you have shared to 1 to 60. How is the 60 to 90 DPD book behaving in te

rms of customers who have paid only one EMI, two EMI, and three EMI in last three months.
Dheeraj M : Yes we will try to put that.
Nidhesh Jain : Because that will give some clarity that how much slippage may happen from this book? Secon dly in terms of margin how should we think about this 8% margin given that we are scaling in formal small business loans we are scaling in affordable housing so what could be the margins. How will the margin trajectory will flow? If specifically also the c ost of fund may start to inch up from next quarter.
Rohit Phadke : See 77% of our book in small business loans is new to bank and if I get into further segments it is high as 85% so we have the pricing power in the segments that we serve is number one, Number two home loans in the industry itself despite rising interest rates home loans have not slowed down so home loans across the industry the growth momentum is there, whether it is affordable or whether it is prime and inventory of home has also come down. New project launches are also at full swing and this being a festive season I do not see any problem there. Thirdly as we mature into products in the future I think we should look at risk adjusted return other than pure yields so as our credit cost keep coming down and our credit cost normalizes we should rather go to a more risk adjusted return that is what I feel.
Dheeraj M : I will also get Nat's to just talk on the cost of fund.
Natrajan M: Hi Nat's here. On the Cost of funds , through the rising policy rates are expected to go up I think the market is largely factoring in all this. As we speak today there is a rallying by 5 to 10 basis points in the last couple of days so any hike in interest rat es which is expected by RBI is normally factored in so we do not expect the cost of deposit also to go up significantly from here and also from Equitas perspective we have already build up sufficient buffer as reflected in our higher and required L CR where we are sort of front loading in anticipation of hike in rates so we are well positioned to meet any sharp increase in the cost of funds.
Nidhesh Jain : What will be your estimate of cost of funds let us say in the current scenario assuming the information we have. It is typical to follow the interest rate but how should you see this cost of fund trending in coming quarters.
Natarajan M : You will not see automatic corresponding rise in rate s. If the rates rise by 50 bps it does no t mean our cost of funds will rise by 50bps or 40 bps it can marginally inch up by 5 or 10 basis points.
Nidhesh Jain : Okay Sir thank you. That is it from my side.
 Moderator : Thank you. The next question is from the li ne of Deepak Poddar from Safire Capital . Please go ahead.
Deepak Poddar : Thank you very much Sir for the opportunity. I just wanted to understand more on the credit cost front and now you did mention that 1.5 % credit cost you are looking for the entire yea r. I just want to understand do you think it is little aggressive considering our first quarter credit cost is already at 2.8% and you expect second quarter to also be elevated so balance nine month I think

our credit cost should be 1.1 to 1.2% to make it 1.5% for the entire year average so any comments that you want to make on that.

Rohit Phadke : See most of flows as we said even in the gross slippage 53% has flow in from the restructured book . What we noticed is the stark difference between the beha vior of the normal book and the restructured book . Normal book delinquency, collection efficiencies are coming back to pre COVID level so what you saw in the first quarter was the effect. We started restructuring last year July and ended in about September , so the 12 months of restructuring are getting over this September but most of it we have upfronted by provisioning so according to me the pain will

last only for one more month meaning July and then t hings will come back sharply, secondly the recoveries from the restructured also good particularly on the SBL and the CV side the recoveries are pretty good so that will help us in getting the credit cost down from the current elevated levels of 2.6 to 1.5 % as the year goes by.

Deepak Poddar : So by 4Q if our credit cost reduces to 1.5% let us say so average would be at least around 2% right for the entire year.

Rohit Phadke : It might go down below 1.5%. In the fourth quarter your credit cost will be below 1 .5% for that quarter.

Deepak Poddar : Okay understood. And what would be our PCR target is there any kind of target we have set for ourselves in terms of PCR because it is still at 48%.

Dheeraj M : Like we said earlier we have a long term that it should be a t 70% but obviously we cannot do it this year because it can sacrifice ROA, PAT etc. What we have done is we have put a policy to drive that and that is what we shared last quarter so hopefully as the quarters go by you will start seeing PCR inch forward b ut internally we want to come to around 70%.

Deepak Poddar : 70% maybe two years would that be a fair timeline.

Dheeraj M : I cannot give a timeline right now because like I said it is function of write off, off slippages etc but we are working towards it.

Deepak Poddar : And my final query is on your cost to income so how do we see our cost to income going forward may be in next one to three years.

 Dheeraj M : So we have got like we said from the model to work out we should be at 55% kind of cost to income. Th e idea is to start being stable at about 60% and then the move to about 55% those are the milestones we have and what we have also communicated earlier.

Deepak Poddar : Okay and this milestone is over next three years.

Dheeraj M : Yeah it should happen befor e that but I would say in the next two years you will start seeing at least some of these milestones getting hit.

Deepak Poddar : Fair enough. That is it from my side. All the very best Sir. Thank you very much .

Moderator : Thank you. The next question is fr om the line of Jai Mundhra from B&K Securities. Please go ahead.

Jai Mundhra : Thanks for the opportunity Sir. As you said the restructuring, we had stopped restructuring and we had given 90 days moratorium so why that is the slippages from restructu red has gone up in this quarter. I mean is there any specific reason versus last quarter ideally it should trend down, was there any particular reason for slippages to go up in this particular quarter.

Rohit Phadke : No it has come down sharply. It is Rs. 296 Crores compared to Rs. 400 Crores and something compared to Rs. 300 Crores and something so it coming down only.

Jai Mundhra : Only from restructuring.

Dheeraj M : Even the earlier Rs. 408 Crores is largely from restructuring.

Jai Mundhra : And se cond question which slightly different Sir is . In your vehicle book what is the degree of overlap between customer segment/geography with AU small finance bank for example. Just wanted to understand this thing. Is there any signifi cant overlap or there is no material overlap in terms of geography and segment and products in vehicle.

Rohit Phadke : We cannot talk about competition.

Jai Mundhra : That is very helpf ul Sir. Thanks.

Moderator : Thank you. The next question is from the line of Rohan a retail investor . Please go ahead.

Rohan: Hi all. First of all thanks for the opportunity. Sir I have three questions. First is what is our plan to reduce the NPA to pre COVID levels. Second is regarding credit cards what are our road map to launching new credit cards and third is we have recently partnership with HDFC Securities so how will it benefit Equitas.

 Murali V : See credit card

. We are already runn ing our white labeled co -branded credit with HDFC Bank .
We have started distribution now so we are automating it to issue through the tab this is through

the distribution mode. Will we have a credit card of our own, the evaluation and technical feasibility and initial discussions have started so that they will take sometime for us to come to the market and declare it so which means do we have a product to offer to a consumer in the form of co -branded, white labeled credit card, yes and we will go full throt tle from this month. Second part on HDFC Securities as you know we are already distributing 3-in-1 of Aditya Birla and we have crossed 40,000 consumers who are actually using our 3-in-one active account. Now that we are ge tting aggressive into digital. We saw that digital ly connected DIY mode sort of technology through which we align so that is why HDFC Securities comes in place where the entire alignment through digital happens, so we will have separate sort of stream for digital and separate sort of stream for physical so HDFC Securities is on that line.
Dheerraj M: On the NPA front, let us draw your attention to what the banks asset quality was before COVID and that will give you sense of how we use d to operate and what is the impact of COVID so the numbers used to not be at 4%. It used to be in the 2% range now once the COVID impact is over and our segment is the bottom of the pyramid. It is not the prime segment where there will immediately bounce back, but this segment as you know rural and urban has been impacted fairly badly by the COVID especially the second wave, so if you will go through that process what I think you need to look is that the incremental pain is there that is not there like we said and I am sure you are also witnessing in terms of COVID, lock down etc so it is just a matter of time once this moves off the book and we should then revert back to our normal levels of credit cost of 1.25% NPA of 2.25% but it will take some time and I think lastly what is important is to understand Equitas book. We are only 18% micro finance which represents the unsecured portion. The rest is secured and in secured I think Rohit had spoke about vehicle finance, loss on repo is 40% which is the highest among the other products so all in all we are far more stable then what we were years back when demonetization happened and we are also fairly stable compared to other SFB’s who are in the evolving space, like I said the products are also fairly seasoned. These products are now well seasoned at least in two, three cycles now so that is the direction it should move back to.
Rohan: Okay thank you Sir for explaining in detail. My last question is re garding housing finance what do you oppose the growth strategy for the next five years regarding housing finance product.
Rohit Phadke : So clearly it is a growth area for us and we will ensure that we are present across the country and the p roduct becomes a significant part of our portfolio going forward. Very clear strategy on this.
Rohan: Okay thank you and all the best.
Moderator : Thank you. The next question is from the line of Ashlesh from Kotak Securities . Please go ahead.
Ashlesh: Can you please give a breakup of the gross slippages for the quarter across segments.
 Dheeraj M : So the Rs. 296 Crores we spoke about like we said the restructured book is Rs. 156, the non - restructured book is Rs. 139 Crores . In this key segme nts I will talk only about the restructured pool. Our micro finance is about Rs. 36 Crores, vehicle finance is about Rs. 75 Crores, small business loans is about Rs. 40 odd Crores and the MSE about Rs. 3 odd Crores.
Ashlesh: Thanks and what about overal l slippage number?
Dheeraj M : Rs. 296 Crores .
So overall micro finance is about Rs. 58 Crores, vehicle finance is about Rs. 130 Cror

es, small business loans is about Rs. 85 Crores. These are t he large segments.
Ashlesh: Okay understood. Thanks for that . And second is on the MSE segment if I look at the restructured book that has not changed meaningfully but the gross NPA level in the book has gone up a bit.
Rohit Phadke : See what happens in restructured is once the account touches it NPA it stays restructured for 12 months even though the customer is paying regularly so we have some accounts in MSE where they are paying regularly, but they form a part of the restructured book because they had touch NPA once.
Ashlesh: The flow seems to have increased because that seems to be significant forward flow .
Rohit Phadke : It is a very small book , in MSE . If you look at total 61 to 90 is only Rs. 4 Crores and 1 to 60 is only Rs. 18 Crores .
Ashlesh: Okay understood. That is all from my side.
Moderator : Thank you. The next question is from the line of Ankit Bihani from JM Financial . Please go ahead.
Ankit Bihani : Hi Sir. Congrats on a good set of num bers. I just wanted to ask what has been the impact of the new MFI regulations on your book. I believe the growth had been largely driven by ticket size increase this quarter . What will be the challenges due to the new regulation?
Rohi t Phadke : We have always been conservative on the MFI side. If you look at our ticket size on our book is just about Rs. 21,000 so we are always very conservative on the MFI side so now the harmonization talks about Rs. 3 lakhs and if you consider Rs. 3 lakhs for the household the average ticket size will come to anywhere between Rs. 1.3 to Rs. 1.5 lakhs so we are nowhere in

that game. I mean we want to play secure and we have always given a guidance that our unsecured book on micro finance will be in the range of 10 % to 15% of our overall portfolio. So no real impact for us on the harmonization norm expect the fact that we have to make the regulatory changes in our system as RBI as recommended so that we are in process. It w ill lead

to aggressive lending by others because the ticket size is moved up but I think the market is pretty big enough. We are very clear where we will operate. We are aware of the risks that it will cause in the micro finance industry because of some pl ayers trying to increase their ticket sizes so we will not do that. We will not play that game. We will play a very secure game.

Moderator : Thank you. The next question is from the line of Sarthak Shah individual investor . Please go ahead.

Sarthak Shah: Good morning Sir. So my question is regarding MTM loss as many banks are facing that so can expect one off from treasury department.

Natarajan M : Yes it is true that most banks have significant MTM loses but the major shock has hap pened in Q1. There was very sharp and unexpected out of cycle policy announcement by RBI so that has taken the market by surprise and that is why people who are not well positioned had to suffer MTM loses . As far as Equitas is concerned we have consciously ran a very clean book by the end of last quarter that is Q4 of last year so we build the book post the hikes by RBI so we did not suffer any MTM loss. Of course there is a very small MTM loss of around Rs. 83 lakhs given the size of the book it is insigni ficant and is part of the trading book. Even for the industry we do not express similar shocks in Q2 and talking about year we do not expect any major negative surprises from that front.

Sarthak Shah: Okay that is it from my side.

Moderator : Thank you very much . I now hand the conference over to Mr. P.N. Vasudevan for closing comments.

P.N. Vasudevan : Thank you for attending the conference and we hope that the first quarter performance will continue to reflect in the next quarters and we should look for a very good year as we go back. Thank you so much an

d thanks for being with us, bye.

Moderator : Thank you very much. O n behalf of Equitas Small Finance Bank Limited that conclude s this conference. Thank you for joining us, y ou may now disconnect your lines. Thank you.

Call: Nov 2022

"Equitas Small Finance Bank Limited
Q2 FY2023 Earnings Conference Call "

November 01, 2022

MANAGEMENT : MR. P.N. VASUDEVAN – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. SRIDHARAN N – CHIEF FINANCIAL OFFICER –
MR. MURALI VAIDYANATHAN - SENIOR PRESIDENT AND COUNTRY HEAD, BRANCH BANKING LIABILITIES , PRODUCT AND WEALTH
MR. ROHIT PHADKE - SENIOR PRESIDENT & HEAD ASSETS
MR. NATARAJAN M - PRESIDENT & HEAD TREASURY -
MR. DHEERAJ MOHAN - HEAD STRATEGY
MR. RAHUL RAJAGOPALAN - DVP STRATEGY & IR -
MS. SRIMATHY RAGHUNATHAN – CHIEF FINANCIAL OFFICER - EQUITAS HOLDINGS LIMITED

 Moderator : Ladies and gentlemen, good day and welcome to the earnings call of Equitas Small Finance Bank Limited 's financia l performance for Q2 FY2023. We have with us tod ay Mr. P.N. Vasudevan - MD and CEO, Mr. Sridharan N – CFO, Mr. Murali Vaidyanathan – Senior President and Country Head, Branch Banking, Liabilities, Product, and Wealth, Mr. Rohit Phadke – Senior President and Head Assets, Mr. Natrajan M – President & Head Treasury, Mr. Dheeraj M ohan – Head Strategy, Mr. Rahul R ajagopalan – DVP Strategy and IR, and Ms. Srimathy Raghunathan - CFO - Equitas Holdings Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone telephone. Please note that this conference is being recorded. I would no w like to hand the conference over to Mr. P.N. Vasudevan . Thank you and over to you Sir!

P. N. Vasudevan : Thank you. Good afternoon to all of you. Hope you all had a great Diwali. There are many macro environmental headwinds in the system. While the India growth story has remained resilient so far, we need to see how long our domestic consumption factor of our economy is going to help us grow against the global recessionary trends.

Banking industries credit growth is almost double of the deposit growth in the last few months. There is hardly any bank reporting a single -digit credit growth rate. This is putting pressure on liquidity and we already see interest rates in the deposit market hardened over the last couple of months.

The credit demand story is qui te similar in the informal economy, which is where Equitas largely operates. Be it commercial vehicle finance, small business loans or affordable housing finance, we see demand remaining very strong in all these areas.

Against this backdrop, we have seen a 20% year -on-year growth in advances. The growth is even across all our product lines. On asset quality, we continue to see improvement, and our restructured loan behavior has stabili zed. The credit cost has normalized to almost Rs. 75 Crore quarterly run rate in the second quarter, and we hope to maintain this for the rest of the year. If all goes to plan, we should contain our credit cost to 1.5% for the full year as guided in the beginning of the year.

On the PCR front, the bank has a stringent provision policy in place, which we have shared with you in an earlier presentation. Apart from our credit cost guidance, we had also guided that our loan growth would be about 30% for the year. While we have built a strong foundation in the bank in terms of a well -diversified loan portfolio to deliver a sustainable

 30% annual growth; however, for the current year, we had a slow start, and we believe a 25% loan growth for this year looks more realistic now.
The deposit growth has been in line with asset growth. The bank 's liquidity position remains comfortable. However, the rise in incremental cost of funds is a concern possibly for the next 2, 3 qu

arters. Our retail deposit growth continues to strengthen , and as credit growth picks up, we will tap into bulk deposit s and wholesale funding options as required. Murali and Natarajan will walk you through this in more detail. This year, we have been working tirelessly in upgrading our technology backbone for the asset businesses. As you know, we are very strong digitally on our liabilities business. In fact, already nearly about 9% of our savings balances come from accounts which are sourced digitally.
This year, our focus has been to try and improve our technology backbone for the asset business. Three loan origination s ystems are being worked upon, out of which one has gone live. This should help improve productivity and reduce disbursement turnaround times.
Apart from this, we are also in the process of building a customer app for our borrowers to help improve their ove rall experience with the bank. Some of the other large technology interventions being planned are a state -of-the-art CRM platform for which we have signed up with Microsoft. Our future -ready super app structure to be built on native platform for mobile ban king applications and various other smaller projects to help us scale up digitally.
On the amalgamation of the holding company with the bank, we are on track against the earlier estimate of completing this by the financial year -end, we may be able to compl ete it a couple of months earlier, and we will be happy to welcome shareholders o f the holding company to the bank.
To conclude, we have created a bank with a very well -diversified retail loan product mix, strong granular liability franchise, putting the a bility to put digital to work, and a high - quality management team. We believe that these are the foundation stones required for building a very strong, stable, sustainable and scalable differentiated banking franchise in the country and take us closer to o ur long -term vision of creating consistent returns for all our stakeholders. Thanking you once again , and now I am handing it over to Rohit.
Rohit Phadke: Thank you, Vasu sir, and good evening, friends. The last quarter, advances grew by 20% year-on-year a nd 5% quarter -on-quarter. Disbursements grew by 22% year -on-year and 19% quarter -on-quarter. We see strong demand for credit across segments. Collection efficiency in every business has shown a marked improvement. X bucket collection efficiency was 99.3% i n small business loans, 97% in vehicle finance and 98.9% in micro finance. The 1 to 90 bucket has come down to 8.9% in September from 10.3% in June.

 In small business loans, our focus is on increasing the volume of non -Tamil Nadu business. Our digital loan origination system has been piloted in 5 branches, and we intend to take this across the country in the coming months. Vehicle finance has shown strong growth riding on the back of increased CV sales. Used car was a new product that we launched a year and half back, and it is already clocking about 50 Crore s in disbursement month -on- month. We intend to scale up the volumes in used cars.
The microfinance portfolio has shown strong recovery. The 1 to 90 DPD bucket has come down to 5.8% from 8.5% in June. The overdue has come down from 13.2% to 10.9% in micro finance. Advances have degrown in the microfinance book by 9% year -on-year, and we intend to grow the book this quarter. Affordable home loan disbursements have increased to about Rs. 100 Crore s a month, a nd the scale up for this business is progressing as per plan.
Last quarter has seen good growth across various retail segments. CVs have grown by 19% year-on-year across all categories, passenger vehicles by 10% and even 2 -wheelers have grown by 9% year -on-year. Data from CIBIL shows a strong demand for credit in small business loans. As per the ICRA report, affordable housing finance has

grown by 22% year - on-year. In microfinance , the gross loan portfolio has grown by 24% year -on-year to Rs. 2.93 lakh Crores. Overall, all segments are displaying a strong demand for credit, and we feel that this will continue in the coming quarters, which will help in achieving a 25% growth and annualized credit cost of 1.5%. Thank you. I am handing over the mic to Murali.
Murali Vaidyanathan: Thanks, Rohit. Good evening friends. Just to continue where we left the last time, we were speaking about the segments, products, markets and most importantly, our relationship management on the digital side , and on the digital side, we were talking about acquisition and digitally enabled solutions what we were doing. So let me give you some brief insights into that.

So on growth side, I think we are seeing a fundamental shift of 3 segments. Mass segment, which we acquired through digita l, is growing their balances and booking a small retail TD, so which means there is a duration of customer enhanced at a mass level itself. So digital is actually helping us to cross -sell TD of smaller tickets, which earlier never used to happen. So this i s one fundamental shift , and it is good. Timing -wise, the rate -wise, it makes, I think, very attractive.

Second proposition, what we do through relationship management, we have virtual relationship managers as well as physical relationship managers at the branches. So virtual relationship management today has crossed 1 lakh customers and that portfolio is growing

 healthy, and we are seeing many of the customers are migrated up towards the program as well as relationship management team , and this plus relati onship management team put together is showing us a growth of 25% to 30% of the portfolio , and for the first time, Elite, our premium program, today close to 20 ,000 families, 40 ,000 customers and Rs. 10,000 Crore s of book size. I think this is one of the v ery first, I think, in this space to have happened, and we are very proud of that. This shows up program proposition, relationship management and the customer life cycle management, which we are doing , and our continued focus on individual sourced savings account is one of the key things. Today, we have close to 87%, 88% of the savings account customers who are individuals. I think this is one secondary thing, which is actually priming up the product holding as well as product proposition towards bette r pen etration at a family level, a nd extension of this is, we have actually sourced close to 1 ,200 corporates, which means corp sale segment, as a one, which we created some time back, is now getting in a full factor . All these 3 things actually help us to actu ally get the customer proposition and relationship management right. NR is another segment which is showing good growth. We should have grown 40% to 50% , but the good thing is post the new scheme, which is announced by RBI, we could leverage that and we co uld see the deposit mobilized through that actually helping us, and we have customers from 20 different countries, is one good unique point.

Now on the digital side, earlier we used to talk about a number of accounts sourced. Today, thanks to our V -KYC and end-to-end fulfillment team, which we have created, today we have on, a month -on-month sourcing, we could do at least 40% of the customer V -KYC of the same month, and the book is inching up towards 1000 Crore s, which is a very healthy sign for two reasons : one is the demography of the customers what we get through B2C, our own product and B2B ,B2C through our fintech partners, both are showing the equal trajectory of demography mass coming in; and then second important part is prod uct proposition is getting sold, a nd last quarter, we did launch our 3 -in-1 with HDFC Securities, which showed encouraging signs , and expansion into brok

ing accounts has actually facilitated opening close to 50 ,000 accounts in this period , and importantly, all our new propositions acceptance is good. The expansion of this, we have our prepaid running very good through our fintech partners, Micro ATM, and as well as issuance business, which is showing an encouraging sign.

Last but not the least, our TPP penetration or insurance fee -based revenue and the mutual fund fee -based revenue, again, is showing a good trajectory. This shows our customers are not only saving simply, they expand the horizon towards investment and they also are keen in trading. So I think this trajectory of cross -sell is really helping us , and with regard to fundamental shift, I think as we move on, we will have people getting into more and more RTD and BTD in coming days , and more on this subject, we will take it later. Let me pass it on the Nat to give us some tr easury views and market update.

 Natarajan M : Good evening, friends. Globally, the central banks are facing deadlock with high inflation and low growth. In some cases, there are even threats of recession. Central banks have been hiking rates across the glob e at each meeting to tame inflation, which is well above target level in rest of the countries. The upcoming FOMC , which is going to happen in a couple of days, the market is expecting another rate hike of 75 basis points to control inflation, taking the F ed fund rates to the new range of 3.75% to 4% , and market is also edgily looking for Fed guidance for further action.

China is also having low growth coupled with lockdown to contain the new concern about COVID cases. So all it points out is on the commodi ty side, it has a repercussion. Commodity prices are under pressure, mainly on account of re cession fears and lower demand. Russia and Ukraine war has rattled the global supply chain. So realignment of supply chain will take a while to meet global demand. So the outlook for global economy,

as Vasu mentioned, is somewhat bleak.
Near at home, domestic economy, India is likely to grow in the range of 6.7% to 6.9% in the current fiscal, well below RBI growth projection of 7.2% , and our inflation latest print at 7.41% in September. Again, well above RBI tolerance level of 6%. So while India has fared better in a relative sense, inflation continues to be sticky, which entails that RBI will be forced to hike rates.
Banking system deposits grew by 9.6% year -on-year and credit growth was up 17.9%. As Vasu mentioned, it is alm ost double. So system liquidity is just about adequate on the back of high credit demand across sectors. GST collections have been robust. FX reserves t here is a depletion by close to $112 billion . RBI has been pulling down some of the reserves at $640 billion, mainly to control volatility in rupee. Rupee depreciation is an area of concern for India due to higher CAD and higher FI outflow, but that is how the global economy functions , and as long a s we have sufficient reserves , which RBI assures us , it should be okay. In the upcoming meeting, we do expect RBI to hike rates by another 25 to 35 basis points to counter inflation and rupee depreciation .
Coming to Treasury performance for Equitas in Q2, it was another quarter of stable performance by Treasury. Yields inching up w e continue to keep the low duration in our investment portfolio so as to reduce the impact of an adverse MTM. When yield spiked , we will utilize the opportunity to add to HTM por tfolio because RBI has made some room available to fill for all banks, so we use that opportunity to fill HTM portfolio to some extent.
 Also, IPO markets provided some opportunities to augment our income during the quarter. On wholesale funding, we do have sufficient loan assets to generate liquidity by way of

both refinance from term lending institutions as well as IBPC.
Sridharan N : Thank you, Natarajan. Good afternoon to everyone. Our net interest income came at Rs. 610 Crore s as compared to Rs. 484 Crores during the same quarter last year, registering a growth of 26% Y oY. Other income came at Rs. 115 Crore s as compared to Rs. 106 Crore s in the same quarter last year, a growth of 8% Y oY. Net income grew 23% Y oY and came at Rs. 725 Crore s for the quarter as compared to Rs. 590 Crore s during the same quarter last year.
Coming to Opex , the total operating expenditure came at Rs. 483 Crore s as compared to Rs. 391 Crore s during the same quarter previous year. On a sequential basis, Opex increased by 9% adjusti ng for one -off in the previous quarter. This was largely driven by employee costs due to employee addition. The increases is related to business costs like increased commission and brokerage, higher branding and technical expense. Going forward, we expect our cost -to-income ratio should be in the range of 60% to 63% in the medium -term.
Pre-provisioning operating profit, PPOP, came at Rs. 242 Crore s as compared to Rs. 199 Crore s during the same quarter previous year, registering a growth of 22% Y oY. PPOP as a percentage of assets expanded YoY to 3.33% from 3.14%. Profit after tax for the quarter came at Rs. 116 Crore s as against Rs. 41 Crore s during the same period last year.
Now moving on to asset quality, provisions and restructuring. The outstanding restru cture pool stands at Rs. 986 Crore s. Segment -wise breakup of restructuring has been provided in the presentation. The bank carries a total provision of Rs. 611 Crore s, which includes NPA provision of Rs. 439 Crore s, provision on restructured standard asset s of Rs. 95 Crore s, provision on standard assets of Rs. 68 Crore s and additional provision on standard assets for Rs. 9 Crore s.
The GNPA, including I BPC sold came at 3.82% in Q2 FY23 as compared to 3.95% in Q1FY23 and 4.64% in Q2FY22. NNPA came at 1.93% in Q2FY 23 as compared to 2.07% in Q1 FY23 and 2.37% in Q2 FY22. Slippages for the quarter was at Rs. 314 Crores, and slippages in Q2 FY23 were relatively higher because we have stopped making intra -month slippages and upgradations , and on a like -to-like basis, t he slippages for Q1 FY23 would have been at Rs. 338 Crore s.
Annualized credit cost is at 1.62%, excluding the onetime impact at 1.35%. The provision coverage ratio stands at 50.49%. As of September 30, 2022, the total CR AR is at 23.08%, where the Tier 1 at 22.55% and Tier 2 at 0.53%.
 With this, I woul d like to hand over the mic to operator, and we will be happy to take questions from your end. Thank you.
Moderator: Thank you very much. We will now begin the question and answer session. We have the first ques tion from the line of Shreepal Doshi from Equirus Securities. Please go ahead.

Shreepal Doshi : My first question is with respect to the employee cost. So if you look at even after adjusting for the reversals that we had done during the last quarter, which was, I suppose, close to 30 Crore , the growth on employee cost has been much higher on a sequential basis. I suppose we have hired 1000 employees during the quarter. So I wanted to understand that what functions have these employees been hired also, do we expect any moderation in the run rate on the employee cost?
Dheeraj Mohan: Shreepal, Dheeraj here. So I will take the second part first. So what we have envisaged for the year is to have the employee expense grow by about 18%. So we are currently at that run rate in the first half , and as you know, a large part of the employee expense gets incurred in the first half because one does wage revision, which happened in Q1 and Q2, and also a lot of people get added for meeting current year 's targets. So we do not expect employee costs to grow

at the same speed in which it has grown in this current year, but maintain the current annualized growth rate of about 18 -odd percent.
Just to give a breakup of the 1 ,000 people, yes, so on the branch banking or the franchi se, which comes under Murali, it is about 280 -odd people, and the remaining is largely spread across assets , and we will have about 100 -odd people in the support staff. So they are largely sales. So they are, again, front -end branch teams only, where we ha ve recruited. So the breakup of 1 ,000, in a nutshell, is largely on the field side. It should start translating in disbursements. So if you see vehicle finance , for example, where we have added about 200, 300 people, you will start seeing disbursements pic k up. Same with housing , which we have told, I think, in the first quarter, you have seen some of those movements happening , and again, 200 -odd people in the liability side.
Shreepal Doshi: So basically on the business side is where we have added, not on t he collection side, broadly.
Dheeraj Mohan: No. collections is broadly what we did last year. So that team will remain stable and only replacement will happen there. The addition of 1 ,000 is not largely towards collection, because collection pressure, as y ou see in the numbers, has started to come down and we are now broadly close to normal. So largely replacement is happening there.
 Shreepal Doshi: The second question was on the restructured book. So while that book has been coming off, I just wanted to un derstand from the Rs. 1,700 Crore s restructured gross book that we originally had, now that has come down to close to Rs. 990 Crore s. So how much of that has been sort of written off? And what would be the repayment that would have got closed like of these cases?
Dheeraj Mohan : So total is is about Rs. 250 Crore s is what we have done total write -off, and the remaining is run down. So Rs. 1,000 Crore s plus Rs. 250 Crore s and the balance would run down from the book.
Shreepal Doshi: All right. All right , and we already have Rs. 250 Crore s of NPA from the 990 Crore s of restructured book, which is outstanding?
Dheeraj Mohan : Yes correct.
Shreepal Doshi: Any like color if you could give how much more could slip to NPA from the standard restructured book that we h ave? And also, one last question was that with respect to slippages that we have had during the quarter, what would be from the restructured pool and what would be the nature of it, as in what book would it have come from?
Dheeraj Mohan : Roughly about Rs. 100 Crore s of gross slippages is from the restructured book.
Shreepal Doshi: So from the 340 Crore s, 100 Crore s is from the restructured book.
Rohit Phadke: So see, if you look at the restructured book, last time also, we have said that, actually, we shoul d not differentiate now between the restructured and normal book because most of the restructured book is behaving now like a normal book. So we do not see much flows now into NPA , and that is the reason why we are saying that an annualized credit cost of 1.5% is possible. Going forward, you will find the c redit costs coming down quarter -after-quarter.
Shreepal Doshi : Alright Sir, got it. Thank you so much I will come in the queue for more questions. Thank you and good luck for the next quarter.
Moderator: Thank you. We have our next question from the line of Renish Bhuva from ICICI. Please go ahead.
Renish Bhuva: So just one question on the growth. So last quarter, you were guiding at 30% , and when we look at the disbursement growth of 19% sequentially plus when we look at the employee addition of 1000 people, of that around 800 is towards sales, and in your opening remarks also, you did mention about the credit demand remaining strong at the ground level. So what is leading to cutting down growth aspira

tion for this year?

 Rohit Phadke: See, in each business, we have been planning some fundamental changes in the sense of how we operate. For instance, in the small business loan, we want to see our volumes outside Tamil Nadu grow, and we have been adding manpow er and beefing our organizing structures there. So we feel that if there is some delay in our execu tion, we do no t want to promise and not deliver that. So that is why we are saying that we will be comfortable with the 25% growth.
Similarly, in vehicle fin ance, too, we have gone across the country now. So there, we are seeing better growth. Similarly, we want to do that in small business loans and small business loans is 38% of the book, a larger portfolio. That is what we expect, and that is why we are bei ng conservative in giving you a 25% estimate.
Renish Bhuva: So maybe in some pockets, we are calibrating the growth to realize the process or to make underwriting better, is that the correct way to look at it?
Rohit Phadke: I think the way to look at it is in some pockets, we want to increase growth and those pockets are outside Tamil Nadu, and we are building a structure to ensure that our non - Tami l Nadu volumes grow up. So I do no t think we are calibrating volumes in any place because now I think the mark et is looking up, the credit demand is good and cash flows with customers have also improved. So this is a time, I think , to really gung rather than, our general cautiousness regarding credit appraisal is clear, so we are not doing away with that.
Renish Bhuva: So my next question is to Murali. On the deposit side, if we look at the share of retail TD, it has sort of fell from a peak of 80% to 68% now , and despite the system at large is still not that aggressive on the deposit side. So when that aggression comes from the larger peers, how are we going to maintain the retail TD base and grow the balance sheet?
Murali Vaidyanathan: See, in this growth what you are seeing as Rs. 1 Crore s to Rs. 10 Crore s, see, ideally, it should have been Rs. 2 Crore s to Rs. 10 Crore s, that would have reduced to Rs. 5 Crore s, okay, up to 2 Crore s is retail , and what we have done in terms of present tweaking is, if you see the earlier part of the savings account, up to Rs. 2 Crore s, we used to pay 7% on savings account. Say, a p erson after crossing the Rs. 2 Crore s will automatically move into TD. So there were a set of people who were holding up to Rs. 2 Crore s in savings account and they continue to hold at this point of time. So this 23% assuming you move it towards Rs. 2 Crores to 10 Crore s, it will look like more like 15%, 16%. So this is predominantly HNI segment , and as I said, where we have gone aggressive and opened investment account for 3 in 1, we are getting those traders account also coming. So you will have a blip on Rs. 2 Crore s to 5 Crore s savings account growing and RTD coming down to that proportion. But on a book level, as I said, 88%, 89% of my SA is individual, today, on RTD, same 80% to

 85% is individuals as well as individual plus family and proprietorship pl us individual. This is how the structure is built.
So this categorization is done just to make you understand the bucket level. So if you carve out this Rs. 1 Crore to Rs. 10 Crore s as Rs. 2 Crore s to Rs. 10 Crore s as a bucket, you will actually have same 80% levels of retail people who are holding it.
Now coming to your second question of when everybody is even, how are you going to grow it, we have a substantial amount of customers now at this point of time, unlike 2 years back. So the only option is cro ss-sell and enhanced duration, and that work has started , and to complement that, we have relationship management structure at every possible end.
Renish Bhuva : Okay

Sir, thank you.
Moderator: Thank you. We have a next question from the line of Savi Jain f rom 2Point2 Capital Advisors LLP. Please go ahead.
Savi Jain : Just on the cost side, you have given guidance of 18% on employee expenses. What is the guidance o n the other expenses?
Dheeraj Mohan: So other expenses should be close to about 25% , and on an o verall Opex , net of digital, we should be between the range of 20% to 23% for the year.
Savi Jain: So this cost to income guidance that I think one of your colleagues gave 60% to 63%, that is what do you mean by medium -term? Is that likely to be achieved i n a year?
Dheeraj Mohan: Yes, we should see this in the year. So if you have a cost to income of close to 63%, it would then translate to an Opex of 22%, 23%. So we should see that for the year.
Savi Jain: For the full year?
Dheeraj Mohan: Correct.
Savi Ja in: And this employee addition, there was Rs. 20 Crore s QoQ increase in employee costs. Now I think the 1 ,000 employees would have received only maybe half of the quarter ’s salary, so I want to understand how this should increase further, right, next quart er?
Dheeraj Mohan: Yes. So the employee cost jump in the first 2 quarters would be largely because of

incentives being paid out, and a large part is due to recruitment for the year , and so you will have that wage revision also which will happen. In the nex t 2 quarters, you will typically not see this run rate of employee costs growing.

 Savi Jain: No. What I am saying is that just the 1 ,000 employees that you added in this quarter, they would have received only on an average half of the quarter 's salary.

Mur ali Vaidyanathan: See, while they would have received half the salar y, there are 2 things which we do. One is planning at the time of resignation. So there will be overlap of 40% of the employees who stay and handover also. So these are all portfolios ne ed to be handed over, right? So, at this point of time, put together, they would have consumed 4 months or 5 months of salary. It is not exactly 6 months. As you visualize a branch, there is a RM who has decided to put on his papers, then we will recruit a p erson. This person has to handover in the next 45 days. So technically, 45 plus 45, which otherwise would have been only 45, 90 days happens. So this overlap is what has taken us partly through this drive, balance is like what Dheeraj said , where we had al l our incentive, statutory bonuses and everything paid out.

Savi Jain: There is a decline in employees next quarter because there is an overlap this quarter, is that what you are saying?

Murali Vaidyanathan: Yes. Yes , and normally, what happens if you see attrition also peaks in this industry post the appraisal first quarter because many people start shifting and then there is an overlap that happens , and these are all front -end roles.

P. N. Vasudevan: This is Vasu here. See, basically, the employee cost i n the first quarter will always shoot up because we give the increment in the first quarter for the full year. So always April salary will be higher than the March salary by approximately 10% , and that will remain kind of steady over the rest of the year. As far as this new employees who are recruited in the second quarter, so if you see, the number of employees has gone up almost about 1 ,000 in the second quarter. You are right that they will obviously come for a full quarter salary in the third quarter , and to that extent, we should see an increase in the salary cost of the third quarter compared to the second quarter. But how much will be that increase? Because it is 1,000 employees part salary increase on a base of about 18 ,000, 19 ,000 employees, so it i s not a significant change that you should be seeing , and there will be further recruitments in the third and fourth quarter also as w

e build for growth and build for the next year, because third quarter we will still be building for growth for this year , and in the fourth quarter, we will be starting to add people for the next year. So there will be a certain number of employee growth again coming.

By and large, as Dheeraj explained, almost 95% of the new recruitments are all at the field level. There will be hardly 5% staff who are really recruited at the head office level in functions like risk, for IT and other functions. So it is almost largely on sales. This year, the recruitments are almost largely on the sales, be it liability sales or asset sales. C ollections, as Dheeraj mentioned, is kind of steady now. So the number of people getting added on

 collections is not going up much. So that is the picture. I think you should see more employees coming in, in the third and fourth quarter , and to that extent , the employee costs should go up. But how much it will go up and all that, it should not go up very sharply because we are talking of a base already of 19 ,000 employees drawing certain level of salaries, and an addition of maybe 500 to 1000 people, that w ill be the incremental change in cost that you should be seeing going forward.

Savi Jain: So I mean, what still basically happens is that while the growth might have just come down, the opex guidance has gone up. So will we be able to achieve this 2% R OA exit that we had earlier guided for?

P. N. Vasudevan: We have not been guiding on R OA at all. So I do no t think we will start guiding on that just now either. But yes, a s a model, we have always been saying that Equitas ' model is something we should be gear ed for a 2% R OA, assuming that there are no heavy headwinds from the market , and we did reach that position. I mean, during the demonetization, if you remember, 2017 -2018, we did go down significantly because of demonetization 's impact on microfinance . But once that effect started wearing out, then by the third quarter of 2019 - 2020, we were already over the 2% R OA level. December 2019, if you see our R OA would be over 2%. But then again, the Corona came and it has had a headwind effect on the portfolio of t he bank. But with things settling down now, yes, as a model, definitely, I think that is what we are geared for.

Savi Jain: Thank you.

Moderator: Thank you. We have our next question from the line of Jai Mundhra from Batlivala &

Karani Securities India Pri vate Limited. Please go ahead.
Jai Mundhra: Sir, if you can talk about the slippages change that has happened in the quarter on monthly netting off, because my understanding was that RBI has asked this change many quarters ago, and most of the banks would have already implemented. So what was done in this quarter, particularly on this slippages netting off?
P. N. Vasudevan: See, basically, till last quarter, whatever NPA comes up on a daily basis, they get recognized as an NPA at the end of each day in the system , and then during the month, if they get upgraded as standard, then at the end of the month, they were being netted off. The gross slippage and the upgrades were being netted off till last quarter because our system capability was not there. Now that has been built up , and so from the second quarter, what we are doing is when an account goes into NPA on a daily basis within the month also, the gross slippage gets added up , and if they get upgraded during the month, the upgrade also gets recognized. So if we had done it on the same basis as the first quarter, then against Rs.

 296 Crore s of gross slippage in the first quarter, the equivalent number would have been around Rs. 236 Crore s for the second quarter , and in the second quarter, if you see the numbers we have put out now under the new metho

d is Rs. 314 Crore s. But again, the upgrade also you see, there is a sharp uptick in the upgrade to Rs. 136 Crore s from about Rs. 51 Crore s, basically because those are upgrades, which happened within that month itself. Answer to your question is on a like -to-like basis, the slippage would have been around Rs. 236 Crore s.
Jai Mundhra: Is there any more changes, sir? Or you are now fully compliant on RBI daily NPA? Or this is across all products and for overall ban k, right, so no more changes on this front?
P. N. Vasudevan: Yes. See, our daily NPA, there is no change at all. I mean, we went on a daily NPA recognition mode, I think, more tha n 3 or 4 years back which means that recognizing an NPA, upgrading an NPA and provisioning it basis IRAC norms, all that we went live on a daily basis for quite some time back. 3, 4 years back. This one is only the method of calculating gross slippage, which we have now upgraded through our system improvement on a daily basis. But as you know, this does not have any effect on provisions at all.
Jai Mundhra: Second question is, sir, on tying up between slippages and credit cost. So if I see slippages outside restructuring book, right? If I remove Rs. 100 Crore s from this Rs. 300-odd Crore s of gross slippages, let us say, Rs. 200 Crore s as a normalized slippages outside restructuring book , and again, there, you are saying 75 Crore s of provisioning. I mean, both these numbers, is that the right understanding? And how would you tie that up that, on a growing book, maybe Rs. 200 plus and then Rs. 75 Crore s of credit cost?
Dheeraj M : Yes. So the Rs. 75 Crore s of credit cost is removing the Rs. 15 Crore s additionally we had to make in Q2 because of the RBI FAQ. So if the FAQ had not come out , we would not have to make that Rs. 15 Crore s additional provision. So the 75 Crore s includes the restructured provision or the slippages from the restructured and nonrestructured book.
Jai Mundhra: You think that after this one -off Rs. 15 Crore s, this yo u have already achieved, let us say, the steady state or the normalized level of credit cost?
Dheeraj M : Correct. Yes.
Jai Mundhra: What was this FAQ there? I went through that, if you can exactly say that what was this that chang ed the provisioning requir ement?
Sridharan N : The FAQ had 2 impacts. One is that the residual debt expose has been defined into borrower level, not at the loan level , and the second thing is that whatever the standard

 provision which we have been providing on a run-down basis, it h as been kept at the original level. That is the 2 FAQ issued in August 2022.
Jai Mundhra: Sure. Understood , and the next question is to Murali, sir. So if I look at the cost of deposits, right? Now there is a very small difference between the cost of SA an d your cost of TD, very small difference between the two , and there is a dip or is a very flattish SA balances in this quarter. So how should one look at the cost of SA and cost of TD from going -ahead perspective? And do you think that this very miniscule differe nce between SA cost and TD cost, I mean, how would this play out?
Murali Vaidyanathan: See, SA is a layer ed product. Correct? Let us take the structure. Rs. 1 to 1 lakh, you get 3.5%. Rs. 1 lakh to 5 lakh, you get 5% , and then Rs. 5 lakh to 5 Crore s, you get 7%. Let us assume these are the 3 buckets. On contrary to TD, what happens, is every first rupee what you get in is blocked at the same contract rate. So how do we used to manage cost of funds, we will say how you expand your entry -level bucket t hat is 0 to 1 lakh from point A to point B. So this year, the important thing that has happened is the trajectory has moved up

between Rs. 0 to 1 lakh bucket, Rs. 1 lakh to 5 lakh bucket, and then to Rs. 5 lakh to 2 Crore bucket is the third. In that seque nce only has grown.

Now the differential between Rs.
5 lakhs to 2 Crore bucket and TD is minimal. Whereas in both the other buckets, it is maximum. So that is why we said in the initial remarks itself, there will be a tendency for people to keep at a Rs. 0 to 1 lakh bucket, keeping only 2 months or 1.5 months ' salary and moving into RTD. So it is the next bucket. So we are rather than seeing it as RTD at this point of time, are you locking a customer for a duration and benefiting more important opportunity than anything else.

So as we go forward, anything between Rs. 1 to 5 lakh bucket is far more conducive because the temptation for the consumer as well as the bank to move into TD is high , and this will continue to play out this way, at least for the next 2 , 3 quarters since the interest rates are going up. At one point of time, see, for example, senior citizen is at 8% today. So there is no reason for that person to keep money at 5% even if he has 5 lakhs. So I think these are the flexibilities in the arbit rage market offers to the consumer. Until the point of time you are growing consumer and getting consumer and enhancing the relationship value, it is all the same. It will have a cost of fund impact maybe for the short term. But over a period of time, it e vens out.

Jai Mundhra: Great , and any comment on the flattish SA balances this quarter?

Murali Vaidyanathan: No, actually , people have moved into our RTD, one. Second thing, we have actually le t gone Rs. 500 Crore s worth of savings account which were not L CR-friendly for us. So there is a specific regulation, which we have internally based on our own appetite and it is a very

 complicated equation. Individuals are different some institutions are different from financial institutions. So we let go few of the savings account consciously. So Rs. 500 Crore s of SA, which were not NCR friendly, we allowed it to let go , and this in the last meeting itself, we have discussed this. Finally, the money has to be deployed, right? It is not only for top line. So there are a set of customers there. If you keep the money with you, 100% needs to be kept as a reserve ratio. So we exited those sort of relationships and few of them have come back as BTD also, non -callable. So it made LCR friendly deposits for us.

Jai Mundhra : Thank you.

Moderator : Thank you. We have our next question from the line of Ashlesh Sonje from Kotak Securities. Please go ahead .

Ashlesh Sonje: Sir, first question is on the restructured book. So if I look specifically at the vehicle finance book, about 6% of that book is still restructured because there is an improvement because 8% of that book was restructured as of last quarter. So how are you looking at the delinquency performance of this book now? And along with that, if you can give the 31 to 90 DPD bo ok in your key segments , MFI, vehicle finance?

Rohit Phadke: See, the breakup of the restructure is given in the presentation as well, right?

Ashlesh Sonje: Sorry, I meant non -restructured, non -NPA of 31 to 90. If you can give that as well.

Rohit Phadke: I can give you the overall book.

Ashlesh Sonje: Yes, I think we have that in the presentation at about 3.4...

Rohit Phadke: 3.5% is our non -restructured 31 to 90. So, if you want the overall OD book, 1 to 30 bucket, we have 4.25%. In 31 to 60, we have 2.97% . In 60 to 90, 1.7%. In 1 to 90 DPD, 8.9% , and in 90 -plus, we have 3.92%. This is the overall OD book.

Ashlesh Sonje: Sir, the other question on the delinquency performance of your restructured vehicle finance book.

Rohit Phadke: So to give you a flavor. S ee, what is happening in the market is that, you realize freight rates have gone up, market availability is there, and the operator is also able to pass on the increasing cost through higher freight rates because of the loa d availability. So because of thi

s, the cash flow of operators have inched . When we look at our loss on sale, we realized that in quarter 4, it was 43%. In quarter 1, it came down to 38% , and in the last quarter, it has further come down to 36%, a nd going forward, my expectation is that t he loss on sale will come down to about 30%-32%. So if you take both the consideration that the cash

 flows are improving, markets are improving as well as the resale prices of vehicles are improving and because of the loss on sales is improving, the delinq uencies in the vehicle finance book will improve. So the restructured book will not have such a great impact as it has had in the past.

Ashlesh Sonje: Just lastly, if you can qualitatively talk about the liability side, on the deposit side, if you are seeing any pressures on deposits running off and an y increased effort that needs to be put to acquire new deposits given the increased competition in the market?

Murali Vaidyanathan: I think there is no running off. Is there a shift from savings account to tim e deposit happening? Yes. Are we acquiring enough customers in the market? Yes. Are we able to penetrate them through all the other peripheral products? Yes.

So the only fundamental shift is the idle money is getting into time deposits. In fact, our front -end RMs are encouraged to do that because that is the right thing for us to do for the customer. We believe our core value is customer first. I think there is no point in allowing money also to idle beyond the point, while it may sound very odd, but that is a reality. So if you see any customer having above certain threshold, our RMs meet them and move them into the relevant buckets, give the duration , and this is how we build trust, right? So I do no t see any money running away. Other than the set of cust omers, which I told in the last question also, where they were LCR unfriendly, we went to those consumers and converted a few into the bulk TD and few allowed them to go , because it was suiting our pattern of banking. Otherwise, at the retail level, we con tinue to get the support of senior citizens. We are continuing to get the 52% of our book is employed professionals. As I said, 1,200 corporates have already opened accounts. NR As are supporting. Is there a shift happening between the pockets? Yes, from SA to TD, and we are very open towards that.

Moderator: Thank you Sir. We have our next question from the line of Nihar Shah from New Mark Capita l. Please go ahead.

Nihar Shah: Just going to ask a question again on the cost -to-income ratio. We have, over tim e, sort of talked about operating leverage and maybe getting to 55%, somewhere in the mid 50% cost - to-income ratio on a steady -state basis. Now this 65%, 66% has been pretty sticky over the last 3, 4 years, some of it might be related to COVID slowdown and other factors. But this year as well, you probably look like you end up somewhere in the mid -60s just like last year. Is there any change to your thought process on how you think about a steady state cost to income for your model? And what is driving this level of stickiness in cost -to-income?

P. N. Vasudevan: Yes. So I think we have explained earlier also that Equitas model is basically a fixed cost model , and I do no t think we have too much of our cost on a variable basis. So we do not

have, for example, an off -roll team, everybody is on rol l, and we do not outsource our collections. Collections are all done by the bank staff , and we also do not source through DS. Practically, our DS sourcing , I mean, it will be extremely small. We source directly through our own teams. Of course, we generate leads from new commercial vehicle dealers that is for the new commercial , but most of our other businesses, sourcing are done directly.

So you see that we have explained this in the past also that our model is basical ly a fixed cost model lastly , and so the cost gets incurred whatever happens on the business side. So when there is a robust growth in business, you would see our cost to income coming down. But if at some point, the growth is not there because of whatever reason, then the cost to income is bound to see an uptick, and that is what we are seeing currently. The cost to income did go down. In my memory, the lowest that we went down to 56%. Again, it was pre-COVID quarter. It went down to 56% or 56.5%. Because that is the time when after the demonetization impact had worn -off and before Corona was visible in the market, we are back to our normal growth rate levels of 30% plus, a nd so our cost to income actually went down to nearly that 56 -odd percent. But after that, what has happened is our growth has come down. The 2 years of Corona , 2020 -2021 and 2021-2022, our growth rate was only about 15% per annum , and the cost does not go down, but the growth rate goes down to as low as, say, 15%, then the cost to income starts showing the effect. It is not just cost to income, but also other ratios like cost to advances, etc. All of that will show a similar trend. So while we would say that 55% to 57% cost to income is a reasonable expectation to have for Equitas, but tha t presupposes a consisten t growth of about 30% on a year-on-year basis , and if at any time you see the rate of growth coming down less than that, then you are bound to see the cost to income going up, which is where we are today. So this year, we might end up with about, as we mentioned earlier, 25% plus growth rate, which means that our cost to income, we do not expect it to go down into the mid -50s or slightly over the mid-50s instead , we do expect it to be around the early 60s. That is where we expect it to be. So going forward, if next year, our growth rate comes back to our normal levels pre - COVID of 30% plus, then we should see the cost to income again inching below the 60% level. So that is our model, and that is how the whole thing is structured , and at any time, you would see a very strong correlation between our cost income and our growth.

Nihar Shah: Thank you so much.

Moderator: Thank you. We have our next question from the line of Sameer Bhise from JM Financial Institutional Securities. Please go ahead.

Sameer Bhise: Just wanted to understand more about this slower growth anticipation ahead given that you expect demand environment has been pretty robust. What is driving this cut in growth expectation? Is it some product category? Or is it pricing which you think is not
 commensurate with your return expectations or competition? Just wanted to get a sense more on this, especially given that we continue to add cost items, especially on employees, so what is driving this growth reduction?
P. N. Vasudev an: Yes. So we did guide for 30% in the beginning of the year , and now we are giving a revised guidance of 25% for the year. This is basically because we have gone through half year, 6 months have gone by, and we have registered a 20% growth , and while 30% growth from here does look a little stretched, 2 5% looks a lot more reasonable. So we did no t want to stick to the 30% of the earlier guidance, and we thought it is better that we toned down the expectation for the year. If there could be a possible surp rise on the upside, so be it. But at least we wanted to kind of moderate the expectation for the rest of the year.
But again, if you see the other question that you asked is that the demand looked robust and all the fundamentals look strong, you are right. Actually, everything does look good. The demand does look good, and our own comfort on collection is quite comfortable on collections now. Our credit cost guidanc

e is something that we are still sticking to, and that is something that we still expect to d eliver as per our original guidance. So everything is in place. Everything looks good. But as Rohit mentioned sometime earlier to someone else on the same question, there has been some level of delay in execution of certain plans. Especially our focus on t he non -TN areas, part of the 30% growth was supposed to be contributed by regions outside of South, and there has been some slowdown in the execution in terms of recruitment of certain state level teams and things like that. So there has been a delay in ex ecution at some level in these areas, and that is where we see that the first half growth is only at 20% , and now, of course, we will try to catch up. We will try to ensure that we improve the execution an d catch up lost time, but we do no t think we should give a guidance, which we may not touch in the next 6 months. It is better we thought that we gave a guidance that we will definitely touch, maybe exceed, but definitely not fall short.
Sameer Bhise: Especially , is it related to, say, and slower pickup in the SBL book? Or you would say it is broadly across products?
P. N. Vasudevan: See, vehicle finance has been doing quite well. So that I do no t think should see any issue from growth perspective. As far as the small business loans are concerned, the housi ng finance, which we have carved out now, earlier that used to be part of small business loans , and now we are showing housing finance separately that also registers a good growth. So that should hopefully continue to grow quite strongly. Page #16, gives y ou the disbursement percentage growth. There, you can see that the microfinance at 4% and small business loans at 15% are the ones which actually reduce the overall growth of the bank.
 Microfinance , yes, we are very cautious. I think we will continue to re main cautious in microfinance . There is a change in RBI rules for microfinance that came into effect from 1st of October, and it requires certain system changes. Basically, the change in rules are that the loans that a bank can give to a microfinance borro wer is now dependent on his total borrowing from the industry , and what is his EMI that he has got to pay back to all the lenders, and what will be the EMI as a percentage of their income. So there is certain new rules that RBI has levied on those areas, i n microfinance lending , and it has to come into effect from 1st October, but we were actually able to implement that from 1st September , and so there is some level of impact because of that.
But even otherwise, we do want to remain cautious in microfinance . We do not want really jump too hard on that given that it is fundamentally still an unsecured form of lending. So microfinance , it is at 4%, is a drag on the growth , but small business and agri loans , which is like 15%, that is where Rohit was talking of , the improvement, the contribution to have come from non -TN areas, which has taken longer than what we were hoping for , and that is where that should pick up in the second half , and because of that picking up, that is where we believe that our 20% Septemb er level should go to 25% by March.
Sameer Bhise: That is all from my side. Thank you and all the best.
Moderator: Thank you. We have our next question from the line of Anand Dama from Emkay Global. Please go ahead.
Anand Dama: Sir, firstly, on the managem ent tenure. So basically, sir, you had said that we would be looking for a new MD , and I believe we have also formed a committee as such. So any

progress over there?
P. N. Vasudevan: That is work in progress. So as of now, we do not have any concrete thing s to share. So we will share as and when something happens. But it is a work in progress.
Anand Dama: But what is the thought process

of the appointed committee in terms of looking for the person to replace you? So are you looking for a very long banking c areer and anything on that you could talk about?
P. N. Vasudevan: You know that I would no t be able to talk about it. You know it and you are just putting me up. We can not really say anything. It is obviously something that will be held in confidence at the committee level. There is no way that we will be able to share details of what exactly we are looking at or what we are doing. You know it. You know that I would no t be able to answer that question , and so I will also have to say that I am sorry, I would not be able to
 give any further details. But definitely take it that we are on the job and it is a work in progress.
Anand Dama: Sure, and just secondly, that you have cut down the credit growth target that is fair on your side. But how about the deposit growth? Do you see that there is going to be a challenge over there as well given that most banks are now looking to raise the deposit rates and try and challenge on the deposit front? So what is the outlook over there?
P. N. Vasudevan: See, deposit growth , we do no t see that as a challenge. If at all we dropped down on our growth, overall growth, largely be from a credit pickup and n ot from a deposit pickup. We do no t see a challenge in that , and yes, the more deposit that you want to mobilize could have a n impact on cost. That is always a possibility because if you are hungrier for money, then there are times when you may have to pay a little bit more to generate that liquidity. So it might be a trade -off from a cost perspective. But as you have seen in ou r results, second quarter results also, as a bank, Equitas, we do not really have so much of stress in terms of our margins and yields. So that is not rea lly a major challenge. So we do no t think, I mean, we do not see any issue as far as deposit is concer ned. If at all, we have pruned down our growth expectation by the 5% , it is largely from the credit side.
Anand Dama: Thanks a lot sir.
Moderator: Thank you. We have our next question from the line of Abhishek Murarka from HSBC. Please go ahead.
Abhishek M urarka: So a couple of questions. One, from a NIM perspective, what is the outlook? The deposit costs are going to rise up, and on the asset side, the repricing is going to be relatively slower because of a large amount of fixed rate book. So do we expect NIM to continue to moderate?
P. N. Vasudevan: See, our NIM currently is about 9% , and if you see the last 4 quarters, it is hovering around that 9% to 9.1%. But in the 4 quarters, if you look at the background, our yield has more or less remained the same. Our cost of funds has remained reasonably same. I mean marginally down a bit and up a bit, and the NIM has also remained steady , and that is from the picture that you are seeing in our presentation. Now if you want to go a little bit behind the picture in to the banking operations itself, what, I mean, you may not know this, but what is happening in the bank is that the contribution to business from the existing products is more or less steady in terms of percentages compared to 2, 3, 4 quarters back.
So we have not really changed our product mix. In the last maybe 3, 4 quarters, there is really no significant change in the product mix. The product mix has remained more or less
 steady. It means that everything remains kind of uniform or kind of same. Now the question is the next 3 quarters, 4 quarters or 6 quarters, what do we expect this to be, it will be actually based on any change that might happen in our product mix. So that is what might lead to certain changes in the NIM. So you see housing finance is growing, and housing finance is a product with a

lower yield. In vehicle finance , the new vehicle finance is growing , and the new vehicle finance is a product, which is at a lower yiel d than used commercial vehicles, a nd similarly, microfinance , the growth rate is not as high , and microfinance does have a higher yield, but the growth rate is not as high. So you are seeing in the presentation that we have set out itself, you are seeing the indications of some small changes in the product mix contribution to the total portfolio. Now it has not played out any way in the last 3, 4 quarters on NIM, largely because the changes are too minor. But going forward in the next few quarters, yes, these changes might start reflecting a little bit more, which means there s hould be some level of change that you should see in the yield and

corresponding NIM also.
Then the question will be that whether that will put pressure on the spread of the bank. But I think that is where we will be toggling it internally between drop in yield, as well as the reduction in the Opex because some of the yield drop comes from products which are having a higher ticket size. So once you are doing more business of ticket sales which are larger, the operating costs should, to the extent, to that m arginal extent, should see some support from our operating cost , and then over a period of maybe 6 to 9 months to 12 months, there should be a marginal change that we should see on the credit cost also, because they are supposed to be of a better credit pr ofile.
So while you might see some level of dip in the NIM over the next maybe 4 quarters or so, but as a bank, we are geared to kind of manage that by ensuring that the product mix changes will be very gradual and the product mix change that happened grad ually should be reasonably supported on a real -time basis through Opex and credit cost benefit.
Abhishek Murarka: Again , related to NIM, why are we carrying a 200% LCR? Most large banks are at 120% or so, but I am sure, we can come down to 150%. So that wi ll also help NIM. So anything in particular why we are maintaining such a high level of LCR?
P. N. Vasudevan: Yes. Actually, when you ha ve a 200% LCR, it actually does no t mean that you are sitting on a high level of excess liquidity, which is parked in go vernment securities. Even I used to think like that. I am also learning nowadays from Nat. So it is really not that high LCR means lots of money sloshing around in the system, being parked with RBI, no. It actually depends on the quality of the type of dep osit that you have. There is another role, which is SLR.
 Now as a bank, you are supposed to maintain a minimum SLR of 18% at all points in time. We know that 18% is sacrosanct , and if you have to maintain 18% SLR, you always want to have a buffer. You do not want to be at 18% exactly. So you will want to keep it at maybe 18.5% or somewhere in that range. Now if you keep SLR at 18.5%, let us say, or maybe even 19% let us say, then what would be your LCR? If that LCR is more than 100%, you are actually qui te comfortable. The question is and Murali, if you remember mentioned, that we gave up nearly about Rs. 500 Crore s of savings in the quarter because they are not LCR -friendly , and obviously, it is difficult to explain in a call like this, what is LCR, what is LCR -unfriendly and all that, it is impossible to explain on a call like this.
But very, very briefly, I will tell you that there are some deposits which are very LCR -unfriendly , and if you have that kind of money, then your LCR is not showing a high perce ntage, but your SLR will be very high, so you may end up with 25% or 23% SLR, which will give you that 100% or 120% LCR, which is actually a strain or a drain on the bank. For any bank for that matter, any of you looking at the liquidity of any bank for th at matter. So the question that all of

you should ask banks is what is their SLR? If they say my SLR is 18% or 18.5% or even 19%, then you should go back home saying that they are very efficient bank, they are managing their liability well. But if the SLR, say, 22% or 23% or 24%, that actually the one which indicated that they have a high level of liquidity, which is all put in government security and a drag on the financials. The LCR is more like a gate criteria. If the LCR is more than 100% or 110%, you are comfortable. You do not really care. If the LCR is 200%, it makes no difference. If it is 250%, also, there is no issue at all. But if your SLR is 18.5% or 19%, you are actually perfectly fine.
So in our case, the question you have to ask is that you ha ve 200% LCR, which is very good, but what is your SLR? And that I do not know, what is the SLR? Our SLR, Nat says, is around 20%, which means that we are not absolutely efficient, but we are marginally inefficient. If my SLR has been 19 % and LCR 200%, it m eans that you are taking deposits which are extremely LCR -friendly. In our case, we are maybe slightly away from that, but not very far. So that is the question you have to ask.
Abhishek Murarka: Finally, just a very quick question coming back to cost. But you said 60% to 63% in the medium -term, what is medium -term? Is it FY20 25 target or just the timing?
P. N. Vasudevan: Medium -term, long-term, what Dheeraj mentioned, do not take it from a timing perspective, and take it from a growth perspective. So suppo se we are able to come back to a 30% growth, let us say, 6 months from today, that is the time that we are talking about. If we take, let us say, another 1 year or another 1.5 years to come to a 30% growth level, then it is actually a 1 - to 1.5 -year time f rame. So from a time frame, it is actually very closely linked to our growth rate. So it is not basically about 6 months, 12 months or 18 months.
 Abhishek Murarka: See, the question I was trying to figure out is when do we hit that 30%? This year we

unders tand 25%. But next year, do we think we can get to 30%?
P. N. Vasudevan: See, let me be very frank with you. This year is something we are very keen to hit the 30%. We were very keen. So you can take it that it is a failure on our part that we are now talk ing of 25%. But otherwise, there is no reason why we should not have hit the 30% because there is no corona, there is no disturbance. From 1st April of this year, there has been no dynamics in the market which has been negative. Our portfolio, touchwood ha s been doing well, the rest of the year, our portfolio quality should remain very good , and our vehicles has been doing well.
So basically, some little bit of execution challenges and that is pulled our growth rate a little bit down. So if you ask me, when we will hit the 30%, I mean, I would allow to say that we would like to hit it 6 months from today, 9 months from today. I really want to say that , and that is our objective. That is clearly our objective and our goal. So just give me some time, we will tell you when.
Abhishek Murarka: Sure, thank you Vasu all the best.
Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question for today. I would now like to hand the conference over to Mr. P. N. Vasudevan for his closin g comments. Over to you, sir.
P. N. Vasudevan: Yes. Thank you. Thank you, all of you. Thanks for being on the call and do keep working with us , and any questions, doubts you have, please keep asking us. Happy to provide you, and wishing you all the very be st. Thank you. Bye -bye.
Moderator: Thank You. On behalf of Equitas Small Finance Bank Limited, we conclude today ’s conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2023

"Equitas Small Finance Bank Limited
Q3 FY'23 Earnings Call"
Febru ary 09, 202 3

MANAGEMENT : MR. P. N. VASUDEVAN – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER
MR. SRIDHARAN N – CHIEF FINANCIAL OFFICER
MR. MURALI VAIDYANATHAN – SENIOR
PRESIDENT AND COUNTRY HEAD BRANCH
BANKING LIABILITIES – PRODUCT AND WEALTH
MR. ROHIT PHADKE – SENIOR PRESIDENT AND
HEAD ASSETS
MR. NATARAJAN M – PRESIDENT AND HEAD
TREASURY
MR. DHEERAJ MOHAN – HEAD STRATEGY AND
INVESTOR RELATIONS
MR. RAHUL RAJAGOPALAN - DVP STRATEGY AND
INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good morning, and welcome to the Earnings Call of Equitas Small Finance Bank Limited's Financial Performance for Q3FY '23. We have with us today, Mr. P. N. Vasudevan, MD and CEO; Mr. Sridharan N, CFO; Mr. Murali Vaidyanathan, Senior P resident and Country Head, Branch Banking, Liabilities, Product and Wealth; Mr. Rohit Phadke, Senior President and Head Assets; Mr. Natarajan M, President and Head Treasury; Mr. Dheeraj Mohan, Head Strategy and IR; and Mr. Rahul Rajagopalan, DVP, Strategy and IR.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by p ressing star then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. P. N. Vasudevan. Thank you. And over to you, sir.

P.N. Vasudevan: Thank you. Good morning to all of you. Hope you all had a great beginning in the New Year.

On the macro level, India's GDP growth has been resilient despite global uncertainty. GST collections and other high -frequency indicators all point to an increase in the economic activity. The financial system has re mained stable, and although inflation is still high, it has moderated from its peak.

As per RBI's estimate, the next year inflation is expected to further moderate to around 5.3%, combined with a fairly strong robust GDP growth expected of around 6.4%. The strong growth in system credit has intensified the competition for deposits, which has led to an increase in deposit rates for all commercial banks in the third quarter. As systemic liquidity continues to reduce, interest rates remain a key variable and o ur ability to optimize cost o f funds remains a key priority.

Murali and Natarajan will speak in detail on the bank's liability and treasury strategy. The credit demand in our areas of operations like small business loans, commercial vehicle finance, microf inance and affordable housing finance remains strong. Rohit will speak in detail on our asset performance, followed by Sridhar commenting on the financials. Our focus over the years has been to build a stable sustainable and scalable bank. Towards this, we have taken many initiatives, with most of them falling into place, the bank is seeing the result and benefits.

I would like to highlight one fact to show the resilience that we have built in the bank. During demonetization, 53% of our advances representin g microfinance was impacted while the rest of the book had no impact. Our ROA went down to the lowest level of 0.3% for the year ended March '18. During COVID, the entire advances book of the bank was impacted and yet the lowest level that our ROA went dow n to was 1.1% for the year ended March '22.

Further, after demonetization impact, it took us 7 quarters to get to the over 2% annualized ROA for the quarter. But after COVID -19 impact, it has just taken us 3 quarters to get to that over 2% ROA. Having buil t a resilient base, our focus now is to build more around specific segments and leverage digital, both for efficiency improvement and creating new digital business models. As you know, lending to small businesses in the informal economy space is one of the focus areas

of the bank. Let me first provide some sense of the industry size. The addressable market for the residential property -backed small business loan is estimated to be around INR 22 lakh crores. We have given some data around this in our slides number 10, 11, 1 2 of our investor presentation.

This segment continues to remain significantly underserved by the banks. We at Equitas started this business in 2013 as an ups

ell to our eligible microfinance customers with a INR 50,000 to INR 5 lakh ticket s ize product and gradually expanded. And today, we offer loans up to INR 25 lakh to this segment. As you know, Equitas is among the few banks who operate in this segment. Today, our book size stands at over INR 9,300 crores with over 5 lakh customers, and w e have grown at a CAGR of 48% from FY '15 to FY '22. Over the years, the institutional knowledge in credit assessment that we have built has helped keep the GNPAs below 4% despite be ing hit by 2 Black Swan events.

Apart from term loans to merchants, recent ly, we introduced the working capital in the form of overdraft facility to merchants. The response has been very encouraging with the book size, which has already crossed INR 150 crores. We are the sole banker to all these merchants and the data that we ar e gathering on their cash flow through our current accounts is going to be of immense help in profiling and offering further products and services to them. In order to cement our position further among the merchants, we are building a tech -led merchant eco system that will connect merchants, distributors, payment solutions, customers, and other pla yers in the bank.

The merchant app to be launched shortly will enable us to achieve this. The end -to-end digital current account opening process slated for launch this quarter is going to be one more element of this seamless ecosystem. We are confident that with our continued investment in the merchant space, Equitas will be able to create a niche in serving this segment. And over the next few quarters, we will give some updates in our progress. The second strategic initiative is revamping our various tech platforms and creating digital assets.

Some of this like the LOS, loan origination system for lending, which have gone live in phases, and the InsurTech platform, which will go live this quarter, should help improve team productivity, while others like the revamped CRM system or the new IBM the native app is going to enrich customer experience. The digital customer self -onboarding and acquisition app is also under p rogress . We will update you on the roll -outs over the next few quarters.

Given that our products and service offerings have found a good resonance with the mass affluent and NRI segments, we would be opening a few marquee branches in major towns to enable us to give them a differentiated experience and also further improve the branding of the bank in that town. On the amalgamation of the holding company with the bank, you may be aware that the record date was 3rd of February, and yesterday, the Board met fo r allotment and it was done. We should be completing the corporate action during this month, and we would be happy to welcome the shareholders of the holding company to the bank.

On the guidance front, we guided on 2 counts, loan growth of about 25% and cr edit cost of 1.5%. We remain confident of meeting both of this for the year. As I wrap up, the momentum is quite strong. I believe we have all the required things in place to support sustainable growth, and we look forward to your continued support in this exciting journey. Thank you once again. I now hand over the call to Rohit.

Rohit Phadke: Good morning to you, all. On the asset side, our advances grew 27% year -on-year and 9% quarter -on-quarter. Our quarterly disbursements grew 68% year -on-year to INR 4,797 crores. This marks the highest ever disbursements in a quarter. Strong disbursement was witnessed across all product segments with the bank's flagship product, SBL, clocking a year -on-year disbursement growth of 73%. We continue to see strong demand ac ross segments. Disbursements in new products that is affordable home loans, used car loans, and merchant overdraft stood at 12% for this quarter. Small business loans, the ba

nk's flagship product at 37% of the advances continues to be the largest business for the bank.

As Vasu mentioned, we are one of the largest lenders in this segment, and we want to maintain

our dominance in the small business lending space. We have launched a new loan origination system for the business, which we are piloting in 15 bran ches and hope to adopt it across the country in the next 3 months to 6 months. This will help in both productivity improvement and cost reduction. In small business loans, we see a strong demand for retail loans as indicated by the increased number of logi ns.
The vehicle finance business has come back strongly, riding on the back of the growth in CVs. Overall, operator economics are working fine with freight demand remaining good and improvement in the availability of return load. Collection efficiency cont inues to be stable and back to pre -pandemic levels. We have seen an increase in the prices of used vehicles, indicated by the reduction in loss on sale of repossessed vehicles. Loss on sale of repossessed vehicles declined from 48% in Q4 of FY '22, that is last year, to 31% in Q3 of FY23 , that's the last quarter. Equitas has grown this business steadily over the years and now we are witnessing disbursement growth pick up. As I had highlighted in the last quarter, our revamped LOS went live and average month ly disbursements have grown by 50%. The newly entered states of Kerala and Uttar Pradesh have started to contribute well. We'll continue to deepen our existing geographies and enter geographies of strategic importance. CVs have grown at 46% year -on-year fo r the period April to December. CV goods have grown by 40% and CV passengers have grown by 177%. Even in January, last one, the Jan '23, sales have grown by 16% over Jan '22.
The affordable home loan business that we launched initially in Gujarat and Mahar ashtra has now expanded its presence in southern states of TN, AP , TL, and Karnataka. We are now present in 5 states. On the affordable housing piece, ICRA estimates a portfolio growth of 10% to 12% for the full year FY '23.
The microfinance business is s eeing good traction on all fronts across the country. Collection efficiencies across have seen a marked improvement. The overall overdues declined to 10.9%

in Q3 from 12.66% in the previous quarter. MF has also seen microfinance has also seen a very strong growth in colle ctions.
The X bucket collection efficiency for microfinance has increased to 99.5% from 98.9% in the previous quarter. Small business loans and vehicle finance has also seen strong growth in collection efficiencies, X bucket wise. Small bus iness loans was at 99.6% and for vehicle finance was at 97.9%, up from 99.3% for SBL and 97% for VF in the previous quarter. Generally, the last quarter of a financial year is better than the earlier quarters, coupled with the strong growth indicators, the probability of churning out good numbers definitely exists. I see a strong possibility of continuing the 25% advances growth and the strong momentum in collections. Thank you. I'm handing it over to Murali.
Murali Vaidyanatha n: Thanks, Rohit. Good morning , all. I think like Vasu mentioned clearly, there are headwinds and tailwinds, which we are seeing at the mobilization of deposit, but good sign is our mass affluent segment, which we keep saying as Elite as a program for HNI is showing a growth. And that actually complements our relationship management structure, which we have put in at branches through relationship management and virtual RM, which we have kept, I think combined effort of relationship management, branding and the sustained innovati on in th e product is helping us and now it is Rs. 11,600 crores of relationship value at this point of time.
Adding to this is the middle class -focused and salary class -focused approa

ch, which we have
taken wings as a high -end product has now reached INR 3,000 crores. So in totality, it is the retail customers who are contributing towards 84% of the SA book. And very important part is now we have hit 30% to 40% of customers holding a product holding of 2 and above. This shows 2 things, one is the strength in the proposition, and two, our continued investments and efforts that is going towards the relationship management structure. The second thing is NR as a segment is showing a lot of hope and a lot of sign, and NR book has crossed close to Rs. 1,200 crores.
And here again, the expansion of market that is spread of markets is key, and now we can comfortably say we are present in almost 20 countries. And we are using aggressively digital more to actually reach out to consumer and then doing face -to-face execution, and here again, relationship management plays a very key role. The third important thing what I want to highlight is current account with a dedicated focus on supply chain management, what we are doing at this point of time at the lower and mid -end of cor porates as well as traders has started yielding good results, and current account, we are seeing some, lot of good green shoots across and predominantly playing in MCA segment is definitely helping us. So our solution -centric approach of current account is giving us a technical edge at this point of time.
We have innovated and improvised and implemented, WhatsApp Banking at this point of time. So consumers can use WhatsApp Banking actually for service, which is one quantum leap. And

this shows our dedicated presence on not only digital sourcing and virtual RM also on continued service. So on digital sourcing, it is complemented by VKYC and full KYC. And now our ability to maintain long tail management and most importantly, getting value out of digital accoun ts is enhanced considerably.

Today, we have close to INR 1,100 crores of our book coming in from digitally sourced account, and this is end -to-end we want to back it up by digital solution.
We focused on bulk TD in the last quarter, as we are aware, there is a fundamental shift of savings account to TD happening at the retail end, but good part with bulk TD is 95% of our bulk TD is non -callable, which means, these are LCR -friendly . So we are able to manage despite all these things at cost of fund, which is within our striking distance.
We continue to improvise and innovate, just to share with you, like Vasu was saying ; we wanted to enter into InsurTech piece, InsurTech is a self do -it-yourself and assisted mode platform, we are creating it for consumers to consume the range of insurance companies, which we are in tie - up with and where we are going to tie up with to enable fair and transparent mode of getting codes and selecting by itself. And premium liability branches is one thing, which we will launch at 18 to 20 branches. And most important thing is on the merchant app, where merchants there we are having current account as well as we are also doing already present in acquiring space of merchant. And where I think as per last RBI listing, we're in top 16 in terms of merchant acquirers, and that will help us to strengthen the proposition in terms of payment transaction solution -centric.
I think that coupled with digital card will be a very interesting proposition for the front -end traders. Overall, yes, situations are challenging, but the money will shift from one pocket, but there is enough optimism and enough work going around to get the phygital, digital and new products right. Let me hand it over to Nat to give us the view on treasury.
Natarajan M: Hi, good morning, everyone. The calendar 2022 has been a challenging one with the steep and consistent interest rate hikes by global central banks. Current year, hopefully, with the peak of

inflation behind us, we are now seeing slower rate hikes by central banks, although in the smaller quantum as well. And optimistic section of the market is also expecting a possible rate cut by Fed later this year. As per IMF report, the global growth is projected to fall from an estimated 3.4% in '22 to 2.9% in 2023 with possible rise back to 3.1% in '24. With China also opening up, recovery is expected to be f aster than anticipated earlier.
On Indian economy, it's relatively better placed with respect to global backroom as far as inflation and the growth projections are c oncerned. IMF predicts India's growth is set to decline to 6.1% in '23 before picking up again to 6.8% in '24 with a resilient domestic demand despite external headwinds. RBI is also penciling an growth forecast of 6.4% for next fiscal. Domestic tax collec tions have been robust with both direct taxes and GST collections showing very strong upticks throughout the year. Domestically with 25 basis points hike yesterday, RBI continue d to demonstrate that they will not fall behind the curve.
The stance continue to remain withdrawal of accommodation. I think that's more because system still has surplus liquidity, while the base cases for RBI to begin a long pause from April MPC, which will largely hinge on global trends and inflation trajectory as well. RBI's deci sion and commentary were on expected lines. So this gave comfort to bond markets. Yields are steady around 7.30% to 7.35% range.

Coming now to Equitas treasury performance for last quarter. This has been another stable performance. Profit on sale of investments of Rs. 7 crores with low MTM depreciation in this quarter. With bond yields nearing peak levels, our treasury used the opportunity to fill our HTM portfolio. RBI has give n a dispensation of 23%, we can keep in HTM. So bank utilized the opportunity to fill that gap. We were able to make some profits out of IPOs during the first half of Q3 as well, then the market turned back, so we stayed away. Our liquidity position is ade quate with strong and steady deposit growth. Our funding profile is stable with opportunities available to raise funds in the form of both refinance as well as IBPC as a backstop. With this, I hand it over to Sridhar.
Sridharan N.: Thank you, Nat. Good mor ning to everyone. Our net interest income came at INR 647 crores as compared to INR 541 crores during the same quarter last year, registering a growth of 20% YoY .
Other income came at INR 127 crores as compared to INR 95 crores in the same quarter last

year, a growth of 34% YoY . Net income grew at 22% YoY and came at INR 774 crores for the quarter as compared to INR 636 crores during the same quarter last year. On the operating expenditure, the total operating expenditure came at INR 495 crores as compared to INR 411 crores during the same quarter previou s year, a growth of 20% YoY .
The employee expense increased by 21% YoY , and 90% o f the employee additions in FY 23 have been in business team as the bank is investing for the future. Other operating expendit ure decreased Q oQ basis by INR 5 crores. On PP oP, came at INR 279 crores as compared to INR 225 crores during the same quarter previous year, registering a growth of 24% YoY . PPOP as a percentage of average assets expanded YoY to 3.62% from 3.52%. PAT for the quarter came at INR 170 crores as against INR 108 crores during the same period last year, registering a growth of 57% YoY .
Now moving on to asset quality and provisions. The bank carries a total provision of INR 580 crores with NPA provision of INR 438 crores and standard provision of INR 142 crores. The bank in this quarter has utilized INR 36 crores of COVID restructured loan standard provision during this quarter, and continues to hold INR 60 crores in standard restructured loan provision, which may be utilized

in the following quarter s as and when it gets released.
In order to strengthen the PCR, the bank made additional provision of INR 27 crores towards COVID restructured retail LAP loans that have become NPA. GNPA improved by 93 bps YoY and came in at 3.46% in Q3 FY '23 as compared to 3.82% in Q2 FY '23 and 4.39% in Q3 FY '22. NNPA came at 1.73% in Q3 FY '23 as compared to 1.93% in Q2 FY '23 and 2.38% in Q3 FY '22. The provision coverage ratio stands at 50.84%.
As of December 31, 2022, th e total CRAR is at 24.28% comprising of Tier 1 at 23.74% and Tier 2 at 0.54%. With this, I would like to hand over to operator, and we'll be happy to take questions from your end. Thank you.
Moderator: The first question is from the line of Jai Mundhra fro m B&K Securities.

Jai Mundhra: Congratulations on a great set of numbers and on your reappointment also. Firstly, sir, if you would like to share any key changes in your terms of employment or remuneration detail, if any, you would like to sort of shed som e light there?
P.N. Vasudevan: See, the Board has recommended a 3 -year renewal of my term and that has been given to RBI. So we will be awaiting RBI approval for that 3 -year extension. In terms of the terms of appointment and all that, all these terms are subject to RBI approval, and there is no significant change in the terms of appointment. So whatever was there earlier or whatever is there currently, it will be on similar lines with only the normal marginal increases that normally happens in compensation s year -on-year.
Jai Mundhra: Right, okay. Secondly, sir, on your cost of deposit, and I saw your SA deposit cost is 6.25% and TD is 6.6%, right? So what is the thought process of the bank in terms of now the business has become -- I mean the business growt h should become, let's say, normalized at about 25%. How do you want to -- what is your strategy on the funding mobilization? Where would you look more incrementally between TD and SA because the cost is not that -- the cost differential is not that signif icant? So how should one look at your relative importance on SA versus TD?
P.N. Vasudevan: See, basically, the focus of the bank would continue to be to mobilize CASA as much as we can as a first priority because of not just the fact that it may be at a lo wer rate of interest, but also because it also gives you a lot of other relationship with the depositor, a nd so you always look for that.
But then in a scenario like today where the interest rates on deposits is increasingly getting further away from the i nterest that's available on our saving, so people are bound to put their money from savings to deposits. So we'll have to live with that reality for some time to come now. So what we should see is that we are currently 46% CASA, and we'll have to see how m uch we can try to retain it at anything in the range of 45%. I think that will be a great achievement if we can do that with the remaining coming in the form of deposits.
Jai Mundhra: Right. No, so what I was trying to understand, sir, now if you have to increase the deposit rate because your growth should also be reasonably strong, would you be tempted to increase the SA rate also from here onwards or the SA rate is more or less similar, they will not be too much tinkering and then you may look at raising TD to fund incremental growth?
P.N. Vasudevan: Yes. I mean I think there's no particular plan today to touch the SA rates at this point in time. So largely, the rate changes will be on the TD part of it.
Jai Mundhra: Sure, sir. And last 2 questions. On th e restructuring, sir, now we have given the entire 1 plus DPD book. But if you can quantify the restructured book as of December? I think last quarter, it was INR 700 crores something?
Rohit Phadke: The restructured book stands at INR 730 crores with INR 244 crores in G

NPA and only INR 76
crores in 61 DPD to 90 DPD.

Jai Mundhra: Okay, understood. And any provision -- this INR 60 crores provision is the outstanding against the INR 730 crores minus INR 244 crores of standard assets -- standard restructured book?
Rohit Phadke: Yes.
Jai Mundhra: Right. And last question, sir, on your this corporate structuring, when do the -- when do people get the shares of the holding company in the demat account, I mean, rough indication?
P.N. Vasudevan: See, yesterday, th e allotment has been completed by the Board for the shareholders. So the -- we have to now do the credit of the calc -- the demat account of calc. I've been told that it might happen in the next about 10 days or so. After that, we will apply for listing an d it should get listed. So I think in about a couple of weeks, I think the whole action should be completed, subject of course to lot of processes that need to be completed with the MCA as well as with the stock exchanges. Subject to all of that, I think i n about a couple of weeks, the share should be available for trading.
Moderator: The next question is from the line of Deepan Shankar from Trustline PMS.
Deepan Shankar: Congrats for great set of numbers. So firstly, I wanted to understand this microfinanc e disbursement has grown substantially well during the quarter after many quarters. So are we seeing -- started seeing profitable growth visibility in microfinance segment? And do we expect this growth run rate to continue in the coming years?
Rohit Phadke : Deepan, Rohit here. So yes, microfinance is profitable. It was profitable last quarter also. We will continue to see the growth, but we have always said that as a part of the total advances, we will keep the microfinance book restricted between 15% to 20 %. So that remains our stand.
Deepan Shankar: So now with microfinance, vehicle finance and SBL picking up in disbursement growth, so do we foresee strong credit growth in excess of 30% over next 3 years, 5 years?
Rohit Phadke: Yes. So, see, we have always said that we'll grow at 25% and we'll maintain at that. If more comes, good. I mean aspiration is definitely more than 25% is something that we stick to our guidance.
Moderator: The next question is from the line of Renish Bhuva from ICICI Securities.
Renish Bhuva: Congrats on a good set of numbers. So, sir, just 2 questions from my side. So, one is on these, the merchant acquisition strategy. So, sir, I mean what is the sourcing strategy or let's say, what are the tools we use to acquire merchants?
Rohit Phadke: So as we had said last time also, this Merchant OD product is offered to small merchants. Currently, we were offering it to our own customers. We have a huge base. We had shortlisted about 70,000 customers with CIBIL scores of more than 700. And th e way we acquire SBL loans in the market through references and direct calls, so similarly the same thing is -- happens with acquisition of Merchant OD also. But we also plan to now do a digital acquisition through QR

codes, but that's in the future. Curre ntly, we are sourcing Merchant OD business as we source the current SBL.
Renish Bhuva: So basically, this is the cross -sell product for SBL?
Rohit Phadke: It's not a cross -sell product. We started off by testing it with SBL customers and now we are in the open market acquiring merchants across.
P.N. Vasudevan: And Murali, can you also elaborate on the digital acquisition part?
Murali Vaidyanatha n: See there are 2 sides to it. One is what we are doing it through Merchant OD, where we have existing set of c ustomers and we go to open market and do door -to-door. Second is targeting only those set of customers who are interested in payment, transaction and settlement sort of things, which

means you will give some solution of POS or QR payment gateway.
So today , through -- for getting these customers to get into the transaction mode, we use direct sourcing, that is our sales team and branch team. Then we also have a aggregator model, where we have tied up with 1 or 2 of the people, whose merchants we are going a nd onboarding into us and then opening their current account for settlement. Third is, we have limited opportunity on payment gateway. We have given up to 100 payment gateway solutions.
Now on QR, every current account customers if they classify as traders, the instant delivery of check book goes along with the QR. So the instant transaction mode and the settlement mode happens. So today, just to give you a rough figure, we have close to 17,000 POS machines already running, which is giving you a Equi tas slip. We have 45,000 active QR in the market, where we are doing, sending, collecting, and doing transaction for these merchants through

curre nt account QR and POS machines.
And third is close to 100 customers who are our payment gateway. This is on on e side where we go on debt -free customers and payment and transaction mode through digital sourcing. For existing current account customers and for existing SBL customers, we cross -sell this Merchant OD as an opportunity for traders. These are the 2 legs o f merchant acquiring strategy. And now to enhance that, we are creating a merchant app, which, Vasu, sir, was saying, where by quarter end, we will go for a trial and then limited market exposure wherein a person or a trader can download the app and start transacting.
And if he want to link it to his existing account, he can and he will be given a choice to open a digital current account also. So it's a long -drawn strategy on phygital, physical, aggregator and direct -to-market through digital mode.
Renish B huva: Got it, sir. Got it. I think I have few more questions on this side, but I will take it offline. So, secondly, in terms of the profitability -- and thanks for sharing the few more details on the SBL side. So now, if we look at the ROA metrics for us, I mean, so as per our PPT, SBL ROA is close to 4.5%, which is 33% of the book. MFI, I'm assuming it will be similar since the cycle is normalized, and if you look at the peer's ROA would be anything more than 4%. So in nutshell, almost 50% to 55% of our A UM is generating above 4% ROA, wherein if you look at the

blended ROA of 2%, essentially which means that the vehicle financing profitability metrics will be much lower. I mean, if you can just throw some light on this segment -wise profitability will be he lpful, sir?
Dheeraj Mohan : Renish, this is a little early. So I think this is first time we have given indication on the SBL ROAs, mainly because it's linked to our internal transfer pricing, which is today not equal to the cost of funds which we published because we ha ve the landed cost or the cost of mobilizing deposits, which is why we don't give segment -wise profitability. You can compare it with the industry vehicle finance, there are enough of peers to compare it. Small business loan, again, there are some NBFCs, which are in similar segments.
Microfinance anyway is a well discovered space. So you can do rough sum of parts. But I think we're not at this point in time wanting to give segment -wise ROAs. However, it's safe to assume that, yes, on the asse t side, the core or the main flagship products, ROAs will look good given that the credit cycle has turned, credit demand is there.
However, the bank is also investing in future growth in new products, like we had spoken about the Merchant OD, affordable h ousing is in limited branches. So that's also places where the bank is investing apart from technology. And also what Murali had spoken about the plans around the premium branches, et

c. So you'll have to adjust for all of that, but we are hoping that we ca n sustain this level of profitability and see RO E expansion.
Renish Bhuva: Yes. Okay. Got it. So again, a follow -up on that is in this quarter, our credit cost is sort of abnormally lower than what we expect to be on a steady state basis of 1.5%. So how co nfident we are, we'll sustain this 2% plus ROA in coming quarters?
Dheeraj Mohan : On credit cost, while you've said is abnormally low, what we would like to state is that our steady state credit costs, if you exclude the Black Swan events, were close to ab out 1%. And what we've said is, they would -- we would try to trend towards that. So next year, hopefully, we will have business as normal and look at credit cost, hopefully, in that range.
So, I think we are yet to give next year's guidance. But hopefully , business everything remains normal. So today we are at 0.84% is the credit cost, so the margin to revert back to normal is not that far away. So it's not that we have got an extremely abnormal credit cost. And also from a credit cost perspective, we woul d like the PCR to go up to about 60% hopefully, by FY '25. So there is some bit of that intent, which will start showing in terms of provisions.
Renish Bhuva: So just correct me, if I heard you right. So you are saying the normalized credit cost would be 1% and 1.5% what Vasu, sir, highlighted during the opening remarks is just for FY '23?
Dheeraj Mohan : Yes. Yes. We'd said that 1.5% in the beginning of the year, keeping in mind the COVID and the provisions we'll have to make.
Renish Bhuva: It's not steady state basically?
Dheeraj Mohan: No, no, no, no, it's not steady, steady state, hopefully, we will revert back to that soon.

Renish Bhuva: Got it.
Moderator: The next question is from the line of Punit Bahlani from Nomura.

Punit Bahlani: Yes. Sir, my question is on the margin bit. Firstly, like you reported stable margins QoQ , but your cost of funds increased around what 16 bps what is reported and your yields were broadly flat. So what am I missing here
Dheeraj Mohan : Yes. So the yields are on the loan book. NIMs are on interest -earning assets. So what you've missed is treasury assets. So the treasury assets as a percentage of balance sheet has roughly remained same at 20%. But like what Nat had said, the treasury yields have actually gon e up in Q3 compared to Q2, with the investments or the interest -earning higher yields. So, 7 -plus, I think is what they've tried to earn. So that's actually what's cushioning some bit of what you would have seen.
Punit Bahlani: Right, right. Got it. Got it . And the second bit on the -- so on the microfinance book, like compared to peers, our PCR is relatively low just on the microfinance bit that you mentioned. So like you mentioned increasing in FY '24 with a credit cost target of around 1%. So if we had -- are we planning to increase our PCR in the microfinance book? Any color on that?
Dheeraj Mohan : Yes. So one, credit cost for next year, hold on, hopefully, we'll give it next quarter. I just said 1% is generally where we revert to. PCR like I said, we wa nt to bring it up to 60% in about 4 quarters to 6 quarters. So somewhere in FY '25. And that would, like you said, the higher -risk assets would have a higher PCR. And that's also how our current provisioning norms are. So we'll have to work towards that at a product level, you'll see it move, but at a bank level today, this is the target we have, and again, microfinance is just 18% of the book. So it is not above 50%, which will cause a lot of disturbance, so that way, we are a lot more stable.
Dheeraj Moha n: Also this year, there has been a write -off from the microfinance book, especially the book which was impacted during COVID. So when we write off, those are assets with a higher provision

ing.
So there is some bit of that match playing, where loans there have got a higher or close to 100% cover getting written off. So that's why the microfinance PCR looks slower.
Punit Bahlani: Right. And just one last bit, from the restructured pool, what were the slippages this quarter?
Rohit Phadke: So slippages were a t INR 286 crores against INR 314 crores last quarter, and this is slippages on a daily basis. Restructured book slippages were at INR 86 crores .
Moderator: The next question is from the line of Jyoti Kha tri from Arihant Capital.
Jyoti Khatri: Yes. Sir, wh at is our guidance for credit cost for current fiscal? I will turn to that.
Dheeraj Mohan : Yes. We've said 1.5% is for the current financial year.
Jyoti Khatri: Okay. Sir, how much has been for the first 9 months?
Dheeraj Mohan : For the first 9 months, we would be about 1.64%.

Jyoti Khatri: Okay. Now this 1.5% also includes the provision on the standard restructured assets?
Dheeraj Mohan : Yes. Yes. The total credit cost.
Jyoti Khatri: Okay. And you also mentioned that you have INR 60 crores of provision ing on the standard restructured book which you're going to utilize in Q4?
Dheeraj Mohan : Yes, sometime in the next 4 months to 6 months.
Jyoti Khatri: And how much it was utilized in the current fiscal?
Dheeraj Mohan : So, INR 36 crores in the current quarter.
Jyoti Khatri: Okay. But I just want to understand why there is a withdrawal of the provisioning on the standard restructured book? I mean, it should be the other way around. It should be increased provisioning on that book, right? A nd also some color, how is the asset book and the standard restructured book are performing now?
Sridharan N.: The reversal happens when actually it moves to a normal standard asset or it moves into a NPA because NPA provision gets attracted under the IRAC norms. So that's the reason there is a write -back happens actually. Yes. This is after the RBI COVID guidelines, so we do that actually. We retained the standards asset provision till that time the recovery is made and are moved to NPA, then NPA provision is applicable.
Jyoti Khatri: Yes. I'm saying, are you satisfied with the current provisioning on the standard restructured book that you're having right now?
P.N. Vasudevan: Yes. See, basically, when we restructured last year under the COVID guidelines, we were required to provide certain provisions as per the RBI guidelines on the restructured book. And now it's been almost what 12 months to 15 months of restructuring -- post restructuring, so some of them have moved into NPA and which have moved into NP A, anyway, the provisioning as per NPA norms will take over, but some of those assets have remained standard after about 12 month s to 15 months of restructuring, b ut we continue to carry those provisions in the book of standard restructured book.
And as pe r the guidelines of RBI whenever those accounts have crossed that specified period and don't ask me what is specified period, it is defined by RBI in some manner, but it's typically anything beyond 12 months, 12 months and above. If an account has remained standard, then

that provision is not required any longer to be kept by the bank. So that is where the write -back comes f rom standard restructured book.

So for example, in the third quarter, we had INR 36 crores of provisions, which was released because th ose accounts that crossed have specified period and were not an NPA by that time, they are still remaining standard. So INR 36 crores got reversed. And what we did is we used INR 26 crores of that to make additional provisions on some part of the restructu red book. So that's what we will do. So we have another INR 60 crores coming up like that. So if those

accounts for which the INR 60 crores provision is the re, continue to remain standard, a part of that might get released and then we will take a call, how much can we push back on further provisioning wherever we feel that goes well. So that's how it is done.

Moderator: The next question is from the line of Ashlesh Sonje from Kotak Securities.

Ashlesh Sonje: I hope you can hear me. First question is on the opex front. So we have seen a recent addition of about 1,000 employees over the last -- over each of the last 2 quarters. When we say that we are done with most of the employee addition? And secondly, on the same point, which segments -- which business seg ments are absorbing most of these new employees?

Dheeraj Mohan : Yes, before I give it to Rohit to talk on which businesses are absorbing people, no, we'll continue to add people because we -- next year's growth and all of that we have to start hiring for. So we don't see the manpower plateauing or flattening. So we will continue to add people. And most of people are getting added across businesses because we are seeing strong credit demand, and as you see, that's also translating into an increase in disburs ements.

Rohit Phadke: Yes, Ashlesh, Rohit here. So as you know, as Vasu sir also mentioned that we are adding new products, and we are expanding the products of affordable home loans, used cars. So obviously, as we expand into new geographies, we will need to hire manpower, even the current small business loans, as we are deepening geographies and we are moving more into non -TN geographies, we will need to add people. So I don't think we have plateaued off on the hiring of employees. We will continue to hir e people. That's it.

Ashlesh Sonje: Yes. On the gross slippages front, the numbers still seems to be slightly on the higher side. Although, I understand that we made a change in the way we look at slippages last quarter. But still how would you see this nu mber trend going forward? And at the same time, can you give a breakup -- segmental breakup of slippages for this quarter?

Dheeraj Mohan : The segmental breakup, we can't give at this point in time. But -- so you will have to look at those numbers, I think in isolation because these are not quarterly ended numbers, these are on daily basis. So it might be causing the wrong impression. Right now, slippages are in a comfortable zone, and it will trend downwards as the restructured book starts to wind up. We still have about INR 700 crores. But otherwise, it's in a comfortable zone and there is some scope of it to improve.

The breakup of the restructured book is largely, I think -- sorry, of the slippages is more or less business as usual. So we'll try to see if we can incorporate from the next presentation onwards, but we don't see this as a practice across. So let's just rethink that and come back. But don't look at these numbers in comparison because I don't know how many of them are actually putting it the wa y we are. So these are daily slippages numbers.

Ashlesh Sonje: Have you made a change in the way we look at slippages this quarter as well or we are sticking to the last quarter?

Dheeraj Mohan : Yes, last quarter, last quarter. Especially from last quarter to this quarter, it has come down. If you see gross slippages and net addition, those two numbers have actually improved. So it's likely to improve in the next quarters to...

Ashlesh Sonje: Okay, perfect.

P.N. Vasudevan: See, basically, what we are doing is, our gross slippage, if an account becomes an NPA, let's say, in the beginning of the quarter, and if that NPA is resolved within that quarter, we are not netting it off. We are showing it both as a slippage and as a recovery. So that's what we are displaying. So we are not netting off the collections or recoveries out of NPA during the quart

er.

So to that extent, if you want to compare it with any other industry player, you will have to figure out what they do and how they do, and we have to see how to come get the similar data and then start comparing.

Ashlesh Sonje: Sir, but just, sorry to push on this point. Would you still see higher -- would you still be seeing higher slippages from the vehicle finance book even now?
P.N. Vasudevan: See, as Dheeraj said, we are not giving segmental data on that, and I don't know whether we will want to give going forward, that you raise the point, we look at it internally and then see whether we should be able to give or not. But what we can tell you is that over the next 3 quarters, 4 quarters, we should see this gross slippage also coming further down as the restructured book kind of runs off from the normal -- the rest of the non -restructured book slippages are definitely lower, and so this should anyway trend down ward over the next few quarters.
Moderator: The next question is from the line of Abhishek from HSBC.
Abhishek: Yes. Congratulations for the quarter. I just have a question on opex ratios. So just if I look at cost to assets broadly 9 -month versus last year, full year, it's more or less flat. But incrementally, as your growth recovers, asset quality improves, what kind of improvement do you think we could see in that metric?
Dheeraj Mohan: Yes. Cost to assets, it's about 6.4%. So as business expands and as we get into longer tenured products, like for example, housing, the more housing grows, the more the larg er ticket size of SBL, that is INR 10 lakh crores to INR 15 lakh plus grows . Those are longer tenured products compared to the others. And our average assets, du ration of our assets is about 2, close to about 2 years, 2.2 years. So that also will start moving higher. You will see this cost to asset trending down, s o we have been at sub 6. So I think that's something which slowly will start trendi ng for this reason.
Abhishek: So, Dheeraj, for FY '24, how much of an improvement should we expect? Would it go sub 6 in FY '24 itself or is that a longer -term plan?
Dheeraj Mohan: So -- yes, so I think you have to give us a quarter. So next year's numbers , we are in the planning stage. But I wouldn't say we would hurry to sub 6 at this point in time.
Moderator: The next question is from the line of Darpin Shah from Haitong India.

Darpin Shah: Yes. Congratulations on the quarter. So, first question is on pr ovisions. Our provisions have almost half on a sequential basis. So wouldn't it have been more prudent to make additional provisions and shore up the PCR this quarter only then we had an opportunity?
Dheeraj Mohan: So we've done that. I don't know if you h eard the commentary. We've added INR 27 crores of provisions.
Darpin Shah: Yes, I heard that. So, Dheeraj, but just to add, if you could have created more additional provisions, INR 30 crores, INR 40 crores more and increase the PCR in this quarter on the -- rather than spreading it over the next 6 quarters. So I'm saying this is because we don't know about the ECL. The RBI has given a draft condition also. So even that might have some impact, if you can throw that on that as well?
Dheeraj Mohan: Yes. Befor e I hand it over to Sridhar to give you a sense of what that ECL impact maybe, we had a couple of quarters before given our provisioning norms across products. So if you look at that, the incremental NPAs and the provisions against that is actually provide d for at a healthy rate. So we've given that, I don't know how many quarters back, but I think about 2 quarters or 3 quarters back. So directionally and as per the provisioning policy, it is quite stringent. The question is this release can we utilize -- how much of the release can we utilize to hit PCR? Yes, which is what we have done this qua

rter. And like Vasu had explained, the further release we get, we will have to see how do we use that. And like we've mentioned earlier, the intent is to take PCR to 60%. And at the same time, it needs to be calibrated. So those are our intentions.
Sridharan N.: Yes. Sridharan here. See , we have been preferring the Ind AS ECL -- based on the Ind AS, ECL provisioning for the purpose of consolidation of holdco accounts. And the thing is that always we notice that our IRAC provisions are higher than the ECL provisioning under Ind AS, and we use to do a management overlay as per the RBI guidelines to keep it above the IRAC norms . And also the thing is that most of our prod ucts except the microfinance and the few products, most of the products are secured products a nd we are comfortable with our LGD in these products. And we do not foresee any higher provisioning or something when the Ind AS come into picture after the ECL actually.
Moderator: The next question is from the line of Shailesh Kanani from Centrum Broking.
Shailesh Kanani: Congratulations, sir. I just had only one question on the deposit front. We seem to be doing excellent on that front. But given the rise in in terest in the deposit rates across the spectrum, not only from Small Finance Bank but even from the larger peers, how do we see that growth going ahead?
Murali Vaidyanathan: Two things, which is helping us is, one is our new to bank acquisition through phy gital and digital. So there new to bank customers are coming in. So we operate at a retail level called pool of liabilities as a concept, which means like Vasu sir was mentioning, we would like to keep it

as a CASA, but then when the arbitrage rates actual ly is benefiting, people will shift into one or other. So today, if you see on a savings accounts, we are having one of the best optimum rates, I can say best optimum rates.

We are in the top quartile backed by a fantastic proposition and relationship mana gement. So acquisition and growth is happening, and we are focusing now on a family banking concept. Just to explain to you Elite, we have mentioned in our presentation, too, we have 60,000 families who are contributing to INR 12,000 crores of relationship value. C an we go deeper into it? Yes. So which means we are focusing on family banking as a co ncept and going deeper into it. That is one part. On new to bank acquisition, we are specifically targeting senior citizens as a proposition to get the retail TD in. That is the second part. And now these 2 things why we will differentiate among many peer group is, a, through the ease of opening where we can do it through digital, mobile banking and relationship banking. Second thing is as the tightening happens, we are expanding that base into bulk segment also. So we wi ll continue to focus on retail.

We'll continue to maintain the family banking concept, leverage on relationship management. And as you know, that pricing is a supply demand equation at this point o f time, increasingly as the competition goes up, we have to go depth at a family level along with spread that is going to be our approach. And NR is one key opportunity for us, where the arbitrage for NRI is far and higher, even on a savings account itself with us adding to a TD.

Moderator: Thank you. Ladies and gentlemen, that would be our last question for today. I would now like to hand the conference over to Mr. P. N. Vasudevan for closing comments. Thank you, and over to you.

P.N. Vasudevan: Thank you. Thank you all of you for dialing in. And thank you for keeping us glued to our job, and thank you for keeping us highly motivated in this journey of creating stable, sustainable and scalable bank. That's what we mentioned in our presentation, I remember a bout maybe 6 quarters to 8 quarters back, we said that we're on level and scalable bank

. And most of what the initiatives we have taken have borne fruits. And today we are reached -- we have reached a level, where we can clearly see that we have got a bank , which is very stable and very much sustainable and definitely scalable. So in this journey, we continue to look to you and to your support as we focus on this path. Thank you so much, and wishing you all the very best. Bye -bye.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of Equitas Small Finance Bank Limited, we conclude today's call. Thank you all for joining us. And you may now disconnect your lines.

Call: May 2023

"Equitas Small Finance Bank Limited
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MANAGEMENT : MR. P. N. VASUDEVAN – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER
MR. SRIDHARAN N. – CHIEF FINANCIAL OFFICER
MR. MURALI VAIDYANATHAN – SENIOR PRESIDENT , COUNTRY
HEAD, BRANCH BANKING , LIABILITIES , PRODUCT AND WEALTH
MR. ROHIT PHADKE – SENIOR PRESIDENT AND HEAD ASSETS
MR. NATARAJAN M. – PRESIDENT AND HEAD TREASURY
MR. RAHUL RAJAGOPALAN - DEPUTY VICE PRESIDENT , STRATEGY
AND INVESTOR RELATION

Moderator: Ladies and gentlemen, good morning and welcome to the Earnings Call of Equitas Small Finance Bank Limited Financial Performance for Q4FY23. We have with us t oday Mr. P. N. Vasudevan, MD and CEO, Mr. Sridharan N., CFO, Mr. Murali Vaidyanathan, Senior President and Country Head, Branch Banking, Liabilities, Product and Wealth, Mr. Rohit Phadke, Senior President and Head Assets, Mr. Natarajan M., President and He ad Treasury, and Mr. Rahul Rajagopalan, DVP Strategy and IR.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded. I would now like to hand the conference over to Mr. P. N. Vasudevan. Thank you and over to you, sir.

P N Vasudevan: Good morning and thank you for dialing in on a Saturday morning. At the macro level in many parts of the world, we are witnessing turbulence in the financial sector. However, the Indian banking system seems to be far more resilient and outlook as things st and today look quite positive.

The banking sector credit growth has been on a high at around 15% last year, while the deposit growth has been around the 10% level. Clearly, the scramble for deposits is set to increase in the current financial year.

Moving on to Equitas, I believe that the initial years of building a brand, raising liabilities, building systems, embarking on technology journey, adding people, all have come out well and we feel that we are on the right path in our journey of building a stable, sustainable and scalable bank.

On asset quality, I'm happy to share that the overall asset quality has improved significantly over the last year. Our GNPA as of March ' 23 at 2.6% is at the same level of pre -COVID days. Last year, we had guided fo r a 1.5% credit cost and the actuals has turned out to be at the same level. Since our opening GNPA for the current year has come to the normal level, we believe credit cost also would get back to its normal level of around 1.2% to 1.25%. On advances growt h, we had recorded a 35% growth last year. For the current year, we expect advances to grow around the 25% to 30% level.

We have not been guiding on ROA, but since we became a bank, we have been saying as a model, Equitas should be geared for a 2% to 2.25 % ROA, assuming that there are no heavy headwinds from the market. We became a bank in September '16 and the demonetization happened in November '16, which led to stress in the microfinance book. It took us nearly three years for this to come to an ROA of 2.1% for the quarter ending December '19. With COVID hitting us in March '20, we faltered on the ROA again, and it took us about one and a half years to come back to the 2.2% ROA for the quarter ending December '22. After becoming a Bank six years back, th is is the first time that we have been able to deliver an over 2% ROA

consecutively for two quarters. I hope that with God's grace, we should be able to maintain consistency on this trend going forward.
Our balance sheet continues to remain robust, and we are well capitalized with capital adequacy at 23.8%. I am also happy to report that the Board of Directors of the Bank has recommended a maiden dividend of RS. 1 per equity share for the financial year ‘23. Our landed cost of money has been coming down over the years after becoming a Bank. For the next five, six years, we expect this to play out further because of the kind of robust retail liability franchise that we have been able to build over the last five, six years. This should help get our cost of funds very close to the lar

ger banks as we move into the next five, six years’ phase of the bank.
The full benefit of having become a bank would be visible over these five, six years. With a good retail liability franchise built up, a wide range of retail lending products in place, and probably the best of governance standards in the industry, I believe we are entering into the best phase of the Bank. And in this journey, I look forward to all of your continued support to the bank. We look forward to your support in this exciting journey.
I thank you once again for dialing in on a Saturday morning. Thank you so much. And I now hand the call over to Rohit.
Rohit Phadke: Thank you, Vasu sir, and a very good morning to everybody. Advances have grown by 35% year on year and 12% quarter -on-quarter to Rs. 27,861 crores. Quarterly disbursements at Rs. 5,917 crores grew by 80% year on year. This is the highest ever quarterly disbursement. Collections too have been strong and the GNPA in absolute terms has come down from Rs. 837 crores in March 2022 to RS. 724 crores in March 2023. SBL advances have crossed RS. 10,000 crores. Buoyed by strong demand in the retail sector, small business loans lead pipeline remains strong. SBL disbursements grew by 56% year on year. Qua rterly disbursements for SBL too were the ever highest disbursements in a quarter. Merchant OD disbursements continue to gather momentum and the portfolio is showing an increasing trend month after month. X-bucket collection efficiency in SBL continues to be at 99.6%.
CV sales have grown by 38% year -on-year on the back of strong demand, low availability and higher freight rates. Passenger vehicle sales have hit an all -time high with sales of 36.2 lakh units, a growth of 23% year on year. Vehicle finance als o delivered their highest ever disbursements in a quarter. Improving cash flows of customers have resulted in improving collections. X-bucket collection efficiency for vehicle finance was at 99%. The overdue pool, GNPA and 1 to 90 DPD for the vehicle finan ce businesses all have reached pre -COVID levels.
Microfinance has also seen a strong comeback with growth in advances and improving collection efficiencies and GNPA reduction. X-bucket collection efficiency in microfinance was at 99.6%.

Affordable home lo ans continue to gather pace. In addition to Gujarat and Maharashtra, affordable home loans are now operational in Tamil Nadu, Andhra Pradesh, Telangana and Karnataka. Based on the strong demand from all sectors and improving cash flows for customers, I do see a good momentum building up for a quality growth in advances.
Thank you. Over to Murali.
Murali Vaidyanathan: Thank you Rohit. Good morning, all. I think, like Mr. Vasu clearly mentioned, credit growth growing across is a very welcome sign and there is a squeeze of liquidity we are seeing it across. And despite that, we can happily say that we have grown on our deposits by 34%. It has been a continuous journey for us as we are looking up to enhancing our acquisition through our sales as well as speciali zed digital channels through B2C and B2B. I'm happy to say that all those three cylinders are firing adequately.
And we have introduced something called VRM one year back and virtual relationship managers are helping us and that portfolio has grown signifi cantly and s o is the physical RM channel. So, relationship management is helping us to grow the core, which we call it as a program book elite. Now elite book has crossed RS. 11,500 crores relationship value , thanks to you know, family - based banking concep t. So close to 68,000 families are banking with us. That shows the insight of it.
Second thing is we are seeing a good green shoot on current account. We are getting into transaction centric approach. And current account has been backed up by our acquiring business, where we are , like

Rohit rightly mentioned Merchant OD on one side, we also have POS machines, QR code and payment and transaction solution. We are there in top 25 and I think single largest SFB at this point of time in terms of machines as well as transaction value. So that's one good value proposition which is working.

On the issuance side, good to see that our debit card spends in terms of e -com, as well as offshore, we are actually making a good industry benchmark. And we should continue to focus on that side. RTD is looking up, since saver is a key concept for us, we are getting into saver more and more as we get deeper and deeper, shifting of money for temporarily should happen because that's the best value and best emergent need which is h appening. So overall, domestic side, we are consolidated and grown well.

On NR side, the growth has been very encouraging. We are now present in close to 100 countries across where we have customers. And our book has crossed RS. 1,400 crores of NR book. An d that's another healthy sign of creating a channel and going detailed into it helped us.

In terms of PPP, that is third -party income, our insurance, mutual fund and our third -party distribution of broking accounts and all -in-all put together is showing up very good traction, and that is helping the customers to expand their investment as well as trading requirements.

So increasingly, we see that our continued focus on CASA to gain the acquisition penetrating through RTD as a key approach. And with that not e, I hand it over to Natarajan from Treasury, to take over, give us the treasury overview.

Natarajan M.: Good morning, everyone. FY '23 has been a challenging one on the market font as the Russian invasion of Ukraine made things worse for central banks globally and the fight against a higher non-transitory inflation levels.

Crypto currency and crypto exchange meltdowns , Bank collapses in the US and Europe and economic collapse of small countries where second or derivative effects of steep interest rate hike cycle that led to disruption and high time volatilities in markets across the globe. For FY '24, inflation appears to have peaked out globally, but continues to remain elevated. This is resulting in interest rates remaining higher for a longer period and the disrupting growth.

Global consumer sentiment continues to remain strong. And outside of tech, global labour market continues to be robust. With falling energy prices and the reopening of China, global slowdown is not expected to be as severe as fea red earlier. India continues to remain better positioned both structurally and cyclically and is expected to be one of the fastest -growing economies in the world with the RBI pegging GDP growth of 6.5%.

This is supported by India's high frequency data indi cators such as sustained GST collections, strong manufacturing and agricultural activity output, moderating inflation and the credit growth all pointing towards elevated activity levels. This signals confidence in the Indian economy.

Markets continue to lo ok for central banks for cues on interest rates, and the volatility may remain innovative till clarity emerges on the direction of rates as central banks continue to fight inflation.

Coming to Equitas treasury performance for last quarter, this has been an other stable performance. Profit on sale of investments was RS. 2.7 crores and M2M depreciation for the quarter stood at RS. 1 crores . Our funding profile has been quite stable with opportunities available to raise funds both in the form of refinance as we ll as IBPC.

With this, I hand it over to Sridharan.

Sridharan N: Good morning to everyone. We had a good quarter on all fronts including growth in advances, deposits and profits. Our net interest income for the quarter came at RS. 707 crores as compared to RS. 552 crores during the same quarter l

ast year, registering a growth of 28% Y oY. Other income for the quarter came in at RS. 215 crores as compared to RS. 105 crores a growth of 104%. Other income for the quarter includes RS. 70 crores of income receive d from sale to ARC.

Net income grew 32% year -on-year to RS. 922 crores as compared to RS. 658 crores during the same quarter last year.

The total operating expenditure came at RS. 536 crores as compared to RS. 374 crores during the same quarter previous ye ar. Cost to income moderated to 58.09% for the quarter excluding the impact of income from ARC sale. The cost to income would have been 62.87% for the quarter. Core pre -provisioning operating profit grew 11% year -on-year and 13% quarter -on-

quarter to RS. 316 crores. Core PPOP assets expanded to 3.79% for the quarter from 3.62% of last quarter.
PAT for the quarter came in at RS. 190 crores as against RS. 120 crores during the same period last year, registering a growth of 59% Y -on-Y and the annual PAT showe d a growth of 104% to RS. 574 crores from RS. 281 crores in FY '22. As indicated earlier, the bank has completed the sale of microfinance loans through an ARC amounting to RS. 581 crores out of which loan amounting to RS. 501 crores were already written -off and balance were 100% provided. Out of the sale profits of RS. 80 crores, the Bank has recognised RS. 70 crores as other income and reversed the excess provision on NPA assets sold to the ARC amounting to RS. 11 crores. The Bank has also provided RS. 40 crores against the security receipts it held as per the RBI guidelines.
Now, moving on to Asset Quality and Provision, the Bank carries a total provision of RS. 549 crores, NPA provision of RS. 412 crores and provision on standard assets at RS. 137 crores . In order to strengthen the PCR, the management made additional provision of RS. 90 crores and total provision for the quarter is at RS. 85 crores. Details on this are given on slide 10 of our investor presentation.
GNPA improved by 147 bps year -on-year a nd came in at 2.6% in Q4 FY '23 as compared to 3.46% in Q3 FY '23 and 4.06% in Q4 FY '22. NNPA came at 1.14% in Q4 FY '23 as compared to 1.73% in Q3 FY '23 and 2.37% in Q4 FY '22. Provision coverage ratio improved to 56.9%.
As of March 31, 2023, the total CRAR at 23.8% comprising of Tier 1 at 23.08% and Tier 2 at 0.72%.
With this, I would like to hand over to operator and we will be happy to take questions from the audience. Thank you.
Moderator: Thank you very much. We have our first question from the line of Darpin Shah from Haitong India. Please go ahead.
Darpin Shah: Hi, good morning. Congratulations to the team for such wonderful numbers. So, our first question is on cost to assets. We ended the year FY '23 at approximately 6.3%, so where do you see thi s trending over the next couple of years and what will be the drivers for it?
P N Vasudevan: Yes, hi, good morning. Cost to assets will come down over the next few years, but it will come down very slowly because cost to assets is going to be a factor of t he product mix that we have. The existing products that we currently are lending and having, they are all generally very high - touch, high -feel kind of a credit process that we have. And the ticket sizes are at a lower level.

In fact, the average disburseme nt value per account, if I remove microfinance and the NBFC lending, then the average ticket size comes to anywhere around 6.4 lakhs to 6.5 lakhs per customer.
So, the current mix is that, we have that kind of a mix of portfolio today requiring high -touch - and-feel credit process, and our current cost to assets is where it is today. This is going to come down over the next few years as we introduce newer products whe re the touch -and-feel might be a little less required, the ticke

t size might be more than an average of RS. 6 lakh. All that will
lead to a reduction in this, but that's going to be a very slow process. It's not going to happen in a hurry. So, over the nex t maybe three, four years, we might see it coming down slowly and marginally.
Darpin Shah: Okay. So, we'll have to put a number for FY '25, FY '24 -FY '25, both the years?
P N Vasudevan: I don't have a number for FY '2 4. FY '2 5, though, I think you can broa dly take it that it will be remaining very much close to where it is today because the new product that we'll introduce is largely going to be a personal loan, but it will come only in the second half of the year. And so, it will not have material impact f or the current year. So, it may not change. The current year may not change much, but FY '25 may change, but it will be very marginal. I don't have a number, but it will be marginal.
Darpin Shah: Okay. Thanks. And the second question on growth trends, so y ou already mentioned the 25% - 30% kind of growth. So, your microfinance, again, will be forming the same proportion as it is today, or we'll see some, it's winding down?
P N Vasudevan: Yes. Microfinance is currently around 18.7% or so, and over the next fiv e years, we should see that coming down by maybe approximately about 4% to 5%.
Darpin Shah: Okay. Thanks. I'll come in the queue for other questions. Thank you.
P N Vasudevan: Sure. Thank you.
Moderator: Thank you. We have a next question from the line of Shreepal Doshi from Equirus. Please go ahead.
Shreepal Doshi: Sir, we have taken an additional provision of RS. 90 crores during the quarter, and it is mentioned

that this was due to change in policy, the provision policy for March '23. So, what is the tw eak in the policy? Just wanted to understand that.
P N Vasudevan: Okay. So, these are basically, some kind of provisioning changes on the various NPA buckets. So, when the NPA is 90 days, it becomes NPA, then, at various stages of the NPA, we have certain provisioning percentages. So, we change some of that by increasing the percentage of provision at an earlier stage of the NPA. So, it's basically that. And this has to be consistent, so whatever we change will remain consistent going forward.

Shreepal Doshi: Okay, I'll take it offline in that case. Just wanted to understand that during this year, during the last 12 months, we've added 3,000 employees. And so just wanted to understand what function or business segments this recruitment would be in. And g oing ahead, what is our branch expansion strategy? Because we have not really added many branches in the last two years, three years. So, from that point of view, I wanted to understand this aspect.
P N Vasudevan: See, on the branch part of it, we do have a pretty good network of branches today. And the first focus is going to be to leverage the existing branch network. There will be approximately an addition of maybe about 15 liability branches and maybe another about 30 asset branches to 40 asset branches for the current financial year. But by and large, the focus will remain leveraging the existing branch network that we have. In terms of the staff, I'll ask Rahul to brief you.
Rahul Rajagopalan : Shreepal, from last quarter to this quarter roughly around 550-odd employee additions have happened. So, 300 is on the asset side and 200 is on the liability side. And from this 300 again, 50 is largely towards collections. So, rest all are business. So, it largely towards frontend roles .
Shreepal Doshi: Got it, sir. And sir, we still have this approach of having asset and liability branches. We don't have, I mean, don't we just have one branch wherein both asset and liability would be done?
P N Vasudevan: So those are things which will evolve over a period of ti me. As the customer segments become common, then the servicing

outlet also will become common. So that's something that will evolve over a period of time. But it's going to take time.
Shreepal Doshi: Got it, sir. One last question. So, the next project I t hink in pipeline is the aspiration to become universal bank. So, what's the timeline for the same or what are your thoughts on the same?
P N Vasudevan: So, we have completed the merger of the HoldCo with the Bank. And that was an important milestone that w e had to achieve to meet the licensing condition that we had from the regulators. So that just got completed in the last quarter. So, we are in touch with the regulators. And as and when they give us a green signal that we can apply for universal bank, we will do that.
Shreepal Doshi: Got it. Thank you, so much and good luck, for the next quarter, sir.
P N Vasudevan: Yes, sure. Thank you.
Moderator: Thank you. We have a next question from the line of Savi Jain from 2Point2 Capital Advisors LLP. Please go ah ead.
Savi Jain: Yes, congratulations on the numbers. One question I had was on the asset fee income that is not in sync with t he disbursement growth, which it typically has tracked in the past. So, it is a little muted. Can you explain why that is the case ?

P N Vasudevan: Can you please repeat?
Savi Jain: So, the asset fee income , ex of the ARC income, if you remove that, the asset fee income growth Q-o-Q has been tepid despite a significant growth in the disbursement number. Typically, there is a correlation between the disbursement and the asset fee income . So, I just wanted to know why this quarter has been tepid?
P N Vasudevan: Yes. So, it has gone from RS. 95 crores to RS. 102 crores. So, it has increased.
Savi Jain: No. If you look at the disbursement growth has been significantly higher, right? So RS. 4,797 crores have gone to RS. 5,917 crores Q -o-Q. That's a 23.3% Q -o-Q growth in disbursement.
Rohit Phadke: I'll come back offline on this.
Savi Jain: Okay. And another question was on the opex, especially the other opex, which is the one besides the employee cost that has gone up by 14% Q -o-Q. So, is there a one -off there, or what e xactly has led to such a large increase this quarter?
Sridharan N : So, there is no one -off actually, i t is because of the increase in the business actually, growth.
P N Vasudevan: It's only a growth in the business . Yes, so the other expenses growth is nor mal only. It's normal

business expenses. Along with the business growth, it happens. And as I mentioned earlier, there will be some level of investment that we are committed on the digital side. So, this also includes that cost.
Savi Jain: So next year, will there be a higher than the asset growth? Will there be a higher opex increase or will there be a negative operating leverage as well? Because I think, the trajectory is quite steep for the other expenses also.
P N Vasudevan: Yes, see, our opex growth will continue to remain on the higher side fundamentally because of two factors. One is that our business model is a high touch and feel model. And so, to that extent, the cost will remain sticky. Second thing is that, as we have been mentioning earlier, t here are three factors on which we keep investing. One is in terms of our digital. Second is in terms of our brand awareness. We have to put money behind our brand awareness campaign. We have not been able to spend much in the past, but that's something th at we will probably increase. And third is that new product rollouts. We are looking at a personal loan at some point in time. We will look at a credit card at some point in time. And now the Authorised Dealer (AD -1) license has been given to us on Forex. So, there's some amount of investment that we'll do on these three new products going forward, as well as on the branding and in terms of digital, which I mentioned earlier.

So, cost-to-income, I mean, people have been asking us whether our cost -
to-income will come down from 63% or 64%. Will it come down at some point below 60% and all that?

But our response has been generally that we should be kind of looking at a cost -to-income at a similar level to where it is today, fundamentally because whatever benef it we are able to get out of leveraging our existing investments in various resources will get used to support the future of the bank in the area that I just mentioned. So by and large, you can expect our cost -to-income to remain at similar levels to where it is today, which means that the opex cost increase should be fairly similar to what we are seeing presently.
Savi Jain: Okay. And on the ARC sale, the income that you have recognized this quarter, from what I understand, there's not going to be any furt her provisioning on this in the future, right?
Sridharan N: Yes, there will not be any further provisioning because the security receipts have been 100% provided for, so any collection which will come on NAV basis as well as realization basis will be accou nted as an income.
Moderator: Thank you. We have our n ext question from the line of Re nish Bhuva from ICICI Securities. Please go ahead.
Renish Bhuva: Yes. Hi Vasu and team. Congrats on a good set of numbers. So first, just two questions from my side. So, one is on the margin side. So, if you look at the trajectory, margin has been stretched at around 9, 9.1 despite our cost of fund increasing quarter -by-quarter. Even this quarter, yields are flattish, but cost of fund has went up almost to 20 basis point, and margin has still remained where it is. So, what is the disconnect here, sir?
P N Vasudevan: See, the cost of funds has gone up by 20 basis points during the quarter, but we are also able to recover part of that in the form of increased lending rate an d partly in terms of some level of operating efficiency which comes in the system. So while the NIMs are more or less flat, just marginally higher than the last quarter, going forward also we should expect that maybe in the immediate term, when I say immed iate term, maybe the next two to three quarter kind of an immediate term, we should broadly expect to see the NIM around this same 9% level, give or take 10 basis points, this way or that way.
But as we have been always saying earlier also, the NIMs will g o down over a three or four-year period as both new products get launched and they start taking up a decent size of the book, which will come at a larger ticket size, which means that it will have a lower operating cost, etcetera. So as those kind of get r olled out and they start contributing more, the NIMs should start coming down, but I think that's at least a year plus away.
Renish Bhuva: Got it. So, I mean, is it right to assume that incrementally whatever pressure we might face on the cost of one side will be able to pass on to the customers?
P N Vasudevan: It's a combination, as I mentioned, of passing on a part of that to the client by way of increased lending rate and also partly in terms of some level of efficiency that we continue to see in the system.

Renish Bhuva: Got it. I mean, when we talk to peers, the commentary has been that it has been challenging to pass on the high lending rate, especially in the vehicle finance business. So, I just wanted to get a sense of what is our stance?
P N Vasudevan: See, by and large, we are not talking of a very large increase being passed on to the clients because, last quarter the repo rate did go up by 25 basis points, but subsequently in the last review, it's remained flat. So, we don't expect that fro m here on there will be too much of requirement to increase the lending rate. And these marginal increases that

we might have to do
over the next two, three, four months, it may be very marginal, frankly. It may not be very high, is what we believe.
Renish Bhuva: Got it, sir. And so, my second question is on the retail TD share. You know, so of course, more than 90% is non -callable. But if you look at the trajectory from last six quarters, the share of retail TD actually went down to 60% from 80% a year, ye ar and a half back. So, despite, in most of the calls you've been highlighting that we are focusing on retail TD, but ultimately our bulk TD proportion is going up quarter by quarter. So, I mean, how one should rate this data point, sir?
Murali Vaidyanatha n: There are three parts to it. One is retail TD in terms of number of customers we are adding into the book has gone up in last six months, which means average ticket price have come on and then granularity has gone up. That is one side. Second thing, ind ividuals opting for bulk TD has gone up. Earlier, it used to be only institutions. For example, we have a new segment where NR individuals is also started giving. See, for us, we classify exactly what is, given to us by the regulators. So even if you come with, say, 2.1 crores , it makes sense to take it into a bulk TD role.
So, NR has helped us and similarly individuals have helped us. The third thing is there was a space available in the last quarter where we could get non -callable with a reasonably high duration of one year and one year plus. So, we went on to that. So increasingly you will see retail TD in terms of individuals growing and in bulk also individuals as well as NRs coming in. One of the reason is the present debt front taxation also.
So, we a re seeing a trajectory picking up there. And in bulk, we predominantly don't focus on RS. 100 crores, RS. 200 crores. It's between RS. 3 crores to RS. 10 crores as a specific bucket, which gives us the arbitrage of costing as well as spread of number of ac counts.
Renish Bhuva: And sir, what is the rate differential between retail TD and bulk TD?
Murali Vaidyanathan: See, retail TD is published rate, right? Bulk TD is based on market . So, we normally push for retail TDs only and retail TD rate.
Renish Bhuva: Okay, but not materially high rates?
Murali Vaidyanathan: Today, actually, bulk is cheaper too at the industry level.

Renish Bhuva: Got it. And sir, just last question again, based on the participant which asked earlier. Then if we look at in connection with the asset fee and the opex part, so let's say with the business growing, other opex is growing. But that is not offsetting by the higher asset fees. So, I mean, of course, it means that we are paying higher on sourcing. And at the same time, we are not able to charge the same fees to the customer. Is that the right way to look at it? Or is there some other things which are still hap pening there?
Rohit Phadke: So, on the fee part that you are asking, one is, as you keep building the portfolio, operating efficiencies will come into play. And as operating efficiencies will come into play, that will take care of the increased costs, the variable costs that will incur. Secondly, you said that with the sourcing costs, I know. In SBL, 92% of our sourcing is direct. In SBL, 92% of our sourcing is direct. Only 8% is through whatever, connectors or intermediaries. So outsourcing is not the issue.
On the fee part of it, what has happened is, we have also gotten into other segments, not merely our traditional segments, but more credit -tested segments where there was an opportunity last quarter. CVs have gone up. So prime CV is a segment. In SBL, s ecured business loans, which is a slightly higher ticket size customer, that was an opportunity. And that is why the fee income has not grown in proportion to the disbursement. But the disbursement spike is very high. So, the customer in

terest income and t he operating efficiencies itself will take care of the increased disbursement. It will not lead to a negative cost.
Moderator: Thank you. We have our next question from the line of Abhishek Murarka from HSBC. Please go ahead.

Abhishek Murarka: Yes, hi. Goo d morning, Vasu and team. And congratulations for a fantastic quarter. My question is, first on credit cost guidance, what do you see it as for FY ’24, especially given this new provisioning policy? So just some guidance on that would be helpful.
P N Vasud evan: So, as I mentioned in my earlier remarks also, for the current year, we should be budgeting a credit cost of between 1.2% to 1.25%.
Abhishek Murarka: Okay. Perfect. And my second question is just some color on the business side. So, in vehicles, how much increase have you been able to take in the last, let's say, a year? And currently, how easy are you finding it to pass on? I know you said that there's competition. You replied to Renish also. But just some context in terms of the business dynamics. W hat's happening in terms of the ability to pass on rates?
Rohit Phadke: So, in vehicles, 50% of our book is on the used CV. Yes, only about 35 to 40% is on the new CV and the remaining 10% in used cars. So, the pressure on margins is primarily on the new CV, which is a limited book. See, we have scaled up used cars in the last year, and we intend to scale up used cars further. So used car and used CV is a high margin product where we don't see

a pressure on margins as of now. And the new CV piece is very sm all. So, the product mix will work in favor of vehicle finance.
Abhishek Murarka: What would be the rate, the blended yield right now, for used versus used?
Rohit Phadke: So currently, the blended yield for vehicle finance is 15%, 16%.
Abhishek Murarka: Okay. All right. And just some similar commentary around SBL. What would be the yield and how much increase has been taken?
Rohit Phadke: SBL blended yield is at 16.5%.
Abhishek Murarka: Sorry, could you repeat that?
Rohit Phadke: About 17%.
Moderator: Thank you. We have our next question from the line of Nidhesh Jain from Investec. Please go ahead.
Nidhesh Jain: Thanks for the opportunity. Firstly, on the liabilities, we have seen a bit of moderation in CASA on a sequential basis. So how should we think ab out CASA growth in FY ‘24? And secondly, when do we see CASA, cost of CASA for us to trend downwards? Because that still remains quite sticky. When do we get comfort to reduce the SA rate products?
Murali Vaidyanathan: Hi, Murali here. First, your question is very valid. See, at this point of time, the arbitrage between SA rates and TD is very welcoming for a long -term saver. So, if you look into the segment which we operate, savers as a segment, number of people opting to go for TD within the book, taking existing money and bringing in new money, both are going up. So, I think at this phase, we should leave it to the depositors because it is part of consumption cycle, and we should be optimally priced.
Today on SA rate, there are already most of the banks h ave crossed 7.25% also, and there are banks which have crossed 6% also. So, the optimum pricing will start seeing once the interest rate starts dipping and giving us a favorable turn. So, at this point of time, if you see our laddering in terms of pricing, I'm sure you are aware, up to RS. 1 lakh bucket, it is 3.5%, 1 to 5, it is 5.5%. If you see, these two buckets are growing because the compulsive proposition of spend which we have put in with debit cards has gone up.
So actually, the higher bucket where you have 7%, those are the people actually shifting towards TD and getting the arbitrage out. So effective cost of, till we keep growing that 3.5% bucket and 5% bucket for us, it will help us to bring the cost of funds down. And CASA,

the only way to
pick up now is getting the new customers to a continuous opportunity which is available in the market, then keep cross -selling TD for a longer duration. That is going to be our approach and we are continuing in that direction.

Nidhesh Jain: Okay, so can you sha re some data on what percentage of our SA is from direct customers?
Murali Vaidyanathan: Yes, it is there in the presentation slide number 23. Saving slab wise, we have up to RS. 1 lakh, it is 6%. RS. 1 lakh to RS. 1 crores , 63%. So, 70% of the bucket. Okay, between that, 1 to 5 will be another 8% to 9%. So top 15% of the book, that is up to RS. 1 lakh and 1 to -- it's contributing 15% of the book. So, we need to keep expanding the pie to get the cost of funds down. We need to expand the RS. 1 lakh to RS. 1 crores bucket to get the SA. This is the two strategy through

which relationship banking is working for existing book. Digital banking is working to source customers and sales channel is there to get the effective penetration.
Nidhe sh Jain: Sure, and how is our success in getting salaried accounts in the market?
Murali Vaidyanathan: Salaried, there are two sets of salaried. One is you create a corporate code and specifically target. We have close to 1,800 corporates with 30% of the e mployees going through us. We also do a unitary basis because our proposition is for savers. We don't have the range of consumer products. So, in our SA book today, 38% to 40%, 38% to 40% is salaried individuals who are holding balances with us because of the proposition. So, our focus is to get individuals targeted. Second is to co -sell to get the COCOA on. Third stage, work in progress, which UAT is done. We will take through a digital route to target specific corporates of CAT A and CAT B that work is on .
Nidhesh Jain: And secondly, on the asset side, we have written off almost RS. 1,000 crores of loan over the last three years, FY ‘21, ‘22, ‘23. So, if you can share some breakup, how much is microfinance and how much is non -microfinance and what would be the strategy to get recovery from these written off loans?
P N Vasudevan: One sec, let them get the data on the breakup of written off assets. But Rohit, meanwhile, can talk about what is the likely recovery.
Rohit Phadke: So, I'll just give you a sample example of the restructured pool. You'll understand how it has behaved. In the opening of the book, I'll just give you a sample example of the restructured pool. In the opening balance, we had RS. 1,881 crores of assets restructured. Out of those RS. 881 crores, RS. 833 crores worth of customers foreclosed or settled their accounts. So, the live book, there is only RS. 726 crores. And about RS. 491 crores of customers were either written off or in vehicle finance, repo sale has happened. Out of this, microf inance, RS. 123 crores has been written off. And vehicle finance, in153 crores of customers have, the vehicles were repossessed. And current NPA is RS. 219 crores. So, 73% of the customers have really been normal. It's only about 27% of the restructured bo ok, customers who have not been able to pay.
Sridharan N: This is on written of assets. If you look at the microfinance, close to RS. 535 crores, of which we have sold RS. 500 crores. Last three years, around RS. 400 crores in microfinance and 150 crores i n CV. Business Loans Unsecured is RS. 51 crores. That totals to Rs. 600 crores.

P N Vasudevan: In the last three years, we have written only Rs. 600 crores. Not more than that. Technical written off. Technical written off, okay. Right, Nidhesh , you got that?
Nidhesh Jain: Yes, so okay. I think I've included both written off and technical write offs. That was amounting to around RS. 1,000 crores.
P N Vasudevan: No, no, no. The technical w

rite off is what we write off fundamentally arising out o f microfinance, most of them. The other written off is basically in vehicle finance. You know, when we repurpose a vehicle and it is sold and there's a shortfall, that is written off in the same quarter. And the second thing is that in vehicle finance, whe n the NPA bucket crosses a certain level, like let's say two years or three years, and we have not been able to repossess a vehicle even after that, then after that point in time, we do again a technical write off in that vehicle finance portfolio also. So that's how it goes normally.
Moderator: Thank you. We have our next question from the line of Arvind R. from Sundaram Alternates. Please go ahead.
Arvind R: Yes, thank you for the opportunity. I just wanted to understand the credit growth, expectations in the next few years and what is the mix you are expecting in each of the segments? I just wanted to understand that.
Rohit Phadke: So as Vasu sir mentioned that we expect advances growth to be between 25% to 30% this year. And I think we'll maintain that p ace. On the mix between different segments, I think mortgages will be at about 50% of the book. Microfinance will come down from 19% currently to about 15%. And vehicle finance will be at about 20% to 25% of the book. So, this is what the current scenario is. And this is what we are looking at as of now.
Moderator: We have our next question from the line of Manish Agarwalla from Phillip capital . Please go ahead.
Manish Agarwalla: Yes, congratulations to you. And just one question on RBI draft on penal charg es. So, any thought, how does that impact the equities?
P N Vasudevan: I don't think we'll have much of an impact.
Manish Agarwalla: Okay. So, to the fact being, the fact that we are in a segment where the overdue are in the regular criteria, we don't see any major impact in our numbers.
P N Vasudevan: Hello, can you repeat your, you're not audible.
Manish Agarwalla: Yes, so the point I was trying to make is that we are in a segment which is self -assessed and the

overdue in that segment are very regular in nature, though ideally it might be very low. So, we don't have, we don't see any impact of this draft regulation on penal charges. That's what you want to confirm, correct?

Rohit Phadke: Yes, yes, that's what we are say ing, that there won't be any impact on us on that circular, if the circular comes into effect.
Manish Agarwalla: Okay. The other data keeping question I had, can you confirm what is the outstanding standards of provisioning and contingent provisioning in t he book right now? Yes. Outstanding standards of provisioning and contingent provisioning, if any, in the book?
Sridharan N: Yes. Yes, the non -NPA provisioning is RS. 412 crores and RS. 136 crores is on the standards provisioning and restructure standards provisioning. So, totaling to RS. 548 crores.
Manish Agarwalla: Okay. And finally, the restructured book which we have, does it entirely pertain to SBL or we have some portion of vehicle there?
Rohit Phadke: No, no, it's across the bank. That number which we have quoted, RS. 234 crores, is across the bank.
Manish Agarwalla: Can you quantify?
P N Vasudevan: See, actually, MFI has become zero.
Manish Agarwalla: Do you have the break -up?
Rohit Phadke: SBL is RS. 109 crores, CV is RS. 80 crores, and MSE is RS. 46 crores. Entire microfinance moved up. So these three totaling to RS. 235 crores.
Manish Agarwalla: Okay, fine. Thank you very much.
P N Vasudevan: See, basically on the restructured book, there was a certain level of worry in the market in terms of the size of our restructured book, when we initiated that in December of '21. You know, we had that 10% of our book restructured, 9.7% or whatever, around 10% of our book was restructured. But the reality is that it's pl

ayed out fairly well, and, today at the end of March '23,
we are left with only about RS. 235 crores of restructured book. And against that restructured book, we have an NPA of RS. 177 crores, which is all put out in your presentation at page 11. And against this RS. 177 crores of NPA in the res tructured book, we have 88% provision coverage in the system. So, I think we are fairly well covered on the restructuring, and it's actually played out well. And a Bank like ours, which is focusing on a certain segment of borrowers who are from the very, very, the low -income segment, we just got to be a lot more humane and considerate and empathetic to our client base in terms of stress like what we saw in the last two years. We can't just be like any other Bank trying to keep our restructuring or moratorium, etcetera, low. We can't do that.
We just got to be supportive to those customers because, the message that we keep giving internally also to our sales staff and our credit staff when they do a transaction for a customer is

that, if they make a mistake, because the customer doesn't, beyond a point, he doesn't even know how much he's actually making out of his business. We got to sit down and create a kind of a balance sheet or a P&L for the customer to determine his level of inc ome and then remove something for his expenses and say what's the balance available for an EMI repayment and use that to calculate the loan that he can actually be able to borrow and service.
So, we do that kind of calculation for the customer. And the mes sage to the team is that you guys make a mistake, what happens is the bank will have a small write -off. The Bank will get on with its own life. We'll never be impacted. But for that individual customer for whom our staff makes a mistake, at the end of the process that the Bank will roll out, the customer will lose his property. And that property is probably the only property he has in his life. And he'll lose his property. So, we just got to be very careful, very sympathetic, and very empathetic with the ki nd of segment of borrower that we deal with.
And so, we did go for a very large level of restructuring in 2021. But it's played out well. And the Bank has actually come out very strongly after that. And today the restructuring is mostly completed in terms of either payment or in terms of closure or in terms of NPA and write -off or whatever.
Similarly, I'll just give you one more data point. I mean, just to refresh all your memories. In 2020, when RBI came with the moratorium, 90% by value and 97% by number of customers

took the moratorium in Equitas Bank. Can you believe that number? 90% by value took moratorium. 97% by number of customers took the moratorium.
But at the end of two years of COVID, the Bank is absolutely back to a very strong financial posit ion. Our GNPs are absolutely back to our pre -COVID levels. Collections are very robust. Customers have been able to come back very strongly and repay their loans and save their property and protect their security, whatever they have given to the bank. And so, it's really played out very well.
So, this kind of an empathetic approach is something that a Bank like us will have to keep in mind all the time. So, I just thought that I'll just give you that background because quite often we tend to, in our own analytics on financial numbers, I think sometimes we tend to forget the kind of customer that we service. And when you forget that, then, I don't think you a re doing the right business at all.
Moderator: Thank you. We have our next question from the line of Ashlesh Sonje from Kotak Securities. Please go ahead.
Ashlesh Sonje: Hi, team. Good morning. The first question is on the slippages front. We have seen a m eaningful sequential decline on slippages. Can you give some color on what is driving this decline?

Rohit Phadke: So, slippages were down to RS. 190 crores from RS. 286 crores. So, I think slippages are improving because there is enough cash flow with the customer now. Collections are improving in the field. And I think this trend will be maintained.
Ashlesh Sonje: You expect the number to decline further from here during FY ‘24?
Rohit Phadke: It will definitely improve. It will not be bad. That much I can tell you 100%. It will definitely be better than 190.
Ashlesh Sonje: Okay, perfect. And secondly, on the cost of funds front, we have seen a sequential increase of about 20 basis points. But looking at the liabilities book that we have today, if we assume no further hikes on the term deposit rates and the SA rates which we offer, what is the amount of increase on the cost of funds that we are likely to see at the peak?
Murali Vaidyanathan: See, it is directly proportional to the product mix. Today we are at CASA, which we closed last quarter, 42. And that has actually cost of SA is 6.2 or 6.3. Incrementally, as you saw, TD, the incremental cost of TD is closer to 8.5, which means there is an arbitrage of 23 to 30 bps, to be very precise. So, if we continue t o get CASA 45% as a total composition, we can maintain the CASA costing rate. TD is market driven . TD, which was 7.1, has moved up to 7.5. So, 40 bps increase is what has happened in the last three quarters, if you see.
So, if we have to sustain that, we n eed to increase the CAR to CASA ratio, CASA ratio, and importantly, getting into the TD mix. So, TD is market driven . TD, despite that 250 bps of RBI hike, we have still not gone up to the 250 bps. We are at 150, 160 bps at this point of time. 175 bps post this hike. So, I think today we don't see an increase in SA rate, so which means SA book can be, as we grow, we can maintain the cost of fund on SA. On TD, we are going on duration -centric, so we are looking at certain buckets only. So that is directly dr iven by the prices. So, I think three to four -bit hike per month over next six months is seen. Then as it cools down, we need to bring it back.
Ashlesh Sonje: Understood. So, when you say 3 to 4 basis points is the hike on cost of funds on a monthly basis?
Murali Vaidyanathan: Yes, yes.
Ashlesh Sonje: Is that because of the TDs getting repriced, or you're talking about...
Murali Vaidyanathan: You are replacing the existing TD. See, there are two types of TD. One is you get from the market, which is open mar ket sourcing, which is directly. Second, you are replacing on maturity a lower -cost TD with a higher -cost one, because that is market -driven again.
Moderator: Thank you. We have our next question from the line of Manuj Oberoi from Yes Securities. Please go ahead.

Rajiv: Yes, hi, sir. This is Rajiv. Congratulations on a very strong set of numbers. Just a few questions. Firstly, SMA 1 and 2 position as of December. What will that be?
P N Vasudevan: SMA 1 and 2?
Rajiv: As of December.
P N Vasudevan: That's bas ically, you're talking of standard asset provisioning.

Rajiv: No, no, I'm saying SMA 1 and 2. SMA 1 and 2 portfolios as at the end of December. So, you've given as at the end of March in the presentation.
P N Vasudevan: Okay, you're talking of slide 11, wh ere we have given you March ‘22 and March ‘23 data. So, what's the December number of SMA? The total of SMA 1 and 2 in December is -- 3.88. 3.88 is the total of SMA 1 and 2 in December. And in March, that has come down to what? 3.19 or something like that.
Rajiv: Yes. And, sir, what happened to those RS. 60 crores of restructured standard provision which we were planning to utilize? So, have they been fully consumed in the current quarter in the form of additional provisions?
Sridharan N: See, this quarter, we h

ave consumed RS. 11 crores, which has been returned back. So, over a period, no, actually, depending on the collections prescribed by the RBI guide, the rest will be utilized.
Rajiv: Yes, so what is the residual balance of those provisions now, which can be returned back, maybe?
Sridharan N: Residual balance of restructured provision is Rs. 48 crores
Rajiv: Just last thing, so I see you holding PCR of 88% on the restructured NPAs, which is significantly higher than the overall PCR on the NPAs. So, why so?
P N Vasudevan: I mean, these are restructured assets because at some point, the customer was under stress. So, basically, we have a policy of having a higher provision for restructured so that whatever trouble that might arise in the future out of tha t should be reasonably covered up. Our overall PCR on the entire NPA book is 57% as of March. So, we should be looking to increase that 57% over the next few quarters, and our target is clearly to go to the 70% level in the next few quarters.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. P. N. Vasudevan for his closing comments. Over to you, sir.
P N Vasudevan: Yes, thank you. Thanks, all of you, for dialing in and keepi ng us on our toes with all your questions. We really appreciate it that you're taking your time out and to help us improve our

business and keep it going forward. So, we look forward to your continued support. Wishing you all the very best. Bye -bye.
Modera tor: Thank you. On behalf of Equitas Small Finance Bank Limited, we conclude today's conference. Thank you for joining us. You may now disconnect your lines.

Call: Jul 2023

“Equitas Small Finance Bank Limited
Q1 FY '24 Earnings Conference Call”
July 31, 2023

MANAGEMENT : MR. P. N. VASUDEVAN – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – EQUITAS
SMALL FINANCE BANK LIMITED
M R. SRIDHARAN N – CHIEF FINANCIAL OFFICER –
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MR. MURALI VAIDYANATHAN – SENIOR
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MR. GOPALAKRISHNAN G. – UNIT HEAD,
TREASURY – EQUITAS SMALL FINANCE BANK
LIMITED

Moderator: Ladies and gentlemen, good morning, and welcome to the Earnings Conference Call of Equitas Small Finance Bank Limited's Financial Performance for Q1 FY '24. We have with us today Mr. P. N. Vasudevan, MD and CEO, Mr. Sridharan N, CFO, Mr. Murali Vaidyanathan, Senior President and Country Head, Branch Banking, Liabilities, Product and Wealth, Mr. Rohit Phadke, Senior President and Head Assets, Mr. Natarajan M., President and Head Treasury, Mr. Dheeraj Mohan, Head Strategy and IR.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. P. N. Vasudevan. Thank you, and over to you, sir.

P.N. Vasudevan: Thank you. Good morning and thank you all for dialling in this morning. The year has started off well, both at the macro level and at the local economy where Equitas operates. The credit momentum continues to be robust and with the early signs of inflation softening, the momentum may continue for the rest of the year. Tractor, three-wheeler sales, vehicle sales and other indicators all point to the right direction and hopefully, monsoon ends well, giving rural and semi-urban economies a boost.

Coming on to Equitas, the bank delivered strong growth across its diversified loan book. We are seeing growth across states. Newer products like commercial vehicles, affordable housing, are maturing well and will start contributing meaningfully to the bottom line soon. We are also working on products like personal loans, car loans, credit cards, forex cards, etcetera, that can be offered to our depositors which can help us improve our overall engagement and stickiness with the depositors. Over the next 12 to 15 months, we hope to see these products rolling out.

On asset quality, things are back to normal with a gross slippage calculated on daily basis. I repeat, calculated on daily basis, hovering around the 3% level and a stable GNPA. Our restructured book is now only about INR213 crores and we have a 97% provision for NPAs arising out of this book and with that I guess the entire restructured issue is completely behind the bank. Rohit will talk in further details about advances.

On the deposit side, the environment is getting tough with most banks increasing their deposit rates. Over the last 15 months, we have narrowed the difference between our peak deposit rate to those of the large banks by about 50 basis points. We were one of the earliest SFBs to focus

on CASA, and at one point, we had exceeded 50% CASA ratio. Though this has come down sharply over the last few quarters, yet it remains very good in the banking industry.
We continue to back up our attractive interest rate on savings accounts through high-velocity engagement with depositors through our various channels. We also upped our new CASA acquisition. The story of the quarter for Equitas clearly is our retail TD. We have been able to mobilize almost INR500 crores per month of net accretion to RTD. And channels like NRIs and

the virtual RMs are doing quite well to help us deepen our relationship. Murali will take you through more details on this.
While deposit mobilization has been good, our cost of funds has seen an uptick, largely in line with the industry. As you know, more than 80% of our loan book is fixed rate loans, and this had a corresponding impact on NIMs. During the past year, we also increased our lending rates, and our yield on disbursement for the quarter is about 8.4%, which is up 35 basis loans compared to last year's first quarte

r. However, we feel the changing portfolio mix will continue to put
pressure on the NIMs but should be offset to some extent by an improvement in office and credit costs.
Last quarter I mentioned that we delivered a 2%-plus ROI for the second consecutive quarter. Today I'm happy to make that the third. I can never keep my philosophies or my governance standards out of any dialogue. Please indulge me for a couple of more minutes as they ramble along on this. Equitas and ESG. I now want to talk about our approach to customers. As you all know, our borrowers are typically from the informal economy, comprising of the base of the pyramid segment. I repeat base, not the bottom, but the base of the pyramid segment.
Moratorium, where RBI announced a moratorium during wave 1 of COVID, we offered it liberally to our customers and 90% by value and 97% by number of customers availed the moratorium which might probably be the highest among many banks. After that in post two RBI offered a special restructuring window at a time when investors were giving brownie points to those banks who showed the lowest percentage of restructuring, we again offered it liberally to our customers. Outside of microfinance, we restructured about 31,000 customers, of which about 27,000 customers did not move into NPA. This means that if we had not been very empathetic and considerate to our borrowing segment, out of this 27,000 customers, most of them might have slipped to NPA if we had not offered that restructuring, and we would have ended up repossessing their only house property in their life and then brought them to peril.
As I mentioned before, in Equitas, we are not just running a bank. We are running an organization impacting the most vulnerable segments of society and we have to be extra supportive in their times of need and return, they always stand up for us. I believe that these actions of the bank propel us to the highest standards of ESG, benefiting real people in an immediate and direct manner. For all stakeholders associated with Equitas, we not only offer a bank run on high standards of governance, professionalism, and financially attractive, but also a bank which positively impacts large segments of base of pyramid population.
At Equitas, we believe in circle of life. The good you do comes back to you. I repeat, the good you do comes back to you. And so I end this with a big thanks to all of you who have supported us and hope that the circle of life, such as Your Life too, and enlivens it up. Thank you and I now hand it over to Rohit.
Rohit Phadke: Thank you, Vasu Sir and good morning everybody. Advances have grown by 36% and disbursements are 46% year-on-year. Collection efficiencies have been stable and GNP has been maintained at the same level as the previous quarter. In small business loans, there is growth in

the non-Tamil Nadu disbursements. In June '22, the composition of disbursements was 65% in Tamil Nadu and 35% in non-Tamil Nadu. At the end of June '23, the composition of disbursements has now changed to 61% in Tamil Nadu and 39% in non-Tamil Nadu. The business has seen growth in the states of Andhra Pradesh, Telangana, Karnataka, and Maharashtra. The new loan registration system has been rolled out and is active in 100 branches across the country. Another 100 branches will go live this quarter.
The microfinance business has recovered from the COVID impact, and X-bucket collection efficiencies are stable at 99.51%. 82% of all customers acquired last quarter were onboarded using e-KYC. 46% of all customers e-signed the agreement, eliminating the use of physical agreements for this set of customers. The vehicle finance business, the used car book has grown

and is now 11% of the total vehicle finance advances. The focus is on funding to customers for personal use. The used car market in the country is huge and we aspir

e to grow this product.

The UCV and new CV portfolio comprise primarily of small commercial vehicles, LCVs, and pickups. In the new small commercial vehicle segment, we have a market share of 10% in Tata Ace in the geographies that we operate. The market share in Ace, those has reached 4.5%. We also aspire to increase the market share in Mahindra Pickup, where we have a market share of 2.3%. The affordable home loan business is scaling up and now operates out of 34 branches in five states. The new LOS for the business will also go live in the coming quarter.

Rural demand is looking up as indicated by various macroeconomic indicators like, rural car and two-wheeler sales. Even FMCG companies have reported improved rural demand. In short, things do augur well for the coming quarter. I'm quite hopeful that the coming quarter will also be good.

Thank you so much. Handing it over to Murali.

Murali Vaidyanathan: Good morning. Bank is actually taking a very sustainable and very scalable effort towards building a very stable and retail-oriented franchise, as we know through differentiated segmental approach and very importantly creating a differentiated channel. I would like to stay put on this for two more minutes.

Our retail deposits, that is our CASA plus RTD, remains at healthy 78%. And that is actually a very healthy sign for two reasons. One, our product holding at the house level and also penetration at the market level for NTB is getting enhanced. Our relationship management structure, where we have put VRM, which is data, voice over data, and then physical RM structure is helping us to grow the RV by 8% to 10% across the spectrum of customers whom we offer. And please note, we also have a VRM based on time zones for the NRI segment.

And now what we are doing through this is, we are actually focusing on family banking as an opportunity. This has helped us our premier program, elite to cross 12,500 crores and very important point today is close to 77,000 families are totally banking with us through this proposition. Glad to see our wings proposition, which we have revamped, focused predominantly towards salaried as a segment, is seeing an encouraging, not only encouraging,

seeing a higher penetration of salaried segments coming in towards close to 40% to 42% of the book today of savings account is through salaried as a proposition.

RTD is a very good story, it continues to be. There are two things, one is mobilizing INR1,500 crores, INR1,600 crores net, which means at a gross level, it should be INR2,200 crores to INR2,300 crores. But the reality is we could spread it across to 120,000 customers across the spectrum, both NTB and existing book. So 60% of the existing customers opting for TD inside this enhances our product holding as well as foot on door syndrome. And this will give us an enhanced opportunity.

Our channels which we have dedicated have started giving most productive results. For example, NR, now we are present across 100 countries and the book has crossed INR1,500 crores of RV. So is our institution business, which has crossed INR7,000 crores of RV with 30% of CASA in the industry. So the important segment here, what I want to push on industry businesses, close to 92% of the book is on non-callable deposits. So all these things put together has helped us to maintain a healthy SLR and LCR ratio. And most importantly, we have onboarded 1.3 lakh customers during the first quarter, which means our acquisition rates have gone up.

And second important part is leveraging on physical and digital, our two KYC conversion of digital basis account has gone up. And our engagement based on propensity and analytics model has helped us on debit card activation, and importantly, primary and active accounts reaching closer to 60% mark and our product penetration across DPP is getting enhanced. Our retail and tra

de focus on current account is helping us to be in top 17 in terms of acquirers and we will continue to monitor our current account and progress there. And overall digital side, I think it's been a very encouraging quarter from prepaid to micro-ATM to full conversion, and we will sustain our journey there.

Thank you, let me hand it over to Gopi on treasury views.

Gopalakrishnan G : Good morning, everyone. Q1 has been largely a steady quarter in the market front. Bond prices improved as yields cooled off with inflation edging down even as the growth outlook consolidated. Past quarters saw RBI passing the interest rate high cycle in April and maintained status quo in June. Despite comments from the RBI Governor emphasizing that the back-to-back pauses by RBI MPC should not be construed as a definitive change in policy direction. There was a cause for optimism that interest rates are nearing their peak on the back of CPI numbers

pulling within RBI tolerance ban.
First quarter of the new fiscal witnessed largely positive developments in Indian economy. Stable rupee and macro conditions helped attract strong foreign fund flows into domestic financial markets. Rally in equity markets is primarily driven by steady FDI flows, resilient domestic economy and lower crude oil prices. A few areas of concern continue to hover, mainly uneven monsoon and El Nino, which may have some impact in the inflation. We have seen that bond yields are slightly firming up in July as well, reflecting these developments.

Now, coming to Equitas' Treasury performance for this quarter, this has been another stable performance from Equitas Treasury. Profit on sale of investments stood at INR26 crores. Our funding profile has been stable with opportunities available to raise funds both in the form of refinance as well as IBPC.
Thank you. Now I hand it over to Mr. Sridharan.
Sridharan N: Good morning to everyone. Our net interest income for the quarter came at INR743 crores, as compared to INR581 crores during the same quarter last year, registering a growth of 28% YoY. Other income for the quarter came in at INR150 crores, as compared to INR100 crores during the same quarter last year, registering a growth of 50% resulting in a net income growth of 31% year-on-year. The total operating expenditure came at INR581 crores, as compared to INR412 crores during the same quarter previous year. The increase is on account of annual increments for employees, payout of performance bonus and new recruitment. The bank also invested in the brand by advertisements in IPL.
The cost was accounted for in Q1. Lastly, investments in technology increased as we spent on various IT projects relating to loan systems, customer apps, data warehouse, and other enhancements. This led to a marginal increase in our cost to income to 65.05% for the quarter. Pre-provisioning of profit, PPOP grew 16% year on year to INR312 crores, and PPOP to assets remains healthy at 3.42% for the quarter. PAT for the quarter came at INR191 crores, as against INR97 crores during the same period last year, registering a growth of 97% Y-on-Y. ROA and ROE for Q1 FY24 stood at 2.10% and 14.54% respectively.
As on 30th June 2023, banks restructured loan book stood at INR213 crores, which is equivalent to 0.72% of the gross advance book. NPA on the restructured book was INR160 crores and provision made against this book was, the book stood at INR156 crores. Now moving on to asset quality and provisions. The bank carries a total provision of INR574 crores, NPA provision of INR445 crores, provision on standard assets at INR129 crores. In order to strengthen the PCR, the management made additional provision of INR14 crores and total provision for the quarter is INR60 crores.
GNPA remained flat at 2.6% in Q1 FY24 as compared to Q4 FY23 and improved by 135 bps as compared to Q1 FY23. NNPA ca

me at 1.12% in Q1 FY24 as compared to 1.14% in Q4 FY23
and 2.07% in QY FY23. Provision coverage ratio improved to 57.79%. If ECL is implemented by the bank, the ECL provision will be lower than the IRAC provisioning requirement and to meet the minimum IRAC provisioning requirement, additional provisions will be made as management overlay.
As of June 30, 2023, total CRAR has stood at 22.06% with the Tier 1 at 21.36% and tier two at 0.70%. Lastly, the bank has made investment in setting up its own corporate office building at the heart of the city and we hope to complete the work by early of FY ‘26. With this, I would like to hand over to operator and we'll be happy to take questions from you again. Thank you.

Moderator: Thank you very much.. The first question is from the line of Deepan Narayanan from Trustline PMS. Please go ahead.
Deepan Narayanan: Good morning everyone and thanks a lot for the opportunity and congratulations for good set of numbers. So firstly, we wanted to understand so if RBI holds rate at these levels for a couple of quarters, do we foresee pressure in NIMS continuing or we can pass the rates pressure to our customers fully without affecting growth profile?
Dheeraj Mohan: This is Dheeraj here, Deepen. So as you know, 80% of our book or 80%-85% of our book is largely fixed. So the place where we can actually pass on rates is on incremental disbursements. Incremental disbursements over the years, just for some numbers, have actually got up about 40 basis points. But as you see, our portfolio yields are around 17%, 18%. So that's also – there's limited room for us to expand it, equivalent to how we see rates going up. But still, adjusted for

that, to see what impact it will have in the bank, from a – from a yields at a portfolio level, we should be able to hold yields where it is. And also keep in mind that, there is a slight mixed change with housing, new commercial vehicles, a disbursement of the share improving, but we still should hold yields. So one, yes, we have passed on rates to certain segments of the customer. Two, the portfolio mix is playing out well from a long-term cost to assets and credit cost. So we will have that yield passing out being compensated or negated with the portfolio mix. Thirdly, the cost of funds, yes, is moving up. You've seen it spike in Q1. From our estimate, from a cost of funds, is that we may end the year at about 7.5%. This is taking into account where we feel inflation, rates, competition, and deposits, all of that play out.

It will have an impact on NIM, adjusted for all of that. Hopefully for the full year, NIMs should not deteriorate below 8.5%. But if you look at quarter-on-quarter, you may see it go below, especially in the later half of the year, but we still should maintain a NIM for the full year at about 8.5%. This is about a half a percent drop from last year.
Deepan Narayanan: Okay. So our NIM profile should be substantially improved if the rate cycle starts going down, right?
Dheeraj Mohan: Yes, if rates reverses, like we have the bad side when it increases, our portfolio yields will not drop because we don't have floating rate loans. So we should start seeing that benefit play out.
But the question is, when it will play out, it's up to everybody's imagination of the industry side.
Deepan Narayanan: And secondly, so now our growth profile has increased substantially. So what kind of cost to income are we expecting for FY ‘24?
Dheeraj Mohan: So like, what we've been saying, this is actually an investment phase we are going through. We are investing largely in products like credit card, personal loans, the AD-1 license, also will result in a few products being launched. And also in technology, largely on the digital side, Rohit had talked about the loan origination systems, which we are putting in place, which all eventually should help us

improve productivity and scale up faster.

And lastly, on the brand, some investments were made on IPL, like Sridharan had mentioned. So we are still in the investment phase. And like we said earlier, the cost to income, this where it is right now, marginally may improve. We've been saying 63% odd. So let's see how it goes. Usually income builds up for us in the second half of the year, so all of that should compensate to where cost of income should remain at let's say 63%, 65%.
Deepan Narayanan: Okay, thanks a lot, I will join back in the queue. Thank you.
Moderator: Thank you. The next question is from the line of Renish from ICICI Securities, Please go ahead.
Renish: Yes, hi, Congrats on a great set of numbers. So just two questions, one again on the deposit rates. So this quarter, we have seen almost 30 basis points in the cost of deposit. So it is fair to assume that, on the blended or let's say the portfolio basis, we are near to peak on the deposit rate side?
Dheeraj Mohan: Renish, Dheeraj here. No, we are not at the peak, like we said. Are you asking on, are we going to introduce any more products with higher rates of interest?
Renish: No, I'm saying, let's say our cost of deposit is at 6.94% and within that we see the TD cost...
Dheeraj Mohan: So, Renish, that will go to 7.5% like I just explained because there will be some deposits getting renewed at a higher interest rate plus our retail term deposit momentum is very strong. So we see that going up to about 7.5%.
Renish: Okay, and that will have a consequent impact on NIM as well, right? For this year?
Dheeraj Mohan: Yes, it will. So I don't know if you heard my previous.
Renish: Okay. I was there.
Dheeraj Mohan: Yes, so it should be somewhere around that. But the NIM, like I said, full year, 8.5%. But you will see NIM go below that, at least in the third quarter and fourth quarter. But hopefully interest income will be also compensated. But NIM, yes, about 8.5% is what we should look at.
Renish: Got it. And just to follow up on that, so when we are delivering this 2% plus ROA as of now, and now, there is some bit of pressure on the NIM. How confident we are that we'll be able to sustain this 2% ROA because we also highlighting that, then the investment fails. So there is no lever on the cost side, credit cost is you know at the best of the level. So how do we sustain this 2% ROA?
P.N. Vasudevan: Yes. So, see the point is that this year, there has to be three, four elements, which we expect to be at play. One is the basic interest income arising out of the growth in the portfolio, which should be one positive support. The second thing is that, we saw the highest increase in terms of percentage from the opex perspective in the first quarter, because typically we do give out the annual increments effective April, so the staff cost goes up sharply between March to April and that obviously will steady up after that and through the rest of the year, the employee cost to some extent except for the new addition of people will remain constant.

Whereas the productivity of those people will start coming in from the second quarters and subsequent quarters onwards. So we should see an opex, which is about 32% increase year-on-year in the first quarter. We expect that to come down as a percentage of growth year-on-year for the subsequent quarters.
So while the NII should go up because of productivity of the staff improving as well as new staff coming in and adding to the business of the bank, the opex should come down as a percentage of growth compared to the first quarter. And the third element at play, we expect during the current year is of course the credit cost. As you know, across the industry, across the banking industry, thi

s is one of the best credit cycles that we are seeing. And even in our own case, we have seen the first quarter was probably the best that we have ever seen in a long time. Though it is supposed to be a seasonally weak quarter, but actually it was pretty good from a collection perspective. So the credit cost might again come in a little bit from a support perspective. So while these are all the positive factors at play, the negative factors at play for the current year as you mentioned, as Dheeraj mentioned, would be the increase in our interest rates, interest cost from 6.95%, it may go all the way up to 7.5% is what we believe as the old deposits get repriced to the current level of deposit rates.
And NIMs, as Dheeraj mentioned, last year, we had an average NIM of around 9%, and this year we expect it to be averaging for the full year at around 8.5%. So that half a percent NIMs, we should try and meet out by the other positive factors at play, which I just mentioned. So obviously that's a target 2% ROA is something that we would try and focus on. And some of these factors as they play out should hopefully help us meet that.
Renish: Vasu, just sorry to, just rounding back to the same question. So, let's say the productivity or employee cost will remain same or productivity will improve but as we continue to invest towards the franchise build-up, do you see cost-to-income ratio coming down because in opening remarks, you did mention that, the cost-to- income will remain at around 63%-65%.
So how will cost to assets will come down? I mean of course in one part, there will be saving on the employee cost, but at the other part there will be investment going towards the product, some of the, etcetera.
P.N. Vasudevan: Yes, that's right. So the investments as we have mentioned, there are a few areas on which we need to keep investing, which is one on our digital and second is on our products. As I mentioned earlier also, we are introducing new car loans, personal loans, credit cards, and forex cards, and AD-1 products, which will all happen between 12 months to 18 months from today.
But for those products to launch during that time, there's a small amount of working that needs to be done in advance, which will add to some level of investment from the bank side. The only silver lining for the bank is that, we have in the past invested in a very strong network of branches, and so that is one thing that, we'll be riding on for the next maybe couple of years, while we invest in products and digital. We may not have to invest much in terms of physical infrastructure because that's something that we already done in the past. So all put together, yes,

so opex growth, as I mentioned from 32% year-on-year in the first quarter should come down over the rest of the three quarters. And cost to income is around 65% in the first quarter. It should marginally come down, maybe 63%, 64%. And when that comes, that's going to be releasing some level of income to the bottom line.
Renish: Okay. Very good, sir. Best of luck.
P.N. Vasudevan: Thank you.
Moderator: Thank you. The next question is from the line of Abhishek M. from HSBC. Please go ahead.
Abhishek M: Yes, hi Vasu and team. Good morning and congratulations for the quarter. So two or three quick questions. One, when you say your cost of funds could reach 7.5, you're talking about a full year average, right? Because, or an exit rate for 4Q?
P.N. Vasudevan: We are talking of an exit rate for the fourth quarter, but full year average interest cost could be in the range of 7.25.
Abhishek M: Got it. And in your term deposit, your cost of TD has gone up almost 90 to 100 basis points from the bottom. Is there a lot of repricing that is remaining or do you think, you're pretty much at the end of it?
Murali Vaidyanathan: See, we have done two things on TD. One is, if

you up to one year bucket, the rates are in line
with what markets are offering. Between 888 days and 444 days, our differential like Vasu sir said in the call, between our cost of funds and other banks cost of funds, we budget 50 basis points. And we are offering a differentiated rates only in these two buckets, for short to medium term saving and medium to long term savers.
So only in these two buckets, which accounts to close to 60% of the book, we are offering more than the peer group by 50 basis points. So the rates are more or less stable. We are not seeing any rate hike to go up unless there is something dramatic happens in the open market.
Abhishek M: Got it. Can you please repeat the 60% of the book is just those two 444 days? And 888 days?
Murali Vaidyanathan: Yes, Correct, so that saves us one long term book. This is for the one short to medium term service who is having a goal based approach. The other one is for slightly longer term who is actually keeping a destination-based approach in his saving.
Abhishek M: Got it. So, 444/888 should reflect current yields, whatever you're offering today. And the remaining 40% may have one part which is at a lower yield, which will get repriced as it matures?
Murali Vaidyanathan: Yes.
Abhishek M: Okay, got it. That's helpful. The second thing is, yes, sorry, you were saying something?
Murali Vaidyanathan: Yes, go ahead.

Abhishek M: Yes. So the second thing is, on slippage rates, now you're at 3.3%. If you look back before COVID annualized, so if you look back before COVID, you were ballpark at 3.5% plus minus, obviously good times, bad times, but 2.5%, 3.5%. So do you think these should sustain here or go down? And correspondingly, your credit costs, last year average was about 1.5%, 1.6%. This year, you've started at 0.84%. Do you think, this should definitely remain below 100 bps for the year?
P.N. Vasudevan: Pre-COVID, yes, our gross slippage used to be around 3.5%, and during peak COVID, it had crossed to 5%, so around 5.5% to even 6%. Now it's come down to 3%, but there is one crucial difference. Pre-COVID, are reporting gross slippage based on month and figure, which means that, during the month if someone slips into NPA and then, pays back in full and stops being an NPA within the month, it was not getting, calculated for gross slippage, which we changed.
And we had informed this, about four quarters or so back. We had informed that, we have changed it to daily. So that way, the pre-COVID, 3.5% is actually not very comparable to the current quarter of 3%. And to that extent, I believe that, even our portfolio quality are actually further improved compared to even pre-COVID to that extent, And the second thing is from a credit cost perspective is last year, we had a credit cost of around 1.55% and this year, we have guided for 1.25%. And we'll have to keep our fingers crossed. And I believe that, we are in for a good credit cycle, as I mentioned earlier. And let's see how the whole collection goes and hopefully, we should be in for some good collection performance for the current year. But parallelly, our PCR is around 58%. And so there is obviously some aspirations from our side on the PCR to also try and increase it over a period of time. So that might come in for some level of credit cost, if not necessarily from just the normal provisioning. But we might do some extra provisioning only from the perspective of moving the PCR up.
Abhishek M: Vasu, any target for this PCR? Because, in case there's, more than expected NIM pressure, can you push it out? Because the PCR is already at a reasonably good level.
P.N. Vasudevan: Yes, our destination PCR is the standard, typical 70% which most banks are. So that's our destination PCR and we have been looking at it to try and take it to that level over the next few quarters. So we'll have to just take it over

the next few quarters to move it to that 70% level.
Abhishek M: Got it, Vasu. Thank you so much and all the best.
P.N. Vasudevan: Thank you.
Moderator: Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.
Deepak Poddar: Hello. Yes. Just thank you very much, sir, for the opportunity. So first up, just a clarification. I mean, PCR to 70%. So that effectively means some INR90 crores to INR100 crores of additional provisioning, right? So that we expect to come in the remaining three quarters, right? Apart from your standard provisioning that we have been doing.

P.N. Vasudevan: Not necessarily. We are looking to take it to the 70% level over the next two years. So that means the balance may be seven quarters or so. That's what we are broadly looking at. These are not

something hard cast or, casting stone, but broadly that's what we are looking at.
Deepak Poddar: Understood. And sir, in terms of your percentage of portfolio, which has not been repriced as of now, so how much would that percentage be?
P.N. Vasudevan: See, our fixed rate loan book is approximately around 83%, 84%. The balance is floating rate.
Deepak Poddar: So 83% of portfolios is not yet, I mean...
P.N. Vasudevan: They won't get repriced, they are fixed rate loans. So they will earn at the same level of interest rate.
Deepak Poddar: Understood. And what will be the tenure?
P.N. Vasudevan: In our scenario, typically what happens is in a rising interest rate scenario like currently, so naturally, we will have the negative impact of it and hopefully somewhere down the line, when the interest rate cycle changes, that could be the opposite effect for the bank.
Deepak Poddar: I understood. And what would be the average tenure of that 83%?
P.N. Vasudevan: Gopi?
Gopalakrishnan G: Y es, the average maturity of assets is around two and a half years.
Deepak Poddar: Two and a half years, fair enough, I understood. And sir, I also wanted to understand in terms of liquidity, do we hold any kind of surplus liquidity, which is having a negative carry on our NIMs or on our spreads?
Gopalakrishnan G: Yes, so the liquidity per se, we do continue to maintain the liquidity which is adequate to meet our focused funding requirements and yes, and it is LCR is, we also maintain a higher level of LCR if you have seen from the numbers, so the number of LCR for the June stood at around 200% around close to 240%.
Deepak Poddar: Yes, so any thought process to reduce that, if it is having a negative carry on our P&L?
Murali Vaidyanathan: See, LCR is a byproduct of quality of deposits. While our SLR stands at 18% to 18.5%, we are able to maintain higher LCR because of the quality of deposits. So since the quality of deposit is predominantly individual and retail skewed, this is having this impact. And it will have an impact of 30 bps, 40 bps.
Deepak Poddar: So it will continue, right?
Murali Vaidyanathan: Yes, it will continue.

Deepak Poddar: Understood. And, sir, in terms of cost to income, you mentioned about this year, but if I have to see over the next two years to three years, how do we see cost to income panning out?
Dheeraj Mohan: Yes, so from a cost to income, we see the next two years as an investment phase, but obviously these return ratios will improve. So cost to income, at least in our forecast, next year should be a lot more palatable. It should be hopefully somewhere around 60% or below. And from a medium term, we've always been saying that, it should be between 55% to 60%. And that's how the model works. Exceptional modeled for Equitas. So we don't see cost income going below 55%. And in investment phase, it will be between 60% to 65%. So it should taper next year. And t

he year after that, it should be at least where the model is.
Deepak Poddar: I understood. That's very clear, sir. And that's it from my side and all the very best. Thank you so much.
Dheeraj Mohan: Thank you.
Moderator: Thank you. The next question is from the line of Nitin Agarwal from Motilal Oswal. Please go ahead.
Nitin Agarwal: Hi. Good morning. Congrats on good set of numbers. So, sir, one question on the liability franchise. While we have been reporting a very healthy CASA run rate, but the savings from the peak has come down by 13%. And so when you now look at a cost of fund going up to 7.5%, what sort of further CASA decline are you building in?
Murali Vaidyanathan: See presently, if you see cost of funds, it has three components CA, which is zero cost,SA which is at 6.18%,which is actually lower than last year. This shows two things One is book that has moved into TD so it is having a TD cost here. Second up to 5 lakh bucket our average cost is only closer to 4.8, 4.7 that book has expanded also. So, which means a spender is building balance, a saver is moving the bucket from savings account to TD, and rightfully so.So, we are looking at our pole that is retail pool of liabilities as a strategy. Adding more consumers into retail is very key at this point of time. So, we see a temporarily 1%, 2% dipping down and then stabilizing and we taking it up. So, what this has gained to us at this point of time is we have incrementally added 1.5 lakh more customers whose product holding has gone beyond 2. So, that is why we are saying that incremental TD cost will be ranging 7.6 and 7.7 Savings account will be moving at by 7 basis point to 8 basis points and overall the cost being coming to 7.5.
Nitin Aggarwal Right, okay, and CASA sustaining 35 plus?
Murali Vaidyanathan: Yes, 35 plus should be our ambition.
Nitin Aggarwal: Right, and the other question is on the MSE finance that has been a segment which we have not

been growing. There has been a Y-o-Y decline. But if I look at the average ticket size in that segment, that is still higher versus what it was in the last quarter. So, with the unwinding that is going on, on a Y-o-Y basis, so why is the ATMs going up and how do you look at this segment when it comes to the growth going forward?

P.N. Vasudevan: Yes, the MSE is contributing about 5% of the book now and so that's one product where we are basically keeping it as part of the bank bouquet of offerings to meet the working capital needs of the micro-entrepreneurs. We are really not even in the small and medium. We are really in the micro part of the MSME segment. And if you see the data that we have put out, the NPA in that particular segment actually is on a higher side level also.

So, that is an area where some amount of changes was done sometime about 2 years, 2.5 years back in terms of the credit filters and the LTV norms. And so the book that has been being built over the last 2 years, 2.5 years has a much better quality. And so somewhere down the line we expect that NPA to come back to a more normal levels and then you will see that this portfolio should start growing at a rate which is more or less in line with the rest of the bank products.

Nitin Aggarwal: Sure sir. Thank you so much.

P.N. Vasudevan: Thank you.

Moderator: Thank you. The next question is from the line of Ashlesh Sonje from Kotak Securities. Please go ahead.

Ashlesh Sonje: Hello, hi team. Good morning. A few questions from my side. Firstly, on the CD ratio, we have indicated that we want to bring it in line with some of the larger banks. So, what is the target here? What is the horizon over which we want to meet this and what does this mean for the deposit growth outlook that we have?

P.N. Vasudevan: So, on the CD ratio, there is no hard and fast norm that we have put in place. It's something that is more direc

tional and operational that we want to do over the next maybe couple of years or so. So, currently our CD ratio, including the refinance that we get from institutions is about 95% or so. And so we would like that to come down to maybe about 85% or so over the next couple of years or broadly in that range.

Ashlesh Sonje: Okay, perfect. And secondly, if I look at the granularity of deposits, that seems to have worsened a little bit. If I look at the proportion of deposits held by individuals that has declined, even in the SA and TD deposit breakups, which we have given, there is a clear shift from lower ticket deposits to higher ticket deposits. So, what exactly is happening here and when do we expect this shift to stop happening?

Murali Vaidyanathan: See, at a portfolio level, 78% is retail and 22% is we call it bulk. Within the bulk, today we are having an institution opportunity to build a stable, non-callable deposit base with a tenure of one year. So, that is helping us to garner two things. One is to get the pool of money in, and second, through that, we are also getting the transaction-centric accounts of them. So, this will continue to be in this direction, where 75-25 will happen very soon.

So, our direction is we'll continue to build granular accounts, 5%, 10% LCR centric accounts, keeping the focus of product holding at a retail level. And as and when the insti opportunity comes in, we will start getting it into it. So, these are all the institutions which we are taking it in it, which is the non-callable base and most importantly, the institution which is giving us the

duration. So, this will continue to grow in this direction. So if you see 1 lakh to 5 lakh, if you are predominantly what I said, spenders as a segment is close to 18% which has gone up compared to last year.

Ashlesh Sonje: Okay, perfect. Just one follow up on that one. The NiyoX deposit base which we have, amount of deposits there seems to be, and the growth there seems to be quite weak, any plans to ramp that up?

Murali Vaidyanathan: Yes, see total our book is close to INR1, 200 crores at this point of time, as we speak from a digital segment. Niyo now what we are doing as a conscious activity is no longer called an Equitas Savings Account only. We have deputed a dedicated VRM channel and a specific engagement platform through which we'll engage and deepen the customers going forward. So, you will see a traction in line with Selfe as a product. So, Equitas has Selfe and Equitas has NiyoX. So, both are digital combo product. One caters to the geographical concentration, that is where our branches are there. We focus those customers.

So, Selfe is predominantly geographic-centric. Niyo is demographic-centric. So, Selfe, the

biggest advantage is, since it's a geographical-centric, consumers are preferring branch being a closer vicinity. Now that we have engaged a VRM channel to get NiyoX, it will continue to sustain the growth.
Ashlesh Sonje: Okay, perfect sir, thank you.
Moderator: Thank you, the next question is from the line of Nidhesh from Investec. Please go ahead.
Nidhesh: Thanks for the opportunity, sir. Sir, on the IPL branding, can you quantify the cost that we incurred in Q1 that is first question. And secondly, on the productivity after implementing LOS in the vehicle finance, can you quantify what is the improvement in productivity or any other benefits which can be quantified after this rollout and what can we expect to improve -- productivity to improve in the other segments where we are rolling out LOS in this current year?
Sridharan N: The first question on the IPL costs is INR7.5 crores.
Rohit Phadke: So, on the benefits of LOS implementation, how the productivity will improve is one, the LOS will create a completely paperless transaction. So, from when we implement e-KYC to eSign, there will be no pap

er involved. We can onboard the customer easily onto the app and straight away going to disbursement. So, you will see the productivity in terms of one, number of files per person that he can onboard. Number two, the number of backend people we need, lesser number of people to process the files. So, once all the LOS gets into full implementation, we can see these productivity benefits.
Nidhesh: In vehicle finance, I think it has already been implemented. So have you seen any?
Rohit Phadke: In vehicle finance, 92% of all disbursements are currently in HETRA, but there is still 8% of functions to be implemented. In vehicle finance, you're already seeing the productivity go up

because we have not added many people there, but the volumes in vehicle finance have grown. You see a 39% growth in advance in vehicle finance.
Nidhesh: Okay, so that has happened without the addition of employees?
Rohit Phadke: Absolutely, very less people we have added.
Nidhesh: Okay, thank you, sir, that's it from my side.
Moderator: Thank you. The next question is from the line of Darpin Shah from Haitong India. Please go ahead.
Darpin Shah: So most of the questions have been answered. Just one thing on my part is, actually sir on the TV interview, you mentioned that slippages will still be around 3%, if things are looking better on ground, we are growing at a faster rate. So, why then still have a 3% kind of guidance or for slippages?
Dheeraj Mohan: Yes, so see those gross slippages, I don't know with which number you have to compare because what we have seen is not too many institutions put out gross slippages which can be comparable. So, which is why we keep saying 3% is the healthy run rate which we have and it should remain steady at this level.
Darpin Shah: My point was in first quarter also we are roughly at around 3%.
Dheeraj Mohan: Correct.
Darpin Shah: Which is a seasonally weak – which is a seasonally weak quarter, so when things get better, in terms of seasonality for 2Q, 3Q, 4Q?
Dheeraj Mohan: Yes sorry for a seasonality Q4 actually you will see it improving much better, but like what we said that we are in a good credit cycle. So, assuming a 3% slippage for the full year is not too off. And if Q4 typically plays the way it plays every year, it will obviously be below 3%.
Darpin Shah: Okay, fine. That’s it. Thanks a lot.
Dheeraj Mohan: Thank you.
Moderator: Thank you. The next question is from the line of Shreepal Doshi from Equirus. Please go ahead.
Shreepal Doshi: Hi, sir. Thank you for giving me the opportunity. The question was pertaining to the MSE segment wherein, if you look at the GNPA have only been going up. So, I mean, whereas if you look at the share is not so significant, but the GNPA in that segment has been going up. So, could you please throw some light, what's the reason and what's the reason for this particular product?
Rohit Phadke: So, these are basically overdrafts and term loans given to MSME customers over a period of time. See, during COVID, a lot of MSME customers got infected, and some of them have still not come out. So, that is why the GNPAs are still high here, because they're all collateralized

and there is property. So, it takes time for us to proceed legally against them and neutralize the property. But you will see some decent reduction in GNPAs this year. We are all aspiring for

that.
Shreepal Doshi: The ticket size here is also like 48, lakh, 50 lakhs at the time of disbursements, so are we able to invoke SARFAESI in these cases?
Rohit Phadke: Yes, we are able to invoke SARFAESI as all of these are backed by collateral.
Shreepal Doshi: Okay, got it. And so to Vasu sir, what's the update on the universal banking license, any timeline for that?
P. N. Vasudevan: As we have menti

oned before that merger was one licensing condition and now that is behind us, so technically we have now completed all our licensing conditions. So, now we have to just wait somewhere down the line, we assume that the regulator will probably come with some kind of a guideline on who can apply for converting from SFB segment to universal bank. So, some kind of a guideline probably will emerge from the regulator and as and when that comes, then we'll have to see whether we comply with those requirements under those guidelines and if we do comply, then we'll be in a position to apply. So, there is no particular timeline that we have in mind. We have to just wait and take it as it comes.
Shreepal Doshi: Okay. So this question was on the back of our thought process to launch new car, personal loan, credit cards. So, then say products like credit card would be a tie-up product only broadly. Is that a fair understanding then?
P.N. Vasudevan: What tied-up product?
Shreepal Doshi: Yes, like with some other banker or…
P.N. Vasudevan: No. See the new car loans that we will be launching during the current financial year is largely a product that will be targeted for the deposit customers and our own asset customers. There will be largely a cross-sell product to the existing customers. So, that's not an area where we will be seeking to go to the market and acquire open market customers through the dealership, where the kind of commission payable etcetera makes it really unviable for someone like us.
So, that will be lastly a product that will be targeted only for cross-sell to the existing customers, essentially the deposit customers and some of the asset customers. In the deposit side, we already taken out certain data. We have a few lakh customers whose credit bureau score is over 750. So, those kind of segments is what we'll really be looking to cross sell a product like new cars. And Nano’s car the dealer commission because it will be direct to customer. So, hopefully it will be a viable product for the banks.
As far as credit card is concerned, I think we have mentioned in the last time also that something that we are working on and we will be launching our own credit card, but that we expect it to happen only around maybe a year plus from today. So, there will be some amount of cost we

may incur in terms of setting up the system. But over a year's time we hope to launch it subsequently.
Shreepal Doshi: Got it sir. Thank you so much and good luck for the next quarter.
P.N. Vasudevan: Thank you.
Moderator: Thank you. The next question is from the line of Harsh Shah from Dimensional Securities. Please go ahead.
Harsh Shah: Hi, sir. Good afternoon. My first question is on the opex and the digital services. If I look at last quarter's, our employee cost has almost increased from INR90 crores to INR330 crores that we are spending today. We have spent around Rs 30 Cr in digital spend while loan also increased to the same extent. So, why are we not yet seeing the impact of productivity that we're speaking of because we already spent almost INR400 crores in technology in last 12 quarter itself?
Dheeraj Mohan: See some of these technology costs will take time to actually start showing from a P&L benefit, but just to add on to also what we were asked earlier in terms of productivity benefits you really look at disbursements for employee last year to this year, from roughly about 18% is actually moved up to about 22, sorry, 18 lakhs is moved up to about 22 lakhs. And some of these benefits can be directly attributed to loan origination system being put out, especially for vehicle finance, where the tax for disbursements are much, much faster than what it was historically.
And again, some of the other investments in technology is really from a scaling up perspective.
So, two years, three years from now, f

rom a backend perspective, and those are investments in cloud, investments in APIs or Microservices, investments in platforms like Microsoft Dynamics, etcetera. All of these will actually give you benefits only after a couple of years, but it will help the bank really scale up, which is why we are saying that this year and next year, you may see that not positively adding to the P&L, but after that, you should start seeing some of those investments pay off.
Harsh Shah: Okay. And given that the tenure of our loan is at around 2.5 years, what is the thought process

of doing most of the lending at fixed rate and not 2.5 years is fairly long period to have some sort of interest rate risk. So, just wanted to understand the thought process there and incrementally what is the ratio between fixed and floating?

Rohit Phadke: So we have already, Vasu sir has already said that fixed rate loans are at about 83%. Secondly, this whole thing about fixed and floating, it also depends on the product. For instance, you can't do vehicle loans at floating. You have to do them at fixed because that's how the industry operates whereas home loans, yes, home loans we are doing at floating rates. So, it depends on which product that you're lending. So, your fixed and floating will depend on that.

Harsh Shah: Okay, and last question, just a bookkeeping one, the fee income, if I look at it as a percentage of disbursement has come up from 1.5% to 3%. The last quarter it was around 1.5%, it has come up from 25 bps. So, is it just one off or any?

Dheeraj Mohan: Yes, so about 70% of our fee income is linked to disbursements, which are processing fee and login in fee, etcetera, that has actually remained healthy quarter-on-quarter. If you compare with the last quarter of the year, there were, I think we did some disbursements in NBFC loans, etcetera, which is why the percentage may be looking skewed. But otherwise, the processing fee and of disbursement link fee has remained healthy at about 70%.

Harsh Shah: Okay. Thank you so much.

Moderator: Thank you. We take the next question from the line of Pritesh Bumb from DAM Capital. Please go ahead.

Pritesh Bumb: Hi, sir. Good afternoon. One question was on recoveries. How do we see recoveries going ahead? Is the pool now getting lower and lower and is it going to the hard buckets? Is there some sense on the recovery and upgrade, it has been lower this quarter?

Dheeraj Mohan: Yes, so recovery has been lower this quarter just from – to give you a number. Last year roughly about INR36 crores was the income which we got from recovery and that pool actually has come down. So, this quarter, it is about INR3 odd crores. Yes, so this line item will start coming down.

Pritesh Bumb: So, actually, I was talking about the GNPA movement recovery basically, not the written off recovery?

Dheeraj Mohan: It is upgrades.

Pritesh Bumb: Yes, the recovery upgrades, yes.

Dheeraj Mohan: Yes, the pool actually has come down. If you look at it, the opening NPA numbers have come down from 861, it's come to 723. So, correspondingly, you will see the upgrade come down. It will also build up as the year goes by. So, this is only the first quarter. So, recoveries will from the pool will happen.

Pritesh Bumb: Sure, so why I was making a sentence because you report on a daily basis, the NPA. So, you said that 3% is a normalized capacity will come in. But what we've not seen is that the recovery not coming through this quarter at least, that's where the question basically and the second question was on the PCR Vasu sir mentioned it to be moving on a normalized basis to 70. But what will be the triggers to increase the PCR voluntarily or any triggers, because asset quality cycle is benign and your secured book does not require that kind of a provisioning, but what will trigger it to move up towards a

t least 65% sometime from now?

P.N. Vasudevan: It's more of general prudence, really. And just going back to your previous question in terms of the recoveries and upgrades, if you look at it, last year first quarter, this is on page number 20 last year first quarter the recovery and upgrades were 51.75 and 95.64. If you add that and take it as a percentage of the opening GNPA it's about 18% and this year first quarter similarly if you think 87.38 and 49.38 and sum it up divided by the opening GNPA that is 723.96 again it's 18%.

So, broadly what happens is the first quarter, whatever the seasonality that one typically experiences, the first quarter has been quite in line with what are the similar upgrades and recoveries of the first quarter of last year and hopefully and it was a higher, I mean lower level of gross slippage. So, I think it's a good combination that we had a lower level of gross slippage, but an upgrade which is practically in line with the last year's first quarter. And hopefully as the collection seasonality picks up, which happens typically after the first quarter, we should hope to see an even better upgrade and recovery going forward.

Pritesh Bumb: Sure. Thank you so much.

Moderator: Thank you so much. Well, ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. P.N. Vasudevan for his closing comments. Thank

you and over to you, sir.
P.N. Vasudevan: Yes, thank you. Thanks, all of you. Thanks for dialing in and giving us a lot of food for thought through your questions. And we shall continue to work to try and create the best retail franchise for the banks in the informal economy sector of the country. There is a large unmet demand as we keep mentioning and we do hope that we will be a banker of choice for those millions of people in that base of the pyramid segment and looking forward to all your support on an ongoing basis. Thank you so much. Bye-bye.
Moderator: Thank you. On behalf of Equitas Small Finance Bank Limited, we conclude today's conference. Thank you all for joining. You may now disconnect your lines.

Call: Oct 2023

"Equitas Small Finance Bank Limited
Financial Performance Q2 FY '24
Earnings Conference Call"
October 20, 202 3

MANAGEMENT : MR. P. N. VASUDEVAN – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – EQUITAS
SMALL FINANCE BANK LIMITED
MR. SRIDHARAN N – CHIEF FINANCIAL OFFICER –
EQUITAS SMALL FINANCE BANK LIMITED
MR. MURALI VAIDYANATHAN – SENIOR
PRESIDENT AND COUNTRY HEAD BRANCH
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MR. ROHIT PHADKE – SENIOR PRESIDENT AND
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MR. NATARAJAN M. – PRESIDENT AND HEAD
TREASURY – EQUITAS SMALL FINANCE BANK
LIMITED
MR. DHEERAJ MOHAN – HEAD STRATEGY AND
INVESTOR RELATIONS – EQUITAS SMALL FINANCE
BANK LIMITED

Moderator : Ladies and gentlemen, good day, and welcome to the Earnings Call of Equitas Small Finance Bank Limited's financial performance for Q2 FY '24. We have with us today Mr. P.N. Vasudevan, MD and CEO; Mr. Sridharan N, CFO; Mr. Murali Vaidyanathan, Senior President and Country Head, Branch Banking, Liabilities, Product and Wealth; Mr. Rohit Phadke, Senior President and Head, Assets; Mr. Natarajan M., Presiden t and Head, Treasury; Mr. Dheeraj Mohan, Head, Strategy and IR.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. P.N. Vasudevan. Thank you, and over to you, sir.

P.N. Vasudevan : Thank you. Good morning, and thank you all for dialing in this morning. On the macro front, India's GDP growth co ntinues to be quite resilient and all lead indicators like e -way bills, 3 -wheeler sales, 2 -wheeler sales, manufacturing, cons truction activity, so we see a good amount of activity across the sectors. And all this seems to indicate a favorable environment. And with the festivals coming in, in the second half of the year, we expect cash flows to improve in the hands of people, whi ch we hope will help us end the year on a strong note.

On the ground, we continue to see good demand across product segments that we operate in. And segments like commercial vehicle finance, small business loans, all the lead indicators in these segments are quite healthy. This gives us a comfort to grow the higher -yielding products within these segments.

Our advances have grown by 37% year -on-year. However, we must remember that last year, the first half was muted, while we had a very strong robust growt h in the second half. Hence adjusting for the base asset, we believe that the advance of growth for the full year should be in the range of around 25% to 30%.

Our portfolio quality continues to give us a lot of comfort. We are a 15 -year-old NBFC turned bank. During this 15 years, except for two external event -led stress in the form of demonetization and COVID, we have never seen a stress in our portfolio. Given our focus on sourcing channels, which is largely in -house and strong credit process, we believe that our portfolio quality should remain good, giving us a comfort to pursue sustainable growth.

On the deposit front, we continue to see strong traction in Retail TD, leading to an overall healthy growth of around 40% in deposits year -on-year. CASA is an area of focus for the bank, and Murali will deal with initiatives that are being put in place to grow the CASA book going forward. We have seen an increase in interest cost and decrease in NIM during the quarter based on the level of old deposits maturing and getting replaced with new deposits in the second half. And I've guided in the first quarter, we expect interest costs to go up moderately over the rest of the year to about 7.5%. With the benefit of increase in lending rates effected over the last fe w

months coming in, we expect the NIM drop to also moderate and remain within the earlier guidance.

Finally, I'm happy to share that as part of our CSR initiative, jointly between Equitas Healthcare Foundation and Sringeri Sharada Mutt, the Sringeri Shara da Equitas Hospital has become functional. These are principally cancer care hospital with other multispecialty also offered. The aim here is to provide high -quality health care at very affordable rates to people from low - income segments.

Thank you. And w ith this, I hand

it over to Rohit.

Rohit Phadke : Thank you, Vasu sir. Good morning, everybody. Advances have grown by 37% year -on-year and 6% quarter -on-quarter and have crossed INR30,000 crores. There's a reduction in the GNPA to 2.1% from 2.6% in the previous quarter. Collection efficiencies across businesses are stable.

In SBL, advances have grown by 32% year -on-year to INR11,550 crores. In SBL, our trust on growing the non -TN business continues. Non -TN disbursements were at 42% for the quarter as against 39% for the first quarter. The business has seen growth in the states of Andhra Pradesh , Telangana, Karnatak a and Maharashtra. The new LOS is now active in 300 branches across the country and will be fully operational across all the SBL branches by t he end of the year.

Microfinance, the industry has grown by 19.5%. But microfinance NBFCs have seen a higher growth of 38%. We have grown by 41%. Ex -bucket collection efficiency is stable at 99.4%. The CV industry has seen a growth of over 3% quarter -on-quarter, and demand remains strong. Our focus continues to be on LCV and small commercial vehicle in the used CV segment and on small commercial vehicles in the new CV segment.

In used car, our focus is on the personal use segment. Used car advances have now just near INR1,000 crores. The affordable home loans business continues to scale up well. The coming quarter is a festive quarter, and I expect the demand to remain strong. All indicators seem to be positive, and I do hope that we have another good quarte r.

Thank you so much. I'm handing over this to Mr. Sridharan -- Murali, sorry. I'm handing this over to Murali.

Murali Vaidyanathan: Good morning. As we are inching up towards the festive season, our quarter 2 results would actually cheer up all and for us , too. And in terms of deposit mobilization, we continue to have the retail focus, and we are happy to say that the newly launched 444 days, a 1 -year plus product which was actually the need for the hour across the segments, including HNI, senior citizens, has taken off very well.

In fact, last quarter, our mobilization, 70% to 75%, came through 444 days as a focus. So our retail focus in terms of acquiring customers is taking propulsion, and to take -- facilitate that, 444 days, our newly introduced product, has actually helped us.

Second important initiative is our institutional business last quarter shown us a good traction in terms of overall deal as well as CASA in terms of customer acquisition. So just to give you an insight, we, in the first half, has d one close to 1,10,000 FDs to be very precise and among 80,000 unique customers. So this shows the intensity of new customers coming in as well as old customer preferring TD as a preferred route.

NR business has crossed INR1 , 000 crores of TD, we are now present in 100 countries, and that is one incremental but significant learning and milestone for us.

Last but not the least, our digital solutions at this point of time is fully propelled with VKYC - backed. Our VKYC and full KYC conversions are all-time high. So overall, we will continue to have the focus of retail. We will continue to hold INR1 la kh to INR1 crore bucket, an d Elite proposition getting strengthened and strengthened.

With this note, I would like to hand it over to Nat -- Sridharan.

Natarajan M: Natarajan here from Treasury, yes. Good morning, everyone. The quarter went by has been a slightly challenging quarter in the market front. Bond prices went as yields hardened on the back of surging U.S. 10 -year yields, even the U.S. Fed continu es to issue hawkish statements on their ongoing fight to bring inflation below the targeted level of 2%. Indian equities continue to see a run up in Q2 FY '24, with modest gains of 2% for the frontline NIFTY 50, where the broader mid-cap and small cap indi ces have gained more than

13% and 17%, respectively.

Foreign investors, however, turned net sellers in both equity and bond markets. RBI continues to maintain status quo on interest rates, with emphasis on bringing inflation down to 4%.

Possibility of OMO sales to drain excess liquidity has changed the interest rate outlook in the short term. Global cues also point to nervousness as U.S. yields continue to spike, and higher -for-longer rates indicate U.S. could enter a brief period of recession.

Worsening ge opolitics, especially in Middle East region, could result in spike on crude prices, effectively challenging -- effectively channeling into higher inflation numbers. Despite India's economy continues to stabilize, consolidate and grow, short -term volatility is not ruled out as we approach multiple state elections ahead of the national elections next year. Hence, we view the market as cautiously optimistic.

Coming to Equitas treasury performance for last quarter, it's been under a steady performance. Profit o n sale of investments stood at INR23 crores. Our funding profile has been quite stable, with opportunities available to raise funds both in the form of refinance as well as IBPC.

With this, I hand it over to Sridharan.

Sridharan N: Thanks, Nat. Good mornin g to everyone. Our net interest income for the quarter came at INR766 crores as compared to INR610 crores during the same quarter last year, registering a growth of 26% Y -o-Y. Other income for the quarter came in at INR161 crores as compared to INR115 crores during the same quarter last year, registering a growth of 40%, resulting in a net income growth of 28% year -on-year.

The total operating expenditure came at INR597 crores as compared to INR483 crores during the same quarter previous year. The operating cost has increased by 3% Q -on-Q and 24% at Y -o-Y basis.

The bank continues to invest in loan origination system, customer apps and other enhancement features for better customer experience. Despite this spending, the cost to income is maintained at 64.3% level, which is comparatively better than Q1 FY '24 at 65.05%.

Pre-provisioning operating profit, PPoP, grew at 36% year -on-year to INR33 0 crores, and PPoP to assets remained stable at 3.38% for the quarter . PAT for the quarter came at INR198 crores as against INR116 crores during the same period last year, registering a growth of 70% Y -o-Y. ROA and ROE for Q2 FY '2 4 stands at 2.03% and 14.62%, respectively .

During Q2 FY '24, the bank has sold NPA assets for INR162 crores to ARC, which resulted in an excess provision reversal of INR23.04 crores in the P&L. We have made additional provision of INR28.03 crores, and the total provision for the quarter is at INR63 crores. GNPA improved by 48 bps at 2.12% in Q2 FY '24 as compared to Q1 FY '24 and improved by 170 bps as compared to Q2 FY '23.

NNPA improved by 21 bps at 0.91% in Q2 FY '24 as compared to 1.12% in Q1 FY '24 an d 1.93% in Q2 FY '23. The provision coverage ratio remains at 57.72%. As of September 30, 2023, the total CRAR at 21.33%, comprising of Tier 1 at 20.65% and Tier 2 at 0.68%. PAT of INR390 crores for the half year was not considered while computing CRAR as per the RBI guideline.

With this, I would like to hand over to operator, and we will be happy to take questions from your end.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Darpin Shah from Haitong India.

Darpin Shah: So my first question is, if you can just explain this ARC sale once again, please?

Sridharan N: About the ARC sale, which we made in this quarter, we have made a sale of INR162 crores worth of NPA advances. And we had -- as I told you, we have taken to INR23.03 crores to the P&L. The entire consideration was received was INR118.19 crores, consisting of cash consideration

of INR57.91 crores and security of INR60.28 crores and we have made a provision of INR47 crores on t he security receipts.

Darpin Shah: And my second question is on what will be the drivers for ROA now because when we see margins are coming down, our loan loss provisions will largely are at bottom at 80 basis points, and cost -to-income or cost -to-assets i s still at around 6% plus. So, what will be the drivers for our ROA, if you can just guide us on that?

P.N. Vasudevan: So, if you see the model, our -- the interest we are now more or less nearing the bottom of the interest rate cycle scenario. Our interes t cost has already moved to 7.21% in the second quarter.

And based on the quantum of deposits which are coming up for repricing the old deposits which are coming up for repricing over the second half over the next 6 months, we expect that the interest cos t would move up moderately from here on for the rest of the 6 months of the year. So, we expect the interest cost to move to around 7.5% over the next 6 months, which is more moderate than what really happened in the second quarter because most of the dep osits mature in the second quarter.

Second thing is that we have increased the lending rates in different products on the loan side over the last few months and the benefit of that we expect to kick in over the next few months and quarters.

So, third thing is that seasonally, the second half of the year is generally more robust from a disbursement perspective. So, that should again see some improvement from a fee income perspective.

So, a combination of all of this is what we expect that the effect on NIM s hould be a little bit more moderate over the second half of the year compared to the first half of the year. And so that's where we expect the spreads, the PPOP to kind of hold and the credit cycle we expect to continue to be quite benign for the rest of t he year also.

At least as of now from a market feedback perspective, our portfolio continues to do quite well and we don't particularly see any indicators which could reverse that. So, given all of this, I think in spite of the fact that we have had the worst year from an interest rate cycle perspective, I think the bank has done reasonably well from an overall management of the financials in the bottom line.

And assuming -- I mean we don't know. Nobody can predict, but assuming that the interest rates remain -- is not going down, at least, if they remain at the current levels for, let's say, the next 12 months or so, we should actually then start seeing the positive benefit of the interest rate scenario on Equitas because as in Equitas almost 85% of our loans are fixed rate loans.

So, if the interest rates even remain where they are with the increased lending rate that we affected over the last few months the benefit should actually start going to the opposite side. So, that's basically how we expect the bottom line to play out.

Darpin Shah: Just how much lending rates you would have increased over the last 6 months?

P.N. Vasudevan: So, it depends on different products. So, it's very difficult to get on product by product. But anyway, at the overall level, we will keep presenting it in our portfolio yield, that will reflect on the overall portfolio yield. But individual products, there will be differences in terms of what we do.

Moderator: Thank you. Our next question is from the line of Shreepal Doshi from Equirus Secur ities. Please go ahead.

Shreepal Doshi: Hi, sir. Congrats on good numbers. Sir, my question was on opex. We are in an investment phase and while we are working on upgrading our tech as well as coming out with applications, but if you look at our AUM growth is much higher versus our opex growth. So, what is the opex run rate

that we are likely to see for the second half?

And we have seen opex to -- sorry, cost -to-asset ratio coming off on a sequential basis. So, are we restraining on any of our -- this tech drives in order to attain that 2% ROA in mindset ?

P.N. Vasudevan: See the -- historically, what happens is that the opex goes up sharply in the first quarter because there is a -- on an average about 10% increase in staff cost. And in Equitas, if you just notice the staff cost is almost 65% of our total operating cost. And so when that goes up by 10% in the month of April, it has a very sharp effect in the first quarter.

And obviously income cannot go up at the same level in the first quarter. Income goes up, spread over the entire year and so we always have a negative j aw between income growth and opex growth in the first qu arter. And then slowly, that j aw starts reversing and towards the end of the year, it's actually completely reversal.

So that's the trend that we have seen always, and that's the tre nd that plays out this year also. So, in the first quarter if you see the opex growth, year -on-year opex growth for the first quarter was higher than the income growth, whereas when you look at the second quarter, the picture is reversed. The income growth is higher than the opex growth, even if it's only marginal, but it is reversed.

And third and fourth quarter, we expect that to continue to expand because the opex growth will

not have that kicker of staff cost increase, while the income should continue to reflect the growth in business. So that's how it is and this year also, I think that's how it will play out.
In terms of our investments, there is no kind of stopping of any of our investments. As you have mentioned, a few major IT projects have gone li ve already. Our entire CVs upgrade got completed in the first quarter. We have put in place a comprehensive enterprise data warehouse, EDW, that project got completed in the second quarter.
So, the LOS for vehicle finance has gone live fully now, and that has now become functional across all vehicles finance branches. The LOS for the retail, which is a small business loan and housing finance, so that is underway now. I think about 200, 300 branches have gone live with that and the remaining 150 -odd branche s will go live over the next maybe 2 months, 3 months.
Then in terms of other two major projects, the CRM -- the new CRM project that we are working on, that's expected to go live by the fourth quarter . The IBM B, which we have mentioned in some presenta tions earlier, the IBM app we are doing a bottom -up native development of IBM app with the help from IBM.
And that also is progressing very well, and we expect that to go live again in the fourth quarter of this year and that should actually give a very d ifferent level of customer experience for people who use our IBM app and also help the bank in terms of giving a different feel of the IBM app

based on the profile of the customers we can profile, we can actually differentiate the app based on the profile of the person who logs in.
So, all these projects, there's no stepping back on any of that. So, the entire journey that we have been undertaking on that continues. Besides that, as we mentioned earlier, the major investments are going into the product deve lopment. So, the personal loan, we have spent some money to develop our personal loan product, and that might go live by the fourth quarter of this year.
The AD -1 license that we got the -- we got the AD -1 license from RBI recently, and a lot of work is u ndergoing on that and we expect that the first set of products under our AD -1 category should go live by the first quarter of next year while parallelly the project team -- there's a project team that we have put in place for our credit card launch.
And s o the negotiations are on wi

th the vendors on that, but we have scheduled to go live by
second quarter of next financial year, which, as of now, looks broadly reasonably in place. So, you see that across the system, whether it's tech development or in prod uct development, we have really not been compromising on any of our spending. And so we believe that these are things which will really help the bank sustain its growth and profitability over the medium to long run.
Shreepal Doshi: Got it, sir. Thank you s o much for the detailed answer. Sir, just another question on credit cost rate...
Moderator: Sorry to interrupt Mr. Shreepal Doshi , may we request that you return to the question queue for follow -up questions as there are several participants waiting for t heir turn. Thank you.
Shreepal Doshi: Sure. Okay. Thank you.
Moderator: Thank you. Our next question is from the line of Rajiv Mehta from YES Securities. Please go ahead.
Rajiv Mehta: Yes, sir. Hi, c ongrats on a very good set of numbers. So sir, firstly, o n -- how much higher will be the disbursement yield versus the portfolio yield? And if you can comment about the movement in 31 DPD to 90 DPD bucket, have you seen any reduction? Or maybe if you can comment versus where we are -- what it used to be pre -COV ID just to get some idea about slippage?
Rohit Phadke: Hi, Rohit here. So can you please repeat the question, sir?
Rajiv Mehta: Yes. So the first question was about, how much higher will be the disbursement yield versus the portfolio yield, which is reported at 17.4%?
Rohit Phadke: Right. So disbursement will be -- it is distributed across products. It will be difficult for me to tell you each yield because there are multiple products. There are multiple sub -segments in each segment, right? So it's ve ry difficult. So for instance, in UCV, it has gone up by 1%. So similarly,

there will be very different yields across. It will be very difficult for me to tell you the disbursement yield for each product.
Rajiv Mehta: Okay. If you can just quantify the disbursement -- blended disbursement yield for second quarter disbursement?

Rohit Phadke: Okay. Just a minute.
Dheeraj Mohan: Yes, this is Dheeraj here. Yes. I just – okay, Rohit.
Rohit Phadke: Yes, I have it. So it's close to about 18.3% is our yield on d isbursement for the latest quarter.
Rajiv Mehta: Okay. And -- yes.
Rohit Phadke: So if you want to break up, see for SBL, it was 16.3% in March, and it is now 16.96% as of September. In case of CV, it was 15.96%, and it is 16.96% today. These are the disbu rsement yield.
Rajiv Mehta: Okay. And the second thing, I had asked was on 31 days to 90 days, the SMA 1, SMA 2 bucket. Has there been any reduction? And where is the bucket versus what it was pre -COVID?
Rohit Phadke: In 31 days to 90 days, it was [3.3] in the first quarter. And it's now marginally at about -- flat at about 3.26%.
Rajiv Mehta: Got it. Yes. Thank you so much.
Moderator: Thank you. Our next question is from the line of Nidhesh from Investec Capital. Please go ahead.
Nidhesh: Thanks for the op portunity, sir, and c ongratulations on a good set of performance for Q2. First on margins, if you look at your loan spreads have remained stable. We have seen 30 -basis -point improvement in yields and 30 -basis -point improvement increase in cost of funds. Bu t despite that, we have seen margin decline of 30 basis points. So what explains that? And should we further expect yields to go up given that our back book is fixed and despite that, we have seen sharp increase in yields in this quarter?
P.N. Vasudevan: Yes, you're right. We should see a further uptick on that because as Rohit just mentioned to the previous question, the disbursement yields have been going up, and the full benefit of that will only come over a period of time. So we are just beginning to se e tha

t effect, and hopefully, we should see further improvement in that as we go by. And given that, it's largely a fixed rate loan book, obviously, it will be there on the system for some time to come. Yes.
Nidhesh: And sir, on the margins, despite loan s preads being stable, our NIMs have declined by 30 basis points?
P.N. Vasudevan: Yes. So that's a combination of the fact that there has been an increase in the quantum of deposits because the deposit has grown by about 41% for the quarter compared to 37% o f advances growth. So there has been an incremental growth in deposits, which has been invested in

securities, in corporate bonds. So that is having that effect -- marginal effect from a NIM perspective.
Nidhesh: Thank you.
Moderator: Thank you. Mr. Nidesh, may we request you to return to the question queue for follow -up questions, please. Thank you. Our next question is from the line of Shailesh Kanani from Centrum Broking. Please go ahead.
Shailesh Kanani: Good morning everyone and thanks for the op portunity. Sir, I have two questions. One is on the gross slippage front, there has been a sequential hike. So how do we view that? And also on our CDR, though there has been a sequential improvement in CDR ratio, but it seems to be on the higher side. So can you just highlight both this thing?
Rohit Phadke: So I'll answer the question on the credit -- on the gross slippages. The slippages are marginally higher. And most of the slippages have come from the CVs. So CV cycle, if you look at it, because of the first -- because of the monsoons, generally, CV -- weak collection in the first six months, and the collection drastically improved in H2. So most of the slippages from CV, and we -- I expect that all those slippages will be covered up in the next six mon ths.
P.N. Vasudevan: On the C D ratio, without reckoning the ref inance from institutions, the C D ratio is about 94.5% for the second quarter. And yes, so it will keep slowly going down over a period of time. So we don't have a particular target or a time li ne, but it will keep going down over a period of time.
Shailesh Kanani: And sir, in this quarter, what was the impact of ICRR on NIMs, if you can – throw some number on that?
P.N. Vasudevan: The effect of ICRR on NIM. So it was not much. I can give you that the excess deposit we have to place with RBI because of ICRR was about INR180 crores for that short period of time. So that is the effect.
Shailesh Kanani: Okay. Thanks a lot.
P.N. Vasudevan: Thank you.
Moderator : Thank you. Our next question is from the line of Renish from ICICI Securities. Please go ahead.
Renish: Sir, just one question on the ROA. So now given we have already navigated the decline rate cycle with the current NIM. And still we have been able to generate a 2% plus kind of ROA. So now going ahead over the next three quarters to four quarters, when we see margin expansion happening as well as we don't foresee any cost to assets going up materially and the finance cost cycle. So what is our internal assessment on the ROA trajectory over ne xt three quarters to four

quarters, sir?
P.N. Vasudevan: See, we are not going to be able to give guidance on ROA for the next few quarters. We don't really want to get into that. But for a long time now, since we became a bank, we have been holding out th at as a model, a 2.25% ROA is something that this bank should be able to look at

as an optimal returns. So that's something that we have been talking of for a pretty long time. Of course, we didn't deliver it for quite some time.
We have our reasons of dem onetization and COVID, whatever. But minus external shocks of that nature, as a business model that we have put in place, which consists of about 15%, 20% of micro finance b

ook and 35%, 40% of small business, 25% of commercial vehicle, etcetera, and from a cost perspective, largely this is a in -house sourced business, we rarely employ DSAs for sourcing our business.
So given that kind of a model and the fact that we have very strong control over our portfolio quality, which we have demonstrated over the las t 15 years, if you put all of that together, clearly, we should -- and of course, assuming that we'll continue to strongly invest in terms of technology products and branding over a period of time.
If you put all this together into a model, something like around two quarter is something that one should be able to look at. But we are not saying that we are going to reach that at some point in time. But all I'm saying is that as a model, it should be possible to deliver that kind of return.
Renish: Okay. Okay . Great, sir. And just last thing from my side on the deposit side or necessity on the cost of deposit side. So given this quarter, we have seen pretty sharp increase in the cost of deposits. Is it fair to assume that if rate has to remain where it is righ t now, the TD cost, by and large, has picked out at current levels?
P.N. Vasudevan: Yes. So I think I mentioned that earlier that we are at 7.21% interest cost for the second half -- I mean, for the second quarter. And most of the old deposits have got mat ured and repriced. Now I mean we have analyzed our data in terms of how much more of the old deposits are coming up for maturity and repricing in the second half. And based on that calculation, we believe that the interest cost increase should be less than what we have seen in the second quarter. And over the entire second half, we expect that interest cost to go up anywhere in the range of around 25 basis points.
Moderator: Our next question is from the line of Ashlesh Sonje from Kotak Securities. Please go ahead.
Ashlesh Sonje: Hi, Sir. Sir first question is on the PCR front. Do we have any plan, as in what time line are we looking at to take the PCR to 70%?
P.N. Vasudevan: I think we have mentioned that in the previous calls also. We are looking at a two year time frame to reach that level.
Ashlesh Sonje: Okay, sir. Perfect. And sir, secondly, on the capital front, currently we seem to be consuming capital at around 100 to 150 basis points per year. Do we have an internal threshold for the [CRAR] before w e raise capital -- equity capital?
P.N. Vasudevan: Yes. So you know that SFBs have a 15% minimum capital adequacy requirement as per RBI norms and which means that at any point, we should not let it go below 18% to be very safe and comfortable. So definite ly, 18% will be a trigger level you can say. Second thing is that we have

hardly or practically no Tier 2 capital. So what we are likely to look at is that based on the appetite, based on the cost of funds, etcetera, et cetera, we would first look at the Ti er 2 option. When our capital adequacy ratio is coming closer to that 19%, 18% level, our first option will be to look at our Tier 2 option. And based on availability, appetite and cost, we'll have to take a look at that. And so raising equity capital in o ur view, it looks a little different at this point in time.
Moderator: Thank you. May we request you to rejoin the queue, please. Our next question is from the line of Suraj Das from Sundaram Mutual Fund. Please go ahead.
Suraj Das: Yeah. Thanks, sir for t he opportunity. Two questions. One, if I look at your segmental asset quality details. So MFI, GNPA and vehicle GNPA is going up. MFI has gone up by around 40 basis points over the last two quarters while vehicle has gone up by around 20 basis points. And this is despite the fact that these portfolios are growing at 40% -- 35%, 40% over the last two quarters. So anything, sir, on ground, what is happening or what you were s

eeing in terms of
asset quality in a couple of these segments?
And also just to add t here in the MSE finance, I think your disbursement ticket size has increased from around INR50 lakh to INR75 lakh or so over the last quarter, but the portfolio is degrowing. So what is happening there? Yes. So that would be my first question and I have on e more question.
Rohit Phadke: So first, I'll give you the -- answer your first question on what is happening on the ground in various segments. So across -- we see a very strong demand in all these segments in the ground level. And as initially, Vasu sir did explain on the -- all metrics, macroeconomic metrics seem to be doing well. So we see really strong demand for SBL for CVs as well as for microfinance. CVs too, it's very clear. Everything in CV is growing. There is ample availability of loads and freight rates are holding. So there is no dip in demand out there. So there's a very strong demand in all three.
In microfinance, the collections are going very good. X bucket collections have remained stable at about 99.4%, 99.5%. So the industry has been gro wing at 19.5%, and MFI -NBFCs have grown at 38%. We have grown at 41%. But our guidance continues that we will keep the microfinance book below 20% over the whole -- as far as a proportion of the total advances.
On MSE finance, see, we have had an impact du e to COVID. Some of our customers have had an impact. Those customers have not been able to come back very strongly and we are still helping those customers come out of that. It's a very small book. So our intent is that first, we need to get the books cle an. The delinquency is pretty high there. So once the delinquency comes in control then obviously, we will grow the book aggressively.
As of now, the increase in disbursements are because the economy is doing well and there is demand there. So we've been a ble to go to the market, source some good customers and that traction will continue. But if you look at the real aggression will come only when the delinquency in this portfolio has been reduced. Thank you.

Suraj Das: Sure, sir. Okay. Now to there's questi on more was on the asset quality, the GNPAs in this MFI and vehicles are going up. So any thoughts on asset quality?
Rohit Phadke: No. So seen CVs, usually, it's a cycle. The first six months because of the monsoons, the collection is slightly -- it's toug h on CVs in the first six months, and then the next six months, it goes up. But we see very strong collections at the ground level. So there's no need for concern, right?
On microfinance, the delinquencies are not really going up. What has really happened is that -- delinquencies have gone up slightly. So that is not -- I mean it's within the range. So I don't -- so there is no concern out there. It's a range amount.
Suraj Das: Understood, sir. Okay, last question, sir. A couple of...
Moderator: Sorry to interrupt, Mr. Suraj Das. May we request that you return to the questio n queue for follow -up questions?
Suraj Das: Sure, sir.
Moderator: Thank you. Our next question is from the line of Amit Jain from Axis Capital. Please go ahead.
Amit Jain: Yeah. Hi, si r. Thanks for taking my question and congrats on a good set of numbers. So first question is on -- again, on the segmental GNPA and the small business loans. So it has seen a sharp improvement. So any color here? Why is there some reclassification? Or what has led to the sharp improvement in the GNPA and the small business loans?
P.N. Vasudevan: The ARC sale was entirely the SBL NPA book.
Amit Jain: Okay. And secondly, sir, if you look at the movement of GNPAs, the upgrades and recoveries have been pretty h igh this quarter. So any color here would be helpful. Sir, any particular segments where we are seeing these recoveries and upgrades?
Sridharan Nanuiyer: The upgrad

es and recoveries are high because of one is that the ARC sale. So if you look at the recoveries that IN R118 crores and we have a written off INR44 crores on that account. So that is the reasoning.
Moderator: Thank you. Mr. Amit Jain, may be the request that you return to the question queue, please.
Amit Jain: Thank you.
Moderator: Our next q uestion is from the line of Abhishek M. from HSBC. Please go ahead.
Abhishek M: Hi, Vasu. Congratulations for the quarter and thanks for taking my question. So can you share some of your plans on branch opening and hiring for the second half?
P.N. Vasudeva n: Yes. So I think our branch opening story has been something we have talked about quite often in the past. We have invested quite strongly in our branch network over the last five, seven years

after becoming a bank. And we still have a long way to go in terms of ensuring that we are fully leveraging the branch network that we have got.
From the liability perspective, you see, we have nearly 400 -odd branches. And so we believe that this is a very strong network of number of branches and it should help us t o scale up our deposits to almost double of where we are without any significant increase in the number of branches. We'll keep adding branches year after year but it will not be very strong.
In terms of assets, we have nearly about 500 -odd branches where we operate. And one is that there is always a potential to grow further in the existing branches. Second thing is that many of the products are not fully rolled out in all the branches. So there still -- that's still a work in progress where some of the pr oducts are getting launched in some of the other existing branches. And that will give us a further ability to grow the book.
So on both ends, if you see, we have a good amount of investments done. And right now, we are really in the process of leveraging that investment. So over the -- I would say, in a time frame of two years, that if you look at a two -year time frame, I guess the number of branches that we will add will not be too much. It will not be very significant.
Abhishek M: Okay. But can you quant ify? Or do you have a target where you want to get to which you can say?
P.N. Vasudevan: No, we don't have a target. I mean, see, I guess, last year, I mean I really don't know the number here. But it's not much. Last year, I don't know how many branches w e have had, must be in the range of around 20 branches, 30 branches or something like that. And this year, probably it will be in the range of 30 branches, 35 branches or something like that. See, it's not a large number. So I don't even track it very clos ely.
Abhishek M: Understood. So basically, taking this and your previous commentary about large number of projects getting completed and becoming live, should we expect your opex run rate to be moderate? Like for example, this quarter, it was up some 2.5% Q-o-Q. Incrementally, your opex run rate should not cross your revenue growth for the next three quarters, four quarters at least. And therefore, the jaws should continue to widen, is that a fair assumption?
P.N. Vasudevan: See, the first quarter always, y ou will have the 10% staff cost hitting us, okay? And staff cost comprises of almost 65% of our total cost. So the first quarter is always going to be kind of negative. And after that, the second quarter onwards, the benefit of income will flow in and open the jaws in a positive manner. That is one thing.
Second thing is that while we are not really looking to invest strongly in terms of branch network, however, we will continue to invest, be it in technology, be it in products. So technology, as I mentione d, we have mentioned a few projects which are completed or underway. And once those are done, there will be -- I'm sure a few more projects that we'll want to take

up, which
will either improve efficiency or improve customer experience or give better optio ns for the customer to deal with the bank. So those -- I don't think we are going to reach a level where we say the technology investments are over for the -- for us. So that is -- I'm assuming will continue.

Second thing is that our product, we always men tioned that our product investments is something that we continue to invest. So this year, we have taken up two major products, which are our credit cards and the AD1 product. So there's a lot of work going on in that this year, and some amount of expense will be incurred on that this year, but a lot more of expense will be incurred next year. And so the product investment and the technology investment are something which will continue. Branding is something that we will keep kind of moderating or increasin g based on what is available in the city. But these two are something that we are fairly committed to.
Moderator: Thank you. Our next question is from the line of Rakesh Kumar from B&K Securities. Please go ahead.
Rakesh Kumar: So excluding this recovery u pgrades due to the ARC sale, what would be the normalized net delinquency number going ahead?
P.N. Vasudevan: So our GNPA -- if the ARC sale had not happened, our GNPA was 2.6% in the first quarter. And if the ARC sale has not happened, the GNPA would have remained practically at the same level, 2.5% to 2.6%. So it would remain at a very similar level. So overall, the portfolio quality is very stable. And the sale, of course, helped to reduce the GNPA, but minus that, we would have still been kind of comfor table.
Is that answering you or I didn't quite get your answer of what does that net something you asked me?
Rakesh Kumar: Net delinquency numbers, sir, in Q3, Q4. How would -- that normalized number would be, sir, in Q3, Q4?

P.N. Vasudevan: What? I didn't quite get it.
Rakesh Kumar: Net delinquency numbers, sir. Net delinquency ratio number.
P.N. Vasudevan: What is that? Sorry, I've been in lending for all my life, but I didn't really understand that. Are you talking of NNPA?
Rakesh Kumar: No, sir, basical ly, your slippage minus recovery upgrade number, sir? Slippage minus recovery upgrade number, how much that number would be in Q3, Q4 on a normalized basis?
P.N. Vasudevan: You are talking of the -- are you talking of the GNPA amount, opening and closing a mount? Is that what you're referring to?
Rakesh Kumar: No, so maybe we can take it off -line. No problem, sir. Just a really...
P.N. Vasudevan: I should take it off -line because seriously, I didn't get you.
Rakesh Kumar: No, no problem, sir. No problem, sir . So the second thing, is there any contribution of ARC sale in the interest income line?
Sridharan Nanuiyer: No. The contribution is to the P&L excess provision reverse of INR23 crores, actually.

Moderator: Thank you. Our next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.
Pallavi Deshpande: Just wanted to understand on the LCR decline on the liquidity coverage ratio, what would explain that? And how do we see it for doing well? And second one would be on this produ ct development, what would be the cost you're planning to incur for the credit card, sir?
P.N. Vasudevan: Yes. On the product development, as I mentioned, the two major products we are working on in Phase 2. While last year, the previous year, we had launc hed our affordable housing. So there's some amount of investments going in that. So this year, the affordable housing will break even.
And from next year onwards, affordable housing should start contributing positively to the margins.
And the other two new products, credit card and the AD1, that's something which

is work in progress. And launch is scheduled for next year. So obviously, next year, these two will drag the bottom line. And hopefully, sometime later, they should start contributing positively.
I'll ask Nat to answer on the LCR part of it.
Natarajan M: What was your question on LCR?
Pallavi Deshpande: We've seen a decline quarter -on-quarter, year -on-year also, 182%. So just wanted to understand the reason and -- of EBITDA and maybe what's the shar e of wholesale deposits now in the total deposit mix?
Natarajan M: Yes. There are a lot of moving parts in LCR. But the audit description is 600. And internally, most banks have 110%, 120% threshold. You'll agree that our 180% itself is a very healthy LCR.
So it's all a function of what kind of deposits we take, where we deploy it. Put it all entirely in H2 obviously, th e LCR goes up.
If you want to improve the yield and the park them in non -LCR, which we have done partly, it may not reflect in LCR, but at the same time, liquidity -wise, it's still comfortable. So LCR is just one of the tools to measure liquidity, comfort that a bank enjoys. There are various other ratios as well. So -- but 180%, to answer your query, is quite a comfortable ratio.
Pallavi Des hpande: I agree it's comfortable. I just wanted to understand any wholesale deposits raised in this quarter because the deposit growth was so strong?
Natarajan M: Yes, it keeps coming. Mostly over and above, and focus is on taking Basel -friendly deposits. So as a result of that, our focus will be to -- we'll ensure that most of the deposits are contributing to LCR as well.
Moderator: Thank you. Our next question is from the line of Preet Nagarsheth from Wealth Fin Advisors. Please go ahead.

Preet Nagarsheth : Yes. Actually, my question is regarding the microfinance industry. And there is an RBI regulation that says that the cumulative EMIs of the borrower has to be capped to 50% of the monthly income. Now...
P.N. Vasudevan: Yes? Hello? Can you hear me?
Modera tor: Sir, I think the participant has dropped from the Q&A session. We move to the next question.
P.N. Vasudevan: Okay.
Moderator: Our next question is from the line of Arvind R from Sundaram Alterbnates. Please go ahead.
Arvind R: My question would be on the segmental GNPA. So GNPA for SBL alone like actually came down from like -- actually sharply from 3.2% to 1.7 percentage. May I know what is the reason?

Like with that ARC sale or...
P.N. Vasudevan: Yes, that's ARC sale.
Arvind R: Okay. And my -- so the recoveries were also like higher. That also came from ARC?
Sridharan Nanuiyer: Yes, recoveries came -- which I mentioned, INR118 crores is the recovery.
Arvind R: Out of?
Sridharan Nanuiyer: Out of INR162 crores of GNPA.
Arvind R: Okay, and one -- just one more question. Like so deposits and term deposits has actually grown by like 80%, whereas retail deposits only grown by like maybe 60%, 58%, I guess. Are we seeing any issue in raising deposits in overall?
Murali Vaidyanathan: Yes. Murali here. No. I t hink the absolute contribution. See, last year, you're seeing bulk growth because of the low base effect. If you see this year, absolute mobilization, 73%, 74% has come from retail only. So there is no issue in terms of raising retail deposits. In fact, th is has been our best retail deposit quarter.
Arvind R: And how confident are we on like getting recoveries in the future quarters also, like do we have a significant recovery pool? Because we are having the 3.5 percentage gross slippage, and if we consider like a 60% PCR, then that still will lead to 2% credit cost. I know like I'm talking only in terms of gross, but what about net level, like how much are you confident about recoveries in the further subsequent quarters also? Like do we have any significan t recovery pool?
Dheeraj Mohan

: Dheeraj here. So I don't think we should look at recoveries from quarter -to-quarter in that microscopic fashion. And also our gross slippages number is a little different from what others report. So my only suggestion is rea lly don't expect us to give guidance on recovery quarter -on-quarter. I think the overall number we said from a credit cost, keeping how we want to take provisions up, keeping how market cycles are, I think that should be sufficient. I hope you understand.

Moderator: Thank you. Well, ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. P. N. Vasudevan for closing comments.
P.N. Vasudevan: Yes. So thank you. Thanks all of you for dialing in and giving us a lot of food for thought through your questions. Definitely, we always get educated every time we talk to you people, and we come out with better understanding or more clarity of what's happening around us. So continue to keep questioning us, continue to keep raising your issues and questions with us and help us keep improving all the time. Thank you, and wishing you guys all the very best. Bye -bye.
Moderator: Thank you. On behalf of Equitas Small Finance Bank Limited, we conclude today's conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2024

"Equitas Small Finance Bank Limited
Q3 FY '2 4 Earnings Conference Call"
January 25, 202 4

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MR. SRIDHARAN N. – CHIEF FINANCIAL OFFICER
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MR. MURALI VAIDYANATHAN – SENIOR PRESIDENT ,
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MR. DHEERAJ MOHAN - HEAD, STRATEGY AND
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BANK LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Earnings Conference Call of Equitas Small Finance Bank Limited financial performance for Q3 FY '24. We have with us today: Mr. P.N. Vasudevan, MD, and CEO; Mr. Sridharan N., CFO; Mr. Murali Vaidyanathan, Senior President and Country Head, Branch Banking, Liabilities, Product and Wealth; Mr. Rohit Phadke, Senior President and Head, Assets; Mr. Natarajan M., President and Head, Treasury; Mr. Dheeraj Mohan, Head, Strategy, and IR.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please si gnal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I would now like to hand the conference over to Mr. P.N. Vasudevan. Thank you, and over to you, sir.
P.N. Vasudevan: Thank you. Good e vening to all of you and thank you for dialling in today. The Indian economy is doing well compared to the other global economies. However, inflation remains a sticky issue and still away from the target of 2% to 4%. India's GDP growth this year is expecte d to end robustly. While next year, even though moderation is definitely expected, it may still remain at an attractive level.
At Equitas, as you know, we lend to customers at the bottom and the base of the pyramid. And we continue to see a healthy credit demand, normalizing of asset quality cycles and ample opportunities from this segment to enable us to continue to build a sustainable and scalable bank. Our b usiness model of lending to the informal and formalizing segments through a wide range of produc ts fuelled by deposits from the mass and the mass affluent households cater through a differential branch network has helped us weather and stay profitable during black swan key events, like demonetization and COVID.
As the impact of such events wane off, the bank has been able to deliver consistency in advances and deposit growth and return ratios. In the current year, we are going through an unfavourable interest rate cycle against a backdrop of the bank having nearl y 85% of its loan book at fixed rate loans.
During the first quarter earnings call, I had highlighted the impact we may see on cost of funds and margin during the year. Also, we had discussed our focus on improving the CD ratio and how we see that moving over the next 2 years. On both these fronts, Equitas is moving as per what we had mentioned. Our NIM at 8.37% for Q3 reflects the increased liquidity on account of

improved CD ratio and also the rising cost of funds.
During the past 12 months, we have imp roved our portfolio yield by 60 basis points and yield on fresh disbursement by over 100 basis points. And this has helped us mitigate some of the impact of rising interest rates. It's generally expected that interest rates may remain stable over the next 1 year with marginal drop coming towards the end of next year. If that plays out, we

should see a reversal effect of this year in terms of NIM expansion, given our large, fixed rate loan book.
On CD ratio, as guided during the third quarter, we expect to bring it down to about 85% by end of March 25. I repeat March 25. With a CD ratio at about 91.5% as of December 23, we have complete d most of the heavy lifting and the impact of further reduction in CD ratio on NIM over the next 5 quarters may be muted. Wh en we include refinance, the CD ratio, even as of December 23, is about 85%.
On the business front, across product and customer segments, we are fairly well settled, reflected in steady advances growth. We expect to continue this and expect to end the yea r with around

25% to 28% gross advances growth. Overall, portfolio quality remains comfortable.
Our deposits also continued to grow well with a focus on retail assets. We would like to highlight that out of the incremental deposit mobilized during the thi rd quarter, about 80% of them came from retail term deposits. The franchise is coming up well. And over the next few years, our strategy is to move to a customer segment approach from a product segment approach, which should help us deepen our offering for families, NRIs and digital -savvy customer segments.
Before handing over, it gives me pleasure to inform you that our trust, Equitas Healthcare Foundation, jointly with Sringeri Sharada Mutt Karnataka, have launched the Sringeri Sharada Equitas Hospital, a cancer care hospital with 100 -bed capacity. Since the entire capex for the land, building and equipment are born out of the donations from Sringeri as well as our CSR contributions, we need to charge patients only for the operating cost.
Thus, our charg es are about 40% of the charges of other private hospitals. And this hospital is really targeted at the middle - and low -income families to provide affordable, high -quality cancer care. And for those who come from very low income or poor families, we would be further discounting, even giving free for some of the low -income people.
With that, I now hand over the call to Sridharan, our CFO.
Sridharan N. : Good evening to everyone. Our net interest income for the quarter came at INR785 crores as compared to INR647 crores during the same quarter last yea r, registering a growth of 21% year -on-year. Other income for the quarter came in at INR185 crores as compared to INR127 crores during the same quarter last year, registering a growth of 46%, resulting in a net income growth of 25% year -on-year.
The total operating expenditures came at INR610 crores and remained stable with an increase of 2% sequentially. Cost to income has come down to 62.88%, which is comparatively better than Q2 of FY '24 at 64.3%. This impro vement was attributed to treasury performance during Q3 FY '24 of INR30 crores as compared to INR18 crores during Q2 FY '24, a growth of 70% Q-on-Q.
Pre-provisioning operating profit. PPoP grew 29% year -on-year to INR360 crores and PPoP to assets remained stable at 3.53% for the quarter. PAT for the quarter came at INR202 crores as

against INR170 crores during the same period last year, registering a growth of 19% Y -on-Y.
RoA and RoE for Q3 FY '24 stands at 1.98% and 14.44%, respectively.
During Q3 FY '24 , the bank has securitized and assigned advances worth of INR1,390 crores pertain ing to advances in SBL, HF and VF. Based on the current advances, the bank is maintain ing a healthy PCR of 55.97%. and it continues to follow stringent provisioning norms across all asset segments. The total provision for Q3 FY '24 was INR84 crores.
GNPA improved by 108 bps Y -on-Y to 2.38% in Q3 FY '24 as compared to 3.46% in Q3 FY '23. Including the securitization book, GNPA would stand at 2.29%. The NNPA improved by 67 bps Y -on-Y to 1.06% in Q3 FY '24 as compared to 1.73% in Q3 FY '23. The provision coverage ratio remains at 55.97%. As of December 31, 2023, a total CRAR at 20.24%, consisting of Tier 1 at 19.69% and Tier 2 at 0.55%.
With this, I would like to hand over to Mr. Rohit.

Rohit Phadke: Thank you, Sridharan, and good evening, everybody. Advances have grown by 31% year -on-year and 5% quarter -on-quarter. GNPA has been stable at 2.29%.

In SBL, advances have grown by 32% year -on-year and 7% quarter -on-quarter. In SBL, t here's growth in non -TN businesses. As of December 22, the composition of disbursements of TN and non-TN were 65% and 35%, whereas as of last month at December end, TN disbursement had come down to 54% and non -TN disbursements have gone up by 46%. Ex -bucke t colle

ction

efficiency continues to be at 99.5%.

The business seen steady growth in the states of AP, CG, Karna taka, and Maharashtra in the non-TN states. The new LoS has been rolled out and is now active in 182 branches across the country. Another 200 branches will go live this quarter.

In micro finance, advances have grown by 32% year -on-year and 7% quarter -on-quarte r. 100% of all new customers acquired last quarter were onboarded using e -KYC. 95% of all new customers acquired last quarter signed the agreement, eliminating the need for use of physical agreement.

In the vehicle finance business, the used car book has now grown to 14% of the total VF advances and it has crossed INR1,000 crores. The focus here is on funding into customers for personal use. The used car market in the country is huge, and we aspire to grow this product.

The focus in used CV and new CV port folio continues to be primarily on small commercial vehicles, light commercial vehicles, and pickups.

The affordable housing home loan business is scaling up well in 34 branches in 5 states. The new LoS for this business has been rolled out in all the bra nches . Rural demand and macro indicators are quite positive. Things do augur well for the coming quarters. I am quite hopeful that the coming quarter will always be good.

Thank you. I'm handing it over to Murali.

Murali Vaidyanathan : Good evening. Thank y ou. Once again, I take this opportunity to thank you all. Our overall focus on retail -centric approach with a differentiated approach of mass and mass affluent is continuing. And it is continuing to yield good results on three reasons. One is if you see o ur mobilization from the last quarter, for the last 3 quarters, we are able to maintain anything between 77% and 80% of the incremental amount, what we mobilize is through absolutely retail tickets, which is through individuals, which is through affluent i ndividuals and also through the NR segment. I think that is one important thing that is happening.

So our continued focus on retail is helping us to penetrate us into investor segment as well as trader segment, so coupled with the fact that you see mutual fund AUM is showing a trajectory growth of 36%, couple of effects, our brokerage account, which we have a 3 -in-1 tie -up, is showing very good traction of again a growth of 25%, 26% and, most importantly, ASBA helping u s to actually retain SA balances. So expansion from saver to an investor to trader is significantly helping us.

As a channel, our focus on NR is now we are present in close to 120 countries through customers across and giving us a reference moat. And NR shifting into RTDs when new developmen t, but that is helping us to grow the relationship across the spectrum. So what we are seeing is relationship backed by attractive pricing at this point of time. Consumer as a retail would like to transact more and want to hold more products. And increasin gly, we are seeing products holding at a customer level and products holding at an individual level is increasing the traction.

VRM as well as normal RM channel books are growing. So overall, the trajectory looks positive. Yes, the pressure on CASA will c ontinue to be there. And this is the first quarter after last 2, 3 quarters, I think, we have shown growth in SA also. And the increased focus on ASBA as well as trading account, I think we should develop that module. The differentiated solution in current account, for example, virtual account numbers and solutio n-centric approach, along with TD suite is helping us to grow the CAR account to the current accounts. So overall, our efforts are continuing to sustain this growth path.

I hand it ove r to Mr. Natarajan, who heads treasury.

Natarajan M.: Thank you, Murali. Good evening, everyone. Q3 FY '24 has been a relatively steady quarter on th

e market front. On a quarter -on-quarter basis, India 10 -year yields remained mostly unchanged despite som e volatility. Bond prices remained steady as market participants continued to believe that the worst of inflation and rate hike cycle is behind while continuing to avoid corroboration through data prints .

The U.S. Fed continues to be hawkish despite expec tations of softening view, largely due to the ongoing fight to bring inflation below the targeted level of 2% while trying to avoid recession in an attempt at safe landing. It was a good quarter for Equitas globally. Dow Jones gained 12%. Nearer home, Indi an equities continued to see a run -up, too, in Q3 FY '24 with gains of almost 11% for the frontline NIFTY 50 Index.

We scaled mount 20K on good buying from across investor classes like FIIs, DIIs, HNIs and retail. Multiple state election results seem to a id market sentiment ahead of national elections. Short -term volatility is not ruled out as we approach budget and national elections.
Geopolitics continues to be a point of concern and supply lines can be an issue, especially for oil if situation in Israe l and Gaza worsens. It can result in higher inflation numbers. Despite India's economy continuing to stabilize, consolidate and grow, considering the global nature of trade and supply chain, we can expect some volatility going ahead. Hence, we view the mar ket as cautiously optimistic.
Coming to Equitas treasury, performance for Q3 has been another steady quarter. Profit on sale of investments stood at INR27 crores. Our funding profile has been stable with opportunities available to raise funds both in the form of refinance or IBPC and securitization.
Thank you. With this, I hand it over to the operator.
Moderator: Thank you very much. The first question is from the l ine of Shreepal Doshi from Equirus. Please go ahead.
Shreepal Doshi : Sir, my first question was pertaining to the increase in slippages, which has also led to increase in GNPA. So could you please explain the reason behind this one ?
Rohit Phadke : Our slippages have increased slightly for the reason that there have been heav y floods in Tamil Nadu. And p rimarily, slippages have gone up in vehicle finance and micro finance. But if you look our slippages, they have always been range -bound between 3% to 4%. I think this is we feel that this is normal and 3% to 4% is a range -bound for our business .
Shreepal Doshi : Okay. [Potential strategy as you are looking because] of the floods. So how are we seeing the situation now recovering?
Rohit Phadke : Usually, fourth quarter collection efficiencies are good. But we see that, particularly in the case of vehicle finance in the market, delinquencies have normalized. And coupled with that, the fourth quarter, generally collection efficiencies are higher. So we feel that the collection efficiencies will be much better in the fourth quarter. Bu t we think that we have reached a normalization in the credit cycle. Because for the first 2 quarters, the cr edit cycle was very benign and now we feel that the market is coming back, the credit cycles are being normalized.
Shreepal Doshi : So the increase in credit cost during the quarter was also pertaining to this event only. Is that a fair understanding?
Rohit Phadke : Yes, yes, you're right.
Shreepal Doshi : Got it. Sir, second question was again on the vehicle finance side itself. So last quarter, we had rolled out the new LoS for this particular segment. And I was just listening to your earlier comme ntary, where we are aspirations about growing this segment. But if you look at it, the GNPAs have gone up, the disbursements during the quarter was soft. So what is it that we have in pipeline in terms of ramping of this segment incrementally?

Rohit Phadke : So the new LoS for vehicle finance has been rolled out in all the branches, and it's very active. As far as growth is concerned, advances have grown at 30% , so which is quite good. And we will continue this pace of growth in vehicle finance, right? In vehicle finance, we are only the disbursements are slightly lower because we last -- the same period last year, we had funded some low -yield strategic custom ers.
And low -yield products is what we have not done in vehicle finance. That is why probably you see some of the disbursements lower. But otherwise, we see a healthy growth in the market also in terms of Vehicle Finance. And we also feel that vehicle fin ance, particular ly in new CV and used car will grow .
Shreepal Doshi : Got it. Sir, last question, just a bit on credit cost front, so because of flood s and also while you said that recoveries will be held in 4Q, will there be any spillover effect on credit cost fund in 4Q?
Rohit Phadke : So see, if you -- last year, we had guided on a credit cost of 1.5%. And we landed at about 1.56%.

This year, we feel that our credit costs will be at around 1.25%.
Shreepal Doshi: Okay. So we will not reach irrespective of this event at all?
Rohit Phadke : Yes, yes. And we believe that we'll be there.
Shreepal Doshi: Sorry?
Rohit Phadke : We believe that we will be at 1.25%, but we will not exceed 1.25%.
Moderator: The next question is from the line of Renish Hareshbhai from I CICI Securities. Please go ahead.
Renish Hareshbhai: Sir, two questions, again getting back to the credit cost one. So our nine -month credit cost run rate is 90 basis point -odd. And when we are saying our full year guidance is 1.25%, does it mean that Q4 w ill be higher in terms of credit cost? Or will you be significantly below the guidance range?
Vasudevan P N : So remember, in the beginning of the year, we had guided for a credit cost of 1.25% for '24 this year. So we are kind of sitting with that guidance that we gave in the beginning of the year. And we believe that the credit cost should be around that level or less than that. It will not be more than that. The question, what you're asking, is whether it will actually be 1.25% or will it be lower than th at. We believe it will be lower. But we are still sticking with the guidance that we gave at the beginning of the year.
Renish Hareshbhai: Got it. And sir, just from a medium -term perspective, as you already highlighted that our normal slippage run rate wi ll be anywhere between 3% to 4%, and even if we take 30%, 40% LGDs, so let's say, going ahead in the medium term, the credit cost range should be 1.2% to 1.5% or ho w you internally build the credit cost?
Vasudevan P N : See, historically, our credit cost ha s always remained -- I mean, if you remove some of the Black Swan years , otherwise, historically, our credit cost has always remained in the 1.1% to 1.2%.

That's where it has always traditionally been. And we believe that given our product mix and the customer segment that we lend to, on an ongoing basis, our credit cost should be typically within that range of around 1.2% and 1.25%.
Renish Hareshbhai: Got it, got it. And sir, just last question from my side. So if you look at the disbursement yield, which has gone up by almost 47 basis points sequentially, so if you can throw some light on which product is sort of driving this higher rate. I mean, acros s the product, we have increased it or there are a couple of products wherein we have increased the rate? And secondly, when we look at the disbursement run rate for this quarter, it's flattish.So is there some correlation between, let's say, higher intere st rate and the lower disbursement? Or how do you want to get these two data points?
Rohit Phadke : So one is you asked on which products will grow?
Renish Hareshbhai: So whi

ch products you have high rates ?
P.N. Vasudevan: High rates?
Rohit Phadke: Which product has increased the yield...
Rohit Phadke : So SBL, vehicle finance, micro finance, so all these three products have increased rates. Rates have also gone up marginally in the affordable home loans business. But that is marginal. Because there, you do n't get very high rates. But rates have significantly gone in small business loans, vehicle finance and micro finance. This is your first question.
The second question is whether we have slowed down disbursement because of some low -yield products. Yes, se e, we don't want to sacrifice NIM for the sake of only top line growth. So some of the low -yield products, we have stopped focusing. And we have focused on our high -end products. That is a yes. So the last year, we had the opportunity to do a lot of NBFC f unding. And we did get our rates.
This year, there is a lot of demand for NBFC funding. But the rates, they are able to get very low rates in the market. And we don't feel that that's a great opportunity in sacrificing rates for the sake of doing top line growth. So we have defocused on those products.
Renish Hareshbhai: Got it, got it, got it. And sir, just last thing, so on the deposit side, how the market is and what we understand from outside is that competitive intensity has gone up significantly with in past six, eight months. So in such scenario, how confident we are to sort of sustain this current deposit growth rate? And let's say, if not -- if that doesn't happen, how will you protect your CD ratio? I mean, naturally we have to tap along ? So how o ne should look at the deposit growth run rate in conjunction with the CD ratio expectation?
Murali Vaidyanathan: See, deposits, if you see the mobilization part at the retail level, between CASA and RTD, while the mix has changed, more skewed towards RTD, our ability to raise retail deposits has been in line and steadily growing up month -on-month, quarter -on-quarter, the relationship team, which

works there. So our key strengths are the product we have, program we have, relationship we have, and most import antly, the price points at which we attract the customers.
So in terms of product -ship, program -ship, and engagement -ship, I think we are there. So we are fairly confident. And second thing is since it's retail and spread across mass and mass affluent and NR all contributing, we are fairly confident that in terms of retail growth, we will sustain there. Bulk is based on the requirement, okay?
The bulk is based on absolute requirement. Despite the r equirement being there, as Mr. Vasu also said in the initi al discussion, to be very precise, last quarter, 77% of the deposit mobilization came from only retail. A quarter before that, if you go back, it will be anything between 76% and 77%. So we'll continue to focus on retail, which continues to go granularly. And that will help the CD ratio also as chartered out until March, we're able to achieve it.
Moderator: Next question is from the line of Arvind R from Sundaram Capital.
Arvind R: I just like to understand if you can give any colour on what kind of book ha s been securitized? And that is my first question. And second question...
Sridharan N : Yes, the first questi on is clear, what kind of books have been securitized.
Arvind R: Yes, what kind of books it has been securitized, I mean, if you can give some colour on that. And second question is on -- like how would it impact the interest income? For example, if it is securitized, do we recognize it as direct assignment gain? Or like a differential is booked as interest income, like if it is booked as interes t income, like where could we usually report it in the financial statement?
Sridharan N: Yes. The first question is that whatever we have done, the securitization attainm

ent, is SBL and
HF and VF loans actually. And the s econd question is how they are the vehicle finance is INR897 crores; housing finance, INR271 crores ; and small business loans , INR2 22 crores, all put together, INR1,390 crores.
And your second question is how the recognition of income with regard to this one actually. See, whenever, we se curitize a portfolio , our portion of the income which we receive, over and above what is paid to an investor is shown as other income as a securitiz ation income, not as an interest income.
Arvind R: So it will be part of the other income. I mean, like basically part of the fee and other income you're saying.
Sridharan N : Yes, yes. There is no upfront.
Arvind R: Sorry, sir, there is no?
Sridharan N : There is no upfront income is recognized there.
Arvind R: Okay, okay. Only the difference is booked as part of the income.

Sridharan N : Exactly. Because this is based on the cash flow waterfall mechanism. As per that, it is recognized to a period of time b ased on the cash flow.
Moderator: The next question is from the line of Harish Swaminathan, an individual investor.
Harish Swaminathan: I have just one question on the employee stock option scheme, if I may. Have we done any sort of analysis as to the cost versus benefit of the scheme with respect to you know this benefit is, of course, if we can retain employees. But the cost is that it dilutes the equity. And so instead of that, if you pay out the market salaries, then if they're interested, they can bu y the shares.
So and is there any sort of threshold which we don't want to breach with respect to comparable banks? Because it dilutes the equity on the one hand. But yes, we hope to the employee has a vesting period of, let's say, four years. But inste ad of that, if you pay him market salaries, then he decides whether he wants to buy or not. So I just wanted your thoughts on that.
P.N. Vasudevan: Yes. So we had an ESOP scheme, which was formulated a very long time back. And when we did that really 2007 or 2008, when we formulated the ESOP scheme when we were an NBFC, so we had set aside certain options under the pool, ESOP pool. And that was about 15% of the capital at that point in time.
So subsequently, I think once we added to that pool maybe about s ix or seven years back. Today, there are a number of options available in the pool to be granted, will work out to maybe about approximately I mean, off memory, I'm not very sure, but off memory, it should work out to maybe about 4% of the or maybe 3%, 3 .5%, 4% of the equity of the bank.
In terms of dilution, of course, as we all know, ESOPs can do dilute their shareholders. But then it benefits the employee to whom it is offered. And it's part of the compensation package and

compensation structuring. An d so it's something that we expect should help improve retention in the system of people who are good performers.

ESOPs, there are many ways of offering it to the employees. In Equitas, what we are adopting currently is that ESOPs are offered to employees at the end of each year of business performance. Based on their performance and based on their appraisal rating, ESOPs are granted based on their position or level in the system. And once the ESOPs are granted, they vest after a period of 12 months.

And o nce they vest, they can be exercised within three years from thereon and all options are granted. At the time of grant, they're already granted a t their price of the previous closing price of the previous day. Then further, ESOPs are -- the grant price i s taken as of the closing price of the previous day to the date of grant. That's how it is done. We do believe that this is something which is a very highly motivating instrument from an employee retention perspective.

And I'm sure you would have seen in other org

anizations, and in Equitas, we have definitely seen many instances where people have seriously and significantly benefited from the value of value accrued under various ESOP schemes. And that's something that overall helps build a further level of loyalty or commitment to the system.

Moderator: The next question is from the line of Abhishek Murarka from HSBC.

Abhishek Murarka: So my first question is on disbursement yields. I think, can you share the disbursement yields for SBL, VF and MFI for the quarter?

Rohit Phadke : Abhishek, just a minute. Overall, our yield has gone up from -- three products, SBL, VF and MFI. M F is constant at 25%. We've increased it from 24% to 25%. In vehicle finance, I don't have the overall -- one second, one second. Okay, I'll give you the top segment. The used CV, we have grown from 18.28% in March to 19.56% in December. In new CV, we've gr own from 12.32% in March to 13.69% in December. In SBL, we have grown from 16.33% in March t o 17.16% in December.

Abhishek Murarka: That's very useful. And these are the disbursement yields?

Rohit Phadke : Yes, yes, these are the disbursement yields, these are not the portfolio yields.

Abhishek Murarka: Understood. And passing on these yields are is easy or, I mean, you're finding it incrementally difficult to take further yield hikes? So in your customer segment, how is the competition playing out, if you c an talk a little bit about that?

Rohit Phadke : Yes. As we keep saying that we lend to the under -banked or the bottom of the pyramid. So we don't find much difficulty in increasing the rate. But we also have to keep in mind that there has to be a threshold that there has to be also there. Affordability has to be borne in mind. That is one thing that we have to keep in mind while increasing the rate.

Abhishek Murarka: Sure. So the disbursement, if I were to tie it back, basically the slowdown in disbursements this quarter on a sequential basis, that was more to do with just trying to align with the CD ratio goals. And now incrementally, should we see a sort of pick up again in the following quarters?

P.N. Vasudevan: No, no, no. The disbursement and CD ratios a re really not committed because we have been able to mobilize extra deposits to ensure that we meet our CD ratio requirement on an ongoing basis So, that's really not a reason in terms of disbursement at all. So I think the disbursement is moving quarter -to-quarter. If you see the Q2 was higher and Q3 was lower in disbursement. That is the only because of certain specific reasons such as maybe a lot of holidays, maybe a lot of rain disruptions in different parts of the country in the third quarter, etcetera . But these are very normal and I think they are so long as they are within a certain range, I think they are generally comfortable.

Abhishek Murarka: Right. But incrementally, Vasu, the disruptions are over and now it is business as usual and that we sh ould resume growing in each of these segments. Is t hat a fair way to look at?

P.N. Vasudevan: I mean, even with all those disruptions, we have done a 32% advance growth on a gross basis for the nine months. It is very comfortable. I don't think that's some thing that we need to be, we are at least concerned or worried about. And so these kinds of disturbances will be there. Holidays and rains are some things that's part of life. So they will keep coming at various points

in time. So if you see Q2, there are certain parts of the country which faces rain. In Q3, some other parts of the country face rain. So these are things which will happen.

And to that extent, there will be some level of range within these disbursements will move or get in faster. But on an ongoing basis, these are normal things and business doesn't

really get
affected too much because of that. So you may have a small dip here or a small increase in some other area. But the se are within normal ranges and so they don't really account for a fa ctor which should raise that as a concern.
As we have mentioned earlier, we have been guiding that we should, on a sustainable basis, look for about 25% -plus level of growth on an ongoing basis and that's something w e believe should be possible over the medium term.
Abhishek Murarka: Got it, got it. And just the second question is on costs. So we've seen now a bit of improvement in costs for a few quarters. Should this secular trend continue ? Or again, we could see some or is there any impending sp end, let's say, on technology or big branch expansion plans or something in the pipeline?
P.N. Vasudevan: So on cost of operations, we have been saying, and I think that's something that we have been saying fairly for a long time, that we are still a fairl y evolving bank. So we are going to be seeing cost of funds at very similar levels to where we are. Yes, there has been a drop in the last two quarters. But again, you may remember that in the first quarter, our cost of operation always jumps higher becaus e there's an increase given to the staff, the yearly increm ent given in the month of April and that always takes the first quarter cost to a higher level. And subsequently, that gets leveraged over the year. And that's what is flowing out in the second an d third quarter.
So if you look at the further investment required in the bank going forward, technology is one area where some amount of investments will keep going in. Second thing is, we have mentioned it earlier, there are two big products coming along the way. One is our AD -I project and the other one is credit card launc h. The AD -I project is underway and there's going to be some amount of investments we need to make both on tech and on people to get us enabled and ready to commence that business. An d credit cards, again there's going to be an investment both on tech and on people before the product will go live.So these are the two products where some investments will come shortly in the future. But otherwise, if you see branch expansion, as we have mentioned in the past also, we have put up a very large number of branches quite early on. And so thankfully, the cost of increasing our network of branches is behind us. So that is not something you should see -- for the next at least 2 to 3 years, you wo n't see too much of increase in cost because of branch expansion. That's one thing.
Second thing is that other than these two new products, so credit card and AD -I, we don't r eally see any particular new / other new products comin g into the system. So ther e is most of the products that we have already invested and many of the products will become profitable across their loss -making cycles and become profitable. The affordable housing is still at an early stage. But this year, they should break even and the next 2 years, they should be pulling their full weight in the system. So minus credit card and the AD -I, we are all really not looking at any other major product investment.

So product investment, offset of these two and branch network investments, are s omething that we have done in the past, and we are getting the benefit of that today. Going forward, tech investments in these two products are the ones where we should be noticing the success of our branding. So to some extent, you can say our cost will b e at this level, give or take, 1% or 2% on a quarterly basis moving up and down. But otherwise by and large, I think we should remain at this level.
Moderator: The next question is from the line of Sarvesh Gupta from Maximal Capital.
Sarvesh Gupta: Sir, ju st a follow -up on the previous question, so I mean, we are h

aving a very strong growth in
our overall top line. So given that, I mean, why would you expect, let's say, in the medium term, 2 to 3 years, for the cost to income to remain at the same level? Is it just because of the newer products which will have losses whic h will be large enough to be to keep the cost at a elevated level?
P. N. Vasudevan: Yes, absolutely, absolutely. I think there is going to be a fairly large amount of money, which has to be put behind those two products and the related technology platform that needs to be created. We don't have any of that. We don't have the treasury system for managing forex. We don't have the foreign transaction settlement systems. And we don't have the eff ort and tools for monitoring fraud risk management of foreign transactions. We don't have any of that today. So the technology behind all of that needs to be put in place on the credit card. Again, the entire thing has to be put in place .I mean, the eleme nts for the loan management system for credit card

is first and then that has to be integrated with other systems. So there is a large amount of investment required on both. And probably we'll spend most of our money before we even start the product. And t hen the product is going to take time to get going and then turn breakeven and then become profitable.

So there's maybe a 3 -year kind of a time frame by which we will probably fully pull their weight on the system. And that is the time when the investments will have to be supporting these products.

Sarvesh Gupta: And is it possible like the two projects you mentioned, AD -I and CC, is it possible to quantify or give a range of the investments that we are contemplating in these two areas?

P. N. Vasudevan: Yes, we will do that. So to my point, I think we'll note that down. Next quarter, when we come back, we will give you the data. Yes, we will give you a good amount of idea of the kind of money that we are going to invest in these two and also give you some ma ybe a ballpark idea in terms of the launch date and also the likely break -even time span. So we'll give all of that in the next call.

Sarvesh Gupta: And just finally, next year, you would expect broadly NIM to be in the same range or increase a little bit in case the interest rates go down? Or do you expect any pressure because of a mix change, any further pressure on the NIM?

P. N. Vasudevan: Actually, if you see our model, we had an 85% fixed rate loan book model. And so we have had the worst of the time during the current financial year, right? We have really gone through the

worst of the time when the interest rates have really sharply gone up. And our yield on advances remain sticky because they are all fixed rate loans. We are not going to be able to r efi for our existing borrowers.

And we did increase our lending rate. We have mentioned that our disbursement yield went up by 1% over the last 1 year whereas our portfolio yield has gone up by about 0.6% over the same period of 1 year. And the NIM has co ntracted by nearly about 75 basis points or 0.75% over the same period.

So because of that, the NIM has contracted. But in spite of all of that and in spite of continuing to invest in technology and in the new products, we are able to deliver an ROA and ROE which is at fairly reasonable levels of around 2% and 15%, respectively.

So that shows basically the underlying fundamental profitable model of the bank. Now going forward, that's going to be interesting. The next year is going to be really interestin g because there are three scenarios. Interest rates can go further up. Interest rates may flatten out and remain at this level. And interest rates in the next maybe 3 quarters or 4 quarters may start coming down.

Now if the interest rates go up, we are goi ng to see a repeat of what we have seen in the current year, our N

IM should go down.

But however, if that does not happen, if interest rate remains even flat, forget going down. Even if it remains flat, we should see our NIM starting to improve because ou r advances yield has been growing as we have mentioned, right, and our interest cost will start flattening out. The rise in the interest cost will stop. We have taken most of the hits, I believe.

In the fourth quarter, there will be further increase in the interest cost to some extent. And in the first quarter of next financial year, there will be again a marginal increase in the interest cost because we still have some old deposits coming up for maturity.

But from the second quarter of next year onwards, the interest cost may not really go up at all, assuming the rates remain flat. But o ur portfolio yield will continue to rise because of the current year disbursement being at higher rates, as a percentage, contributing more to the portfolio as the old boo k runs down. So we should see an improvement probably in the next financial year, even if the interest rate remains flat. And that is where things are going to be really interesting for Equitas.

Moderator: The next question is from Ashlesh Sonje from Kotak Securities.

Ashlesh Sonje Sir, just a couple of questions, firstly, on the slippages front, specifically in the MFI book, the GNPA ratio has gone up by 50, 55 basis points Q -o-Q. So any specific geography, which has seen a higher deterioration in asset qu ality that you're going to call out?

Rohit Phadke : Yes. So we have said the floods have affected the southern districts of Tamil Nadu, which is Tirunelveli, Tenkasi, Tuticorin. Basically, for us, it's a division called Madurai division. So that is where we have seen slightly higher slippages.

Ashlesh Sonje: Okay, perfect. And secondly, on the yield front, would you take a look at the product mix within SBL, the subsegmental mix across micro -LAP , business l oans and general LAP to pop up yields? Because that mix has been fairly steady over the past few quarters.
P. N. Vasudevan: Yes, we do look at the yield, Ashlesh, because when we increase the yield on advances, it is done on a per product. It is not being done overall for the business. So you see, so what h appens is, so when you have to add in a certain yield, so you do it based on the potential of that product and the potential to increase the yield. In SBL, we don't see any reason why any product should decrease in terms of disbursements because there is a mple market for each of those products. So we have not decreased anything. We have increased yield for every subsegment of SBL.
Moderator: The next question is from the line of Pallavi Deshpande from Sameeksha Capital.
Pallavi Deshpande: So just carrying o n, on the previous question, the SBL increase in yield...
P. N. Vasudevan: Is it not audible?
Pallavi Deshpande; Yes. On the SBL portfolio, what would be the slippage for that portfolio quarter -on-quarter?
Dheeraj Mohan : Yes, we haven't given product -level slippages. Yes, so we'll leave it at like that. We don't disclose it.
Pallavi Deshpande: No, I was just trying to wonder if they're not just...
Dheeraj Mohan : Yes, we've given you an indication that it is micro finance and micro finance -like.
Pallavi De shpande: Yes, yes. And so just -- okay, just to put it another way, is there any -- like you said, the increase in rates, how does that effect the asset quality for SBL? Is there any deterioration there because of that? And how do you see it long term? How much capacity do we have to increase each year, so it will go up like you said?
Rohit Phadke : So there is no decrease in the quality of SBL. SBL GNPAs are as good as they were the last quarter. Ex -bucket collection efficiency, SBL is stable at 99.5%. So the increase in yield for SBL has not led to a dete

rioration in any quality in terms of SBL.
Moderator: The next question is from the line of Shailesh from Centrum Broking.
Shailesh: Sir, I just wanted to understand, for the 9 months, we have done excellen tly well on the deposit side in spite of the heightened competition in that, right? So that has brought down our CDR. So going ahead, would we continue this same pace? Because I see our deposit growth has outstripped the advances growth. So how do we see t hat or we would take a pause in a quarter or 2 for protection of NIM?
P. N. Vasudevan: Yes. So as I had mentioned in my opening remarks, we had looked at reaching a CD ratio of around 90% by March '24. So we are at about 91.5% by December. So we'll aim t o move to 90% by March '24 and we are also looking to take it down to around 85% by March '25, which is the next financial year -end.

So as I had mentioned in my opening remarks, most of the heavy lifting on CD ratio has been completed and is behind us now. So from here onwards on a quarterly basis, we will be moving the CD rati o on a smaller measure to reach whatever that we are looking at as our outcome and which really means that the need to mobilize extra deposits over the next few quarters would come do wn compared to what we did in the second and third quarter.
Shailesh: Okay, fair enough. So apart from asset book repricing, which is one more lever which will help our NIM in the next few quarters. Is that understanding right?
P. N. Vasudevan: Sorry, sorr y, your voice is not clear.
Shailesh: Yes. So I was saying that apart from asset book repricing, this would be one more lever at our disposal for a NIM expansion next year?
P. N. Vasudevan: Yes, yes, that's right. So going forward, we believe that the NIM impact from interest rate scenario will still last maybe to some extent in the fourth quarter and marginally in the first quarter. Hopefully, after that, it should flatten out or start even improving. The NIM impact, because of CD ratio coming down, that w ill still be there. But it will be very marginal going forward.
And if you remember in the beginning of the year, we had also guided on the NIM, that the NIM was 9% for last financial year. And in the beginning of the year, we had mentioned that for this current financial year, we should be looking at around 8.5% NIM for the full year as a whole and also a possible 8.25% exit NIM for the fourth quarter. It's what we had mentioned in the beginning of the year. And I think more or less, the numbers are in th at level.
Shailesh: Sir, that's helpful. Sir, one more question. One is that some of our peers in enterprise segment have decreased lending rates, and we have increased, right? In the past 3 quarters, we have increased not only MFI, other segment as well. So how do you see the competition scenario?

And does that affect the growth outlook for FY '25? I know you have guided that we maintain the growth of upwards of 25%, but just wanted to know your view in terms of where peers have been reducing, especially i n the MFI segment.
P. N. Vasudevan: Yes. So we don't see any impact on that.
Moderator: The last question is from the line of Sameer Bhise from JM Financial.
Sameer Bhise: Congrats on a good quarter. What you highlighted that there could be three scenarios on interest rates, and especially thinking about the scenario of rates coming off probably 3 to 4 quarters down the line, how do you think from the point of view of probably a higher margin opportunity? Would you like to let that benefit flow to the ROA level or you have -- you would continue to invest with respect to some of the newer initiatives? How should we think about this? Because already, we are seeing some amount of improvement on cost to income. Credit costs have normalized. Margins have come of f and still we are clocking a 2% ROA. So some out

look there
would be helpful.

P. N. Vasudevan: Yes, good question here, very nice question. And if you remember, I'm sure many of you may not remember, but long back, I'm really talking of long back, maybe, l et's say, 2 or 3 years back, we have always been mentioning that ideally a bank like ours, given the kind of consumer segment that we lend to, a bank like ours should be looking at an ROA of around 2.25% -plus. That's what we have been saying.
Because ther e is an inherent level of risk in the portfolio that we'll have because we are lending to a segment of customers who, while their repayment records have been excellent with us, however, they are fragile to any market events like the black swan events that we have seen in the past. So to offset that risk, the return also h as to be compensatory . And so a 2.25% -plus kind of an ROA is what we have been always saying, should be -- what we should be looking at from a model like ours.
And so this question of next year or subsequently, if the rates either remain constant or maybe come off a bit over time, the impact that it should leave on the positive impact of that on the on the NIMs or on the PPOP, should ideally flow down to the ROA level. And hopefully, we sho uld try and reach that 2.25% -plus during that kind of event.
Moderator: Thank you. L adies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. P.N. Vasudevan for closing comments.
P. N. Vasudevan: Yes. Th ank you, and thanks for all of you for dialling in. I know we have another call now, let's all hurry into that. See you. Bye -bye.
Moderator: Thank you. On behalf of Equitas Small Finance Bank Limited, we conclude this conference. Thank you for joining us. You may now disconnect your lines.

Call: Apr 2024

"Equitas Small Finance Bank Limited Q4 FY24
Earnings Conference Call"

April 24, 2024

MANAGEMENT : MR. P. N. VASUDEVAN – MD & CEO, EQUITAS SMALL FINANCE BANK LIMITED
MR. SRIDHARAN N. – CFO, EQUITAS SMALL FINANCE BANK LIMITED
MR. MURALI VAIDYANATHAN – SENIOR PRESIDENT AND COUNTRY HEAD, BRANCH BANKING, LIABILITIES , PRODUCT AND WEALTH, EQUITAS SMALL FINANCE BANK LIMITED
MR. ROHIT PHADKE – SENIOR PRESIDENT AND HEAD ASSETS, EQUITAS SMALL FINANCE BANK LIMITED
MR. NATARAJAN M. – PRESIDENT & HEAD TREASURY , EQUITAS SMALL FINANCE BANK LIMITED
MR. DHEERAJ MOHAN – HEAD (STRATEGY & IR), EQUITAS SMALL FINANCE BANK LIMITED

Moderator: Ladies and gentlemen, good evening and welcome to the Earnings Call of Equitas Small Finance Bank Limited's Financial Performance for Q4 FY24.

We have with us today Mr. P. N. Vasudevan - MD and CEO; Mr. Sridharan N. – CFO; Mr. Murali Vaidyanathan - Senior President and Country Head, Branch Banking, Liabilities, Product and Wealth; Mr. Rohit Phadke - Senior President and Head Assets; Mr. Natarajan M. - President and Head Treasury; Mr. Dheeraj Mohan - Head (Strategy & IR).

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. P. N. Vasudevan. Thank you and over to you, sir.

P. N. Vasudevan: Thank you. Good evening and thank you for joining the call on what is a very busy week of Results.

The year has been a good year for us. We have been able to continue our investments in technology, products and people to help us grow sustainably and create a robust banking platform. The bank has been able to navigate well during the rising interest rate cycle and kept our margins, yields and profitability reasonably protected. With about 85% of our loan book being fixed rate loans, we had a high impact on our NIMs over the last few quarters. As you may have noticed on the loan side, we took a call to defocus from lending to NBFCs as well as slowdown on low margin products like new commercial vehicle loans.

On deposits, we had increased our focus on retail TD given the customers propensity to move money to TD to lock it in at higher rates of interest. We have also been able to pass on some of the interest rate increases to borrowers in the form of improved our lending rates to ensure our margins are reasonably healthy. Parallelly, we also worked on improving the CD ratio, improving it from 103% as of March '23 to bring it down to around 87% by March 24. We had written to RBI and received a clarification that in case of Co-borrowers, say an account with borrower A and Co-borrower B going into an NPA, then an account with B as borrower and C as Co-borrower and if they have an account with C as borrower and D as Co-borrower and an account with D as borrower, etc., all of them will need to be marked as NPA, even if individually these accounts are standard. We also received an advice from RBI that in case of ESOP given to staff who are not covered under that guideline of material risk takers also against the current practice of accounting for them by way of intrinsic value, we should account for them under the basis of fair value method using Black-Scholes model. After accounting for all of this, we were still able to deliver a decent bottom line for the quarter.

Technology has been a key focus area for the bank all the while, while the LoS was rolled out for vehicle finance last year. During the fourth quarter, we were able to roll out the LoS for small business loans and home loans. Implementation of state-of-the-art CRM is underway, revamped

mobile and Internet banking platform is also soon to be launched. We have also upgraded our core banking and other technological infrastructure. We have also introduced a few innovations like banker on wheel, which is being piloted currently. We are confident all of these investments will help the bank in its quest to give a differentiated experience to customers. While we have been using digital effectively to enhance customer acquisition, we are also focusing on how to harness technology to bring about enhanced controls over critical processes in the bank. We have committed to a certain le

vel of resources to give focus to these action plans. These initiatives would further add to the bank's ability to sustainably grow.

In this quarter's presentation, we also tried to provide some direction on what the bank's long-term strategies around technology and liabilities are. We are strongly committed to putting in place key enablers to help us become more competitive in the next 3 to 5 years. Our strategy continues to build a well-diversified new age bank, delivering consistent returns over a long period of time and showing resilience across market cycles. We also stay committed to giving back to society through our two trusts, Equitas Development Initiatives Trust and Equitas Healthcare Foundation. While the Equitas Gurukul Schools continue to do well and help produce good quality students from economically weaker section, our cancer hospital has started operations effective November 23 and that has been progressing well. We have completed over 165 surgeries in the last 3-4 months. We also treated more than 4000 people in those few months.

So, with that, I hand it over to Rohit to talk about assets.

Rohit Phadke: Good evening everybody. Advances have grown by 23% year-on-year, SBL advances have grown by 30%, Microfinance by 20%, Vehicle Finance are 19%, and Affordable Home Loans by 60%. X-bucket collection efficiencies have been stable at 99.5% in SBL and Microfinance and 99.7% in Home Loans and 99.1% in Vehicle Finance. In SBL, small business loans, the merchant OD product has scaled up very well with 39,000 plus customers and advances of Rs. 950 crores. We intend to keep growing these volumes.

Other than merchant OD, the focus in the coming year will be growing the micro LAP book.

Microfinance has gone fully digital with 100% adoption of e-KYC and e-Sign. We continue to maintain that the unsecured book will not exceed 20% of advances.

In Vehicle Finance, used car advances have grown by 71% year-on-year with advances at Rs. 1,224 crores. The focus in the coming year will be on the growth of the used car and the used CV book. We will defocus on NCV, but we will continue to run the product.

Affordable Home loan portfolio has scaled up well with advances growth of 60% year-on-year at Rs. 2,500 crores and the GNPA of 0.5%.

On digital initiatives, new-gen LoS has gone live for both small business loans and affordable housing. We have also launched a customer app called a Selfe Loan, which will serve as a one-point contact for our existing and new customers. We have been able to increase disbursement

yields by more than 1% from 17.43% in March ‘23 to 18.74% in March 24. Demand at the field level continues to be strong and I am hopeful of a good year ahead.

Thank you. I am handing it over to Murali.

Murali Vaidyanathana: Good evening, friends. Let me take you through a few of the snapshots other than the figures which is available there for yourself.

I think this has been a very testing year not only for us but across the industry I think overall in terms of retail focus, which we have been talking about till this point of time, building a scalable and sustainable franchise, so that we can leverage over a period of time. So, we are deriving 2 phases to it. What has happened and what is going to happen, we will cover it in two chapters.

■ The first thing is through the year few significant milestones which we want to say is this year, while TD growth has been phenomenal we have got into the triple-four days as a unique proposition. The good part is the number of new to bank customers entering the stream. We could add close to 1.2-1.3 lakhs of new to bank customers who have come in through this as an option and then migrating into a savings account is one distinctive edge which we could get into this customers.

■ Second part is our NR book has crossed Rs. 2,000 crores and we are now present in 110 countries th

at is customers across. So, that is a significant thing with AD-1 projects being on the anvil. I think this is going to grow further and our time zone-based CRM is actually helping us to deepen further and further.

■ Third important thing is our relationship management structure what we have put in at this point of time is yielding good dividends because despite being a tough year, if you could see as we end the quarter 4, our growth on SA, our growth on CA, our growth on RTD and importantly, retail mix of what we are maintaining 72 and 28 on bulk, we could hold that and so this is helping us to go deeper and deeper into these families.

■ And the fourth important thing is the most important thing which I want to say that digital book has crossed Rs. 1,500 crores which we have acquired through digital and full KYC account, so these four is on the liability side. On the TPP side and the fee-based revenue, thanks to InsurTech where we like Vasu Sir was saying that we are using technology not for only disruption, sometimes technology as a facilitator. InsurTech is going to be one sort of a thing which has helped us to garner general insurance and health insurance totally through the same platform. Now life is also integrated. As we move along, I think this will be the biggest productivity enhancer.

Adding to the TPP, we have a range of AUM growth in the form of mutual fund. Predominantly we focus on SIP. We have added close to 18,000 active SIPs in the last year who are now doing continuous investment through us. The third important proposition which has helped us to build size of ASBA what we discussed in the last call, we have now close to 20,000 customers whom we have mentioned in the presentation also who have ability to use and block and then it is their

allotment. But the good part is now from a saver to investor we are getting into the trader segment also. So, all these three segments we have a proposition, and all can be done digitally is one unique proposition that had happened.

■ And last but not the least as we keep expanding now, we are philosophically moving towards a situation what we have mentioned in the presentation that is moving from unitary sourcing to family sourcing as one key vertical, which means going deeper at a family level, having a family level proposition, one.

■ Second is focusing on mass only for SA as a segment through digital sourcing.

■ And third getting AD1 and NR as a proposition. This three is going to be one of the key forefront drivers as we get into the coming years because only through that we believe that our cost of funds can be managed and fourth and last thing is transaction banking and current account which we will touch.

So, overall, it has been a very encouraging year. Overall, I think the patronage of customers as well as employee productivity has been good, and I wish we will sustain this momentum in coming year.

Thank you. I will hand it over to Nat.

Natarajan M.: Good evening, friends. Q4 of FY24 has been a relatively good quarter in the market front. On quarter-on-quarter basis, Indian tenure is centered lower and closed just above the 7% mark as the US rate cut expectations and anticipation of inclusion of Indian bonds in global Morgan Stanley Bond index triggered a risk on rally in India bonds. However, the US Fed continues to be data-driven, but ongoing geopolitics has slightly tempered expectations of earlier and faster than expected rate cuts and market is divided on the horizon of the US Fed’s attempt to bring inflation below the targeted level of 2%.

It is a good quarter for Equities globally. Dow Jones gained almost 6%. Indian Equities also continue to see a run up, but more modest in Q4 FY24 with gains of almost 2.8 for the Frontline NIFTY 50 index, which continue to rise above 30,000 levels. For the upcoming quarter, short-term volatility is not ruled

out as we approach national elections straight as price in the likely outcome of elections and barring any negative surprises we expect both equity and bond markets to stabilize towards the second-half of the quarter.

Supply lines can be an issue, especially for oil in situation in Israel and Gaza worsens and result in higher inflation. Escalation by Iran continues to stoke fires. As such, geopolitics could be a slightly more pressing issue as we move ahead. Despite India's economy continue to stabilize, consolidate and grow considering the global nature of trade and supply chain, we can expect volatility going ahead despite a strong local economy. Hence, we view the market as cautiously optimistic. We continue to remain positive on the Indian growth story over the medium term to long term as domestic economic activity continues to be resilient and is expected to further pick

up in the new financial year as governments install is spending along with private CAPEX are expected to accelerate. We will await the budget post elections for further clarity on focus areas for the new government.

Thank you and I will hand it over to Sridharan.

Sridharan N.: Good evening to everyone.

Our net interest income for the quarter came at Rs. 786 crores as compared to Rs. 707 crores during the same quarter last year, reaching a growth of 11% Y-on-Y. Other income for the quarter came in at Rs. 222 crores as compared to Rs. 215 crores during the same quarter last year, reaching a growth of 3%, resulting in a net income growth of 9% year-on-year. The total operating expenditure came at Rs. 634 crores and remained stable with an increase of 4% sequentially. Pre-provisioning operating profit PPoP grew 4% Q-on-Q to Rs. 375 crores and PPoP to assets remains stable at 3.45% for the quarter. PAT for the quarter came at Rs. 208 crores as against Rs. 190 crores during the same period last year, reaching a growth of 9% Y-on-Y. ROA and RoE for Q4 FY24 stand at 1.91% and 14.22% respectively.

Next is on the one-time P&L impact items in Q4 FY24:

- The first, based on the bank's proactive clarification obtained from RBI pertaining to classification of loans of co-borrowers when the primary borrower’s loan account becomes an NPA, the bank also classify the Co-borrower’s loans as an NPA. The bank has classified Rs. 38.45 crores worth of loans as NPAs during the quarter and Rs. 15.17 crores have been provided the provision on account of this classification.
- Second one, due to change in accounting policy as per the RBI advisory, the bank has expensed Rs. 29.21 crores additionally as an ESOP cost in respect of the grants issued after first April 2021 in respect of non-material risk takers and control staff.
- Third one is a benefit which is of Rs. 11.89 crores on account of the excess provision per gratuity and leave encashment as per the actual valuation. We estimate that our PAT, ROA & RoE adjusting for these would have come in at Rs. 233 crores, 2.15% and 15.93% respectively for the quarter. On the one-time impact cumulative for the year, we have taken a hit of approximately Rs. 75 crores towards additional provisions and employee cost on account of ESOP. The recurring costs on these items will be marginal.

During Q4 FY24, the bank has securitized and assigned advances worth of Rs. 584 cores pertaining to HF and VF advances. The total provision for Q4 FY24 is Rs. 107 crores, which also includes the provision of Rs. 15.17 cores pertaining to provision under the Co-borrower accounts, which has been explained even though they were standard on a DPD basis. GNPA improved by 8 bps Y-on-Y to 2.52% in Q4 FY24 as compared to 2.6% in Q4 FY23; including the securitization book, GNPA would stand at 2.39% and NNPA improved by 2 bps Y-on-Y to 1.12% in Q4 FY24 as compared to 1.14% in Q4 FY23.

Based on the current advances mix, the bank is maintaining a healthy PCR of 56.06% and it continues to follow stringent provisioning norms across all asset segments. On a full year basis, the bank has registered a balance sheet growth of 30%, PAT growth of 39%, ROA of 2% and RoE of 14.43%. Our Networth now stands at Rs. 5,969 crores with a book value at Rs. 52.60 per share and earnings per share of Rs. 7.12. As of March 31, 2024, the total CRAR are at 21.7% with the Tier 1 at 20.71 and Tier 2 at 0.99%. The Board of Directors has proposed a dividend of Re.1 per share, subject to the approval of AGM. With this, I would like to hand over to operator and we will be happy to take over the questions from your end. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Shreepal Doshi from Equirius. Please go ahead.

Shreepal Doshi: So, the first question was pertaining to the RBI clarification impact on the P&L, so like which segment of loan book was this coming from and just wanted an update on the Tamil Nadu flood related impact on each of the segment for us?

Rohit Phadke: Shreepal, Rohit here. Most of the co-borrower impact is coming from the SBL portfolio. And Tamil Nadu flood impact has now more or less gone away, it is very minor stuff which is remaining, which will get eased. As of now, there is no future on this thing if you get evened out.

Shreepal Doshi: And sir, on the MFI front, like in the deck, it is mentioned that it is doing well, and we are seeing improved loyalty from the customers as well, but if you look at the GNPAs for that segment has been inching up in the last 2-3 quarters, so what explains that, if you can throw some light on that?
Rohit Phadke: Sure, Shreepal. So, in Microfinance, if you look at the industry, everybody has written-off a large amount of a book, some amount of book every year. We have not written-off a single rupee this year. Secondly, if you look at the data which is released by MFI Association, they have given data on the PAR 90 to 180. On the PAR 90 to 180, the industry is at 1%. Small finance banks are at 1.1% and Equitas is at 0.9%. Third, post COVID we realized that some of these customers do come back when you go to collect, and we have beefed up our collection to ensure that we go and collect that money. Otherwise earlier the trend was the moment (+90) happens the industry would simply try to write it off, but I think post-COVID we have seen that and that is why beefed up our collection. I think Microfinance GNPAs will be range bound between 3.5% and 4.5%. Does it answer your question?
Shreepal Doshi: Yes. So, that will be the new normal for us or for the industry also you feel like it will be an elevated number?
Rohit Phadke: Yes, for industry also it will be an elevated number is what I feel?

Shreepal Doshi: So, one last question was on the cost of fund side, do you feel like are we nearing to picking out on the cost of fund and then just how do you see the trajectory on the NIM side because of the cost of fund implication?
Murali Vaidyanathan: See with regard to cost of funds, I think more or less interest rates have peaked and as we keep on repricing another 10 to 12 bps is what is seen as on the higher side, so which means present position plus 12 bps is what seen for this quarter or for this half year. Now this will be because of two reasons. Now it is directly related to what is going to be the rate cuts post the second quarter. So, till that point of time our maturities which were supposed to be repriced at a higher level almost 80% to 82% is already through and incremental deposits are almost frozen as a rate for last 2-2.5 quarters. So, I think another 10 to 12 bps is what we are seeing as a cost of fund on NIM.
Dheeraj Mohan: Impacts on NIM, just to recap, FY2

4, the impacts on NIM were largely because of one interest rate going up, second enhanced liquidity in the balance sheet because of improvement in CD ratio. Today, where we are, we don't think these two are driving forces for FY25. So, NIM should largely be where it is and only have an impact of the portfolio mix changing over a period of time. So, you should expect NIMs where it is right now.
Shreepal Doshi: Well, I mean, there is no likelihood of portfolio mix changing because I think what we had guided or what we said is that we have broadly achieved our targeted mix, so is there a thought process to tweak that mix as well?
Dheeraj Mohan: Yes, so we have what we've also said is in the medium term and in the long term, our secured to unsecured ratio will remain 80 to 20 while microfinance as a portfolio will continue to reduce in terms of portfolio mix. So, to that extent there will be some impact on the NIMs.
Moderator: Thank you. The next question is from the line of Sudharsan Nachimuthu from Prosperity Wealth Management. Please go ahead.
Sudharsan Nachimuthu: So, my question is on your CD ratio. So, you have guided to close the year with 90% CD ratio. However, we have closed with 87% as of this quarter. So, what was the reason for bringing down CD a bit more bps more than the guided range?
P. N. Vasudevan: So, we had been working towards bringing the CD ratio down over the last year and again, the plan of 90, it has come down to about 87. So, this year our plan is to bring it down further to about 85 by March 25. So, this 2% is something that we will be working on over the rest of the year.
Sudharsan Nachimuthu: And you have mentioned you securitized vehicle finance and housing finance portfolio of Q-on-Q Rs. 500 Cr this quarter, however, the yield drop of around 40 bps is mainly from this Rs. 500 Cr securitization?
P. N. Vasudevan: Yes.

Sudharsan Nachimuthu: given the quantum of securitization and 50 basis points often yield, can you explain a bit more further on?
Dheeraj Mohan: So, yield as the portfolio level have dropped largely due to securitization. So, about Rs. 1,700 crores of loans and that is about Rs. 1,100 odd of vehicle finance and the rest is housing finance. So, that interest income is roughly about Rs. 60 to Rs. 70 crores for the quarter. So, that is what

has led to the portfolio yield drop. We accounted EIS in the other income. In the presentation, you will see it under other income and asset fees.
Sudharsan Nachimuthu: And your incremental disbursements during this quarter, those yields have also dropped, so couldn't we focus more on high yielding products and what was the reason for it?
Dheeraj Mohan: Yes, like we said, we are slowing down on loans to NBFCs and new commercial vehicle loans, which are typically lower yield loan. So, that is one direction which we have taken. We have done it for the last couple of quarters and also going forward we have given that as guidance. So, that should ensure that yields also at a portfolio level stay at these levels.
Sudharsan Nachimuthu: So, your Q4 yields would be stable yields?
Dheeraj Mohan: That is too fine to actually look at this Q4 stable yield, but I think you should look at it from portfolio mix and from the guidance you have told you how products will be slowing down and what you are accelerating. So, don't hold us to Q4 as a number for the full year, but I think rather try to focus on NIMs and we try to keep NIMs stable for the year.
Sudharsan Nachimuthu: What is the current outstanding write off pool remaining with your bank during two or three years you have just written off amount of loan?
Dheeraj Mohan: No, we have not written off anything this year.
Sudharsan Nachimuthu: Just a follow-up question on your co-borrowing classification, as you mentioned it is for small business loan. So, is it also going to affect the m

icrofinance loans given?
Dheeraj Mohan: No, just to correct you see this is at a customer level at the bank. So, it is not specific to one product, you do it. NPA is at the customer level at the bank where the Co-bo, where the NPA of Rs. 38 crores have come from what we said is largely from small business loans like microfinance doesn't have co-applicants. Co-applicants are largely in the other books, but this norm is applicable at the bank level for all products because it is at a customer level, not at the loan level.
Moderator: Thank you. The next question is from the line of Rajiv Mehta from YES Securities. Please go ahead.
Rajiv Mehta: First question is, what will be the share for 440 day and 880-day deposit product in the stock and in incremental TD process?

Murali Vaidyanathan: In incremental TD process today it is close to 60% to 65% of the incremental sourcing.
Rajiv Mehta: Both the product?
Murali Vaidyanathan: Yes.
Rajiv Mehta: And just one clarification, when you report Yield on gross advances and Yield on advances, these Yield on loan gross advances will be included in the securitized book, right?
Dheeraj Mohan: No, yield on advances does not include that is on balance sheet what you see. That is why we have added a new line, yield on gross advances.
Rajiv Mehta: So, that is what I was checking, so when I look at yield on gross advances, which is including the securitized book that has been coming down for the past two quarters, wherein disbursement has materially increased.
Dheeraj Mohan: Correct.
Rajiv Mehta: So, why would this happen?
Dheeraj Mohan: It is actually the underlying portfolio mix like small business loans also has a range from 14%-15% all the way to 20%-24%, same again from vehicle finance. So, it got to do with some of those mix changes and also percentage of microfinance is now 18%. That has also dropped by a percent. So, it is largely linked to that.
Rajiv Mehta: Just last question, I see the momentum in housing and used CV disbursement, the momentum has been somewhat stagnating in recent quarters, so has there been any change in the approach?
Rohit Phadke: So, we have not changed focus, but the last quarter the focus was more on increasing yields. In the past six months, the focus was more on increasing yields. Now that the mindset of the field is changed, they have grown used to now lending at higher yields. I think we will get back the growth in UCV.
Rajiv Mehta: And just lastly, Dheeraj if you can spell out the X-bucket collection efficiency in MFI, SBL, Vehicle Finance and Affordable?
Rohit Phadke: Yes, so the X Bucket collection efficiency in SBL is 99.5; in Microfinance, it is 99.5; in Vehicle Finance, it is 99.1. The collection efficiency is at one point in time that is the end of March 31st March, for the month of March.
Rajiv Mehta: It is not for the whole quarter.

Rohit Phadke: No, it is not for the whole quarter. X-bucket is always calculated for the month as a whole like

that month, how are you doing? What is your performance? Continuously every month, you do
well, then your portfolio is good.
Moderator: Thank you so much. The next question is from the line of Abhishek Murarka from HSBC. Please
go ahead.
Abhishek Murarka: My first question is on CD ratio, and I am just looking at the sharp drop this quarter. Of course
it was intentional, but at what level are you comfortable maintaining it? So, you are looking at
85 by the end of the year but is that level which you think the RBI is also going to be comfortable
with or there is a chance that if they come back and say 80, you can go down to 80. So, how do
we think about this ratio going forward?
P. N. Vasudevan: Yes. So, we will be looking to take it down as I mentioned earlier also to about 85 by March 25
and I think that

should be a comfortable level because in that 85, we are really not including the
impact of refinance. So, if we include the impact of refinance, obviously it will be even lower.
Second thing is that unlike universal banks, small finance banks have a capital adequacy ratio
requirement of 15% and because of that small finance bank tends to have a higher level of capital
contribution to the balance sheet and so the CD ratio of universal banks and small finance banks
in that sense are not directly comparable. So, I think we believe that 85% without including
refinance is a very good comfortable position to arrive at.
Abhishek Murarka: So, if you include refinance, you have given that ratio in the PPT, so that also will go down by
maybe one or two percentage points more, not anything more than that?
P. N. Vasudevan: That is right.
Abhishek Murarka: And then in that case, incrementally I think deposits and loans can grow in step right, loan growth
does not have to lag deposit growth by a large amount?
P. N. Vasudevan: Except the additional SLR, CRR requirements.
Abhishek Murarka: So, what kind of loan growth are we looking at because 20 I guess is partly also because of the
securitization that you did in the quarter, so if I look at the gross advances, 23% are you looking
at mid-20s as a run rate where you want to be?
P. N. Vasudevan: Yes, I think our portfolio growth, advances growth on a gross basis should be around 25%. That
should be our focus.
Abhishek Murarka: And finally, just this deposit, so now again you don't need a 40% kind of deposit growth, there
is a lot of bulk that you have classified that 38% YTD, so that should ideally run off, which
would be maybe a little higher cost, is that something we should expect that the mix should move
more towards retail TD and less towards bulk?

Murali Vaidyanathan: No, in that bulk there are two segments. One is institution as a segment, financial institution as
a segment and individuals. So, if you see your book, it is 72% retail and 28% is from institutions.
So, depending upon the situation, bulk is dependency on the market rates and what is the
requirement at the bank level. We will keep calibrating it. So, as of today, out of 35,000-36,000
crores, 7,500 to 8,000 is what bulk is all about and predominantly ours is non-callable and one
year. So, we will wait and see how retail picks up a trajectory. Today we are at 72%. If we
sustain 72 to 75-78, what you say is right.
Moderator: Thank you. The next question is from the line of Vivek Ramakrishnan from DSP Mutual Funds.
Please go ahead.
Vivek Ramakrishnan: I was actually going to pick up on the deposit side in terms of concentration of deposits only,
though you might qualify it as retail, there will be lot of HNI deposits and so on in the mix and
we have seen in the past that those are not very stable deposits, so how many, what percentage
of your deposits are non-callable that provides stability and increasingly would you look at, is
there any way where you can increase the granular deposit growth, so that there is stability in
your deposit base? That is my question, sir?
Murali Vaidyanathan: Ours is the most stable term deposit base. If you go to the presentation in this slide, less than Rs.
2 crores, which is categorized as retail, 62% of the book of deposit is less than Rs. 2 crores,
which means these are all those sets of customers who have positioned Rs. 2 crores and
individual average ticket size of 4.5 and 5 lakh. That is the amount of customers who are having
it. So, it is fairly stable. Next comes the institution, we have close to 22% as I said coming from
institution. Out of that 91% are non-callable with the tenure of one year. So, it is one year block
and non-callable. So, our concentration risk in terms of non-callable to callable if you see into it
there is callable less than 10% is the present

mix and greater than Rs. 10 crores, it is 30% of the
book. This is the place where you have to see the non-callable which is 90% and it is only 30%
of the total book.
Moderator: Thank you. Our next question is from the line of Nihar Shah from New Mark Capital. Please go
ahead.

Nihar Shah: Just a couple of questions from my side. My first question is thank you for pointing out some of the investments that you are making into the new product segments of credit card and personal loans and all. If I total that number, it comes up to about Rs. 520 crores, can you give us an idea as to how you think about the timing over the next 3 years of the expenses and then how does that then play into what you think is the reasonable cost to income ratio outlook for the next 3 years as well? That is the first question?

Dheeraj Mohan: Yes. So, once this investment, this slide has come because last quarter we had a discussion around this. So, we thought we would give clarity on what the investments will look like from a three-year horizon. Just to give you the nature of some of these expenses, some of them will come in the depreciation line item and someone come as the regular OpEx line item, especially

given with technology. All of this is baked into our let us say, soft guidance in terms of how cost to income, cost to assets will look like. What we can say is for this year, we think that cost to income will look a little sticky and given that range between 60% and 63% is what we think we will be in the cost to income during this investment phase. And some of those investment is what we put in the slide. We may have a few more depending on how the bank growth like we have talked about it earlier in terms of branches, in terms of brand building, etc., but these numbers from how it should span out from a cost to income is we should keep cost to income stable at where it is or in this range of 60 to 63 and still hopefully deliver consistent RoA.

Nihar Shah: My second question is, just a little bit of a clarification on, you have mentioned the Rs. 60 to Rs. 70 crores impact of the NIM of the securitization, from what I understand is that whatever the interest expense on the securitized portfolio, the interest income is sort of recognized in the interest income line and then it is only the excess that is recognized in the other income, is this Rs. 60 to Rs. 70 crores the total interest income that you want on the securitized portfolio or is it just the incremental or is it the incremental piece of it?

Sridharan: In the case of securitization, we don't take it into the interest income, I say the excess interest rate, which we call EIS, that is taken as other income. So, the 60 Cr or 70 Cr which you have mentioned is what is actually coming to us actually.

Nihar Shah: So, that is the total interest income that you want on the securitized portfolio?

Dheeraj Mohan: Yes. 15% to 20% of the interest yield of that portfolio, which is securitized, and the excess interest income comes in the other income and not part of the net interest income.

Nihar Shah: Can you quantify that excess income that is coming to the other income, is it possible for the total?

Sridharan: Rs. 22 crores will come in for this quarter, Rs. 11 crores for the last quarter.

Moderator: Thank you. The next question is from the line of Nidhesh from Investec. Please go ahead.

Nidhesh: So, if you look at the disbursement trends in this quarter, Q4 on the Y-o-Y basis, there is a moderation and disbursement growth across most segments, whether it is microfinance or small business loans or vehicle finance, so what are the reasons for that and how should we think about disbursement growth next year?

Rohit Phadke: If advances have to grow at 25%, obviously we have to grow disbursement because there is always a foreclosure component like this, so disbursements will defini

tely grow across all products. We see strong demand in the field.

Nidhesh: Any particular reason why the disbursements were weak in this quarter?

Rohit Phadke: As I said, our focus was primarily on growing yields, right, because we need to change the mindset in the field and also that we need to lend at higher rates than stronger disbursements. So, the focus was more on yields, not really dropping disbursements, but disbursements will continue to grow. That is given.

Nidhesh: And from medium-term perspective, should we expect our yields on advances to trend towards yields on disbursement, so today there is a gap of around 170 basis points between disbursement yield and on book yield on advances, so over let us say couple of years, both of these should get converged, right?

Dheeraj Mohan: Yes, the entire yield on disbursement will not translate to portfolio yield, but yes, you should see it pick up.

Nidhesh: And lastly, what is the difference between yield on advances and yield on gross advances? Is the numerical the same for both of them?

Dheeraj Mohan: Numerator is not the same. We have the securitized portfolio is the difference. So, in the denominator the assets in the securitized will not show and also in the numerator that corresponding effect is given.

Nidhesh: So, in the numerator, are we including only asset interest?
Dheeraj Mohan: No, yield on advances we are not, yield on gross advances we are. So, I think for to bring clarity and because securitization can alter these numbers, I think we should all stick to yield on gross advances. So, I think over a period of time or hopefully from next quarter we will stop giving yield on advances and focus on yield on gross advances, then you won't have this disturbance which we see due to securitization.
Moderator: Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.
Deepak Poddar: Sir, first, just a clarification, I mean, you mentioned that our cost of fund may increase by 10 to 12 basis point, I mean the repricing which is left, so NIMs that we are seeing falling for next for the last five quarter it has been falling on quarter-on-quarter basis, but we did mention that we expect NIM to remain stable at fourth quarter level in the short term, right?
Dheeraj Mohan: Yes.
Deepak Poddar: In spite of this 10-12 basis point increase in our?
Dheeraj Mohan: The pressure on NIMs because of improving CD ratio would have lessened. From 100% we have brought it down to 87. You won't see that pressure on NIMs going forward. So, we are adjusting to that. This is based on our calculation.

Deepak Poddar: And how much impact we see on the NIMs on the medium term which you mentioned because may come because of reduced MFI portfolio mix?
Dheeraj Mohan: We can't quantify it now. So, the way at least we are looking at this, how do we protect bottom line, how do we protect overall margins, these are very fine-tuned for us to put it all out on the call, but these are challenges which we will take up.
Deepak Poddar: And in terms of our adjusted ROA was about 2.15% for this quarter and then you did mention that our cost to income will remain sticky, so how do we see the ROA for next two years or for FY25 at least?
Dheeraj Mohan: I was also trying to point out in the presentation, we have spoken about trying to grow the small ticket, small business loan or we call micro LAP, which are higher yielding products. So, these are some of the strategies we are trying to deploy to ensure margins hold. And on ROA, so we are trying to build consistency in ROA and improve ROA as leverage picks up. That is what we are focusing on. So, hopefully we should continue to deliver this 2% ROA.
Deepak Poddar: And my last query is on your PCR, I think we have been quite

vocal about improving our PCR ratio to 70% over next 1-2 years, so how do we see that trajectory? I mean, from current 56%, how do we see that going into in FY25 and FY26 and what would be the implication for the credit cost of your increasing PCR ratio?
P. N. Vasudevan: So, the PCR ratio, yes, 70% remains our long term target and I guess we don't have very specified timeline plan to achieve that, but I think in a matter of over three-year timeframe, we should be looking towards reaching that level and in terms of credit cost, including the improvement in PCR over the next few years, as I mentioned, I think we should factor in our credit cost, which is our pre-COVID levels, our pre-COVID level credit cost used to be around 1.25% on advances. More or less, our portfolio has come back to the pre-COVID levels now and I guess we are fairly on a steady state basis as far as credit cost is concerned, but I think we should factor in something in the range of 1.25% on advances as credit cost.
Deepak Poddar: 1.2% on book or the gross advances?
P. N. Vasudevan: 1.25% on gross advances.
Deepak Poddar: And this is in spite of your target to increase your PCR ratio, right?
P. N. Vasudevan: Right, including that.
Moderator: Thank you. The next question is from the line of Pritesh Bump from DAM Capital. Please go ahead.

Pritesh Bump: Just two questions from my side, somewhere in the opening remarks, we mentioned something about the unsecured mix CAP, how are we looking at it and just wanted to clarify what CAP we are looking at and what is the trajectory of that CAP?
P. N. Vasudevan: I guess this is something we have been consistently mentioning over the last few quarters. We want to have 80:20 ratio between secured and unsecured. As on date, the bank has microfinance loans which are the only unsecured product that we have today. And I guess microfinance contributes about 18% to the loan book as of March 24. We will be introducing personal loans. In fact, personal loans are going live between April and May, this month and next month it will be going live and credit card should be going live towards end of the calendar year. So, these

two products will come into that unsecured portfolio mix and so all the three of them put together should continue to be within that 20% contribution.

Pritesh Bump: So, given that MFI is not that focus area right now, so if it hypothetically comes down, we could have a CAP for PL and CC as well only?

P. N. Vasudevan: See, Microfinance will continue to be a strong offering from the bank because it not only produces a direct business impact in terms of volumes and profitability, but it also enables us to cross-sell our small business loan, the lower end of the small business loan product, it enables us to cross sell. So, that is a segment that we will anyway be continuing to focus. The only thing is that microfinance as a contribution to the total advances will come down, meaning that microfinance will grow at a rate which is lower than the rest of the advanced growth, and so its contribution will come down. And as that contribution comes down, that space will be filled up between personal loans and credit cards.

Pritesh Bump: Sir, just one follow up on that, credit cards will be our own sourcing, right? We are not tying up with anyone.

P. N. Vasudevan: Yes. See, lastly, the credit cards and personal loan, both of them for that matter. Lastly, the purpose of introducing that is for offering it to the existing customers to ensure that we are able to deepen our relationship. So, a significant large part of it will be anyway cross sold to the existing customers and whatever NTB customer that we acquire will be acquired directly by us. We are not really planning to go through aggregators or through websites or through anybody like that.

Pritesh Bump: And lastly, sir, how are you thinking o

n the TD rates? I think we have not changed her post August 2023 and given that now we are at a healthy rate of growth and we have a decent CD ratio, what are you thinking on the TD rate side?

P. N. Vasudevan: See the TD interest rate will be to some extent a factor of what is happening in the market, right. So, currently if you see the peak difference in interest rate between our TD rates and some of the large banks in the country that peak differences is about 1.25%. The effective interest rate is 8.5, the highest interest rate of some of the largest banks in the country is 7.25. The big difference is 0.25%. So, if the market also moves, we are most likely to move along with the market and

overtime I think we have mentioned in our presentation Liability 2.0 strategy. That is something that has been rolled out by Murali and his team and over the next 3-4 years that will be a key focus of execution for the liability team and as that strategy progresses, that strategy is nothing but basically building a deeper, stronger relationship with deposit customers and account holders by way of cross selling and ensuring that they are having many more touch points with the bank and not just one or two touch points. So, as that strategy progresses and as we feel more and more comfortable and confident in terms of the customer being associated with the bank on a longer-term basis, we will start looking at the interest rate structures.

Moderator: Thank you. The next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande: Sir, I wanted to understand on the other income, even excluding the ARC which you are giving in slide 19, what would be the trajectory going ahead? We have seen a decline in Q4 versus last year Q4?

Dheeraj Mohan: Are you asking the trajectory or other income?

Pallavi Deshpande: One with the reason and then the trajectory, so Q4 over Q4 even excluding the income from sales to ARC, which you highlighted in that slide?

Dheeraj Mohan: EIS income is sitting there, the Rs. 20 odd crores that is sitting in Q4. That is the bump. And going forward, there are multiple drivers for other income, there is liability fee income, there is asset disbursement, link fee income. So, all of those are drivers and they have been growing at 30%-40%. So, you should continue to see that as the bank grows. The only exception from here was that the EIS are excess interest spread being shown in other income.

Pallavi Deshpande: Second thing would be on microfinance; I think you mentioned about the cross sell opportunity that it offers you. So, that earlier guidance in terms of reducing it to 15% or does it stand or where are we on them?

Dheeraj Mohan: Yes, that stands.

Rohit Phadke: So, yes, as just now, Vasu sir explained that the microfinance portfolio offers a length of cross sell opportunities and the biggest cross sell opportunity that microfinance offers is the micro-LAP product. The micro-LAP product is small ticket size, the customer is the same and it is a secured product, so we will definitely be focusing on the micro laps product and since these customers in the second cycle, third cycle, fourth cycle have paid us very well, it is a phenomenal opportunity. So, despite the fact that microfinance on the unsecured piece might see a slight decrease, the same customer base, the secured piece will be having for the bank.

Pallavi Deshpande: So, this micro-LAP would be classified under which, not under microfinance?

Rohit Phadke: No, it will be classified as a secured product as a micro-LAP product under SBL.

Pallavi Deshpande: Lastly on the NBFC side, we are seeing sharp, 0 disbursements kind of scenario, so what is the outlook mixture in terms of lending to that sector or are we done with the sector basi

cally?
P. N. Vasudevan: Yes. We had started lending to NBFCs at a point in time when we were sitting on fairly high level of capital adequacy and the interest rate structure was such that it was making profitable bottom line spends to the bank. Today, what is happening is that on both fronts, it is not making sense, internet structures are moved in a different way, and so to that extent, lending to the NBFCs for at least for us is not very profitable and that is one factor. Second is that our own high capital adequacy which used to be in the past has been fairly leveraged through growth over the last 2-3 years and today our capital adequacy has come down all the way to about 21.7% and internally, we do have a target that we would really not like to see the capital adequacy going below maybe an 18%-19%. So, somewhere along the way we will keep raising equity so that it doesn't really go below 20% or 19%. To that extent at 21.7, we are not having such a high level of capital adequacy that we want to distribute that capital to low yielding products. So, we have to keep looking at the allocation of capital. So, given all this, we believe that for the next one year, we won't be really focusing on NBFCs, and we should see that running further down as we go by.
Pallavi Deshpande: Sir, you mentioned that being a low yielding product that is where I was coming from, I thought it is on the higher yielding side and that is?
P. N. Vasudevan: Lending to NBFCs doesn't give us high yield. It does give us only a low yield, but it made sense at the point in time when the interest rates were at different level and capital adequacy is very high. Today, both of them have changed, so it doesn't make sense for us and lending NBFC is not a strategic part of our business ever, for example, the other one that they mentioned that we have gone a little slow is our new commercial vehicle lending because currently the yield on that is the lowest amongst all our loan products. So, we have slowed down on that, but that is not something like NBFC will exit because that is part of our key strategic focus for the long term. So, we will continue to be in the new commercial vehicle lending phase. The only thing is we will moderate the growth at a time and then we will fill it up when the situation changes, whereas NBFC is never our strategic product. It is just a kind of an opportunistic product that we were trying to make some returns when it was available and today it is not available. So, we have no problem working out of that.
Moderator: Thank you. The next question is from the line of Anurag Mantry from Oxbow. Please go ahead.
Anurag Mantry: Just one clarification on the other income, so the liability and distribution income on slide 35 is the one which has seen a big jump of this quarter, just wanted to confirm if that EIS income is coming here or?
Murali Vaidyanathan: It is insurance, mutual fund and broking.
Anurag Mantry: So, the liability and distribution income is like the Rs. 60 crores is the most sustainable number or there is a bit of seasonality given 4Q?

Murali Vaidyanathan: Yes, quarter 4 peaks and all the other quarter, normally quarter 4 for any fee based activity is 35% to 40% of the income, so stable state will be 25% lesser.
Moderator: Thank you. Well, ladies and gentlemen, we would take that as our last question for today. I would now like to hand the conference over to Mr. P. N. Vasudevan for his closing comments.
P. N. Vasudevan: Thank you. Thank you so much for all of you for dialing in and peppering us with a lot of questions enabling us to learn in the process and improving our own ability to focus on the right direction for the bank. Thank you so much. Wishing you all the very best and be in touch. Bye-bye.
Moderator: Thank you. On behalf of Equitas Small Finance Bank Limited, we conclude today's conference.

Thank you for joining us. You may now disconnect your lines.

Call: Jul 2024

“Equitas Small Finance Bank Limited
Q1 FY'25 Earnings Conference Call”
July 26, 2024

MANAGEMENT : MR. P. N. VASUDEVAN – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – EQUITAS SMALL FINANCE BANK LIMITED
MR. SRIDHARAN N – CHIEF FINANCIAL OFFICER – EQUITAS SMALL FINANCE BANK LIMITED
MR. MURALI VAIDYANATHAN – SENIOR PRESIDENT AND COUNTRY HEAD, BRANCH BANKING , LIABILITIES , PRODUCT AND WEALTH – EQUITAS SMALL FINANCE BANK LIMITED
MR. ROHIT PHADKE – SENIOR PRESIDENT AND HEAD ASSETS – EQUITAS SMALL FINANCE BANK LIMITED
MR. NATARAJAN M. – PRESIDENT AND HEAD TREASURY – EQUITAS SMALL FINANCE BANK LIMITED
MR. DHEERAJ MOHAN – HEAD STRATEGY AND INVESTOR RELATIONS – EQUITAS SMALL FINANCE BANK LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Earnings Conference Call of Equitas Small Finance Bank Limited Financial Performance for Q1 FY'25.
We have with us today Mr. P. N. Vasudevan, Managing Director and Chief Executive Officer; Mr. Sridharan N ., Chief Financial Officer; Mr. Murali Vaidyanathan, Senior President and Country Head, Branch Banking, Liabilities, Product and Wealth; Mr. Rohit Phadke, Senior President and Head Assets; Mr. Natarajan M., President and Head Treasury; Mr. Dheeraj Mohan, H ead Strategy and IR.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone telephone. Please note that this conference is being recorded.
I would now like to hand the conference over to Mr. P. N. Vasudevan. Thank you, and over to you, sir.
P. N. Vasudevan: Thank you. Good evening to all of you. I'm sorry, we are a little bit behind schedule due to some technology glitch. I hope you can hear me loud and clear. I hope you had the time to go through our results. Firs t, let me start talking about what went well during the quarter. Our deposit growth has been good. Retail deposits continued to perform well, and our retail term deposit book is growing strong. Retail term deposits grew 47% year -on-year and CASA has been a ble to hold steady for the quarter compared to the previous quarter.
Product segments like housing and used cars have grown well at 35% and 59%, respectively. We continue to invest in these products. Our flag ship product, small business loan, which is now over INR13,700 crores has grown by about 27% year -on-year. Microfinance growth remains muted at 6% for the year -on-year, which is more or less aligned to our overall strategy of reducing the microfinance weig htage over a period of time.
Small business loans continue to do well in all parameters, and we hope to accelerate the growth in the coming quarters. This good performance has also given us a headroom to grow our micro LAP portfolio, that small business loans up to value of INR7.5 lakhs, which was a little bit controlled during the COVID period. The bank remains healthy on liquidity with our CD ratio at around 86.75%, and we aim to hold this CD ratio at this l evel and maybe marginally reduce it over the rest of the year.
Our investments in technology to help build more customer stickiness through apps and launch of products like credit cards, personal loans and AD 1 products are progressing well. In the next few months, we should be seeing these apps and products getting rolled out.
Another large investment we have been making in the last one year is our new CRM app be ing built on the Microsoft Dynamics platform. This is progressing well and should get rolled out shortly. Our Selfie Loan app for borrowers is seeing strong adoption with about 1.5 lakh downloads in the last quarter. The app has already started generating leads as we popularize this app amongst our target segment, and it has a good potential to become a good source for generating leads.
Now I'll talk about what did not go well in the quarter. The first quarter disbursement was quite

low. April, in particular, was really bad. And the rest of the months, though saw some improvement was not really still strong. Loan growth was slow also due to factors that we have been hearing from everybody else, whether it is in terms of elections, heat wave, etcetera. Our micro

finance portfolio loan growth was just about 6%, while the non -microfinance was about 21%. July looks good, though, and we are confident that the loan growth momentum will pick up as the month go by. The second thing, which did not go well during the quarter was credit cost. Now credit cost for the quarter has spiked up due to two factors. One is that we have done one -time correction in our PCR ratio, provision coverage ratio, and taken it from about 55 -and-odd percent to 70%.

This was done basically because of the new guidelines that RBI has come out with in the month of April for SFBs to convert into universal banks and the requirement there is that the net NPA should be less than 1%. And our net NPA as of March was slightly over 1%. So we have done a one-time correction in our PCR to bring it down to less than 1% and also take PCR to a more reasonable level of about 70%, so that, that goes behind us at one stroke.

The second factor is that even minus the PCR -- minus the 70% one -time correction of PCR, our credit cost has still come out on the higher side for the first quarter. This is because of weaker collections and generally Q1, as we all know, is a seas onally weaker quarter for collections. We are focused on this and expect that the coming quarters should be better.

In microfinance, we have to really see how the second quarter trend shapes up before being a ble to predict the way forward on microfinance. Our slippages during the quarter were 4.49%, which is above the comfort level of 4% for someone like our bank. The leading contributors to the higher slippages are microfinance and commercial vehicles, which are both elevated during the quarter.

On microfinance, the slippage last year first quarter was INR35 crores whereas this year that INR35 crores has actually moved to nearly INR85 crores. Similarly, on CV, last year first quarter, the slippage wa s about INR90 crores which has moved to INR155 crores this quarter. So you can see that these two products really contributed seriously to that slippage.

While we are confident that the CV slippage should come back to some level of control going forward, on microfinance is something that we have to really wait and watch how the second quarter progresses before we are able to come with some kind of a prediction. In the current environment, we slowed down the disbursements in microfinance, which also led to a sequential decline in NIMs and deals.

However, the disbursement deal across the products are actually stay steady while in some products, they showed even a marginal improvement. In terms of guidance, the Q 1 credit cost, excluding the floating provision is about 1.44%. For the rest of the year, on credit cost guidance, we are going to wait for 1 more quarter. And we hope that by end of second quarter, we should be able to come and give a better guidance for the credit costs for the full year. This, of course, depends on the - basically the momentum that we are going to be looking at on the microfinance part of the book.

Loan growth wise, we had guided for a 25% growth for the current year. The first quarter has been around 17%, 18%. But however, this is something that I think should come back, and we should end the year at the guided level of around 25%.

Lastly, as we continue to invest in our various product technology initiative, our cost to income will remain at more or less similar levels of last year. And in the meanwhile, as I mentioned earlier, we are progressing well on our long -term strategy of building a re tail bank that offers relatively attractive rates of interest to depositors, in addition to extending a technology l

ike customer experience for them.

And the money is so collected by us, we are using to lend to the borrowers in the informal and formalizin g economy through a very well diversified loan platform. And this, we hope, as a combination should help us creating a very sustainable financial performance as we go forward. Thank you so much. Now I hand it over to Rohit.

Rohit Phadke: Thank you, Vasu sir, and good evening, everybody. Advances have grown by 18% year -on-year and 2% quarter -on-quarter. SBL advances, which contributed 45% of the book, have grown 27% year-on-year and 4% quarter -on-quarter. X bucket collection efficienc y in SBL continues to be at 99.3%. The merchant overdraft advances have crossed INR1,000 crores, and we will continue to scale up the product.

Micro LAP in the SBL portfolio has grown 78% year -on-year. We int end to scale up this product this year. Vehicle finance advances have grown by 15% year -on-year and 2% quarter -on-quarter. The used car book has grown by 59% year -on-year and 9% quarter -on-quarter, and the book now stands at INR1,339 crores. X bucket colle ction efficiency in VF continues to be at 96.4%. Credit costs in VF is slightly elevated. CV sales were flat in comparison to same period last year and 8% down over the quarter.

The AHL book has grown by -- the affordable housing loan book has grown by 35% year -on-

year and 4% quarter -on-quarter. X bucket collection efficiency here continues to be at 99.2%.
MF advances have grown by 6% year -on-year, but degrown by 5% quarter -on-quarter. The MF book has seen ele vated -- the second quarter is the beginning of the festival season and the consumer cycle does see an upswing from the second quarter. I do hope that things improve from hereon. Thank you. Handing over to Murali.

Murali Vaidyanathan: Thank you, Rohit. Good evening all. Just to give you a perspective of what we got it right. As a team, we were focusing on Mass banking as a crucial thing to garner deposits and mass affluent to get product holding and relationship value right. I think this quarter was 1 quarter where we can stand up and say that our existing customer and new -to-bank customer through retail TD has been a big welcome change in our approach.

So we have got that aspect very right. In the f irst quarter, we had close to 1.2 lakh customers actually contributing towards TV. So our approach of segmentation, diversification and product management is helping to garner deposits on one side. Second thing is expansion of consumer from saver to actual ly investor as well as three in one that is trader is helping us on the other side.

Last quarter, we could see, like recently, we saw an article money chasing alternative assets. Our SIP growth as well as mutual fund segment, that is our wealth management unit, is performing through our RM's very well. And second thing is ASBA contributing to a significant chunk of retaining SA too.

Third important parameters are NR book. NR and AD segment is showing good sig n. NR now we have crossed INR2,000 crores, and we are almost presented in 140 -plus countries shows our deepening and relationship and differentiated VR M approach. And overall on fee -based activity too, we could see on protection side, health actually comin g back into limelight and we are able to actually penetrate more and more.

So on our 4 -point strategy that is getting our family banking, right, our journey has started. First quarter has been encouraging. An d mass banking is very encouraging. And now we will see a new development on STP process for end -to-end solution through selfe. And third important thing, transaction banking, while we are bu

ilding up, it will take some more time. And fourth important thin g, NR where we have gotten and with AD1 seeing the light at the end of the tunnel maybe in 1, 2 quarters should help us to garner. So overall, all it was very hard and very tough and relatively satisfying quarter. We hope to continue that in coming days. T hank you, Sridhar. Sridhar, please.

Sridharan Nanuiyer: Good evening, everyone. I'll quickly give an overview of our financial performance for the quarter. All of these are already covered in our presentation. Our net interest income for the quarter came at INR801 crores registering a growth of 8% Y -o-Y. Other income for the quarter came in at INR192 crores, registering a growth of 28%, resulting in a net income growth of 11% year-on-year. Our yield on advances adjusting for securitization and other off -book items dropped marginally -- sorry, the call got discon nected. We are continuing now. This is Sridharan here.

Credit costs came in at INR305 crores as we created an additional floating provision of INR180 crores. Excluding this, our credit costs would have been at INR125 crores equal to 1.44%. Out of the INR1 25 crores, microfinance credit costs alone has been at INR 62 crores, while our SBL portfolio continues to behave very well, and the credit cost has remained stable over the last quarter.

During the quarter, the bank has made a technical write -off of INR114 crores. In that INR98 crores pertaining to microfinance book. The bank carries a total GNP A of INR889 crores and NPA provision of INR625 crores. Our PCR now stands at 70.29%, up from 56.06% in the previous quarter.

We aim to keep a PCR around these levels going forward. PAT for the quarter came at INR26 crores due to an additional floating provision of INR180 crores. As of June 30, 2024, the total CRAR stood at 20.55% with a Tier 1 at 19.59% on the Tier 2 at 0.96%. Thank you.

With this, I'm handing over the call to Mr. Natarajan, our Head of Treasury.

Natarajan M.: Good evening. Q1 FY'25 has been a good q uarter in the market front. Our tr easury made a revenue of INR29 crores on sale of investments. India tenure is outperformed U.S. tenure. USD rendered flat on a quarter -on-quarter basis, while th e Indian tenure trended lower and dose the 7% mark.

Indian banks a good demand on the back of announcement of inclusion in global JPMorgan index. Although our markets are expected announcement and the preposition to large extent, good demand for Indian bonds continue to come through largely thanks to r esilient economic activity and favourable macroeconomic conditions in India.

The U.S. spread continues to be data driven, but the latest comments from Jerome Powell regarding moderating inflation led the markets to believe that the U.S. could start cuttin g rates as early as September. Markets are anticipating India leads to head lower mirroring yields in the U.S. in that eventuality.

Equities were volatile for a better part of the quarter, but ultimately grows higher as the market

captured in the outcome of national elections. With the big event out of the way, we expect markets to stabilize and continue to outperform global peers. A recently concluded Budget has provided areas of focus and target for new government, which comes with a new world of opportu nities.
Globally, geopolitics continues to be an issue as war continued to wage Ukraine and Gaza. This is something to pay close attention to from the market perspective due to impact on supply chains. We con tinue to remain positive on the India growth story over the medium to long term as demonstrated economic activity continues to be resilient and is expected to further pick up as manufacturing and focus on agric

ulture continues to be the twin pillars of Ind ia economic growth and progress.
With that, I'm handing over to Vasu.
P. N. Vasudevan: This is Vasudevan again here. I take pleasure in welcoming our new Chairman, Mr. Anil Kumar Sharma. He has taken out from the previous Chairman, who r etired on 25th of April this year.
Mr. Anil Kumar Sharma has retired recently from RBI as Executive Direct or, and we are the honour of his presence in this con call. Thank you, Anil sir.
We hand it over back to the operator now.
Moderat or: The first question is from the line of Darshan Deora from Indvest Group.
Darshan Deora: So my question was regarding Slide #14 of the presentation, I see the yield on gross advances seem to have gone up by 10 bps or 11 bps. The cost of funds has gone up by 2 bps. But the NIM we have reported in Q1 versus Q4 has dropped by 20 bps. So just wanted to understand the math where am I getting it wrong.
Dheeraj Mohan: Dheeraj here. Just to get you on the page on NIM. -- so the NIM drop, if I have to attribute it to the change in yield of the portfolio, that's about 11 bps. Now this drop is largely because of the composition of the portfolio. So microfinance portfolio is now a lower weightage than wh at it was before. So from a NIM perspective, the denominator as earning assets. The yield on the portfolio has dropped by about 11 basis points.
Dars han Deora: Okay. We are showing 16.45% versus 16.34%?
Dheeraj Mohan: Yes, this is on the whole book, on the gross advances. So we have securitization also.
Dars han Deora: What's on the book, Okay, right, got it. And the second question was regarding the housing finance business. If you look at, I think, Slide 19, the average ticket size at time of disbursement is around INR10 lakhs versus the portfolio is INR15 lakhs. So what explains that?
Dheeraj Mohan: So in housing finance, in particular, as you know, the disbursement happens in tran sit because it's linked to the construction, so which is why disbursement, let say, a INR25 lakh loan, the first disbursement may be 5 lakhs. And as the construction progresses, you see the tranche wise disbursement , which is why the anomaly is there in ho using finance.
Dars han Deora: Got it. And what would be the average yield on advances for the housing finance business? .
Dheeraj Mohan: Average yield on advances in housing finance is close to now it's gone up, it should be close to about 12%.
Moderator: The next question is from the line of Arora from SOIC Research LLP.
Arora: This question was like now as PCR has gone to 70% and cost to income is also sticky. What do you think this happens to return ratios going forward over the next few years?
Dheeraj Mohan: This is Dheeraj here. I hope I got the question right. So if you're looking from a 2 -year perspective, like we said, we are try ing to build a bank, which has a sustainable ROAs of 2.25% and a high -teen ROE. So that's the objective.
From a timeframe, we've also mentioned that we are in the process of building out a bank. We are about 8 years in. We've got another 3 to 4 years left for us to emerge as a bank where most of the investments would have happened. So now those are 2 time lines we have. Objective is to treat it as early as possible and just give it to Vasu for some more colour.
P. N. Vasudevan: Okay. So th at is a general direction in which we have been going and which we should continue to be growing. In terms of the specific question that you asked that in terms of PCR going to 70% and our desire to hold it at this level going forward, what could be the po tential impact on the bottom line.

That's why I said that we are not guiding the credit cost for the year right now. We want to guide for that maybe at the end of the second quarter. Because one is the impact of keeping the PCR at 70% on an ongoing basis, second is the trend in microfinance collections. That's something that is very crucial and something that we are really concentrating on right now.
So once we g et some handle on that also by the end of second quarter, we'll have a much better idea from a credit cost perspective, from the short -term perspective. I'm talking out short term, long term, Dheeraj just explained. And really talking of the short term and short term for the year, so to say. So we should be able to guide that much better by end of second quarter. Yes, we'll have to see whether the credit cost of that 1.25%, which we have guided in the beginning of the year is something we'll be able to mana ge for the rest of the year. That picture will be cleared by the end of second quarter. And I think that will determine our ability to deliver the consistent -- I mean we have been fairly consistent in our bottom line over the last 4 or 5 quarters

and our ability to get back to those levels really depends on how the credit costs will shape up over the next few months, that will determine that. And we'll be able to guide you that by the end of this quarter.
Arora: And sir, just a second question. When do you think the cost of funds start falling because some of your peers have already started putting lower cost of fund quarter -on-quarter?
Murali Vaidyanathan: See, the cost of funds has 2 sides to it. One is cost of savings account, which is more or less stable between 6.16 and 6.18. Second is the quantum of replacement deposits, what we do over a period of time. So if you see last year, we had close to 65% to 70% of the book came in for renewal, and so that it got re priced at a higher rate along with the high rate NTB sourcing. So this year, we have prefixed and the quantum which we have now to go is only maybe 20%, 22%. That's it, balance all either reprice it or that money has gone up. So that's the reason why cost of fund impact is only 2 bps compared to the last quarter.
Dheeraj Mohan: Dheeraj here. We've also reduced in 1 bucket in our savings accounts.
Murali Vaidyanathan : That is starting July, yes.
Dheeraj Mohan: We reduced our interest by about 200 basis points. So that's something which has already been actioned.
Moderator: The next question is from the line of Rajiv Mehta from YES Securities.
Rajiv M ehta: My question is on the SMA bucket, which is fell from 3% to 3.8%, which is 30 to 90 DPD bucket. What are the efforts that we have taken recently in terms of strengthening collections and not allowing them to forward flow and become slippages or trying to roll them back in the coming quarters?
Rohit Phadke: See, usually, what happens is -- usually, what happens is whenever we have a collection risk, you move people into collections to add some people into collections. So that is the first thing that you do. You also separate the bucket -wise focus. So we have done that. We have separated bucket -wise focus. We have put people -- more people into specific buckets, I think that will yield results. And basically, our SBL buckets are very good. I t's only the Vehicle Finance, which we have to address. Does that answer your question?
Rajiv M ehta: Yes. Sir, you -- I think we also mentioned about X bucket collection efficiency in our mainstay products of SBL, Vehicle Finance an d affordable housing. But I believe that was for the quarter. In July, have we seen improvement in X bucket collection efficien

cy?
Rohit Phadke: See, in July, we've seen X bucket collection efficiency, stable in SBL, our home loans, e ven in VF also. See, VF, if you look at the trend, it always holds between 95% and 99%. March is always at 99%. And then between months, it goes up from 95% to 97%. We are at about 96.4%, which is in line with our past data.
Rajiv Mehta: Okay. Okay. And next question is yield. So how should we look at our portfolio yield or loan book yield moving from your ex of portfolio mix change. I know the portfolio mix will keep on changing. But otherwise, my question is even at the product lev el, how do you see the portfolio yields moving and catching up with the disbursement because the reported disbursement yield have been way higher. So when do we see that catch -up happening?
Rohit Phadke: Over of the past data, so that -- I mean that probably might answer your question. Now if I look at ID product wise, for instance, SBL, in March '24 was at -- in March '23, it was 16.29%, in March '24, it was 16.75%. And in June, it has gone up to 17.49%. And in VF, March '24 was 17.23 % and June '23, 16.69%. The simple reason is because the product mix, we've done some -- sincere apologies, the connection was disconnected.
So I'll restart. I don't know how much of it you heard. So I was going through the yield. So SBL, if you look at M arch '23 was at 16.29%, in March '24, it improved to 16.75%. And in June '24, it is at 17.49%. If you look at housing loans, it was 11.73% in March '23, which has gone up to 12.13% in June '24. So this is the direction that the yields will take. I hope tha t answers your question.
Rajiv M ehta: Yes. And just last question. So at this moment in time, we are refraining from confirming our credit cost guidance for the year because of uncertainty. So then why did we still retain our growth guidance? Because generally, we respond from a growth standpoint, we respond to how the collections and how the asset quality moves. So -- but we are maintaining the 25% growth guidance?
P. N . Vasudevan: Yes. You see the microfina nce is t he one where the concern is really high. Vehicles, there is a credit cost spike in the first quarter, but that is something that we are fairly confident of bringing it back. So we should hopefully see not much of an issue going forward. And it should be ba ck to reasonable levels going forward. And the rest of the book is not an issue per se.
So overall, the credit growth, the advance of growth, I don't see a challenge in that. If there is a dip finally that we have to take in microfinance, we should be able to compensate in the other secured loan products. And of course, the personal loan, credit card might fill up a little bit once they get launched. So I don't think the 25% is the real challenge for us. The r eal challenge will be more on the credit cost to maintaining it around 1.25% and on that, as I mentioned, we shall come back to the end of this quarter.
Moderator: The next question is from the line of Vikas Sharda from NT Asse t Management.

Vikas S harda: Just following up on the question on the net interest margins and the portfolio yield. So I'm not very clear that what's the connection between this -- the yield on disbursement versus the yield on gross advances, because you always have the change in the loan mix, right? And as you guide that microfinance should taper down in the future. So that will always have a negative impact. So considering these factors, then how should 1 look at, say, the yield on advances by the end of this year as well as how should that translate into net interest margin for the full year?
Dheeraj Mohan: Okay. So I think Rohit had mentioned how yields have moved in t

he last year. The idea is also we are focusin g on micro LAP as a product, and we've seen strong growth over the last year, which is a high -yield book. So it makes -- almost mimics microfinance in terms of yields. So those are some of the efforts we've d one. And again, Vehicle Finance, I think we commented last quarter also that we are slowing down a new commercial vehicle and NBFC loans, which are again low -yielding books and focusing on high -yielding products in good interest rate environment.
So those are some of the actions we have taken in the past, and some of them are playing out now. So you can see some of the yields are moving. But just to give you some sensitivity, if we have a 5% drop in microfinan ce disbursement, in the product mix. If there's a 5% drop in microfinance disbursement from a mix, you typically will see a 1.15% movement in gross yields. So the yields of 16%, 17%, we put has that sensitivi ty to microfinance as a composition. So why -- and also new products we are coming into will be at a different yield. So we look at product ROAs when we launch it. From a long -term guidance, we'll have to see how banks of sizes, which are double than us an d similar products, which we have got into, how those NIMs will look like, at least from the numbers we have seen, typically, they are in the range of between 7% to 7.5%. So we'll hav e to see how we manage our NIM’s
Vikas S harda: Understand. So what would be the microfinance yield for you as of now?
Dheeraj Mohan: 25%.
Vasu devan P N: Disbursement rate is 25%.
Dheeraj Mohan: Yield is about 22%.
Moderat or: The next question is from the line of Ashlesh Sonje from Kotak Securities.
Ashles h Sonje: A couple of questions from my side. Firstly, on the microfinance portfolio. In your sense, what is causing these elevated delinquencies in this environment?
P. N . Vasudevan: Yes. So microfinance, last year, last financial year, it was -- begin the last financial year, microfinance was kind of okay. The delinquency trends were under reasonable control . But towards the second half of last year, it started moving up. And then it was really short of over the last, I would say, 9 to 10 months.
It's really been moving badly. And what started in some is act ually spreading to more pockets now. And this is not really led by some even t risk. It's not a political or it's not a flagged kind of a natural disaster -related issue. So this is something that is actually fundamental to the industry itself.
And if you look at the underlying reasons why it is so maybe because RBI had come with a uniform guideline for microfinance lending for all the players put together. And under that certain changes where to be made by all the players and if you look at the household income of around INR3 lakh and take a 50% FOIR and assume a 2 -year loan, effectively, a customer might become eligible technically speaking for a loan of about INR2 lakh.
And now, when you do that ma thematical calculation and arrive at INR2 lakh potential capability to lend to a person, suddenly, the market rears to that INR2 lakh. The INR2 lakh becomes like something like a buzzword or a goal for the players in the market.
And so the ticket size start going up and additional lenders coming in. a nd quickly, the borrowers overall indebtedness moves very quickly and very fast towards the INR2 lakh mark. And that's what I think, in my view, that's what has probably been happenin

g in the industry. And it's a concern. It's not just an issue for us. It's a concern at the industry level. We are in discussion with the -- all the industry players. We have the three associations. We have the Sa -Dhan, we have the MFIN and we have the Association of Small Finance Banks, ASFB. And two of them, as you know, our SROs also recognized the RBI. So we have been having multiple meetings within the industry players in the last 2 months and 3 months.
And there's been a code of conduct, which has been signed off by all the players as we are voluntarily trying to curb over lending or lending to defaulting customers, etcetera. But I wouldn't say that the implementation of that code of conduct has been very effective on the ground level, and that is why we have the concern, which is felt right across the industry, right?
And so this is something we have gone through in the past. In 2010, when the AP c risis happened, the industry went into a and then slowly, it started coming back, but the concern remained very high in the industry about the same concern that I'm raising now, except that the amounts may be lower than because of inflation and time factor . But otherwise, the issues are exactly what I'm talking today was the same issue that was there in 2010. And so all of us have been able to get

together at that point in time, bring about a discipline amongst the lenders. And that discipline was reinforce d at the ground level and over a 2 -year period, actually from 2010 to '11, there was not much of business because banks have stopped lending but 2011 to '12, in 1 year, we were able to actually get the discipline completely back. And in 2012, the industry is back to absolute normal levels. So this is something that we have gone through together all of us in the past. And I think it's a journey that we got to do it again today. We have to get together and discipline ourselves and discipline every one of us i n the system. And if we do that, I think the trend should come back.

So for a change, the crisis or it's not the word crisis, but at least a stress levels in microfinance for a change is not induced by an ext ernal one. This is the first time, I think, in the last 15 years that I know or 17 years that I have been in this business that I'm saying that it's not an external even trigger, but it's something inherently coming up from the sector itself. And this is s omething we got to get together and solve it, and we are at it. And I'm hoping that we gu ys will really be able to come and solve this.

Ashlesh Sonje: Sir, again, on the same issue, would you have any sense of how -- what is the mag nitude of this issue? How long can delinquencies stay persistently high?

P. N . Vasudevan: Yes, that's very difficult to say. But I can tell you that we are concerned. Our slippages is not something we have ever seen in the past. I mean, th is kind of slippage consistently month after month is not something we have seen in the past.

Demonetization, we saw a large slippage. But that slippage was maybe about 3 or 4 months, we saw a significant sli ppage. And after that, the slippage, we were not able to record for a long time. And after that, the remaining became normal. In COVID also, after that holiday period or whatever, that moratorium period as soon as the moratorium stopped and the life was co ming back to normal, we were able to get back to reasonable levels of collection efficiency again within a few months, I would say.

This is the first time I'm seeing where an extended period of nearly 9, 10 m onths, we have been seeing high slippages and it's by all of us and in many markets. So it's very difficult to tell you within what time frame we e

xpect it to come back to normalcy.

In fact, that answer depen ds on really how we are able to come together all of us and ensure that the code of conduct that have in place he has followed the all of us. That is something, in fact, 3 days back, we had a meeting in Bangalore and all of us pledged will go back and ensu re that we all -- at least individually, we'll ensure we discipline ourselves in the market.

So that's the outcome of a three -day-old meeting. So I thi nk the answer to your question lies in how quickly we all become discipline and follow the code of conduct. So I think give us another month or 2, and I think we should be able to come with a much better answer.

Ashle sh Sonje: One last data keeping question. Would you have don e any analysis on the proportion of your borrowers or microfinance a year which would breach the MFI N guardrail threshold of either more than 2,000 exposure or more than 4 lenders?

P. N. Vasudevan: Do you know that? Customers who is more than INR2 lakhs or we are the further. We'll try and come back to you later.

Moderat or: The next question is from the line of Abhishek Murarka from HSBC.

Abhishek Murarka: So just continuing with your commentary, then is it safe to assume that disbursement could continue to remain low or declining for the next 2, 3 quarters until you see more discipline in the sector in MFI?

P. N. Vasudevan: You are speaking with reference to microfinance?

Abhishek Mura rka: In microfinance, yes.

P. N. Vasudevan: Yes. So in microfinance, as I say mentioned, the slippages are really not showing any abatement at all. As of now, in the last, as I said, 9, 10 months, it's not been really showing much of abatement. And so if nothing changes, if none of us changed, if al l the industry players, the practices remain exactly what it is today -- yes, Abhishek, so sorry, we keep getting disconnected. I'm very sorry. It's been a very frustrating con -call, I should say, even for me, I don't know about you guys.

Just to conclude on that question, Abhishek, the point is that, all the industry players are now kind of having their back to the world, and that's my on ly hope that once all of us fell the heat, I'm sure cumulatively or collectively, we should be able to bring about a ch ange in our own approach to the market. And that's the hope that I'm living on. And I think the next 1 month, 2 months, we'll definitely see a good trend of change, and that should really help us all get our control back on the business.

Abhi shek Murarka: So the question I was asking Vasu was that now from a mix perspective, we should see a bit of a sharper correction or reduction in the MFI mix in your overall AUM. Because on the one hand, you will wait to see cloud s clearing off. And on the other hand, rest of the book will continue to grow. So I think that 17% could come down faster now?

P. N. Vasudevan: It's too early to predict that at this point in time because I think by next 2 months, we will have clarity on th at because if microfinance does come back to reasonable normal levels of delinquencies, then our approach of reducing microfinance gradually will come back. I mean

we'll kick to that original plan.
On the oth er hand, if the next 2 months, 3 months, we don't see all of us collectively coming together and doing something on the ground. And if slippages continue to remain at the level that it is in today, then we will naturally need to take a sharper call on redu ction in microfinance.
But I'm -- I have a feeling. I mean I'm just saying my assumption or my feeling that the industry players are coming together, and so that should bode w

ell for the industry. And if that happens,
then we'll stick our original plan of reducing it slowly over a period of time.
Abhishek Murarka: Got it. And M -LAP, can you tell me if that is -- so what is the risk weight we use for micro LAP, is it 75%, 80%, 100%? Or is it 125? So where are we there?
P. N. Vasudevan: Risk-weighted and micro LAP is only 75%. It's part of the regulatory retail. See, it is not about micro LAP. It's about the end use of the money. It's end use of the money is for a business purpose, then it remains -- it comes out of the definitio n of regulatory retail, which is 75% risk weightage. On the other hand, if the end user the money is for not a business purpose for anything else other than a business purpose, not as no micro LAP. It may even be INR5 lakh, INR10 lakh, INR15 lakh or INR20 lakh loan also, which is also secured, completely secured against house property.
Even then if the end use is not business, it is classified as a personal loan under the RBI's definition of personal loan and then it goes under the 125% risk weighted. Is t hat right? Correct?
Yes. So that's the way it is. So it's not about micro LAP. It's about the end use. In our case, would you have an idea what's the percentage of personnel loans as per RBI definition?
In ou r annual report, we will be giving that. So if you're interested, you can just go through our annual report, which we should be publishing shortly. We'll maybe earmarking how much of our secured LAP comes under the personal loan category to be classified u nder 125%. So that will be displayed in the annual report.
Abhishek Murarka: Got it. And lastly, this last quarter, we did a fair bit of securitization of high -yielding loans and we lost a bit of yield because of that. Has that also been done this quarter? And what would be the loss in revenue or interest income because of that?
P. N. Vasudevan: No. We haven't done any additional securitization or bilateral or anything this quarter.
Abhishek Murarka: Okay. So the yield drop is basically reflecting the mix change there not any one -off sale of portfolio anything like that?
P. N. Vasudevan: Yes, you want to do.
Abhishek Murarka: Okay. Okay. Got it. Just last question. So we were trend ing at roughly 2% ROA and, of course, we had to make adjustments for conversion into a universal bank. But now that most of the adjustments are done the plans to get back to close to 2% is a little unclear because on the one side, we are seeing a mix chang e related to yield drop.
On the other side, you're also guiding for flattish cost to income for the year and credit costs, export one -off also remains a little high. So where do you think we might end towards the end of the year? And what kind of recovery levers do you have to recover back to maybe 1.8%, 2% ROA on a run rate basis?
P. N. Vasudevan: See, on an immediate basis for the current financial year, as I said, the credit cost will determine the ROA, ROE and the credit cost, I'm say ing that we will come back to you with some kind of a guidance by end of the second quarter. But on a little bit longer term, short, medium to longer - term basis, if you look at it, the 70% is done and dusted with so that should not be an overhang on the bo ttom line any longer.
And credit costs will come back to normal. I mean it's just a person of all other products, we don't have much of an issue where vehicles did have elevated costs in the first quarter, bu t that's really not an area of concern. For us, it should come back to our normal levels going forward.
So everywhere else, we don't have any other issue. So on a slightly medium to long -term basis, we'll be back to our normal levels of credit cost and bot

tom line ratios.
Moderator: The next question is from the line of Renish from ICICI Bank.
Renish: This is Renish from ICICI Securities. So just two questions. One on this 200 basis point reduction in some of the pockets in deposits. So can you please elaborate a bit on this? I mean which buckets and what kind of benefit we expect in terms of reduction in cost of deposits?
Murali Vaidyanathan: This is Murali here. See, SA is a lande d approach. As you know, till last quarter, we had up to INR1 lakh 3.5%, INR1 lakh to INR5 lakh, 5% and g reater than INR5 lakh, it used to be to be 7%. Starting July, that is quarter 2, we have expanded the ladder that is up to INR1 lakh, 3.5 continues. IN R1 lakh to INR5 lakh has become INR1 lakh to INR7 lakh. So this is seeing the demography and geography and our product proposition, we have expanded 5 to 7.
That is going to bring in incremental reduction in SA, as I said in the in itial talk, we are focus ed on Elite , that is a mass affluent and H&I segment. And predominantly, our segment is now moving into investor as well as trading accounts. This will help us to retain the customer and grow the customers. So this is where we get SA benefit of 10 bps in c oming days.
Renish: No. But Murali, if we are reducing the SA rate in buckets how does it help to retain customers?

Murali Vaidyanathan: See, we are expanding this entire favour to invest. That's way if you see in our pres entation also, the quantum of SI P added in last quarter. As you see, our AUM is predominantly built on SIP, ASBA and 3 -in-1 accounts. This invested trader saving community, which we are expanding and cross -selling through product holding and famil y banking is helping us.
P. N . Vasudevan: Renish, the point is that reducing an interest rate is not automatically meaning that customers will stay with us for longer as with more many owners. No, that's not what we are trying to communic ate. What we are trying to communicate is that there has been that -- I think in the last presentation, we have put out our liability 2.0 strategy, in terms of what are the various things we are going to be doing to try and get consumers to consume more of our products and services so that the becomes more and more of a primary account for the customer, and that is where the comfort of reducing the interest rate will come to force.
And so the first step we have done is bas ed this reduction in savings slab that Murali has mentioned and the confidence for doing that came from the early kind of comfort that we drew from some of the activities that we have undertaken in the last quarter. So some there has been some decent amount of progress on those initiatives, and we are seeing some initial good outcomes of that. And that gives the confidence that we could reduce this without affecting the growth in CASA balances.
Renish: Okay . Okay. We will take it offline. So secondly, sir, in terms of the MFI stress, right, I mean you alluded that there has been a steady increase in the over the last 10 months. So it is across pan-India? Or there are some specific states, which might have gr own at a higher pace over the last 2 years...
Rohit Phadke: So Rohit here, Renish. So there are some states where the problem is absolutely significant, which is Punjab, Haryana, and Gujarat . And there are some states where it is there across branches. For instance, Maharashtra. Some branches definitely. In Tamil Nadu, if you take it, Erode is there, where there's a significant number of branches where this problem is there. And then there is -- it is sporadic in some branches in o ther places. But these are the main concentration of streets where it is a problem.
Re

nish: Okay. Okay. And in MFI, when we talk about this slippage is one part, but what is the trend in terms of collection? I mean whether your July collection is better than actually May and June o r it is sort of in that level?
Rohit Phadke: No. So July, in July, it is the same as in June, but we have to see how it pans out. Now we April, May, June, the trend was not g reat at all, right? So this last quarter, that is why the slippages are high. The trade the slippages wouldn't be higher. See, our collect ion efficiency in X bucket in MF always used to be at 99.5%. And that has now come down to 98.83%, right. So that is w here it stands. And that is why this is what Vasu said.
Renish: Got it. So fair to assume that July X bucket is still at 98.8%?
Rohit Phadke: It is at 98.8%. We hope -- see, we are making all our e fforts to increase where it is at that range.
Moderator: The next question is from the line of Nidhesh from Investec.
Nidhesh: Sir, on the operating profit to average asset ratio has declined from 3.4% run rate to around 3%. So there is almost 40 basis point decline on that number. So how do you see this trajectory playing out through the course of the year? And any long -term aspiration on this number?
Dheeraj Mohan: Yes. Nidhesh, on PPOP, to, if you look at -- to remove seasonality, we should be at that 3.5% trending towards 4, that is how at least the bank is invested and built for. And to assume that the environment is good to lend across products.
So which is now what is being tested, but areas, hopefully, we will start to see PPOP improve just bit seasonality changing. For example, if you look at our Q1, the fee income, the drop, if you remove the fee income, which is a drop becau se of assets, and I just look at liability, as you know, insurance is not the season in Q1, and it ticks over the quarters. So I think when all of those starts coming in, you will start seeing that reflecting in PPOP's climbing up.
Nidhesh: Okay. Because last year, Q1 also your number was 3.4%. This year, this number has dropped to 3%.
Dheeraj Mohan: Last year Q1, we did exceptionally well, if you remember.
Nidhesh: And wha t is the trajectory of margins that we should expect going forward?
P. N. Vasudevan: This year, Q1 compared to last year, we were down on disbursement by nearly INR1,000 crores, and our credit cost was much higher than last year's first q uarter. So for last year, first quarter was actually a very good year. This year, the normal first quarter as sluggishness, but more than that, the elections really did have its impact in collection across products. And then added to that is the microfinan ce slippages. Last year first quarter, we never had this kind of an issue on microfinance. So it's a combination of all of that. So the last year first quarter was very different to this year and first quarter.
Nidhesh: Okay, sure. And how should we see the trajectory on margins have come to around 8% from this year's perspective, how do you see margins trending?
P. N . Vasudevan: Yes. So sorry, I think we're having a problem with our lines. So essentially, the idea is to compensate for microfinance through Micro LAP and hold NIMs. But like I said, it's a little volatile now for us to come out and give you confidence if NIMs will hold, yes.

Nidhesh: And last question is on the -- as you, let's say, reduce the share of microfinance, what all products contribute to SMF priority sector , do you see challenges on meeting requirement on the SMF sid

e?
P. N. Vasudevan: See, the micro LAP, as Dheeraj was mentioning, the focus has been increased on micro LAP and that is a fully PSL product. So I think we should be compensating for PSL from MFI to Micro LAP.
Nidhesh: Okay. That will be compliant for the small and marginal farmer as well?
P. N. Vasudevan : Yes. It will be partly compensating for the Small & Marginal customers also.
Moderator: Well, ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. P . N. Vasudevan for his closing comments.
P. N. Vasudevan: Yes. So thank you so much for patiently waiting for us to join back again and again. We had a really bad telephone connection from Chennai this time around. So sorry for that. And a nyway, thank you so much for joining, and I wish you all the very good and look forward to seeing you again. Bye.
Moderator: Thank you. On behalf of Equitas Small Finance Bank Limited, we conclude today's conference. Thank you f or joining us, and you may now disconnect your lines.

Call: Nov 2024

"Equitas Small Finance Bank Limited Q2 FY25
Earnings Call "

November 08, 2024

MANAGEMENT : MR. P. N. VASUDEVAN - MD & CEO
MR. SRIDHARAN N. - CFO
MR. MURALI VAIDYANATHAN - SENIOR PRESIDENT & COUNTRY HEAD (BRANCH BANKING , LIABILITIES , PRODUCT AND WEALTH) EQUITAS SMALL FINANCE BANK LIMITED
MR. ROHIT PHADKE - SENIOR PRESIDENT AND HEAD (ASSETS)
MR. NATARAJAN M - PRESIDENT & HEAD (TREASURY)
MR. DHEERAJ MOHAN – HEAD (STRATEGY AND IR)

Moderator : Ladies and gentlemen, good evening and welcome to the Earnings Call of Equitas Small Finance Bank Limited Financial Performance for Q2 FY25.

We have with us today Mr. P. N. Vasudevan – MD & CEO ; Mr. Sridharan N . – CFO ; Mr. Murali Vaidyanathan – Senior President & Country Head, Branch Banking, Liabilities, Product and Wealth ; Mr. Rohit Phadke – Senior President and Head Assets ; Mr. Natarajan M – President & Head (Treasury) and Mr. Dheeraj Mohan – Head (Strategy and IR).

As a reminder, all participant lines will be in the listen -only mode, and there'll be an opportunity for you to ask questions after the presentation concludes. Should any assistant in the conference call, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now like to hand the conference over to Mr. P . N. Vasudevan. Thank you, and over to you, sir.

P. N. Vasudevan: Good evening to all of you and thank you for logging in today.

The first six months of the financial year has been quite turbulent as we witnessed deterioration in the microfinance portfolio at an industry level. Before we discuss in detail about how the portfolio has behaved and steps the bank has taken to ensure we get back on track quickly, I would like to highlight a few good things which have happened during the year.

Our strategy on the liability side is taking shape well. We continue to see strong growth in retail deposits. The overall momentum in mobilizing de posit has been quite healthy during the quarter. About 74% of our deposits are retail and incrementally, we are seeing this holding up. During the first quarter, we had changed the slab for savings bank interest rate. In the first week of October, we have done one more tweaking of the slab for savings account rates and also reduced the peak interest rate for retail TD from 8.5 % to 8.25%. While the cost of savings accounts has come down by about 13 basis points in the second quarter compared to the first qua rter, the impact of TD interest rate reduction may be visible over the next few quarters.

Investments in products like personal loan, credit cards, and forex services have largely gone as per plan. Some of these products are being piloted and we aim to see it getting rolled out for our existing customers by end of this financial year.

Our investments in technology infrastructure like CRM, super app and customer app for borrowers have also progressed very well. This year our treasury desk has contributed wel l so far and have actively participated across asset classes taking advantage of the opportunities that the market has been giving us. The cost of funds of the bank has largely remained stable and within anticipated levels. Talking about our asset business , our flagship product small business loan continues to perform quite well. Ou r strategy to focus on micro lap has started to show results. As you can see , the disbursements in micro lap is picking up , the overall disbursement in small business loans has a lso remained robust, and we hope to see a good second half for this

product. Similarly, we are seeing affordable housing segment and the used car loans growing well, while new commercial vehicle loans remain subdued as per our plan.

Vehicle finance, which showed some weakness in the first quarter, is recovering, and we are confident the second half of the year will be even better. The disbursements in used commercial vehicle and used car loans have been the highest during the second quarter. During the quar ter, the team in vehicle finance has increased the focus on recoveries and improving collections across all the buckets. In October, for example, our X bucket collection efficiency in vehicles has mo

ved up to 97.1 % which is in the comfort zone and traditio nally the second half of the year has been stronger for vehicle financing both in terms of collections and disbursements. The realignment of our loans to healthier yields has helped us keep our yield on advance stable despite the fall in microfinance as a proportion to overall advance during the year.

Now coming to the stress we are seeing in microfinance. The situation continues to be a concern as fresh slippage and flow from SME 0 , 1 and 2 continues to be elevated. We have been working with our customers to see how best we can be of help to them to overcome the present stress. One of the new norms being introduced rewards customers by way of reduction in interest rates for loyalty and better repayment behavior. Similar measures for center attendance and gr oup behavior are also being extended. Structurally, we have strengthened the branches with dedicated teams to improve customer engagements, collections and DPD resolutions. These initiatives we expect will help improve resolution percentage of various DPD buckets. We need to see slippage into NPA reduced by half to bring microfinance portfolio to a stable level. We see some of the positive trends further strengthening in October . Disbursements in October crossed Rs. 1,900 crores w hich is after a gap of six months. X -bucket collections in vehicle finance has improved while in microfinance October saw stability in X -bucket collections.

Lastly on provisions, we have made extra provisions of about Rs. 146 crores in microfinance during the quarter. Out of Rs. 146 crores, about Rs. 100 crores is in the form of stress sector provision, which translates to about 50% of 31 to 90 DPD in microfinance. This is a buffer provision and is over and above the PCR. The balance Rs. 46 crores was done by strengthening the IRA C norms for microfinance NP A book. We now provide 100% for loans above 180 DPD in microfinance. Our intention is to try and upfront some of the provisions proactively and take the credit cost pain upfront.

To sum up, deposit growth is comfortable. FD rates are moderating. We'll wait and see the results of our latest rate reduction in FD. Treasury is doing well. Disbursements are picking up quite well. Vehicle finance collections have improved in October and should see a good second half. The credit cost of our non -microfinance portfolio, which is 84% of our total advance, is at 1.04% for the first half which is very comfortable and could see further improvements in the second half. Microfinance stress is likely to remain for possibly another two quarters, gi ven that the stress started about three quarters back and it's a two -year loan product. As mentioned last quarter, we are not providing guidance on credit cost and growth for the year, so please do bear with us. Our journey of building a robust and scalabl e bank is on track, supported by focus on

secured loans , declining percentage contribution of microfinance, high asset quality and a strong liability franchise enabling us to reduce the cost of funds difference with other banks over a period of time.

Thank ing you once again for dialing in, I now hand over to Sridhar.

Sridharan N.: Good evening to everyone.

I shall quickly give an overview of our “Financial Performance ” for the quarter. Most of this is already covered in our presentation. Our net interest income and ot her income for the quarter was Rs.802 crores and Rs.229 crores respectively. Treasury income and asset fee income majorly contributes to other income segment, with YoY increase of 156% and 37% respective ly, resulting in net income of Rs. 1,031 crores with YoY of 11%. Our yield on advances adjusting for securitization and other off book items remained flat on Y -on-Y basis despite a drop in microfinance mix. The yield on disbursement remained at 17.83

% and was under pressure due
to slow down in m icrofinance. Microfinance disbursement stood at 20% during Q2 FY25, vis-à-vis 28% in Q2 FY24.

On the cost side, operating expenditure came at Rs. 682 crores, clocking a growth of 14% over last year. Over the last two quarters, we have been tightening our n on-employee related costs, which is visible in our cost, that is flat on Q -on-Q basis. Cost to income increased to 66.09%, vis-à-vis 64.37% of last year. P POP grew 6% year -on-year to Rs. 350 crores and PPO P to assets remain stable at 2.94% for the quarter. With disbursement picking up, we should see these ratios to improve. Credit cost for the quarter came in at Rs. 330 crores. As explained by Vasu, as a prudent measure we have provided 146 crores of provision towards microfinance. The bank carried a total GNP A of Rs. 1023 crores and NPA provision of Rs. 693 crores.

Our PCR now stands at 67.71% , up from 57.72% in the previous quarter last year. PCR for individual product segments are given in the PPT for a granular view. As of September 30, 2024, the total C RAR has stood at 19.36% and we expect to raise the tier 2 bonds soon.

Thank you. Over to Murali.

Murali Vaidyanathan: Good evening. Thanks for joining this call.

I just want to give some “Key Thematic Insights ” than the absolute numbers. I think current account as a proposition, which is highly invested and more focused by the institution started giving some good yields. If you see, we have grown by 66% year -on-year. That's a very healthy sign, which brings us into the new segment of SEMP, as well as busi nessman community. And we have doing few things right there, actually focusing on the last leg of supply chain and also using acquiring as a n objective tool to get that aspect right.

Next part is our savings account :

Our continued focus on affluent as a segment is helping us in two fronts. One is to grow the elite as a book, which is now getting into close to 50 %-55% of our book, as well as sourcing. So, our relationship management structure from virtual to real is actually facilitating the real progress there. Second is one of our four pillars is family banking. We are happy to share that close to 30,000 families are now banking with us at the affluent space. So, I think that's one natural progression which is happening. And fourth important thing is RTD as a mix. For example, retail deposits today is close to 79% of our book . In that 444-day rules rose, 55% of my RTD comes from there. So, retail focus and retail poll is helping us to granularize and we have close to 70,000-80,000 new to bank customers who have been onboarded through this product. Now with this family bank as well as elite proposition, one good thing that has happened is MF AUM has grown by close to 70% year -on-year and I think 22% quarter -on-quarter and that's one good trajectory. This i s predominantly built through SI P as a route. And ASBA as a proposition is helping good trajectory in terms of savings account as well as qualified family coming in. NR E is another thing we have crossed 140 countries, we have customers now across close to 15 ,000-16,000 good cu stomers where we are coming in.

Now with AD -1 coming up, our remittance as well as FCNR should facilitate which we should go live very soon, maybe in quarter four. So, overall things are challenging, but I think our team at the front end as well as products , which we are differentiating and the relationship management structure overall is paying it off.

So, I'll hand it over now to Mr. Rohit Phadke to give insights on assets.

Rohit Phadke : Good evening everybody. Advances at Rs. 36,053 c rores , grew by 15% year -on-year and 3% quarter -on-quarter. Advances for SBL were at Rs. 14,678 crores grew by 28% year -on-year and 7% quarter -on-quarter. X-bucket collection efficiency was at 98.8%. Mi

cro LAP has been
growing very well and the focus on micro LAP has been seeing increasing disbursements month -on-month. The merchant overdraft order book grew to Rs. 1222 crores with 46,827 customers.

In the second quarter, Rs. 350 crores of loans were disbursed through our newly launched Selfie Loan app.

Vehicle finance in the CV segment grew by 14% year -on-year and 15% quarter -on-quarter. The vehicle finance advances stand at Rs. 8,877 crores. Used cars have grown by 53% year -on-year and 12% quarter -on-quarter. Used CV business grew by 14% year -on-year and 7% quarter -on-quarter. The new CV disbursements de -grew by 36% and advances grew merely 2%. The focus in vehicle finance is to grow the used CV and the used car book and de -focus on the new CV segment. The affordable housing finance book continues to g row well. Advances grew by 23% year-on-year.

The MSE portfolio is at Rs. 1,366 crores and which has grown by 32% year -on-year and 12% quarter -on-quarter. The MF book de -grew by 4% year -on-year and 6% quarter -on-quarter. We are making efforts to ensure that delinquencies come back to normal. Generally, the second half of the first financial year is stronger than the first half and I am quite confident that we should be able to do well in the coming quarters. Thank you. I am handing over to Nataraj please .

Natarajan M. : Good evening. From the treasury side , Q2FY25 has been good on the market front. Our view on Indian bonds was that once the Fed started cutting benchmark rates, Indian yields also would rally, although with a lag and in smaller measure. This played out in the quarter gone by. US yields rallied by 60 basis points quarter -on-quarter on the back of US Fed cutting benchmark rates by 50 basis points in its September meeting. While the Indian 10 -year yields rallied by 25 basis points and closed arou nd 675. Indian bonds continue to see good buying on the back of inclusion in global Morgan Stanley bond index and the expectation of eventual withdrawal of accommodation stands from RBI.

With US Fed paving the way for further cut but the smaller doses in t he near future, as evidenced by the decision to cut rates by 25 basis points in their last night meeting. We feel there is room for Indian yield to soften once inflation and crude stay within comfortable levels.

On the equity side, Indian equities were qui te volatile for a better part of the quarter, but ultimately closed higher as market participants continued to react favorably to sustained economic activity. China's decision to announce stimulus measures to boost their local economy led to flight of capi tal from India to China with the heavy selling by FIIs. FIIs continue to remain net sellers in Indian equity markets for several weeks now on anticipation of announcement of follow -through measures from China. Globally, the geopolitics continue to be an is sue as escalations continue in Ukraine and the Middle East. Despite India's economy continuing to stabilize, consolidate and grow, considering the global nature of trade and supply chain, we can expect bouts of volatility going ahead despite a strong local economy. Hence, our view on the market is cautiously optimistic in the near term. We continue to remain positive on the India growth story over the medium to long term as domestic economic activity continues to be resilient. Now we're open to questions.

Moderator : Thank you. We will now begin the question and answer session. We have the first question from the line of Re nish from ICICI. Please go ahead.

Renish: Sir, I have two question s. Sir if we look at the SM A buckets for MFI and bank separately, it is very clear that your SM A 0 and 1 for bank is actually higher than SM A 0 and 1 in MFI , which essentially means that apart from MFI, there are other products segment as well, which are going to so

me sort of stress. Could you highlight which all products are going to some stress apart from MFI?

P. N. Vasudevan: So, basically, the SMA book for other products such as the vehicles or SBL, they will have some SMA book. But the resolution percentage in those are quite high. Typically, the resolution percentage for, let's say, SMA 0, 1, and 2 in vehicles or small business loan typically will be in the range of around 85% to 90%. And that is why, even though you will have s ome SMA book, but the ultimate slippage doesn't really happen because the resolutions tend to be very high.

Whereas in microfinance, the resolution percentage in the bucket s are actually much lower. And that is why we have created this extra buffer for the SMA book of microfinance and not for the others. Because for the others, though, it is normal , it's actually quite normal and standard situation. Whereas in microfinance, this level of SM A was not there in the past. And the resolution percentage being low er, that's where we thought we should create that buffer provision.

Renish: Got it sir. But even if you look at on the standalone basis right , the SMA 0 in 1 for Q2 is actually highest in last 4 -5 quarters , so of course I do understand the retention rates are higher but what is leading to this elevated stress?

P. N. Vasudevan: You mean to say that 4.13, which i s the one you are referring to?

Renish: Yeah, 4.13 and 2.7 both. Both the numbers are highest in last 6 quarters, 7 quarters.

P. N. Vasudevan: Yeah, I mean, that's the whole point, no? Because, largely the vehicle book had some stress in the first quarter, and it's improved in the second quarter, but still it is not completely normal. October, of course , I think we have mentioned in my opening comments also, that October slippage was, I mean, the October X bucket was the best in the last few months. And the second half of the year, typically vehicles should see a much better performance. So, that 4.13 is a combination of the microfinance as well as the vehicle finance. But the concern in those cases are not much because our resolution percentage as I mentioned is very strong. So, the concer ns are generally not that much.

Moderator: Thank you. We have the next question from the line of Vatsal Shah from Knightstone Capital. Please go ahead.

Vatsal Shah: Sir, a similar question. So, you said that the resolution numbers are 80 % to 90 % for the bank

SMA level. So, can we expect that like 20 % of that flows into NPA? Is that understanding correct?
P. N. Vasudevan: Yeah, I mean, so if in the third bucket, that is the SMA -2 bucket, if we have a resolution in a month, let's say in a given month resolution is say 85%, 15% will flow into NPA. But what also happens is that there will be some resolution of the previous NPA accounts. So, at the end of the month or end of the quarter, the net NPA increase would be the net of what flows into NPA and what gets resolved from the opening NPA. So, that is the ne t NPA that we'll end up having.
Vatsal Shah: Got it. And for MFI, this will be like what percentage the flows fro m SMA bucket into the NPA pool?
P. N. Vasudevan: So, the for microfinance in our SMA -2 bucket, the typical resolution is in the range of around 40% to 45 %, which means nearly half of them flow into NPA. And there will be of course some resolution of the opening NPA which helps to net it off and bring it down, but the resolution

itself is only in those ranges. Whereas for other secured loan products a s I mentioned, it's typically around 85 % to 90 %.
Vatsal Shah: Got it. And the last question is on cost to income. So, you like cost to income as you have mentioned in previous quarters as well is likely to remain elevated for the next 2 to 3 years. But what do you exp

ect over the longer term like five years like where it will stabilize according to you?
P. N. Vasudevan: So, two things on that. W e have been saying that our cost will be higher because we continue to remain as a very developing and evolving banks, so there is a level of investment that needs to keep happening in products, people and technology. So, to that extent from an overall perspective, yes there will be some increase in the cost, but if you see the first quarter to second quarter on pa ge #14, if you see employee cost has gone up from Rs. 375 crores to Rs. 402 crores between first and second quarter. However, if you see the operating other expenses, Rs. 243 crores to Rs. 245 crores, so consciously what we are trying to do is try and see how do we control our operating cost to other expenses to the extent that is possible. We are trying to see how do we control that cost and some effort was put in the last quarter and we have seen kind of a flat other expenses and that's one area where we are trying to see how do we keep our cost as much as possible down, while employee cost will go up because we are putting more people on the field, whether it is in terms of sales or collections, that number of staff will go up, so to that extent employee expense may go up. And other expense we are trying to see how best to control it and whether it is in terms of controlling cost or trying to avoid any expense that is possible to avoid. So, that is that effort which is going in. That is from an immediate p erspective. But your question from a longer term perspective, if you ask me, I think we have mentioned in the past also that the next three years will be an area where there will be some level of investment, because we are introducing three new products, w hich is our personal loan credit cards and AD - 1 products. And so we have been expanding on those new products. There'll be some little bit more of expenses on that for the next few quarters after which they should stabilize. So, I think from a longer term perspective , you should see our cost to income actually maybe declining after a period of maybe three years.
Moderator: Thank you. We have the next question from the line of Darshan De ora from Indvest Cap Group, please go ahead.
Darshan Deora: Can you thro w some light on the MS E product? I see that disbursements have grown in that particular loan product. So, historically , our asset quality has not been so great in that product, just wanted to get some insight?
P. N. Vasudevan: Yeah, so that has grown. During this quarter , it's shown a good amount of improvement . In terms of asset quality in terms of GNPA , there is an increase in the GNPA from 7 point , it's now gone to 9.35 from 7 point something in the first quarter that was largely because there was one account of around Rs. 30 crores which slipped into NPA in the second quarter . But that account has actually got upgraded to standard in the third quarter. So, that should come back by end of this

quarter that NPA should come back. But otherwise there is s ome old NPA accounts which are there in that MS E book, which is causing that elevated NPA. But otherwise the book is performing quite well. And so we are able to see that there is no credit quality concern in the MSE book which is being created over the la st maybe 2-3 years.
Darshan Deora: In terms of microfinance, what is going to be our strategy going forward? I mean, we have brought it down from 18% to 16%. Once credit cards, personal loans gets launched, when you see the microfinance loan mix moving to ?

P. N. Vasudevan: In terms of microfinance, as we have been saying, it will keep coming down over a period of time as a percentage contribution to the total portfolio. And personal loan and credit cards, which are also unsecured loans as they start filling up. Overall, we h av

e an internal policy, that our total unsecured book should not exceed 20%. So, at any point in time, all the three products should put together should not exceed 20% and they should be within the 20% contribution. However, microfinance, in the beginning of the year, we had some plans in terms of disbursement in microfinance and disbursement in the other products. However, during the year, the disbursement in microfinance has been lower than whatever we had budgeted, given the fact that we are seeing some level of stress. So, obviously, the disbursement has slowed down in view of that. So, the planned reduction in microfinance percentage contribution that we had a plan, it might change because of the current scenario. But otherwise from a little bit medium term perspective if you look at it, I think in a 3-to-4 year time frame microfinance should be in single digits while personal loan and credit card should fill up the balance.

Darshan Deora: Just in terms of the credit card strategy, I think in the past you 'll have alluded to the fact that it's probably going to be more a hook for the liability customers than specifically a very focused product on the asset side ? Is that a fair understanding?

P. N. Vasudevan: Yeah, absolutely. One is it's a hook product for the liability customer. The other is that it is also a product which will be cross sold for our affordable housing and small business loan customers. I think we mentioned this also some time back, if I remember right where we give a loan of let's say five lakhs or 10 lakhs to a borrower secured against their house property. Then we will also try to give them a credit card with a let's say a limit of Rs. 50,000 to such customers where the LTV comfort still remains very high and that credit card outstanding w ill actually be a secured outstanding because we do have a security from the customer for another product and so that security will kind of run for the credit card also. So, for the asset customers principally focused on small business and affordable housi ng customer , we will offer credit cards which will be kind of a secured product while for liability customers , we'll offer it both as a secured card against deposit because there'll be customers who will offer a credit card as secured against deposits. And then standalone credit cards offered to cust omers who fit certain profiles.

Darshan Deora: Got it, so the latter would be a catering model with the elite customers, I'm assuming, right? The elite banking customers ?

P. N. Vasudevan: Absolutely, yes. And el ite, if you've seen in our presentations also, the elite base has been continuously going up, we have been able to add a good number of customers on a quarterly basis to our elite portfolio. And the deepening on the elite account also continues to be quite strong. And that is potentially the segment t o which we should aim to cross sell.

Darshan Deora: Got it, and just one last question regarding the credit cards. Given that cre dit cards usually, from a break even point of view, what's the math there, like in terms of, like number of car ds required to brea keven on that product if you are having those numbers if you are comfortable with the model that you all have built?

P. N. Vasudevan: Yeah, so for us the acquiring cost is something that we are trying to see that it's kept to the minimum because a significant part of our sales should be to existing customers so we are really expecting our acquiring cost to be at a minimum while the real cost will be not even the technology . The technology part of it actually i s not that big a cost on an ongoing basis. There's some initial investment on the system, but otherwise, the ongoing cost on technology is actually not that much. The ongoing cost will be principally contributed by the schemes and rewards programs which will

be rolled out. But acquiring cost because we don't plan to acquire through channels, DSAs, etc. in any significant volumes, and so that we don't expect it to be high. Because of this, we will not be able to give a specific number at w hich we should be able to break even , but typically we hear that in the industry a million cards is where you probably start breaki ng even. I think we will break even probably at anything like, let's say maybe one third or one fourth of that is where we will tend to start br eaking even principally because our acquiring cost should be low.

Moderator: Thank you. We have the next question from the line of Chetan Gindodia from PG IM Mutual Fund. Please go ahead.

Chetan Gindodia: Firstly, wanted to understand a little bit about the microfinance book. So, would it be possible for you to disclose what percentage of our microfinance book would have more than three borrowers?

P. N. Vasudevan: Yeah, we have lots of data on that. Four lenders is 14.5 %. So, 9% of our borrowers have an exposure of more than Rs. 2 lakhs total borrowing. I can give you Rs. 1.5 lakh exposure also. So, 12% of customers have an exposure of Rs. 1.5 lakh and 2 lakhs is 9% and 14% is having 4 loans and above. Below 1 lakh is 65% in terms of number and in terms of POS is 60% . Actually this is a good point that you are raising . This is where we are saying that we expect somewhere in the third and fourth quarter the stress should kind of start seeing some decline because there is a core set of customers. In our case for example, it is 81% of the customers have less than 1.5 lakh borrowing and so 81% of the book we should really not see much of stress in the future also. It is the balance 20 or 19% of the customers who have more than 1.5 lakhs where some of them will show some signs of stress, but many of them would be already stressed or are going through that stress right now. So, in the next 1-2 months or 3 months or 4 months, some of them who are really not going to be able to come up properly in their thing will probably slip into

NPA, while the rest will kind of recover and come back. So, that's where we feel that maybe in two quarters from today, we should see this s tress probably behind us.

Chetan Gindodia: So, still from an underwriting perspective, it seems like just 20% of borrowers being a little on the over leverage side seems a bit high, seems like in line with industry, but seems a bit high.

P. N. Vasudevan: See that 20% is 1.5 lakh and above. Okay, industry doesn't count 1.5, the industry counts 2 lakh and above. If you look at 2 lakh and above, it is 8% in our case. So, 2 lakh and above is 8%, whereas the remai ning 12% is 1.5 lakh to 2 lakh. So, that the indu stry doesn't count that because what happens is at the industry level we have the SRO and the SRO, the guideline is that we should not be more than four lending should not happen and we should not give a loan which is put together more than Rs. 2 lakhs . So, the Rs. 2 lakhs is kept as the kind of barrier at the industry level through the SRO resolution. So, industry talks of overborrowing at Rs. 2 lakh and above and at Rs. 2 lakh and above , we are at 8% whereas 1,50,000 to 2 lakh is 12%, which is not count ed by the industry as a stress at all. But we take it as a focus area for us because from this area also people might slip into NPA. So, we put extra focus and extra effort to be in touch w ith this set of customers also.

Chetan Gindodia: Okay, got it sir. And lastly, so incrementally if I see this quarter our disbursement on microfinance and microloans is total nearly Rs. 950 crores. So, what are the safeguards that we are placing on the incremen tal disbursements on this side?

P. N. Vasudevan: So, of course there are two things. One is that as per the SRO guidelines we don't lend if we are not the fourth l

ender or less we don't lend. Second thing is that if the total borrowing is more than 2 lakhs that also we don't. So, that guardrail of the MFIN is somethi ng that we have put in place. But second and very important thing is that our own data shows that the behavior of the portfolio for second, third, fourth and fifth cycle borrowers is better than the new coming, new first time customer. And so the focus is to try and restrict our lending as much as possible to existing borrowers. For example, in the month of October, 87% of all our disbursements was to existing customers. So, these are the few things that we are doing on the disbursement to try and ensure th at the new disbursements remain healthy.

Moderator: Thank you. We have the next question from the line of Shailesh Kanani from Ce ntrum Broking. Please go ahead.

Shailesh Kanani: Sir, couple of questions from my side. On the MFI side, have we changed any pr ovision policy and if you can highlight any other product as well if you have changed ? And secondly once we are out of this MFI cycle and as we introduce new products, so in 3-year to 5-year basis, what do you think our business should generate on a stable cross cycle basis ROA ? If you can th row some light on that as well?

P. N. Vasudevan: Okay, in microfinance in the second quarter, there are two things we did on provisioning. One is that we increase the IRAC provisioning norms for NPA accounts in microfinance from earlier we used to have 90 to 180 days was at 50%, 180 to 360 days was at 75%, above 360 days was

100%. This was the position as of June. What we did is that 100% provision from 360 days we reduced it to 180 days. So, at 180 days in the second quarter 180 days plus we make a 100% provision against what was 75% earlier. The second thing is that in the 90 to 180 , it was a flat 50% against that 150 to 180 we increased it to 75 %. So, these are the two changes we did in the provisioning and microfinance NPA, which accounted for Rs. 45 crores of extra provision for the quarter. This is one. The second extra provision that we did in microfinance in the second quarter is we created a buffer provision on standard assets of microfinance for about Rs. 100 crores. This Rs. 100 crores translates to approximately 50% of our SMA 1 and 2 book of microfinance. So, this is a buffer provision that we created in the second quarter. These are the two things that we created. Now coming to your next question in terms of on a little bit medium to longer term basis like three year plus what could potentially be the ROA for the bank. If the

credit cost normalizes at some point in time last year if you remember for continuously for about 5 quarters , our RO A was in the range of 2% when our credit cost was normal. So, that's the model. So, as and when our credit cost should normalize, we s hould be able to look at that kind of return s.
Shailesh Kanani: The reason I was asking that as we have this newer products coming in, they would obviously take time to mature with personal lending and credit cards. So, just wanted to get some sense. Shoul d we expect on steady state basis lower ROA in that case?
Dheeraj Mohan: Yeah, this is Dheeraj here. On ROAs and ROEs, from a guidance perspective, we thought we'll stay away from it currently. Let things improve, let credit costs normalize, then we'll see where we are in terms of ROAs. And you're right, as newer products come in, it will have an impact on ROAs, but like Vasu explained, we are not investing heavily on new -to-bank customers through these products. It's largely to improve stickiness. So, you'll bear with us for some time till we get credit cost normalized and then we'll see where ROAs are or we would leave it to your imagination . You've seen all the line items in terms of NIM s and cost to income and credit cost and we'll see how the bank

p rogresses on it .
Shailesh Kanani: Okay, just last question from my side on MFI. In our opening remarks, sir mentioned that October has been a little improvement. So, can you share some numbers and any reasons per se for this improvement in terms of collect ion efficiency or in general, what we are seeing on the ground? And if some data points on the state is also available, that would be helpful.
P. N. Vasudevan: We don't want to get into too many details of October, but I'll just give you one ballpark figur e which is our X bucket collection efficiency. X bucket collection efficiency was seeing some level of deterioration over the last 3, 4, 5 months, but in the month of October at least that level of deterioration had stopped. So, I'm not saying that it's ac tually gone improving further. But at least the level of deterioration has stopped in the month of October, which is the first good sign that we saw in the book. And maybe partly contributed by some of the most risk customers already moving to NPA earlier and also the kind of initiative that has been rolled out by the bank, including increasing the number of people available on the field to deal with the customers and spend time with the customers. So, that's the thing that we saw. X bucket does become a

crucial factor because if that's where you control the flow and then the rest of the bucket you have a little easier life after that. So, that's what I was really referring to.
Moderator: Thank you. We have the next question from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.
Pallavi Deshpande: Just wanted to understand what is the level of attendance we see at these center meetings now and what was it earlier in Q1?
P. N. Vasudevan: Yeah the center meeting long back when we s tarted microfinance way back some 18 -20 years back , the attendance used to be anywhere in the range of 90%. That was the best attendance that we used to have long, long time back. Subsequently, after that AP crisis and demonetization, the attendance did co me down, but it settled down at anywhere around 65 % to 70%. COVID, of course, is the one which is the biggest disrupter in microfinance because during COVID for nearly one and a half years or so, we told the customers not to come for the meeting. And we told them that to hand over the money to the leader and we'll go and collect it from her. So, for more than a year and a half, we ourselves told the customers don't come for meetings. And that I think was the biggest disruptor because even during demon, we never told them don't come for the meeting. We kept telling them come for the meeting. Even if you don't want to pay, no problem, just come for the meeting. But in COVID, we actually actively told them not to come and for too long a period of time and that became a habit. And so post -COVID, the central meeting attendance has really dropped. It's somewhere in the range of 45%, 50% today.
Pallavi Deshpande: Well, sir can we say that some part of this whole problem is coming from here until this improves? We won't see this sector improve?
P. N. Vasudevan: Yes, of course. See this. Attendance is a big indicator of the cohesiveness of the group. And if the attendance percentage is low, then naturally the cohesiveness also reduces, which is not good for the lender s. So, that's why we are rolling out some interest rate discount scheme for customers when they come for the next cycle, which will be based on their attendance as much as on the repayment. It also includes attendance as a parameter. So, if somebody has a higher level of attendance, she will get a lower rate of interest in the next cycle.
Moderator: Thank you. We have the next question from the line of Ashlesh Sonj e from Kot ak Securities. Please go ahead.
Ashlesh Sonje: Sir, couple of questions from my side. Firstly,

there is one slide where you have shown the power book in microfinance for Equitas versus the industry. If you look at the PAR 61 to 90 book, that

has been consistently higher for Equitas versus the industry, at least in the data points wher e you have shown it. What do we understand from this data, sir? How d o we attribute this difference?
P. N. Vasudevan: Yeah, that is true. I mean, it's data. So, that's true. And if you see also another slide, I don't know whether we have put it here. The PAR data of the type of players, SFB, banks, NBFC, MFIs and other NBF Cs. I don't know whether we have put it here. We have not put it here, I think, but

that's another data available. In that, if you see, the SFBs have a higher level of DPD as a type of len der compared to let's say the banks or the NBFC , MFIs. So, I mean if you ask me to guess why? I can give you a couple of reasons but there are some reasons because of which SFB as a lending type has a higher level of DPD compared to other type of lenders. So, that is why if you see the industry versus Equitas, ours is higher than the industry fundamentally flowing out of the fact that SFB itself as a type of lender has a higher DPD.
Ashlesh Sonje: So, but on the same slide you have shown SFB versus Equitas as well. There if you look at the 61 to 90, that number has been higher for Equitas ?
P. N. Vasudevan : Yeah, so we are talking of let's say PAR 60 to 90 .
Ashlesh Sonje: For Equitas and the SFB indus try which is on the same slide.
P. N. Vasudevan : Yeah 1.19 to 1.27 , is that right?
Ashlesh Sonje: Correct , yeah and the trend also for the past two quarters.
P. N. Vasudevan : If you see the first bucket, that is 31 to 60 bucket if you see, SFBs are at 1.13 %, this is as of June 24 and Equita s is at 1.05. So, if you see that 31 to 60, they are slightly lower than the SFB industry. Then if you go on to the 61 to 90, we are at 1.27 and the SFB industry is at 1.19. So, we are slightly on the higher side. Now, if you move on to 91 to 180, we are at 1.37 and the SFB is at 1.43. So, in two out of the three buckets, we are actually lower than the SFB industry, while on one we are slightly higher than the SFB industry. So, that is how it is. But the differences are not much, so ther e's not much to read into this.
Ashlesh Sonje : Secondly, you gave a data point that the four lender portfolio is about 14.5%. Just want to understand this, this is four or more other lenders, right, apart from Equitas?
P. N. Vasudevan : That's right.
Ashlesh Sonje : Understood. And this is the bor rower account or the proportion of the portfolio lying with these borrowers?
P. N. Vasudevan : That's a borrower account.
Ashlesh Sonje : Understood, sir. And just lastly, if I look at the non -MFI portfolio, the slippages there have increased Q oQ. So, just w anted to understand from you qualitatively what is the reason for higher delinquencies and whether this is coming predominantly from the vehicles portfolio or there is some increase for the SBL portfolio as well?
P. N. Vasudevan : The SBL is under normal levels. So, vehicles, there was elevated gross slippage and which also led to a higher level of credit cost for vehicles in the second quarter, but it's still within an acceptable level . But in terms of the MS E, I mentioned that the re was one account of Rs. 30 odd

crores which slipped into NPA in the second quarter . So, anyway that's come back to standard now in the third quarter, but that was there in the month of September . But if you see the credit cost, we have given a slide , a separate sheet somewhere in the beginning of the presentation. I think that is Page 7, if you look at it, we have given a half yearly credit cost summary for the bank. If you look at that, the rest of the portf

olio, which is 84% of the book, the credit cost for the half year is 1.04%, which is quite comfortable. We don't really have an issue with that level of credit cost at our given our kind of lending. It's really the microfinance which is a 10% which includes all this one time provision etc . but whatever be that it is a 10% and overall for the bank it becomes 2.59%. So, if you look at this sheet , fundamentally what it represents is that at the bank level at the 84% of the portfolio level , we are very comfortable in terms of our credit cost and going forwa rd it should actually improve because second half is always better than the first half from a collections and disbursement perspective. So, we should actually see an improvement on this for the rest of the year. And this microfinance is the one which of course causes the stress and has caused the stress in the first half. And that's where we have put in two things. One is we have put in extra efforts in terms of our products and people on the field etc . to meet the customers and work with the customers. S econd thing is we have done some up fronting of the provision so that we are trying to upfront the potential pain in the third and fourth quarter to try and reduce the impact of MFI credit cost for the rest of the year. That's what we have done in the MFI. But rest of the bank we are quite well placed.
Moderator: Thank you. We have the next question on the line of Ronak Chheda from Awriga. Please go

ahead.
Ronak Chheda : My first question is on small business loans with the growth continues to be strong in this segment . I just wanted to get your sense on how are we capacitated in terms of branch network and what are plans for the next 2 to 3 years to sustain this level of growth in SBL segment?
P. N. Vasudevan : Small business loan is our flagship product, it is now 41% of our total book and touch wood the credit quality etc. is good from all parameters and so that will continue to be the torch bearer for the bank. In terms of capacitating it for further growth in the future , we have been adding both the sales and collections team in that business over the last few months and we have been increasing the disbursement per branch. We currently operate roughly out of 400 odd branches, I think 415 or so branches and now at our current level we have a per branch disbu rsement, monthly disbursement of around 1.6 crores. This was of course lower some time back. We have been adding more feet on street into the branches and increasing the per branch productivity. And there is a plan to further improve that number of people per branch and the 1.6 ideally should keep moving up going forward which will help in terms of improving the volume from the existing branches. That's one thing. Second thing is that in the last 2 years we have added approximately about 60 odd branches where we offer small business loans. Next year we again plan to add, I don't know the correct number today, but somewhere in the range of 40 -50 branches is something that we should be adding, which will help improve the reach and distribution for all the prod ucts, including small business loans. So, I think we are fairly on track

in terms of capacit ating the bank to support the improved volumes from not just small business loan but the other products also.
Ronak Chheda : My second question is on slippages in the MFI book. You said the slippages, fresh slippages continue in the MFI book. So, how should we think of Q3 and Q4? Will the slippage s peak in Q3 or this is more a 6-month thing where we could see the peak slippages c oming in Q4 for the MFI book, per se?
P. N. Vasudevan : See, I don't think I'm in a position to tell you whether the peak is behind us at this point in time. I'm really not in a position to tell you that just now. The X-bucket efficiency that we have,

that
is people who are not having an overdue but who slip into an overdue in a given month, that X-bucket efficiency is currently around 98%. Now that needs to move to 99%. So, it has to move up by that 1% and that 1% will make a lot of difference from a potent ial further slippage and credit cost into the future. So, that's where the lot of efforts are going in both from us internally as well as from the industry in terms of an improved lending discipline to try and not have over leveraged borrowers. So, I think that the whole thing is hinging on how much we are able to improve the X-bucket efficiency and the more we are able to improve the less will be the potential pain into the future. But right now , I am not in a position to tell you whether we have seen the peak behind us and third and fourth quarter will be normal. I am not in a position to tell you that because we still need to wait and watch for some more time and see the effect of whatever we are trying to do in the field. So, we believe that we may have to be prepared for some level of pain even during the third and fourth quarter and probably somewhere during the fourth quarter I have feeling that we should start seeing some abatement in the pain because the transactions would have run through 5 or 6 quarters by then and it's a 2-year product. So, most of the potential delinquent customers should have fallen delinquent during this period and hopefully the newer loans which are given in the last 2-3 quarters should not be causing as much pain. So, that's where we believe that fourth quarter is possibly a time period by which we should see some level of abatement and maybe the first quarter of next year could be reasonably normal. But this is conjecture only, I am not saying that this is something I am su re about, this is something I am hoping and we'll have to just wait and watch and see how the trend happens.
Moderator : Thank you. We have the next question from the line of Pritesh Bumb from DAM Capital . Please go ahead.
Pritesh Bumb : Just a couple of que stions. First, if you can mention how much will be our Tamil Nadu exposure in MFI?
P. N. Vasudevan : 57%.
Pritesh Bumb : Of the MFI portfolio, 57% is Tamil Nadu?
P. N. Vasudevan : Yes, that is right.

Pritesh Bumb : Second , just wanted to check of the Rs. 143 crore provision which we took Rs. 43 crores is on the existing NPA which has fallen , the slippages which are coming in and there you have enhanced them ?

P. N. Vasudevan : That's right .
Pritesh Bumb: And the Rs. 100 crores is type of a contingency provis ion for the future years.
P. N. Vasudevan : That's right.
Pritesh Bumb : For future quarter basically ?
P. N. Vasudevan : Absolutely.
Pritesh Bumb : So, if you exclude the Rs. 100 crores which you may utilize in next few quarters, how much can we see a credit c ost perspective only on the overall basis because you gave a color of the non - MFI book. But can you just give a little bit color that how much requirement will be there for a provision perspective in next two quarters ?
P. N. Vasudevan : Okay, I am not giving you a guidance, but I am giving you some mathematics. If you look at the non-microfinance book at 1%, let's say that 1.04 is a potential credit cost for the 84% of the book. And microfinance, this 10% credit cost includes all this one -time provision and all that. If you remove that, it will be about 6.5% or so. If you remove that Rs. 100 crore , the credit cost of microfinance from 10% would be approximately around 6.75%. But that's actually a very elevated credit cost. It's not a norma l at all. So , if your credit cost starts normalizing, even if not at the pre -COVID level, but even within the current scenario, if it reasonably normalizes , and let us say that we end up with a credit cost of anywhere around say 4% to 5% in microfinance, then if y

ou multiply that with 16% of the book, then you are talking of 4% of 16% would be 0.6%. So , then you have a 1% credit cost for the rest of the book and a 0.6% credit cost for microfinance. So , then you are really looking at a 1.6% credit cost for t he bank as a whole , if the credit cost of microfinance can come down to say 4%. So, that's a little bit of math.
Pritesh Bumb : So, this math is in for next year basically just wanted to check because we have given annualized credit cost of 10 % will we see like a 6 %-7% credit cost for the full year because then the second half gets much better because your commentary was that you wanted to safeguard a bit of the next two quarters credit cost.
P. N. Vasudevan : That's right absolutely.
Pritesh Bumb: And anothe r clarification needed on the MSME book, sir, you mentioned some one -off NPAs happened. That's why the GNPA is opposite, 7% to 9.35%, if you look at the segmental GNPA ?
P. N. Vasudevan : That's right, yes.

Pritesh Bumb : That is the one -off there, right?
P. N. Vasudevan : That's right.
Pritesh Bumb : But the SBL book also, we've seen some inch up . Is that, I just wanted to check in terms of customer profile , is the customer profile still the same as the MFI and that the same stress is at the SBL as well? The over -leveraging front or even in terms of cash flow, do you feel that is a little bit spread out in the SBL as well , though it is a secured business but do you see that stress there as well?
P. N. Vasudevan : We would have given you our MLAP GNPA . So, if you look at the overall SBL GNPA, it' s at 2.19% in September. 2.03% in June, 2.19% in September. So, there's an inch up on the GNPA, but I think that's normal and it should be within that range only. There is no one -off or there is nothin g specific about that. So, it will be moving within that narrow range. And in terms of the profile of the borrowers, for small business loans, the bottom end of small business loan, which is what we call as MLAP, Micro Loan Against Property, where the loan size is typically up to Rs. 7 lakh, now there will be some amount of overlap with the top end of the microfinance cluster. But minus the MLAP, the overlap between MFI customer to small business loan, that overlap will be very nominal whereas it will be mu ch more in the MLAP segment. And MLAP segment, while the overall SBL is at 2.19%, within that MLAP will be definitely at a higher level of NPA. But then since it is secured, generally the ultimate credit cost is generally very low.
Moderator: Thank you. Th at was the last question. I would now like to hand the conference over to Mr. P. N. Vasudevan for closing comments.
P. N. Vasudevan: Thank you. Thank you all for dialing in and listening in and asking us all kind of queries. Happy to be of service to you. To kind of sum up at a bank level what I have mentioned in my opening comments also , 84% of the book remains quite strong and quite healthy and we should see potentially a further improvement in the quality over the second half which is always traditionall y the stronger half. Microfinance, we'll have to take it with a stride and we'll have to just take it in our stride and go along with it and see what best we can do to minimize its impact. On the deposit side we are doing quite well, treasury is doing quit e well and our technology initiatives are coming up well . Our new products are very close to launch. Some of them are already gone on a pilot launch. And so I think overall as a bank, many things have fallen into place and we should see the effect of all o f this going forward. And microfinance is something that anyway we have been at it for 17, 18 years now. So, we do know what that business is all

about. And let's see how best we are able to manage and keep its impact as low as possible. So, that's it from our side. Thank

you so much and wish you all very best. Thank you, bye bye.
Moderator: Thank you. On behalf of Equitas Small Finance Bank Limited, we conclude this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2024

(no extractable text — likely a scanned image PDF)

Call: Feb 2025

“Equitas Small Finance Bank Limited
Q3 FY '25 Earnings Conference Call”
January 31, 202 5

MANAGEMENT : MR. P. N. VASUDEVAN – MANAGING DIRECTOR
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MR. SRIDHARAN N – CHIEF FINANCIAL OFFICER –
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MR. DHEERAJ MOHAN – HEAD STRATEGY AND
INVESTOR RELATIONS – EQUITAS SMALL FINANCE
BANK LIMITED

Moderator: Ladies and gentlemen, good evening, and welcome to the earnings call of Equitas Small Finance Bank Limited's financial performance for Q3 FY '25. We have with us today Mr. P. N. Vasudevan, MD and CEO; Mr. Sridharan N, CFO; Mr. Murali Vaidyanathan, Senior President and Country Head, Branch Banking, Liabilities, Product and Wealth; Mr. Rohit Phadke, Senior President and Head, Assets; Mr. Natarajan M, President and Head, Treasury; Mr. Dheeraj Mohan, Head, Stra tegy.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pres sing star, then zero on your touch - tone telephone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. P. N. Vasudevan. Thank you, and over to you, sir.

P. N. Vasudevan: Thank you. Good evening to all of you, and thank you for dialling into this call. I would like to talk about two items, post which Dheeraj, our Investor Relations and Strategy Head, would talk about the rest of the business. I would like to talk about the stress in the MFI sector, which is a n immediate focus to start with and after that, I would like to touch upon the fundamental strategic platform that we have been building for the bank from a medium - to long -term perspective.

Microfinance portfolio was b ehaving normally till March '24. During Q1 of this year, for the first time in Equitas, we saw the X -Bucket collection efficiency slip marginally from the normal levels of about 99.4% to about 98.9%. However, it was believed that this was due to the combin ed effect of heatwave and the General Elections in April, May of '24.

And so the industry and us included were quite caught by surprise when the collection efficiency dipped further in Q2 for no apparent external reasons. In our case, it dropped from 98.9 % of Q1 down to 98.2% in Q2. And when this happened across geographies, it was clear that an important reason for the stress was as much internal as external.

Around 10% to 15% of customers availing loan from more than 3 lenders and even going up to 5, 6 lenders were common earlier also. While this caused some level of stress, it was still very much within tolerable limits, as there was an MFIN norm that all lenders put together, the loan cannot exceed INR1.25 lakhs.

However, this cap was removed effectiv e Jan '23 for reasons that we all know. And it was not replaced by a norm but a general amorphous cap of something in the range of around INR2.25 lakhs kind of backwards from the prior norms.

Somewhere during the calendar year 2023, because of this change , the actual amounts borrowed by the customers had gone up probably at a pace which was too rapid. And this was reflected in the strong growth in the industry during that point in time.

But while we know all of this, and we have an idea of the players and the amounts involved, I believe that what is not really understood or clear is also there's some kind of a parallel lending happening to the same set of borrowers by so called app loan companies.
When I visited some of the customers to understand the lev el of leverage, I often saw that they had taken many small loans from app -based lenders. These loans were typically small in the range of INR5,000 to INR25,000 yet with short repayment tenures, the monthly EMI does work out to some decent size.
And probab ly, this is adding further to the kind of stress that the customers are facing in terms of our leveraging. So we may have to see how at the industry level we get all lenders to the segment to somehow fall in line with the MFIN guardrails 2.0 that's been r

o lled out effective
Jan of this year.
In our portfolio, we have seen that X bucket efficiencies stabilized in Q3. But this is not really enough. We have put in many initiatives and hope to see an improvement in the same over this and next quarter. Because of a 6 -month lag between X bucket slippage and eventual credit costs, we should see elevated credit cost in MFI for this and next quarter also arising out of slippages in the second and third quarter of this year depending on improv ements in the X -Bucket efficiency we might see in Q4. Based on that, we should be able to predict some level of moderation in credit cost hopefully from Q2 or Q3 of the next financial year. Of course, as we speak, we are also aware of certain recent developments in Karnataka. So the outcome of that anyway needs to be addressed as the picture unfolds there.
In terms of diversification, in Equitas, we started the journey of diversifying from 100% Microfinance book to other forms of lending , secured forms of lending, way back in 201 1. Presently, we have about 14% of our portfolio in Microfinance and the rest bei ng secured. We will continue on this path and expect to see the share of Microfinance going down into single -digit shortly.
Micro Loan Against Property or MLAP is a product w hich we had introduced again way back in 2012, '13. This is basically for funding small businesses from INR2 lakh to INR7.5 lakh secured against house property. We have completed two cycles of this product with is typically a 5-year loan product. Out of ab out 2.3 lakh customers we have financed MLAP over the years, we have had to take legal recourse to repossess the property only in about 690 cases. And out of this, we actually had to sell the house only in 23 cases while the rest have either settled by the customer themselves or is work in progress. This shows our ability to underwrite properly and determine the right amount of loans that these customers would be able to borrow and repay. The MLAP product addresses typically the 15% of the top end of the M FI customer segment. We have rolled out special emphasis on this product during this year, resulting in the disbursement in MLAP doubling during the year. Further emphasis is being given with an objective of trying to replace as much as possible the rundow n in the MFI books by the MLAP book.

Now I come to the second part of what I wanted to cover which is the medium - to long -term strategic positioning of the bank. Our objective has been to build a stable, sustainable and scalable business model over the ye ars. As per this on the lending side, we have now built a secured book of over 86% of the portfolio, comprising of Small Business Loans, Affordable Housing, used vehicles and MSE finance for working capital.
All these businesses have large unmet credit demand and address the requirement from the informal sector borrowers. Banks, by and large, have been absent from this market for all these years and given our strength built over the years, we do have a very strong competitive edge in the space. These products have been credit tested over the past decade through multiple headwinds such as GDP slowdown, demonetization, corona, etcetera . Through all those headwinds, the credit costs for all the rest of the products have remained within a very access ible narrow range.
Affordable housing finance, which is also having a comfortable GNPA and credit cost, has yet to breakeven being a new product but contributes 12% to the portfolio. This is expected to turn black next year which should hopefully help imp rove the overall profitability of the bank.
We have launched, as I mentioned earlier, liability strategy 2.0 during the current year. The

objective is to improve stickiness of depositors, which will in turn enable us to reduce the interest rates that we o ffer and red

uce the differential between us and the large banks in terms of interest rates over a period of 3 to 5 years.

On the liability side, most of the standard offerings are already in place, such as investment options , trading, ASBA and bill paymen ts. On the asset side, affordable housing, used cars were the only ones that we could offer till now. This quarter, we have rolled out personal loans for deposit customers and credit cards for deposit customers will go live by March.

Based on the level of product consumption by depositors, we will take calls on reducing our interest rates on deposits. During this year, we have changed twice the interest rates on certain slabs of savings accounts, yielding a reduction of about 13 basis points in savings acc ount interest cost.

We also reduced our peak TD interest rate during Q3 by 25 basis points. For the next 3 to 5 years, as we reduce our cost of funds, we should be able to further improve the quality of our borrowers. And given the large unmet credit dema nd from this customer segment, we should be able to sustain healthy growth with quality.

To sum up, the bank is going through the short -term impact of the stress in its Microfinance portfolio. However, the platform on which the bank has been built remains robust and strong and we should be able to sustainably and profitably grow this over the next few years.

I'll now hand over to Dheeraj for taking us through other business numbers.

Dheeraj Mohan: Thank you, Vasu. Good evening to all of you. As you all kn ow, Equitas operates at the grassroots of the economy and predominantly deals with the informal workforce on the lending side, while seeking deposits from the mass and mass affluent segments.

In our limited perspective, we are seeing a marginal uptick in economic activity, continued tightness in liquidity, limited growth in household incomes, and robust credit inquiries across segments and overall tightening of credit norms. At Equitas, we operate across eight lines of business, which are our liability fra nchise, the treasury business, which we set up in 2016, Small Business Loans, Vehicle Financing, Microfinance and micro loans, Affordable Housing, MSE finance and NBFC finance.

Our deposit franchise cur rently stand just north of INR40,000 crores and registered a healthy growth of 26% backed by strong growth in retail term deposits of 31% in a challenging environment. Our CASA remained stable at 29%, and we saw some uptick in current account balances.

However, growing SA or savings account balances co ntinues to be a challenge as depositors prefer parking money in term deposits given the uncertainty of when the interest rate cycle may turn. Our total retail deposits, that is retail TD and CASA stands very healthily at 73% to the overall deposits. Our LC R stands at 184.8% and CD ratio comfortably at 88.6% as of December 2024.

The NRI business continues to attract depositors and is laying the foundation for the soon to be launched AD -1 business. The wealth and third -party distribution business is also mov ing along well. Today, we process around 33,000 SIPs and has handled a volume of close to INR20,000 crores in ASBA during this year.

Three quarters back, and this is also what Vasu had mentioned in his opening commentary, we had spoken about liability 2.0 strategy. The strategy is focused on two aspects to give Equitas a strong competitive edge in the long term.

Firstly, we aim to bring our cost of mobilizing deposits down through operational efficiency and improved productivity. And secondly, to narrow t he cost of funds gap between Equitas and large universal banks and also get it a notch lower than the AAA -rated NBFCs.

To achieve this, it was critical that the bank develop a wide range of products and services to cross -sell and create stickiness among d epositors as w

ell as leverage technology to improve customer experience and service. Over the past few quarters, we are focused on putting this in place.

With the launch of credit card , personal loan and soon to be launching AD -1 services, along with products like car loans, housing finance, services like digital focus, wealth management, ASBA, etcetera , for savings account holders, we now have a strong proposition to build a loyal and sticky customer base. We are hoping all of this will help us in our lab ility 2.0 strategy mentioned earlier.

These initiatives have also given us room to revise our SA rates and drop our peak FD rates by 25 basis points. However, we are being very watchful and cautious given the current liquidity scenario. The rate revision has translated into a drop in the cost of SA by 13 basis points, and our FD cost should see some moderation in the coming quarters. This has helped keep our cost of funds stable at 7.49% despite raising INR500 crores in Tier 2 bonds during the quarter.
As the deposit franchise matures and we acquire good quality depositors, the focus is now on leveraging our customer base for cross -sell opportunities. Work is going on to strengthen this with data analytics through propensity models, digital marketing and a ctive customer engagement.
On the technology front, we have had a few important rollouts. Our new scalable state -of-the-art CRM has gone live across branches. This is helping us service customers digitally, leverage biometrics for instant paperless servic ing and track customer journeys from lead to conversion to servicing. Our proprietary cloud -based loan origination platform for personal loans and credit cards is live and will aid in cross -selling initiatives too.
The much -awaited revamped mobile banking application is being rolled out to customers as we speak, and initial feedback has been very encouraging. We hope all of you who have accounts with us give it a try and share feedback with us. We will now embark on creating a super app platform that will significantly enhance experience depositors will have with the bank.
On the treasury business, we made INR39 crores from profit on sale of investment, and the team now manages a book of INR9,500 crores. Our SLR book stands at INR8,300 crores as on end of December.
Moving to other lines of business on the asset side. Our advances has been -- our advances growth has been soft with a growth of 14% year -on-year as Microfinance continues to degrow. Our secured book or non -MFI book grew 20% year -on-year led by robust growth in -- of 27% in Small Business Loans.
The bank continues its strategy to focus on higher -yielding products like Micro LAP, used commercial vehicle loans and car loans. As a result, gross yields on advances inched up 6 basis points quarter -on-quarter despite a slowdown in Microfinance.
I will take a few minutes to give you a quick update of some of the major segments. Small Business Loans, the bank's flagship project, which started over 12 years back, continues to grow well, clocking a 27% gr owth in advances year -on-year. With an average ticket size of about INR7 lakh and a semi -urban focus, it is the most profitable book of the bank.
The GNPA continues to hold well at 2.34%, and we see no signs of contagion for Microfinance spilling over. The business operates from over 200 branches across 12 states and the bank plans to expand its network in Andhra, Telangana, Karnataka in the coming year. We have provided more granular deposits in our PPT too.

Coming to Vehicle Finance, the overall growt h has been slow at 14% as we continue to defocus on new commercial vehicle loans, as we anticipated a negative market cycle to play out in the SCV segment. However, our UCV book has grown steadil

y at 19% and used car loans clocked
a strong healthy growth o f 55%. Our overall loan book is now INR1,700 crores for cars.
Our VF business operates out of 260 -odd branches and continues to enjoy a long runway for growth given the level of under -penetration. The book is largely small and light commercial vehicle focused and targeting FTU and FTB segments. We are now seeing growth to come in the used heavy commercial vehicle segment in the coming quarters.
Our Affordable Housing book now is INR4,500 crores, and we continue to invest in broadening its network by le veraging our existing branches. With an average ticket size of INR12 lakhs and an NPA of 1.36%, this book remains healthy and has also seen improvements in yield during the year. We are now focusing on improving profitability of this book as the business m atures.
Other products like MSE and NBFC plans continue to remain small, and the business growth is determined by how the interest rate cycle plays out in the coming months. On overall asset quality parameters, we have seen a good improvement in net slipp age as it trends downward from Q2.
Net slippage for Q3 is 3.15% compared to 3.31% in the previous quarter. Improvement came in as net slippage in the Microfinance book improved considerably from 2.28% in Q2 to 1.11% in Q3. However, MFI continue to deterio rate as net slippage climbed sharply from 8.31% to 14.16% in Q3.
The 1 to 90 DPD at the bank level also improved 47 basis points as additional initiatives were

taken to improve collections in MFI. We also added close to about 1,000 employees largely in MFI during the quarter.
Coming to the overall financial performance of the bank in Q3. The balance sheet has grown 22% year -on-year and is now above the INR50,000 crore mark. Margins remained under pressure at 7.39%, a decline of 33 basis points, mainly due to the drop in the MFI business mix and drop in treasury yields.
Credit costs came in at 2.65% as we utilized INR38 crores from the INR100 crores stressful provision created in the previous quarter. GNPA closed at 2.97% and NNPA at 0.96% as we focus on g etting the bank in line with the universal banking guidelines for SMEs. Lastly, the bank registered a PAT of INR66 crores with an ROA of 0.53% and an ROE of 4.44%.
I thank you all for patiently listening to me. Now we'll -- the operator can open the call for questions.
Moderator: Our first question comes from Rajiv Mehta from Yes Securities.

Rajiv Mehta: Just a question on the X bucket collection efficiency. If you can share the latest numbers across products within Vehicle Finance, SBL and MFI. And whethe r have you seen further improvement in January versus December?
P. N. Vasudevan: X bucket , as I mentioned here in the opening remarks, was 98.2% for the third quarter and it was at a similar level in the second quarter, while it was 98.8% or 98.9% in the f irst quarter.
Rajiv Mehta: Yes, sir. But this is MFI loan, right?
P. N. Vasudevan: That's right. It's for the MFI.
Rajiv Mehta: Correct. And other products?
P. N. Vasudevan: Other product, X bucket , I mean -- and that's -- I don't know whether that's relevant because I don't even have that data immediately. Yes, but typically, the MFI is very critical to measure X bucket because the percentage of collections that we do out of X bucket flow in Microf inance is much lower.
In other products because generally the collection efficiencies are much higher in the OD bucket. And so the eventual flow into NPA is not that much. So X bucket is an important parameter that's measured internally but we don't share it with investors. Sorry.
We have given that. Okay, sorry. It's there in page -- okay, okay. Yes, that's right. So we do have this data from our internal review process es, but it's not that relevant, so we don't share it with the market. Microfin

ance we told you because it's very relevant.
Rajiv Mehta: And can you also share the quantum of disbursement now you're doing on a monthly basis in MLAP?
P. N. Vasudevan: It's about INR150 crores right now.
Rajiv Mehta: Monthly in MLAP, right?
P. N. Vasudevan: That's right, monthly. And that's what, as I mentioned, that's the focus. Now the target is to try and see how that can be taken to a next level. Because the MLAP was introduced by us about 12 years back for the top end of the Microfinance borrowers. We have done a study long back. About 15% of the microfinance borrowers we determine were people who are entrepreneurs by choice, people who got into business by choice, and they were able to scale up and manage their business better and require funds to grow thei r business more.
So basically, MLAP was introduced to address the top end of the MFI customers long, long time back. And -- so now what we are doing is we are getting the same MFI team to work with our current set of customer base of MFI and try and penet rate MLAP to the top end of the MFI borrowers and as the MFI loan book keeps coming down, the objective is to try and see how much of that can be filled by MLAP. So currently, the disbursement is about INR150 crores a month, and going forward, we should se e how to scale that up further.

Rajiv Mehta: And sir, this net slippages being lower in the non -MFI products, so what would have driven this much higher levels of upgrades and recoveries, say, in Vehicle Finance or SBL portfolios in this quarter because the macro backdrop was not very conducive. So what do you attribute this higher recoveries and upgrades in this portfolio to?
P. N. Vasudevan: See, basically the third quarter generally is better than the second quarter normally. And -- so even our retail, our SBL businesses and all that, they really did quite well in the third quarter.
Now if you see upgrades and recoveries in Q3 was about INR300 crores compared to INR216 crores in the second quarter on more or less similar level of -- no, the additional INR505 crores

in the second quarter on which we were able to -- this is for Microfinance or non -Microfinance?
No, we are talking of non -Microfinance.
Yes. So here you see page number -- Slide 23, we have put certain data. If you can go through Slide 23 lat er on, you will find out what's been the gross slippage and also the upgrades and the net slippage in the non -Microfinance portfolio. And so the non -Microfinance portfolio, the gross slippage -- the net slippage was at similar levels.
Net slippage in non -MFI was INR85 crores for the quarter. And for the previous quarter, it was INR160 crores. So there has been a significant improvement in terms of the upgrades, right? And net slippage really reduced. See, basically the third quarter is always a good quarte r and fourth quarter should be generally even better normally. So we should really hope for something even better in the fourth quarter.
Rajiv Mehta: And can I just ask one last question, please.
P. N. Vasudevan: Okay, go ahead.
Rajiv Mehta: Yes. And on this credit cost, sir, so now that the SMA -2 bucket is still elevated at the bank level, SMA 0 and 1 is improving, so we will have follow -through slippages. In MFI in particular, do you plan to continue providing at 75%, 80% on the incremental slippage because your current PCL is 77%. And whether you will further utilize the remaining INR62 crores of that stressed sector provisions that you have created on the standard loans?
P. N. Vasudevan: So that usage of that balance buffer provision on sta ndard assets in Microfinance will depend on how the bucket, that SMA buckets move in the fourth quarter. I mean, internally, we had some norms to arrive that INR100 crores in the second quarter. And basis that norm, there was a release of INR30 crores, INR30-o

dd crores in the third quarter.
But -- so it depends, I'm not going to be in a position to say whether we'll use it in the fourth quarter or not. It depends on how the OD bucket portfolio comes out in the fourth quarter. As far as the first question t hat you asked?
Rajiv Mehta: No, no, it was related to whether we'll keep continuing to provide 75%, 80% leave on the MFI business.

P. N. Vasudevan: Because what happens is our NPA norms provision, we changed it during the year for Microfinance, right? We kind of increased the provision norms, and that will continue. I mean, that's something that we are not -- actually, we are not even allowed to change it frequently. Once you change your provision loans, it will have to be on a consistent basis. So that wi ll continue.
Sridharan N: Except the 91 to 150, rest all are 100%.
P. N. Vasudevan: Yes, 91 to 150, we are providing 50% and 150 plus, we are providing 100% and that will continue.
Moderator: The next question comes from Kamal Mulchandani from Investec Cap ital Services.
Kamal Mulchandani: Firstly, sir, I was seeing in the PPT that PPOP to assets is decreasing from last 5 -odd quarters. So when do we see an improvement in the PPOP to average assets rate going forward?
Dheeraj Mohan: Yes. See, the factors impa cting it is largely the proportion of Microfinance we have on the book. So as Microfinance is a high -yielding book and in good times, it's very, very profitable, you are seeing that impact pay -out. And directionally, we have also mentioned that we want to bring down Microfinance in the long term to some -- a single -digit number.
And to counter this movement is why we are growing Micro LAP and focusing on products which are of similar, let's say, internal ROA or internal profitability. So the whole challeng e we have, and we've started this like 2 quarters back, I think is when we mentioned this, that we're growing to Micro LAP book. So the whole challenge we have is to bring back PPOP despite readjusting the bank for a lower MFI book.
So today, it's a littl e distorted given that Microfinance is dropping much faster and disbursement are fairly muted. So you'll have to give us some time till the storm passes, and we think that it will take another 1 or 2 quarters for us to get that clarity. So have patience ti ll then. But these are the factors which are impacting the PPOP , it's largely that single product which is disturbing it.
Kamal Mulchandani: Got it, sir. Also, sir, if you could just help us like what would be the blended ROA for the secured book?
Dheeraj Mohan: See, this is how internal products are looked at is the transfer pricing, which happens to each of these products. So when we tell you an ROA, for example, we say that the ROA of SBL, let's say, for example, is 4% or 5%, it has a transfer pricing el ement of what we charge each business on their borrowings. So it's really not easy for you to understand.
All we can say is SBL is extremely profitable and there are stand -alone NBFCs, which do similar businesses and the numbers are very, very comparable. So that you should actually do a sum of

parts. So what similar vehicle finance companies do or similar small LAP or NBFCs do. We are not way off any of them. We are extremely comparable. So -- and then denominator is between assets of a bank and assets of an NBFC.

So if you just adjust for that, you will actually get a better picture. But our internal ROA numbers actually will make no sense. We have given you yields of these products largely, you know the cost of funds of the bank. The cost of liability, I think we mentioned it somewhere is about 2.5% is the cost of raising deposits. So you have to adjust for all of that. So it's not a very straightforward answer, but the e a

siest way is to look at standalone NBFCs and do a sum of parts of Equitas.

Kamal Mu lchandani: Okay, okay. And also like what we are trying to do is that trying to understand that how the bank would again go back to 2% or more than 2% -- 2% ROA in the near future, taking into consideration that we are not increasing the share of our MFI b ook or even we will try to reduce our MFI share further.

So like just wanted to understand that. If we'll sacrifice on our MFI book, will it affect the ROAs of the entire bank as the secured segments are still not contributing much to the profitability?

P. N. Vasudevan: Yes. So as I mentioned, as Dheeraj mentioned, some of our secured loan products are quite old products, and so they contribute well to the profitability of the bank.

So typically, your smalles business loan which is about 42% of the book a nd the used vehicles were the used commercial vehicle and the used cars, which together contribute about 17%, 18% of the book and 2%, 3% of the NBFC -- loan to NBFC. All of these are profitable at normal level because they have been around for enough time, and so they are profitable at very comparable levels.

What is still not broken even is our new products like affordable housing and the MSE that we are doing. So these two have about 12% and about 4%. So about 16% of the book is still to breakeven. And t he new commercial vehicle, the new small commercial vehicle, which is about 5% or 6%, that's just at the border line.

So you are talking of really this 20%, which is either just at the border line or yet to breakeven. So these are the products which will probably start breaking even and contributing to the profitability, maybe in the subsequent years. And that is when the overall profitability of the bank can go up as these new products start contributing to the bottom line.

So Microfinance, as I said, wi ll go down. And to that extend, its contribution to the profitability will obviously go down but some of these products like affordable housing and MSE, which have been around for the last 3, 4 years, as they breakeven and they start contributing, hopefull y, some of that burden should be taken by that.

Moderator: The next question comes from the line of Palak from ICICI Securities.

Palak: Yes. So the question was that for the SMA -0 and SMA -1 for the MFI book are seeing some improvement in Q3 as compared Q2. So do you think that this is sustainable? Or do we think that further improvement is still expected for the coming quarters?

P. N. Vasudevan: Yes. So you're right. The SMA -0 was 2.17%. It has improved 2.03% and SMA -1 with a 1.7% has improved to 1.5%. However, if you see SMA -2, which is -- which was 2% has actually shot up to 2.73% in the third quarter, right? I think this is Slide number 25. Basically the SMA -2 has shot up because that's an effect of what hap pened in the second quarter, right? The X bucket flow in the second quarter will lead to an increase in NPA towards the end of third quarter, which is where we see the SMA going up.

And eventually, part of that will move into NPA in this quarter. But SMA -0 and SMA -1, the improvement that we see is because, as I mentioned, between Q2 and Q3, X bucket stabilised, even though it's not at a comfortable level, 98.2% is where it is stabiliz ed but 98.2% is nowhere near comfortable.

At anywhere around that 98.6%, around that, we -- the MFI will actually a breakeven, meaning the credit cost that we lose and the income that it generates will kind of match each other and the product will breakev en. But if we are at any X bucket less than 98.5% or 98.6% or somewhere in the range means that the credit cost will be higher than the income generator. So net, the product will be a negative contributor.

So this first sign of improvement in SMA -0 and SM A-1 is nice, but it's really not

enough. And
this quarter, we have to see what is our X bucket going to be. And that will determine what will be the potential cost that we may incur over the next 2 quarters.
Palak: Okay. Understood. And if you could even t ouch upon what kind of X Bucket collection efficiency have we seen for the month of Jan of the MFI book?
P. N. Vasudevan: For the month of Jan, we are almost at the end of the month, of course. So we will not be able to tell you clearly because is still a few hours left for the business to wind down. But it's very similar to the last quarter, very similar and it's not shown an uptick. That's clear. It might end up very close to the last quarter.
But then there was a lot of holidays this month, hopefully, Fe bruary and March with less holidays, all this have come such a big issue today that a set of holidays can tweak your performance, but that's the way it is. So January was more or less in line with Q3. And Feb and March is something that we'll have to watch out for.
Palak: So as you had mentioned in your opening commentary that maybe Q2 or Q3 of the next financial year, you would see some improvement. So 98.6% of X bucket collection efficiency is expected by Q2 or Q3 of the next financial year, right?
P. N. Vasudevan: No. Sorry, that's not what I mentioned. What I mentioned was that if the X bucket goes up in this quarter, that's the fourth quarter and if X bucket also improv es in the first quarter of next financial year, then what happens is the credit cost -- see, basically, credit cost is a 6 -month lag impact, okay, from X bucket efficiency to credit cost with a 6 -month lag impact. So if my fourth quarter of this year, X bucket improves, then in the second quarter of the next financial year, we may see cred it cost moderating, okay. That's what I mentioned.

Now what I also mentioned is that since the second and third quarter collection efficiencies have been low at 98.2%, it means that I will have an elevated credit cost in the fourth and first quarter. That's a given because X bucket was -- already has happened. So the elevated credit cost for this quarter and next quarter is a given. Now whether Q2 and Q3 of next year will be better, it's based on this quarter and next quarter's X bucket, which is where the full focus is, and that's what I had referred to.
Moderator: The next question comes from Shailesh Kanani from Centrum Broking.
Shailesh Kanani: Sir, my first question is with respect to disbursement. So in MFI segment, we have seen around 17%, 18% declin e year -on-year. When do we expect this to pick up? And if you can throw some light in terms of our guidance as well because we had withdrawn the guidance of the year. Are we giving any guidance in respect to FY '26 as of now?
P. N. Vasudevan: So Microfinan ce disbursement will continue to be a little bit moderated only because the comfort to go all out is really not coming at. So the disbursement will continue to remain subdued. In terms of overall growth, advance growth, we have done about 14% for the 9 mon ths period. The non-Microfinances grown by around 20%. The Microfinance was degrown by 11%. So overall, it's about 14% for 9 months. But if you ask me for the guidance, it's not going to be easy because the disbursement in Microfinance is still something t hat I'm not in a position to predict because if the comfort improves, obviously, the more money will go out. If the comfort remains low, then the disbursement will also remain low. So for the moment, we are really not giving the guidance on that.
Shailesh Kanani: Okay. The second question is on the used CV front, are there -- even doing affordable housing though it's a small base for us. But are there any early signs of increasing delinquencies or collection efficiency going down because that isn't getting reported in certain parts of the

country.
P. N. Vasudevan: See, the collection efficiencies of commercial vehicle has actually improved in the third quarter compared to the second quarter. And typically, the fourth quarter is generally a very good quarter, both in disbursement and collections. So we expect that to continue -- that trend to continue as far as commercial vehicle is concerned. As far as affordable housing is concerned, again, our collections have been very good.
Our NPA continues to remain ver y much under control, and the credit cost is very at a comfortable level. And it's not small. You just mentioned it is a small part of the book. Actually, it has become 12% of the book, so it's not small, any longer. And there's no concern as credit qualit y is concerned in affordable housing either. Only thing as I mentioned is that it's not yet broken even. And this year, it might come very close. But next year, it should actually be positive, it should be black and that is where it should start contributi ng to the ROE of the bank next year.

Shailesh Kanani: Okay. That is useful. So just last question from my side. Is there any imp rovement in softer bucket resolutions? And we have kind of increased our collection team, I assume with 1,000 people coming in. So has there been any improvement? And how is the trend?
P. N. Vasudevan: Yes. So basical ly, we have increased the fee t on street on Microfinance, I think nearly about 800 of the 1,000 are deployed in Microfinance. And this deployment has happened in the third quarter. And so I'm waiting to see the impact of the benefit coming in, in the fourth quarter and first quarter of next year. The soft bucket resolution, which is the SMA -0, SMA -1 and SMA -2 resolution. In the third quarter, it was not very different from second quarter, but most of the people have been joining towards the end of the third quarter. So it was too early. Even now, as we speak, peo ple are still joining and they're getting trained, they're getting certified and then they're putting -- being put on the field. So the real benefit we should see only going forward.
Moderator: The next question comes from Ashlesh Sonje from Kotak Securiti es.
Ashlesh Sonje: Sir, firstly, can you just share a breakup of the net slippages in the non -Microfinance book especially across vehicle finance and SBL, both for this quarter and the previous quarter, if you can, please?
P. N. Vasudevan: Product -wise.
Ashlesh Sonje: Yes, vehicles and SBL.
P. N. Vasudevan: We have product -wise?
Dheeraj Mohan: We don't have. Ashlesh, we'll try to see how do we incorporate it in the next quarter's presentation.
P. N. Vasudevan: Okay. So we don't have that now. And we try and put it into our next quarter presentation.
Ashlesh Sonje: Sure, sir. No problem. Secondly, sir, on the MFI disbursements, they have gone up sequentially. The question on it is, at what juncture during the quarter, did you feel like ramping of disbursement s? And what exactly give you that confidence?
P. N. Vasudevan: Actually, that was kind of outlier -- October was kind of an outlier in the disbursement in Microfinance. In the second quarter, we were disbursing approximately INR350-odd crores a month in Microfinance, it shortly was about INR950 crores. Right. So that's about INR315 crores, INR320 crores a month on an average in the second quarter. Third quarter, the October month was a sudden outlier. The disbursement was about INR500-plus crores in the month of October alone. But then November, December came back to normal level. That's why you see the blip in the third quarter. But that is not something, which is going to be repeated. And so we should see I mean as I said earlie r to the previous call also, we are not in a position to predict the disbursement in Microfinance because it depends on the comfort and the performance

portfolio behavior, etcetera , etcetera . But October was an aberration, and we don't expect that to happe n again.

Ashlesh Sonje: Understood. And any specific reason for the October month being an outlier?
P. N. Vasudevan: Yes. I think what happened is that at the branch level, they were kind of holding back certain disbursements in the second quarter, and som e of them which was being held back was actually released in the month of October. So that is why the aberration was there.
Ashlesh Sonje: Understood. Sir, and just lastly, out of the total Microfinance and micro loans book put together, what proportion of it would be to borrowers who are qualifying as MFI and what proportion of the MFI book is qualifying technically as Microfinance?
P. N. Vasudevan: Microfinance and micro loan, what proportion?
Dheeraj Mohan: Microloans is about 30% now. Two quarters back about 15%, now it has come to about 30% of that book. And micro loan -- 70% is Microfinance. Microfinance 70%, micro loan is 30% of the book. Both are JLG products. The products are exactly ...
P. N. Vasudevan: Both are JLG products. Microfinance is about 70% of the micro total book and the micro loan is about the balance 30%.
Ashlesh Sonje: And micro loan s is essentially those borrowers where the household income could be beyond INR3 lakhs?
P. N. Vasudevan: That's right. Absolutely.
Ashlesh Sonje: Understood. Perfect. Those were all the questions I had. Sorry, if you can just repeat again, if you've shared the provision policy for the MFI book on a DPD basis?
Sridharan N : On DPD basis, 91% to 150% is 50%, rest all, the substandard, all the doubtful is 100%.
Moderator: The next question comes from CA Mani k Bansal from Master Capital Services Limited.
Manik Bansal : So my question is on small business loans and MLAP. So what are the respective yields in every ticket size over there?
P. N. Vasudevan: Yes. SBL average yield is about 16%, 15.5%. Micro LAP is part of the SBL book. So micro

LAP will be closer to 20%.
Manik Bansal : Okay. So average ticket size is?
Dheeraj Mohan: Yes. So INR7 lakhs below is what we classify as micro LAP. If you look at Slide 21 , it will give you the SBL product mix. So today, micro LAP about 13% of SBL. So SBL is actually a collection of products.
P. N. Vasudevan: See, SBL average disbursement side of about INR8 lakhs. You can see that on Slide number 21. SBL is about INR7.9 lakhs is an average disbursement. And the yield on that entire book will be in the range of around 16% to 16.5%. W ithin that if you look at MLAP, MLAP average ticket sales should be in the range of around INR3 lakh and the yield on that would be somewhere in

the range of 22% because we have MLAP going from 20% to 24% based on different categories, different credit filters, etcetera , it ranges but the average should be around 22%.
Manik Bansal : Okay. Okay. And another question is, like what percentage of boo k is linked to MCLR? Because as there is a lot of work going on the RBI cut. So what are the level the bank is going to use to keep the NIM stable or increase it?
P. N. Vasudevan: See, we have almost 80 -odd percent of the book, which is the fixed rate work , only the remaining is floating rate. Our floating rate is typically all our affordable housing is all floating rate, part of the small business loan is also floating rate. The rest is on fixed rate. And all our floating rates are linked to external bench mark, which is a repo rate. So whenever the repo rate moves, it will also more in tandem with that.
So last 2 years, we have actually seen a benefit because the repo rate had moved up, so we saw a benefit. And going forward, in case rates start coming down , then that portfolio, we should see a reduction in rate. But

as far as the remaining 80 -odd percent of the book is concerned, that's a fixed rate book. And so actually, on the 80% of the book, we saw a negative impact in the last 1.5 years because the cos t of funds had been going up, but we are not in a position to pass it on to the old borrower.
So we were actually having a negative impact on our NIM. Going forward, just in case, the interest rate cycle reverses, then 80 % of the book will continue to ear n at the same level, whereas the cost of funds will start coming down over a period of time. So that will be a positive impact on NIM. So we are also eagerly waiting for when the interest rate cycle will reverse.
Manik Bansal : Okay. Okay. And the last question is, like which segments according to you are the highest growth contributors for the bank?
P. N. Vasudevan: See, for us, the flagship product is a small business loan because it is sitting on a very high level of unmet credit demand from the marke t, and it can sustainably grow around the 25% to 30% level. We have been doing it for a long time, so we do know how to handle that product. The competition from the mainstream banks is not high because the product is inherently difficult to handle, and we have a lot of competitive strength built up over the year. And that product has seen all kind of headwinds starting from GDP growth. GDP cycle is going up and down, Demonetization happening, corona happeni ng. It's been all kind of headwinds , but the credi t cost and that has never gone out of hand, never ever gone on our hand. So that remains on the flagship and we'll continue to be high -growth products for the bank. The next one will be our used commercial and the used cars, which is also -- used commercia l of course, is a 12, 13 -year old product in the bank. Used car is about 4 years or maybe 4, 4.5 years old. And both of them also will remain a flagship growth product for the banks because they tick all the parameters. Affordable housing will be a third focus product for the bank. Because it performs very well from a credit quality perspective. The only thing is that it is still not contributing to the bottom line. And hopefully, next year, it should start contributing, but it ticks very strongly on the c redit quality. So that will be a third focus product for the bank.

Moderator: The next question comes from Amit Mantri from 2Point2 Capital.
Amit Mantri: Yes. Can you -- if there is any change in the yield that is being charge on Microfinance loans?
P. N. Vasudevan: See, earlier, we used to have a flat rate. Now towards the end of last quarter and this quarter, we have introduced our slab -based rate. So the rate stats from 20% and goes all the way to 25%. So it depends on the profile of the borrower. So p eople who have been with us for 2 cycles, 3 cycle, 4 cycle, etcetera , they get a lower rate. People whose past track record has been very good with us, they get a lower rate.
People whose attendance at centre meetings have been beyond certain minimum level, they also

get a lower rate and so on. So we have defined a few set of credit parameters. Those who tick all the boxes can get the rate as low as around 20%. And those who don't tick any of the boxes will go at the highest slab, which is around 25%.
Amit Mantri: So what would be the impact of this introduction of slab -wise system of rates going forward? Will the average interest rate on Microfinance loans decrease because of this change?
P. N. Vasudevan: Yes, it should. So we did try to do some simulation on that. And I think it might reduce the yield on Microfinance by anywhere around 1.5%.
Amit Mantri: 100 basis points to 150 basis points basically.
P. N. Vasudevan: That's right.
Moderator: The next question comes from Rajiv Mehta from Yes Securities.
Rajiv Mehta: Yes, just a couple of follow -ups. Sir, ev

en affordable housing disbursements the traction you see lower in terms of run rate versus last year. So there was supposed to be a pick up, but we haven't seen that pickup in Q3. So Q3 number of -- Q3 figure for disbursement is also lower on Q -on-Q basis. So what is happening here? And when do we see going back to the levels of disbursements which we were doing last year and then even higher subsequently?
P. N. Vasudevan: Yes. So the disbursement in Q3 is lower than every other quarter. It's lower than Q2. It's lower than Q3 of last year also correct. Lower than Q3 of last year, it's lower than Q2 of this year also. It's only better than Q1. Q1 was the very ba d quarter, it's only better than Q1. Basically, in affordable housing finance, our disbursement yield, there is a conscious effort by the team to improve the disbursement yield in the affordable housing space.
And we had initially, our whole affordable hou sing started from Gujarat and then Maharashtra. And subsequently, we came down to South and we put up operations in Tamil Nadu, Karnataka and APT. And so the team ’s effort -- in their effort to try and improve the yield of the disbursement in affordable. They actually took a call to slow down part of the disbursement from West and trying to improve the disbursement from South, and that's why you see the disbursement coming down. But in return, the yield actually has started going up even in the

third quarte r. And going forward, the focus will continue to be try and have a blended yield between South and West, between self -construction to flat purchase to builder purchase. So there has to be a proper mix amongst customer profile as well as property profile to ensure that our yield is maintained while growth is also taken care of. So that's a kind of fine balancing that the team is trying to do, and that resulted in this dip in the third quarter. But hopefully, they will be able to come out of it, maybe even this quarter.
Rajiv Mehta: And just on Slide number 26, you mentioned about additional provision. And I think you've also made the -- I mean it's mentioned in there that there is a INR16-odd-crores of additional provision done in Q3. Now what -- so where i s that INR16-odd crores of provision? I mean is it in the PCR of MFI or -- because you actually utilized the standard funding provision that you created last year. So what do you mean by the recent provision of INR16 crore done in Q3?
Sridharan N : The addi tional provision is in respect of the bucket -- the provisional changes in the bucket of MFI from 151 to 180 earlier, we are providing 75%, we started providing 100% now in Q3. That's the incremental provision in Q3 -- in Q3 FY '24.
Rajiv Mehta: Okay. Okay . And that's a change in policy itself now. So even on a continual basis, 150 -plus crores will be 100% provided?
Sridharan N : See, this is a change in -- change from the bank policy of earlier follow. So it will be consistently followed in the future.
Mode rator: Ladies and gentlemen, we would take that as a last question for today. I would now like to hand the conference over to Mr. P. N. Vasudevan for his closing comments.
P. N. Vasudevan: Yes. So thank you. Thank you all for dialling in, listening to us, asking us questions, and helping us to understand our business better. And we look forward to meeting all of you guys again next quarter. And hopefully, the performance also should be much better than what's happening now. Let's hope that the market stabilizes, market settles down, customers come back to more normal levels of behavior and things do get back to some level of normalcy. Thank you, and we wish you all the best. Bye.
Moderator: Thank you. On behalf of Equitas Small Finance Bank Limited, that concludes today's confe rence. Thank you for joining us. You may now disconnect your lines.

Call: May 2025

"Equitas Small Finance Bank Limited
Q4 FY '2 5 Financial Performance Earnings Conference
Call"
April 30, 202 5

MANAGEMENT : MR. P. N. VASUDEVAN – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – EQUITAS
SMALL FINANCE BANK LIMITED
MR. BALAJI NUTHALAPADI -- EXECUTIVE
DIRECTOR , TECHNOLOGY AND OPERATIONS –
EQUITAS SMALL FINANCE BANK LIMITED
MR. SRIDHARAN N – CHIEF FINANCIAL OFFICER –
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LIMITED

MR. DHEERAJ MOHAN – HEAD STRATEGY AND
INVESTOR RELATIONS – EQUITAS SMALL FINANCE
BANK LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the earnings conference call of Equitas Small Finance Bank Limited's financial performance for Q4 FY '25. We have with us today Mr. P.N. Vasudevan, MD and CEO; Mr. Balaji Nuthalapadi, Executive Director, Technology and Operations; Mr. Sridha ran N., CFO; Mr. Murali Vaidyanathan, Senior President and Country Head, Branch Banking, Liabilities, Product and Wealth; Mr. Rohit Phadke, Senior President and Head, Assets; Mr. Jagadesh J., Head of Assets; Mr. Natarajan M., President and Head of Treasury ; Mr. Dheeraj Mohan, Head, Strategy.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, p lease signal an operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded.

I now hand this conference over to Mr. P.N. Vasudevan . Thank you, and over to you, Mr. Vasudevan.

P.N. Vasudevan: Thank yo u. Good afternoon to all of you, and thank you for taking the time out to dial into our investor call. The last financial year '25 opened with no indication of what was coming. The first quarter was marginally weaker than normal, but it was laid down to he atwaves, general elections, etcetera . However, the reality hit us in the second quarter of last year when the weakness further deepened. Last year turned out to be a tough year. We had credit cost in Microfinance portfolio moving up from 2.3% in FY '24 to 11.37% in FY '25, wiping away about INR630 crores of profit of the bank.

In response to these headwinds, the bank slowed down its fresh disbursements in Microfinance, leading to a drop in the MFI advances from INR6,265 crores in March '24 to just around INR4,500 crores in March '25. This had the double impact of high credit costs and lower income, reflected in the rather unimpressive RoA of 0.32% for the financial year '25.

If we step outside of Microfinance, the rest of the advances grew by 19% for the y ear. Credit cost remains very comfortable at just about 1%. Very importantly, our yield on advances have remained steady during the year, around 16.3%, in spite of reduction in the Microfinance book. The cost of funds for the bank remained more or less st eady at around the 7.5% level for the full year. The NIMs went down for the year from 8.36% to 7.51%, largely contributed by the mix change in the loan book. In the last year, we also stopped giving our normal guidance in view of the evolving crisis in Mic rofinance.

Coming to FY '26, we believe we have many things under better control. To highlight a few, collection efficiencies in Microfinance has come back to near normal and expected credit costs should settle down to normal levels by third quarter of th is year. Size of the Microfinance book is expected to reduce from the around INR4,500 crores of March '25 to about INR3,000 crores

by March '26, as we strictly implement the guardrails and originate fresh loans largely from existing clients.

The contribut ion of MFI to total advances is expected to reduce from 12% in March '25 to mid - single digit by March '26. This is expected to reduce the impact of any further unexpected headwinds in the MFI sector on the bank. Small business loans, used cars and used CV finance continues to grow profitably with credit costs under control. Affordable Housing and MSE finance is expected to turn profitable this year.

Major parts of the large project such as CRM, the native IBMB app, credit cards and AD -I projects, investments in these large projects. Most of the investments

are behind us, and
additional investments in these should be nominal. Cost of funds is stable and expected to come down after a few quarters as repricing of deposits at lower rates take effect.

We remain focused on accelerating growth and improving the bank's RoA and RoE, as this is a top priority in the coming year. We expect to exit the fourth quarter of this year with an RoA greater than 1% on the way to reaching an improved RoA of around 1.5% to 1.75% over the next few quarters running into FY '27.

Lastly, before we move into Q&A., I'm happy to welcome and introduce Balaji Nuthalapadi, who joined us recently as an Executive Director for Tech and Ops. Balaji is an alumnus of the Indian Institu te of Management, Ahmedabad, and joins us from Citi where he worked for over 28 years across 5 countries.

At Citi, he was a Head of Citicorp Services India Private Limited, employing about 31,000 people and constituting the largest talent base for Citi ou tside the U.S.A. Also, Balaji served as Head of Ops and Techs for the Citibank South Asia subcluster from '21 to '24. He is also a member of the Tamil Nadu Fintech Governing Council and a member of the Strategic Advisory Group of Indian Institute of Inform ation Technology, Andhra Pradesh. I would once again like to welcome Balaji on Board.

Rohit Phadke, who heads our assets, is retiring by June '25. Jagadesh, whom we call as Jagi, will be taking over from him. Jagi has been with the bank for 15 years and j oined us as an area manager. Over the years, he has built our Microfinance and our flagship product, SBL, into what it is today.

He has been the business head in managing this product for over 5 years now. I'm sure some of you might have met him earlier. After he completed his MBA from Bharathidasan Institute of Management, Trichy, he had worked in companies like HLL, Apollo Tyres, ICICI Lombard before joining Equitas. He will be taking over from Rohit as Business Head of Assets, and Rohit will be spending the next couple of months mentoring him into this position before he retires.

So that's it from my side . And to sum up, we can say that last year, as I mentioned, was really a bad year. And we are hoping that this year will be a much better year basicall y because lots of the fundamentals have been strengthened. And with Microfinance portfolio coming down, the headwinds, if any unexpected headwinds do come also, the impact should be hopefully much

lesser. And we, as a management, remain committed to ensuri ng that our RoAs and RoEs reach the normal level as early as possible.

Now I hand it over to Sridhar.

Sridharan N .: Good evening to everyone. I shall quickly give you an overview of our financial performance for the quarter as well as for the year. Most o f this is already covered in our presentation. Our net interest income and other income for the year was INR3,252 crores and INR871 crores, respectively.

The total treasury income for the year stood at INR142 crores, registering a growth of 36%. Net incom e for the year stands at INR4,123 crores, registering a growth of 9%. Our yield on advances for the quarter stood at 16.30% and the yield on disbursement dropped by 140 bps on a Q -on-Q basis to 16.76%. The drop was largely due to slowdown in Microfinance. Microfinance disbursement stood at 8.32% of the overall disbursement in Q4 FY '25 vis -a-vis 29% in Q4 FY '24.

On the cost side, operating expenditure for the quarter came at INR736 crores, clocking a growth of 16% over the last year same quarter. During the quarter, the bank purchased PSLC certificate incurring a cost of INR11.04 crores. And for the entire year, the cost was INR16 crores. For the whole year, the total operating e xpenditure went up by 15%, as the bank invested in technology, people and new products.

Cost to income for the entire year increased to 67.64% v

is -a-vis 63.74% last year. PPoP

remained flat for the year at INR1,334 crores. Credit cost for the quarter came in at INR258 crores, majorly contributed by MFI with INR185 crores. The bank made an additional NPA provision of INR33 crores in Microfinance and Vehicle Finance. The total credit cost for the year stood at INR1,135 crores.

The bank's GNPA stood at INR1,068 crores and NPA provision of INR714 crores. Our PCR now stands at 66.83% and including technical write -offs stands at 82.01%. PCR for individual product segments are already given in the PPT. As of March 31, 2025, the total CRAR stood at 20.6% with Tier I at 17.84% and Tier II at 2.76%.

With this, I hand over to Rohit.

Rohit Phadke: Thank you, Sridhar. Good evening, everybody. Advances at INR37,986 crores grew by 11% year-on-year. SBL advances, SBL has grown by 25% year -on-year. The collection efficienc ies in SBL are very stable. Across the year collection X Bucket collection efficiency was more than 99%. In the last quarter 2, it was 99.2%. The merchant overdraft book in SBL has grown very well. It's now an INR1,400 crore book with about 51,000 customer s.

We believe that this is a product which fulfils a dire need for small and informal customers. Our intent will be to grow this book this year. The Selfe Loans app was launched last year. It is primarily a lead sourcing app, and we have sourced about INR1,247 crores of loans. These loans were sourced from the -- these loans were disbursed from the leads that were sourced through the Selfe Loans app.

In the CV segment, we have grown by 14%, but this 14% is a misnomer. The growth in Used Car was 53%, and t he growth in Used CV was 24%. We chose to degrow the New CV book by 13%, and hence, the overall CV growth dropped to 14%. The focus in Vehicle Finance is to grow both the UCV and Used Car books.

Collection efficiencies in Vehicle Finance have been looking up last quarter. The old overdue book, which was 16% in the previous quarter, has now come down to 14.5%. The X Bucket collection efficiency has also moved to about 99%. We will continue to grow the Used Car and the UCV books.

The Housing book, also the Affordable Housing book also continues to grow well. It's now -- it's grown 14% year -on-year. The MSME portfolio has also grown at 41% year -on-year. So this is also a segment that we are seeing good growth. The Microfinance degrew by 28%, and this is by ch oice. The book stands at about 12% of the overall mix.

The entire Microfinance team has been trained to now do a Micro LAP. And as we -- our intent is to keep degrowing Microfinance and keep growing the Micro LAP book. In the coming months, as the Microfi nance book degrows and the Micro LAP book grows, we see that an era of uncertainty will disappear, and I see a very glorious future for the bank.

Thank you so much. Over to Mr. Murali, please.

Murali Vaidyanathan: Good evening, friends. As you would have gone through the presentation, our segmented approach, what we have been discussing, has been yielding good traction in terms of quality customers. If you see the Elite book, which is our focus between middle class plus to HNI is showing a very steady grow th, and we are seeing close to 25% to 26% of growth in Elite as a key segment.

And as we are talking about liabilities, too, as a strategy in the last as well as previous presentations, our focus on NR as well as transaction -centric banking is helping us to expand, a, the footprint, and b, the spread of customers. And today, I think in NR book, we have customers who are present across 140 -plus countries, and we have close to INR3,000 crores of book coming from NR, which is the first step, which is -- augme nt our next initiative of AD -I, which should go live very soon.

Third part of in terms of business banking, that is current account, our focus on

retail merchant

is helping us to acquire lower -end spectrum of current account with intelligent solutions, wh ich we will try to offer through QR as well as POS in coming months should help us to grow the

current account also.
B, in terms of transaction banking, our important focus is how do we get the active savings account in coming days, so the new Mobile Bank ing and Internet Banking app, which we have come up. And today, we are learning both the apps together, and we are happy to say that new app, despite being there, have -- download of close to 1 lakh now at this point of time. So I think that user interface and user experience is going to help us to move ahead.

We have launched very critical UI/UX -based initiatives, what we have mentioned in terms of Banker on Wheels as well as service -centric approach, which we will discuss it later. And RTD has been a goo d year last year, we could add close to 1.2 lakh customers, who have actually come in and used our new retail TD proposition. So that has helped us to create the retail ratio also close to 69%, 70%.
And I think increasingly, we have to hold and grow that base and see how best we can penetrate more on product holding. So overall, it was a challenging year. The future, what we are seeing through version 2, what we have liabilities, too, which we have mentioned, should give you the perspective on where we sta nd in terms of individuals to other as a deposit categories. So retail mix is one healthy mix, which we will continue to focus with segmented approach.
P.N. Vasudevan: We will open for Q&A now.
Moderator: The first question is from the line of Renish from ICICI.
Renish : A couple of things from my side, one on this SBL book, right, so sort of you are sounding quite confident about scaling this book in FY '26. But when I look at the slippage ratio, sort of it is increasing quarter by quarter, impacting Q4 of this year as well, it has gone up. So what is giving you the confidence to grow this book when delinquencies are also going up sequentially?
P.N. Vasudevan: Yes. So basically, in the SBL book, the MLAP has really grown strongly last year, and MLAP typicall y has a loan size ranging from INR2 lakhs to INR7.5 lakhs. That's what we internally classify as Micro LAP. Typically, the Micro LAP does have a higher level of GNPA. But because it's a secured product, the ultimate credit cost actually turns out to be qui te low. So I'm going to request Rohit to answer what's the typical GNPA of MLAP and what's the credit cost that we have seen in MLAP over the past so many years. .
But what I can say beyond data is that over the last, maybe what, 12 years that we have bee n doing Micro LAP, we have gone through the demonetization period, we have gone through the GST period, we have gone through the Corona period and we have gone through the last year Microfinance stress. And through all this period, the credit cost of Micro LAP in particular and SBL in general has been extremely comfortable. So I'm just going to leave it to Rohit to give the data in terms of credit cost and GNPA for MLAP.
Rohit Phadke: So we've been seeing Micro LAP now for quite a few years now. I think 2 c ycles we have seen it. It's nearly an INR2,600 crore book. And the GNPAs hover around between 4% and 4.5%. The credit cost is only 0.4%. And if you look at the overall credit cost for SBL, it's just 0.3% and MLAP is just 0.4%.
Also, what we have seen is a lot of these -- we don't have to really go and repurchase properties, a lot of these properties, they come off a settlement as the customer does not want to lose his only property. So overall, we do think that Micro LAP is a very good product, and we shou ld really increase it.
Renish : So, again, just -- sorry to follow up on the issue. Micro LAP, I mean, of total INR16,000 -odd crores of book, as you

said Micro LAP is roughly INR3,000 -odd crores. So I'm sure the bulk of

increasing slippages over last 4 quar ters is actually coming from a legacy book. So is there anything -- let's say, any of the geography or any events, which are happening in some pockets and that is leading to this blip, which might be temporary? And hence, you are confident that going into FY '26, the slippage ratio will sort of come like to normal and that's why we are confident on growing SBL book.
P.N. Vasudevan: Is there any particular geography we see any stress?
Rohit Phadke: So we have not seen any stress in any particular geography. So I see a good future. I have not seen any particular stress in any specific geography for this.
P.N. Vasudevan: Slippage has been higher in the last...
Rohit Phadke: Slippage has been higher.
P.N. Vasudevan: I think that...

Renish : Okay. Maybe I will tak e it offline. I know...
P.N. Vasudevan: Yes, actually, we don't see any underlying stress. And this is a product that will continue to remain a key focus for the bank.
Renish : Got it. And sir, my second question on the Vehicle Finance book, right, so you did mention that New CV, we chose not to grow maybe because of the lower OEM sales this year, and we are equally confident on growing this CV book. So I just wanted to get a sense -- this entire TN issue, which is there because of the bill. Do you expect a ny impact of this bill on any of our product segments, I mean, apart from MFI?
P.N. Vasudevan: Not really. We don't. I mean we have gone through a similar thing in Karnataka a few months back, and there's really no impact on anything else.
Renish : Got it. Got it. And would you like to guide us on credit costs in FY '26?
P.N. Vasudevan: The credit cost for FY '25 was 3.15%, correct? 3.14%, credit cost, but that included a one -time INR180 crores of floating provision that we created in the first quarter of la st year. But if you remove that INR180 crores, the credit cost would come to around 2.6% for last year.
Now the question is that, do we want to guide for credit cost this year? We will want to definitely guide, but we are going to just wait for this 1 qua rter to go by because first quarter and second quarter of this year, we expect the credit cost to remain at a higher level, basically, because of the lag effect of slippage of X bucket Microfinance in the last 2 quarters.
They will all hit us in the credi t cost with a lag of around 2 quarters. So that way, we are going to have some amount of credit cost coming up in the first and second quarter of this year. But from third quarter onwards, we expect that to actually go down and get into more normal levels.
So I think we'll start giving our guidance on that. At the end of this quarter, we should be able to guide for the full year.

Moderator: The next question is from the line of Mr. Rajiv from Yes Securities.
Rajiv: Sir, can you share an outlook on loan grow th? Because see, you've given some color on the RoA. So there is an underlying growth assumption in that RoA outlook also. So what is that growth that you're looking in the overall book? Because see different pieces are moving in different direction becaus e MFI as you have communicated is going to come down further.
Affordable housing is actually growing slowly versus your peers. And in UCV, you are defocusing, even there the book is shrinking. So how should we look at the bank level growth in FY '26? And what is beneath your RoA assumption of maybe exiting the year with 1% plus RoA?
P.N. Vasudevan: Yes. So Microfinance will degrow. As I mentioned, from around INR4,500 crores, we expect it to land at around INR3,000 crores by end of this year. But in spite of that, we expect an overall credit growth for the year, which sh

ould be in the range of late teens. That's what we expect for the full year. Late teens is the credit growth that we should be looking at. And that's what we have factored in for the guidanc e of more than 1% RoA by the fourth quarter of this year.
Rajiv: Okay. Okay. And sir, when I look at your non -MFI SMA pool on a Q -on-Q basis, there's not much improvement. So -- I mean -- and so is the new flow persistently coming from the X bucket into th e SMA pool across products? And is that a challenge that the new flow rate is not improving? Or are the rollbacks not happening in the SMA bucket, the resolution is not happening? Is that a problem?
P.N. Vasudevan: If you look at the SMA non -MFI book, we a re talking of -- SMA -2 was 1.69% in Q3, it's come marginally down to 1.5%. Now SMA -1, which is 2.7%, has gone to 2.8%. And SMA -0, which was 3.9%, has come down to 3.65%. So -- I mean, you can -- I don't see that the SMA...
Rajiv: No, it's stable, sir. I ag ree with you. It's pretty stable. It's not deteriorating for sure. But from an improvement point of view, since -- if you want to kind of go down on the credit cost, even on the non -MFI book from where we are so that bucket -- these buckets will also have to improve.
P.N. Vasudevan: See, as far as the credit cost for the non -MFI book is concerned, it is around 1% last year, and we expect it to be at -- I mean, that 1% is more like a normal level. We do not really expect that to go further down. I mean, it m ay marginally go down by a few basis points, up or down, but it will not be dramatically lower than that.
That's a very normalized level of credit cost. So this SMA book also, you see the 0 to 90 or whatever, SMA -0 to 3 -- 0 to 2, it will be at these leve ls. We don't expect that to really come down. And credit cost is also at reasonably normalized levels, around that 1% level. And these products are priced for that level of credit cost. So the profitability should not be an issue because the pricing takes care of that level of credit cost.
And these are -- we must understand that these are customers where our average ticket size is just about INR7 lakh. If I remove Microfinance, that is assuming I don't count Microfinance, I just look at the rest of the bo ok, our average ticket size on lending is just INR7 lakh. So we are

really addressing the seriously low -income profile who are from the informal economy and some

level of delinquency and some level of behaviour in terms of on -dot repayment will be a given. And these are very normal levels. I don't see that this should be an issue.

Rajiv: Okay. And just one clarification about that stress sector provisioning of INR100 crores we did in Q2, which was essentially on the Microfinance SMA pool, I believe. Now how do we look at that number? What is the corresponding number now? Do we still hold that provisioning on the MFI SMA book? Or has that got utilized and now it is a part of the PCR?

P.N. Vasudevan: Okay. So we had created INR100 crore provision in the third quarter -- or in the second quarter of last year on the SMA -1 and 2 books. Basically, we have some internal parameter. Out of SMA -1 and 2, we took some parameter like how many of them have loans beyond a certain number from different lenders and how many o f them have beyond a certain level of exposure as a borrowing.

So we took some profile of those customers who are in that SMA -1 and 2 bucket in September, and we said these are the stressed customers, and so we made that advance provision of INR100 crores . Now that profile is continuing to be used on this SMA book in the month of December and in the month of March.

And since that profile of that segment of stressed customers as per that profiling has been coming down, from September to December to March, it's been coming down, so in December quarter, we used the pro

visions of approximately INR38-or-so crores out of that INR100 crores because the amount of stressed customers within that segment had come down.

And further, in the quarter ending March, we ha ve utilized another about INR23 crores, we have reversed back, because the level of stressed customers has further come down. So that's how it is. So currently, we are carrying about -- INR38 crores we are carrying still in the books out of that INR100 cro res.

Moderator: The next question is from the line of Nidhesh from Investec.

Nidhesh: Sir, first question is that what is the steady -state RoA that you think our bank can deliver from, let's say, next 2 to 3 -year perspective when the entire product mix sta bilizes? What is the steady -state RoA that bank can deliver? And what is the long -term thought on Microfinance, whether we will take it to 0?

P.N. Vasudevan: So on the Microfinance, we will be applying the guardrails very strictly. And also a large part of the sourcing is restricted to existing clients. So we are not really out there to try and grow the market share or grow the disbursement, so we will only disburse to well -performing existing clients and which means that the percentage of Microfinance and the quantum of Microfinance book also should be coming down over the next few years.

Whether it will go to zero, I'm not going to be able to say that. It may not go to zero because ultimately, there will still be certain customers who are very good and continuing to be with us and performing very well. So it may never go down to zero, but it will keep going down as a percentage. As far as steady -state RoA is concerned, Dheer aj?

Dheeraj Mohan: So Nidhesh, what visibility we have right now, if you look at FY '27, and from that perspective, we've given a range of 1.5% to 1.7%. I think let us first hit that for a few quarters and then see what more we can expand our RoAs. But at this point in time, let's focus at FY '27. And we'll then discover what steady state is.

Nidhesh: Sure. And that is for FY '27 or exit FY '27...

Dheeraj Mohan: I think FY '27, at least in a few quarters, we should be between that 1.5% to 1.7% RoA.

Nidhesh: Sure. Sure. And in which segment we have bought PSL?

P.N. Vasudevan: We bought PSL in the small and marginal farmer category. Actually, what happened is that we were looking to be a little short on that. So we didn't want to take a risk, so we bought it. But end of the period, by March, our incremental asset PSL category itself was actually sufficient. But by then, we had already bought because we didn't want to take a risk, but it was in the SF /MF category.

Nidhesh: Sir, with the Microfinance further comi ng down, let's say, over the next 2 to 3 years, how do we plan to get SMF category fulfilled on PSL?

P.N. Vasudevan: Yes. So that's the challenge for the team, and that's what the MLAP product that the Microfinance team -- I think we mentioned that in the last con call, the Microfinance team because they will not be totally tied up in terms of disbursements on new Microfinance loans.

And so that bandwidth is being allocated for them to enable them to do Micro LAP.
And Micro LAP, as you know, is typically a semi -urban to rural product. And so the end use of the customer, the end profile of the customer borrower quite often does come as an agricultural profile. So most of the reductions in S FMF categories from Microfinance should be compensated by the MLAP.
Nidhesh: Sure. And sir, can you share the liability OpEx number for FY '25? What is the OpEx of liability franchise for FY '25?
Dheeraj Mohan: Yes. One second, Nidhesh. So their direct -- their cost after allocating common costs all together is about INR750 crores. From this, they have -- we have given the income they generate from third party and other products. So -- but the direct OpEx is I

NR750 crores. This includes allocated costs also.
P.N. Vasudevan: What allocated?
Dheeraj Mohan: Yes. There is a h ead office cost allocated, there is a technology cost allocated, there are some common resources like us, which gets allocated. All of those costs are added to this when I say INR750 crores.
P.N. Vasudevan: And what will be the direct cost?
Dheeraj Mohan: Sorry, sorry, direct cost is INR750 crores, and the allocated is about another INR120 crores above that.

P.N. Vasudevan: Okay.
Nidhesh: So we have been trying to reduce our landed cost of liabilities vis -a-vis large banks. So is there any update on that, h ow that is progressing? It seems like our landed cost of liability has gone up sharply in FY '25.
P.N. Vasudevan: Yes. Because landed cost of money has gone up in FY '25, principally because the cost of funds went up from 6.5% to 7.5% in the year. So 1% in crease in cost of funds really resulted in the landed cost of money going up in FY '25, whereas the other elements of the landed cost, which is the cost of raising the money actually went down because, basically, we are not increasing the -- I mean, the de posit is growing at a rate higher than the operating cost of liability team. So obviously, the leveraging is continuously kicking in.
So the cost of raising the money, that percentage went down from '24 to '25 -- I mean, FY '24 to FY '25. But the interest cost itself went up by 1%. So the overall landed cost of money had gone up. What we will do is I don't want to give you any ad hoc number at this point in time. Next quarter presentation, I'll request Dheeraj to put out a slide on this so that we can trac e the trends and also look at how it is progressing towards this year.
Nidhesh: Sure. And last question, sir, have you seen any impact of the TN ordinance as of now in terms of collection behaviour in Microfinance?
P.N. Vasudevan: No, no, nothing as of now. There is a difference between what happened in Karnataka and what happened in Tamil Nadu. In Karnataka, there was a lot of disturbance in the market, a lot of articles, newspaper reports and TV reports about various kinds of practices and all that goi ng on for about a couple of 3 months and the ordinance came at the end of that. Whereas in Tamil Nadu, the situation is very different.
I mean, there's absolutely no news reports or anything at this point in time. This ordinance is something probably the government is looking to do on a proactive basis and not as reactive to something which is happening on the ground. So I think that's a major difference. So as of now, no, we don't see any difference.
Moderator: The next question is from the line of Vibhav Khandelwal from Laburnum Capital.
Vibhav Khandelwal: I wanted to understand in the MFI book, how do we see the impact of the incoming guardrails?
P.N. Vasudevan: Of what?
Sridharan N .: Guardrails.
P.N. Vasudevan: Guardrails. Okay. So I think we mentioned that in the last quarter con call also, we gave some data, 48% of our existing MFI clients are not eligible for fresh funding because of the guardrails. That's the information that we had shared last time also. So that's the impact of the guardrail impleme ntation.
And this means any part of the guardrail. For example, if they have already borrowed from 3, then they are not eligible. If they have already borrowed more than INR2 lakhs, including other

loans, not eligible. Also, they may be on X bucket with u s, but they may have an overdue with some other lender. And if that overdue is more than INR3,000, then again, they are not eligible. So all parameters put together, about 47% of our customers were not eligible.

Vibhav Khandelwal: Understood. But just to g et some sense, what's our overall estimate as to what t

he impact would be on credit cost or collection efficiency because of this?

P.N. Vasudevan: Because of what?

Vibhav Khandelwal: The guardrails, any incremental impact.

P.N. Vasudevan: We don't -- see, we don't expect anything, and we have implemented the guardrail right from January, and our collection efficiency has actually been improving between Jan to March. And even in April, it's further showing signs of improvement. So we don't see any issue betw een these 2.

Vibhav Khandelwal: Understood. And my second question was regarding the Used CV book. Now we've seen that we have very good growth that is coming in, in the Used CV book. I just wanted to get some sense on the competition, pricing, etcetera , that you're seeing in this particular portfolio.

P.N. Vasudevan: Right. So the competition, there are a few NBFCs who are active in this, like Sriram, Mahindra Finance and Chola and all that. Practically, we don't see much of banks in that space. The yield from used commercial vehicle typically is in the range of around 18% to 19%. That's the range. The type of products that we lend can cover both -- I mean, heavy commercial, light commercial and small commercial. However, as far as Equitas is concerned, the largest contributions come from small and light commercial. Heavy commercials contribute much less. The yield, as I mentioned, on an overall basis from Used CV will be -- normally that range is between 18% and 19%.

Vibhav Khandelwal: Understood. No, that' s helpful. Also, just wanted to understand regarding the liability franchise, right? Now we're seeing those SAs or savings account growth being sort of on a lower end of -- on a year -on-year run rate basis. Just wanted to understand how do we plan to impro ve our cost of funds if our CASA ratios are trending downwards. I mean I understand that there's been a liquidity crunch in the system. But given that we're a small part of the overall system at the moment, just how do we see cost of funds improving given the low CASA growth?

P.N. Vasudevan: Yes. So there are 2 elements to the cost of funds. So one is, of course, just reducing the interest rate itself. That is one element. Second is, of course, improving the CASA ratio, and within the CASA ratio, improving the current account ratio will be another element of cost reduction -- cost of funds reduction. As far as the first point is concerned, which is the cost of -- the interest rate that we pay on deposits, we have been trying to consciously reduce the interes t rates on deposits that we pay.

So in the month of October of last year, we reduced the peak deposit rate by 25 basis points from 8.5% to 8.25%. When it was actually, there was no change in deposit rates from the other banks, but we reduced it just to he lp us reduce the cost to some extent. And that will have a benefit somewhere. Another 2 quarters down the line, we should see the benefit of repricing on that.

Also, we had reduced the savings account interest rate a few slabs. We had tweaked in the last year twice.

And this year, again, in the month of April, we have reduced the peak deposit rates by 20 basis points, so 8.25% has become 8.05% as a peak rate now. And effective, I think, 1st May, we have already announced, we have communicated to our deposi tors, there is a further tweaking on savings account rate. The lowest slab, which was 3%, is now being -- going to be reduced to 2.75% and some marginal drop in interest rates on further buckets in the higher levels also.

So that is one element of cost of funds reduction where we are consciously trying to reduce the interest rates, which will help in reducing the cost. The second one is, of course, in terms of growing the CASA as a book, last year was difficult for us. The CASA was not -- it didn't really grow much. And as a result, CASA ratio came down from 32% to 2

9%. So I will just ask Murali to kind of share this year what do we plan to do to try and improve the CASA ratio from 29% to a little higher percent. So I'll ask Murali to share on that part of it.

Murali Vaidyanathan: There are three things which we discussed. One is going deeper with regard to family banking that is getting the elite segment in and getting the family banking accounts. Second is what we discussed on merchant -acquiring SFBs for c urrent accounts and getting that differentiated solution. So CA actually brings down the cost of funds.

Third is leveraging on AD -I and getting NR as a segment. So these 3 are key to get value. And to get the mass banking and proposition right, we are goi ng live for CorpSal D2C , which is end -to-end digital journey from origination to V -KYC, where we are going to go deeper at corporate level.

So this one should actually help us in garnering more number of accounts. It's -- actually one more thing that will happen is as the arbitrage between SA and TD keeps shrinking, the quantum of money that keeps getting into the SA will actually go up. And last year, we had hook product of ASBA and SAP helping us. We will go deeper through that route also to get the spre ad, depth and digital leveraging right.

Moderator: The next question is from the line of Shreepal Doshi from Equirus.

Shreepal Doshi: Sir, my question was on understanding the RoA profile for SBL and Vehicle Finance. And then within SBL also, if you could give some color on Micro LAP and GLAP? That's my question, sir.

P.N. Vasudevan: So we don't share the product -wise or subcategory -wise RoAs. We don't share that publicly.

Shreepal Doshi: Okay. But just some color on SBL as a category?

P.N. Vasudevan: Dheer aj?

Dheeraj Mohan: Yes. So the easiest way to understand these businesses is to do a sum of parts. Our SBL book is very similar to some of our competitors, who are in similar geographies. So you can look at their numbers. It's very similar.

P.N. Vasudevan: They will look at anyway.

Dheeraj Mohan: So -- I'm just saying easiest way. It is very correlated to that. Similar from a Vehicle Finance, it's similar.

P.N. Vasudevan: Yield and...

Dheeraj Mohan: Yes. The yield is there on the -- so I'll give you rough y ields, SBL is roughly about 16%, is the yield. Vehicle Finance currently is about 15.5%, likely to go up as New CV comes down. So those are the yields. But at this point in time, we actually don't want to give RoAs.

Management: Do we give credit costs sepa rately...

Dheeraj Mohan: Credit costs, no...

Shreepal Doshi: Got it, sir. That is helpful. I'll maybe take it up separately. Just another question was on asset quality front. So if you look at the GNPA in HL and SBL, also highlighted by one of the earlier participant, has been increasing...

Moderator: Sorry to interrupt you, sir, the audio is not clear.

P.N. Vasudevan: No, no, we can hear.

Shreepal Doshi: Yes. Okay. So my question was on rising GNPA in HL and SBL, while these 2 segments have been growing at a decent rate for us, but the NPAs have also been inching up. So are we taking any measures to sort of contain this going ahead or be comfortable with this level of NPA, especially in HL and SBL both?

Dheeraj Mohan: So SBL, even when we do -- when we plan for SBL, these are the numbers which we take. So this is in a comfortable range given the yield and the nature of the product. So SBL, when you see the GNPA of 2.54%, it is actually within a comfortable range. It can actually go up for the yields the prod uct offers.

For home loans, I understand that the profile of our customers are self -employed. They are not the prime segment. And increasingly, we are also growing the self -employed own construction space. So I think housing finance is where you can assum e a steady -state GNPA.

SBL, as c

omposition changes with MLAP going up, it has the room to inch up a little higher, but those are what we consider are normal levels for those products.

Shreepal Doshi: Got it, sir. And last question was on the loan book mix that we're targeting for, let's say, FY '27 sort of a time period.

P.N. Vasudevan: Loan what?

Dheeraj Mohan: Loan book mix for FY '27.

P.N. Vasudevan: Loan book mix for FY '27...

Dheeraj Mohan: We only give an indication on where Microfinance will be.

P.N. Vasudevan: Microfinance, as I mentioned, should be in the mid -single digit by FY '26, right, which means that by FY '27, Microfinance may come below the mid -single digits. That will be the contribution of MFI. But rest of the book, by and large, they wil l remain where they are. I mean, small business loan will be around that 45% level, affordable housing around 12% to 15%. I mean all of them may go up by 2%, 3% because our MFI book is dropping, so that will be taken up by some of the others. But there wil l be no major dramatic shift in the rest of the book.

Shreepal Doshi: Got it, sir. Got it. No plans of opening or of having any new products as such, right?

P.N. Vasudevan: See, the new products are two, which we have just launched, which is credit cards a nd personal loans, but personal loans will be strictly for the cross -sell purpose, so we are not pushing personal loan as a stand -alone product. It's significantly only meant for supporting the stickiness of deposit customers. So it may not be a much volum e driver. It's more of a relationship driver and not a volume driver, so it will never be a big contributor.
Credit cards is something, again, we have launched. Again, credit card is largely meant for existing clients. Credit cards will be something which we'll offer to both asset customers and liability customers. In asset customers, so normally on a stand -alone basis, most of our asset customers may not be eligible for stand -alone credit cards from other banks. But since we have an underlying security fr om them, so our exposure on credit cards will be also secured by the underlying property, and that gives us the comfort of giving them a card with some limit on that.
So again, both of them are meant to be the cross -sell products. So we are not going to be pushing huge volumes on that, but principally, it will be driving cross -sell. So there's no other new product that I think we'll launch over the next 2 years. We have a complete bouquet of products, so now the challenge is only to keep growing as -- on the platform that we have.
Moderator: The next question is from the line of Darshan from Indvest Group.
Darshan: Sir, my question was regarding the Microfinance segment. If you compare the X bucket collection efficiency of Equitas' reported numbers versus that of other SFBs and -- for the March corridor -- for the March month, sorry, Equitas seems to be lagging behind both in Karnataka and rest of India. Like, for example, in Karnataka, we see that it's lagging by potentially 600 basis points compared to so me of the other peers. And in Rest of India or all of India is lagging by about 100 basis points. So what, in your opinion, explains this large difference in the X bucket collection efficiency?
P.N. Vasudevan: See, 2 things. One is that we wouldn't know wh at others are doing. So that's the first point. The second point is that consciously, as I mentioned before, we have been reducing our disbursement on Microfinance over the last year, leading to a 26% -- 27% drop in the book. And because of that, automatic ally, the X Bucket collection efficiency as a percentage for us may look a little lower compared to others because you do a large disbursement this month, for example, next month, practically, all of them are likely to pay their first EMI, and so your X bu cket as a percentage may lo

ok better compared to somebody who is disbursing lesser.

So for us, what will happen is that over a period of time, as the Microfinance book keeps shrinking, we may actually start giving out the amount, and rather than the perce ntage, we may actually start giving the amount, X bucket collection efficiency in terms of amount rather than percentage because that may become more relevant for us. And the quantum of money which -- quantum of loans, which become delinquent, may be more relevant for us than a percentage as the book shrinks.
Darshan: Got it. I mean that explains it. My second question was again with respect to Microfinance. So obviously, we have seen a lot of pain in the Microfinance space. Excluding Microfinance, I think we've built a pretty good book on the asset side, whether it's SBL, whether it's home loans, whether it's Vehicle Finance, but now with these guardrails coming in, in terms of the cap on the number of borrowers and the cap on the amount that can be held.
And also things like CGMFU , etcetera , which sort of gives some protection in case of downside, does that change the attractiveness of Microfinance? Should we be rethinking of Microfinance, our exposure to Microfinance as in not being so negative about it? How do you think things have changed fundamentally after the guardrails?
P.N. Vasudevan: So we have been having guardrails from 2010 onwards before the AP crisis. Before the AP crisis, the MFIN was born in the month of March 2010, the AP crisis happened in October 2010 -- sorry, MFIN was born in 2009 and October 2010 is when the AP crisis happ ened. But before the crisis happened, MFIN had come out with its own set of guidelines for all of us, which included the cap on number of lenders, a cap on the total amount of loan to be given to a borrower, etcetera .
So these guardrails are not exactly n ew. This is something that we all had together and implemented long before the first major crisis, long before RBI stepped in, long before the SRO as a concept came up and was approved by RBI, long before that.
And in spite of that, we have been seeing a series of crisis in the Microfinance sector time and again for various reasons. The reasons change, but the repetitiveness of the crisis doesn't change.
So I think from Equitas' side, we are very clear in our view that over time, Microfinance will continue to go down and be much smaller and smaller part of the book so that any problems in that space should not really put us into the kind of situation that we found ourselves in last year.
And our ability to deliver a sustainable performance and a sustainabl e return is what we are

looking to build. And that is where the approach to Microfinance is very clearly for us. We are
very clear on that.
Moderator: The next question is from the line of Ashlesh from Kotak Securities.
Ashlesh: First question is on the MF I book. Firstly, what is -- what do you do with these set of borrowers
who are ineligible for additional funding? And I understand you're probably cross -selling,
migrating some of them to the Micro LAP book. What are the filters which you apply to
determin e what is the eligibility here?

P.N. Vasudevan: So those who are not eligible, of course, we don't fund them. But as I mentioned to a previous
caller in this call, he asked me a question that, if you're not going to be funding again because
of the guardrai l, does it have an effect on your collection efficiency? I had already answered that
for somebody else saying that our collection efficiencies have actually been improving in the
last few months post implementation of guardrails very strictly from our side .
We are extremely strict in implementation of the guardrails. But we haven't found our efficiency
actually going up, so we do

n't have an issue on that. Now second thing is, of course, what do we
do with the customers, if they are good, can we convert them into the MLAP product? That's
our whole focus.
And that is why, as I mentioned earlier, the MFI team, which is available on the ground, and
they have the relation with the customers, they have knowledge of the customers, relation with
the customers, all established, and they are on the ground. Now I can't do Microfinance to them
because of the guardrails. I can't do that. But are they eligible for MLAP, and if they're eligible,
then we can convert into that.
And for MLAP, the filters that we use are basically, it's an individual credit, cash flow based
credit appraisal. That's the filter that we use. We have a full set of credit norms for MLAP, which
includes a visit to the customer's place of business premise, trying to understand his cash flow
from his business, expenses, etcetera , get his credit bureau reports, find out his ability to pay
EMIs and back -work the loan that he is eligible to -- that he can maximum service.
So we actually back -calculate the loan eligibility. And that's how it is done. And we have a
random sampling by the credit teams to confirm that everything is in order. So these are
processes we have put up in place over the last 12 years. And those are the same filters that we
use for moving an MFI borrower, who is not eligible unde r the guardrail. But if they're eligible
under MLAP, we'll move them to that.
Moderator: As there are no further questions, I would now hand over the conference over to Mr. P.N.
Vasudevan for closing comments.
P.N. Vasudevan: Thank you. Thanks to all of yo u for dialing in, and thank you for putting -- raising all your
queries and keeping us on our toes. And as promised in the beginning of the call, the management
is completely focused in terms of delivering a proper returns to the investors. It's a question of
time, and we are also waiting for the time. But meanwhile, the effort goes on. Thank you so
much, and wishing you guys all the very best.
Moderator: Thank you very much. On behalf of Equitas Small Finance Bank Limited, that concludes this
confe rence. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

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Moderator: Ladies and gentlemen, good day, and welcome to Equitas Small Finance Bank Limited Financial Performance for Q1 FY '26 Earnings Conference Call .
We have with us today Mr. P. N. Vasudevan, MD and CEO; Mr. Balaji N., Executive Director, Technology and Operations; Mr. Sridharan N, CFO; Mr. Jagadesh J, Head of Assets; Mr. Murali Vaidyanathan, Senior President and Country Head, Branch Banking, Liabilities, Product and Wealth; Mr. Gopalakrishnan G, Head, Treasury; Mr. Dheeraj Mohan, Head, Strategy.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask q uestions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch - tone phone. Please note that this conference is being recorded.
I would now like to hand the conference over to Mr. P. N. Vasudevan, sir. Thank you, and over to you, sir.
P. N. Vasudevan: Thank you. Good evening to all of you, and thank you for taking your time out to attend this call. I would also like to take the pleasure of inviting our Cha irman, Mr. Anil Kumar Sharma for this con call. We had a Board meeting in Chennai today, and he was here. And so he's agreed to participate in this call. So he is also present in this room today. Welcome, and thank you, sir.
Now let me give a brief of wha t happened in the first quarter and how do we see it moving forward. We had a PPoP of INR316 crores for the first quarter and the provisions as per the existing norms were INR281 crores, which would have resulted in a PAT of about INR26 crores for the quar ter.
However, we have made 2 extra provisions, namely one being increase in provisions in various NPA buckets to strengthen the PCR ratio and the other being a management overlay in terms of standard asset provisioning for microfinance.
This has led to a loss for the first quarter. This is the first time since 2008 that we have reported a loss and hopefully, the last time too. The thought behind creating a management overlay provision and increasing the provision norms was to speed up the credit cost cycl e and showcase the new Equitas going forward without the current drag on the system.
In microfinance, it was expected that the stress levels might taper down in the beginning of this financial year. However, it now looks like that the collection efficienc y may come back to reasonable levels only by the third or fourth quarter of this financial year. This is what has led

us to take the call to upfront provision buffer so that we can look forward to a more normal quarter in the later part of this financial y ear.
We have started calibrated lending in microfinance, balancing the long -term goal of reduced dependency on microfinance and the short -term goal of improving collection efficiencies. The discipline in lending based on the MFIN guardrail is expected to improve the quality of new portfolio getting created.

While a separate team for overdue collections has been put in place, case -loads for X bucket also is being reduced to improve both collection efficiency and servicing of existing clients. We had implem ented the MFIN Guardrail 2.0 from Jan '25.
Out of the portfolio created between Jan to June of '25, the X-bucket efficiency is about 99.6%, which is more or less what we used to have before this whole crisis started sometime in the first week -- first qua rter of last year.
We have been in the MFI space now for about 2 decades with a high vintage staff right from branch manager and above who have seen multiple good and bad times over these years. The initiatives taken both at our bank and industry level sh ould help reach acceptable levels of normalcy in the months to come.

Karnataka and Tamil Nadu have passed acts to prevent coercive recovery practice by lenders. These acts are not applicable to banks. However, at the ground level, there has been a spillov er effect on banks too, in the lower end of the small ticket loan against property. This was visible a few quarters back, and we had taken certain proactive measures.
We don't anticipate further stress to build in the segment we operate, especially given that we don't operate in the below INR3 lakh LAP segment, which we stopped sometime last year, I guess, somewhere around November or so, we stopped less than INR3 lakh loans. And we've also taken some proactive steps in terms of tightening our norms for ce rtain segment of borrowers.
Our diversification strategy, which was started back in 2011, holds good and has helped us achieve a secured advance book of about 90% as of first quarter. The secured book is also fairly diversified in terms of different produ ct categories. With new products turning profitable and MFI likely to get back to normal soon, we expect to deliver decent return on equity in the quarters ahead.
On the deposit front, we have revised our rates across products and slabs, both in savings a nd TD. We should see cost of funds moderating in the coming months. The INR500 crores of Tier 2 that we raised in July '25 will, of course, dampen this a little bit, but directionally, we will see cost of funds coming down over the rest of the year.
We ha ve about 90% of our fixed -- our loan book under fixed rate loans. In a declining interest rate scenario, we expect to benefit. We have registered a growth of 8% in advances for the first quarter and expect to end the year with a growth of about 15%, 16%. Jagadesh will go into further details on his plans of how he will go about achieving this.
As we know, one of the SFBs has got an in -principle license to convert into a universal bank yesterday. This augurs well for the SFB industry as it lays down the di rection in which SFBs could potentially proceed going forward.

I would like to conclude by saying that we have tried to be prudent in terms of upfronting possible stress of the next few quarters. And with most indicators trending better, we expect to get back to our normal levels of performance soon.
I now hand over to Sridharan, our CFO.
Sridharan N.: Good evening, everyone. Thank you for joining us today for the Q1 FY '26 Earnings Call of Equitas Small Finance Bank. Our net interest income and other income for the quarter was INR786 crores and INR286 crores, respectively. Our yield on advances, adjusting for securitization and other off -book items dropped by 44 bps on Y -on-Y basis on account of drop in microfinance mix.
Our net interest margin stood at 6.55%, down from 7.9% last year, largely due to contraction in the microfinance portfolio. It is currently at 9% in Q1 FY '26 as against 17% in Q1 FY '25.

Treasury income has majorly contributed to other income segment with Y -o-Y increase of 321%, resul ting in net income of INR1,071 crores with year -on-year of 8%.
The total Opex increased by 16% Y -on-Y on account of employee expenses related to bonus and annual increments. This quarter, we reported a loss of INR224 crores, primarily driven by the additi onal provision which we have made. While this affects our short -term profitability, it strengthens our balance sheet and prepare us for a sustainable growth. Despite these challenges, our PPoP remained healthy at INR315 crores on Q -on-Q basis, reflecting t he underlying strength of our core operations.
Our GNPA stood at 2.82% and NNPA at 0.95%. The provision coverage ratio remains robust at 67.03%, and we expect the credit cost to taper down by Q4 FY '26. Gross advances grew 8% Y -o-Y to INR37,610 crores, wh ile microfinance contracted by 41%, our non - MFI book grew 18% Y-o-Y, led b

y 22% growth in small business loans and 50% growth in used car finance.
On the liability side, total deposits grew 18% Y -o-Y to INR44,379 crores. Our CASA ratio remained stable at 29% and retail deposits now form 73% of our deposit base. We launched FCNR deposit this quarter, garnering over USD 3 million and continue to deepen our retail franchise.
As of June 30, 2025, C RAR stood at 20.48%. During July '25, we have raised a second tranche of INR500 crores of Tier 2 capital. This additional Tier 2 capital will improve the CAR by about 1.7%, taking the overall CAR to about 22%. Our capital adequacy remains strong, and we have received shareholder approval to raise INR1,250 crores in Tier 1 equity to support future growth.
Thank you once again for your continued support and trust.
I would like to hand over to Mr. Jagadesh, our Head of Assets, for his commentary.
Jagadesh J: Thank you, Sridharan. Good evening, everyone. We have closed the quarter with gross advances of INR37,610 crores, reflecting a year -on-year growth of 8 percentage. Importantly, our secured

book contributes 90%, which is our non -micro finance portfolio , has grown healthily by 18 percentage year -on-year and now stands at INR34,073 crores.
Among the secured book, our small finance -- small business loans, which is our flagship product, reached INR16,067 crores with 22 percentage year -on-year and 2.5 percentage quarter -on-quarter growth. Within our small business loans, our micro LAP product has shown an exceptional momentum growth of 51% year -on-year growth.
And coming back to vehicle finance, we have grown by 12 percentage year -on-year to INR9,510 crores. Among the vehicle finance, used cars grown by 50 percentage yea r-on-year and used commercial vehicles grown by 26 percentage. We continue to focus on used commercial vehicles and used cars while strategically reducing the exposure to NCV, New Commercial Vehicles.
Our housing finance book stands at INR4,868 crores wit h a growth of 12 percentage year -on-year and 2 percentage quarter -on- quarter. And our MSE finance assumed strong traction, growth of 37 percentage year -on-year to INR1,696 crores. And microfinance portfolio is at INR3,537 crores with a decline of 41 perce ntage year -on-year and 22% quarter -on-quarter.
On the digital front, our selfie loan app has gained good traction with INR437 crores disbursed in quarter 1. The yield on gross advances declined by 29 bps quarter -on-quarter, primarily due to the elevated d elinquencies and contraction in the microfinance portfolio.
Looking ahead, the July disbursements have already reached INR1,582 crores, well above the quarter on monthly average of INR1,170 crores, indicating a strong start to Q2. To support the growth in secured advances, we have planned to add 50 new branches and also to add more manpower to deepen the penetration in the existing branches.
And for the current financial year, we are looking at a growth of close to 15 to 16 percentage year-on-year growth in the overall asset book, including MFI. This can be done. We are already growing at 18 percentage in our non -microfinance book. So we are looking at a growth of 20 percentage plus year -on-year growth from our secured book.
And also having a calibrated approach on our disbursement for microfinance, where the degrowth of 41% for the Q1 will be calibrated to a degrowth of close to 15 to 20 percentage year-on-year. And regarding the asset quality, there was a signs of recovery in the month of July. Our micr ofinance 1 to 90 DPD improved to 7.09 percentage in July and non -microfinance portfolio DPD also improved to 9.29%, thereby improving the overall DPD trend for the bank in July.
And also on the slippages part, our non -MFI net slippage reduced to 2.04 perc entage in July from 2.67% in Q1. So we are strengthening our collect

ion framework by establishing a dedicated
vertical for overdue and NPL recoveries. With early signs of recovery in the stress segment and enhanced field level efforts, we anticipate an imp roved credit demand and collection efficiency in the coming quarters.

Thank you. I hand over to Murali.

Murali Vaidyanathan: Good evening, friends. As you would have seen in our presentation, we have a reasonably good quarter in terms of RTD -led retail fr anchise growing and backed by current account and current account is backed by ASBA as a proposition where we are getting into the Insti-ASBA as a solution.

And then we have savings account, which is predominantly led by mass affluent and NR as a segment. So I think overall, our trajectory of keeping our focus on Phygital is helping us to garner mass affluent, an d that is our Elite proposition a nd to strengthen Elite at this point of time, we are going to launch 2 more products in the coming months, which is to take care of semi - urban and rural setups as well as one onto the HNI plus as a segment, which we are going to call Elite Light and Elite+ and that kept aside, we also have strengthened our AD1 proposition through FCNR now, and we are on the road map towards building our inward, outward as well as prepaid forex during the quarter 2.

Now these are all important proposition at the level of institution and at the level of customer who actually is expecting a range of products. Today, we have an entire r ange and gamut of liability products ranging from savings account and TD both showing us 18% and stable CASA ratio. Then we have backed with SIP, you see the AUM growth year -on-year, we are at close to 37%, 40% -- and that is also helping us to cater into protection, that is insurance, which is giving us the steady inflow in terms of health, general and life.

So our proposition towards saver in terms of relationship management and investment is actually yielding us. And today, we have close to 40,000 activ e 3-in-1 accounts through our partner, and we also have 50,000 ASBA, which has actually given us first quarter throughput of INR1000 crores.

Now as we inch up forward, we are focused on product holding as an approach, RV as an approach, getting deeper int o the family and most importantly, getting the hook products and PH products as way of life.

So I think our Elite proposition is strengthening, and we are going to enter the digital for mass through D2C, which is called direct -to-customer for SA and TD, w hich is coming up at this point of time.

Overall, we'll try to sustain the momentum and grow from here on. Thank you. Gopi?

Gopalakrishnan G : Good evening, everyone. The past quarter was relatively favorable in terms of market movements, particularly in g overnment bonds. RBI provided liquidity and monetary policy support owing to relatively softer CPI prints. This allied to the domestic economic relative resilience to geopolitical tensions played out in government bonds with yield on benchmark 10 - year soft ening by roughly 35 bps.

Government bond yields have inched post the recently concluded RBI MPC, which saw the committee decided to hold the repo rates. Various estimates predict the inflation is expected to remain within the RBI MPC's inflation target an d the coming festive season will be keenly watched.

Global central banks continue to diverge in their assessment of respective economies as the Fed continues to hold rates while other developed economies such as U.K. have cut rates recently.

For equities, currency and broader markets, India -specific tariffs announced by U.S., the full extent of which comes into effect in August, continue to be source of concern with varying estimates as to the exact impact on GDP growth.

These factors will like

ly cause a bit of volatility across asset segments, and we remain cautious
in near term. Coming to treasury, we commenced the FX business in Q1 in line with the AD1 license granted by RBI. This allows the bank to offer various forex products on par with other commerc ial banks in the country. During Q1, treasury realized profit of INR116 crores on profit

on sale of investments. Thank you.
P. N. Vasudevan: Back to the operator.
Moderator: Thank you very much. We will now begin the question -and-answer session.
The first question is from the line of Darshan Deora from Indvest Group.
Darshan Deora: So given the tough macro environment, I appreciate the steps the management has taken to steady the ship, and I'm sure these step s will pay dividends in the long run. Also appreciate the progress we are making on the current accounts as well as the successful Tier 2 capital raise.
My question is regarding the cost to income, which came in at 70% versus 65%, say, for the same quarte r last year. Can you give some guidance on what has driven this higher figure as well as how do you think we'll end the year as well as what will be the guidance for the next 2, 3 years on the cost -to-income front?
Dheeraj Mohan : Hi Darshan, Dheeraj here. So the cost to income, as you know, the income side, we have not grown fast enough because of largely interest reversals coming from microfinance and also disbursements being muted. So as it has passed by and if you look at July numbers, I think growth mom entum is back. So items like fee income and interest income will start growing faster. So largely on the income side, we will see a lot of positive correction.
On the operating expense side, we are looking at opex growth of close to 19% this year given that growth momentum is there. And like Vasu said, we're adding people to -- on the front line. So you will see some bit of opex movement because of those, but they're again, largely revenue linked. But I feel that we may be at the peak of a cost -to-income c ycle given that most of it has got factored in, and we are seeing growth coming in.
So I think from a cycle cost to income, we would have peaked out. Looking a little ahead, even in our projections, we are looking at, let's say, 2 years from now, our cost to income to be

between 60% to 65%. And that will reflect the last part of our investments we are making as a bank, and we've got some slides about the investments we are doing which are long term in nature. All of that should -- that the last phase would capture that.
So from a short term, I think we have hit the peak. From a medium term is 60% to 65%. Long term, we are still -- I think we'll take some time before we give where we would be from a long -term cost to income.
Darshan Deora: Thanks Dheeraj. G ot it. I appreciate the elaborate answer. My second question was regarding the housing finance. So obviously, there's a large opportunity out there. I know the company has been thinking about making some changes in our strategy. I wanted to know any update s in terms of the team or the strategy and whether we're seeing any early signs of success there?
Jagadesh J: This is Jagadesh. Regarding the housing finance, yes, currently, we had a growth of around 12 percentage, but we are looking at a growth of close to 20% plus in the current financial year and upwards in the long term.
In the current term, we are looking at adding close to some 18 to 20 branches and another 30 spoke locations among our existing set of branches. So this will help us to show the desir ed growth. And also, we are focusing more on the semi -urban and rural locations, which will also help us to increase the yield.
Darshan Deora: Got it -- and any additions we have done to the team in terms of the senior lead ership on the housing fi

nance side?
Jagadesh J: No, we have not done that. We are only adding the branches. We are not going into the new geographies.
Sridharan N.: Yes. Leadership, everybody is there. So I mean, the people are in place. So the whole addition is all about branch expans ion and more people in the same branch.
Moderator: The next question is from the line of Priyank Chheda from Vallum Capital.
Priyank Chheda: I hope I'm audible. Sir, it has been a stressful time. And in such times, what as a minority shareholder, we requir e is something internal to the bank, which we can control. And I'm coming back to the same question, which was in the earlier participant, which is cost -to- income ratio.
It is going up to the roof.
That is question one, when -- how do we take care in the interim when there is so much of pain on the P&L? Why don't we take some calls to cushion up the profitability? That is question number one? And then I'll come back to the question number two.
P. N. Vasudevan: Yes. I mean it's a good question, no doubt. C an we double down on the cost and reduce the cost at a time when there is a stress in terms of provisioning. But if you look at the way the bank is set up, we do not really employ DSAs or collection agents for sourcing or collection of

installments. And in liabilities, of course, we don't -- we are not even allowed to have DSAs for deposit anyway.

So most of the costs that we incur are of a fixed cost in nature, be it people, be it branch rental cost and things like that and the IT cost that has been inves ted. So the variable cost is actually very little. There are some businesses where we pay connectors for certain lead referrals for businesses.

Only a very small part of our cost becomes a variable cost. So if there's a drop in business, automatically, th at cost will go down to that extent. But the rest is all actually of a fixed cost in nature.

And if you look at business also, while, of course, the results are not very good, and there is a loss that we have reported in the first quarter because of highe r provisioning, etcetera. But if you look at the fundamental platform of the bank, we have a 90% of our loans in secured book, and the secured book is doing quite well, whether it is in terms of growth, in terms of collection efficiencies, etcetera.

We do n't see really any issue in that, except that in Karnataka and Tamil Nadu, as we have mentioned, there was a spillover effect of the microfinance stress because of the ordinance, which got passed in these 2 states. There was some spillover effect in terms of the lower end of the LAP book. But that again was a short -lived effect.

And even in July, we have put out our net slippage for non - MFI book, which has come down to 2.19% from the first quarter slippage of about 2.6% -odd. So basically, the business is very strong from the non -MFI side, which is 90%. And the microfinance, which is, of course, 10%, but causing a lot of pain is the factor that we have to deal with.

And we all felt that the microfinance will improve sometime by the beginning of this financ ial year, but it has not turned out to be so. And -- but with the guardrail settling in and all people getting more disciplined in lending, we do expect that the third, fourth quarter should improve in microfinance also.

So the challenge for Equitas is really not in terms of how to cut cost and control operating cost or reduce the cost. But in terms of how do we just get our growth back, and we have grown by 8% in the first quarter. But as Jaggi mentioned, we should look at about 15%, 16% growth for the full year on the overall book. And that is where the entire cost will get absorbed. And as Dheeraj mentioned, in the short to medium term, our cost to income should come back to that 60%, 65% level.

Priyank Chheda: Okay. I take that. Sir, on non -

MFI book, until last quarter, we guided for a credit cost of 1% for the full year. Now -- sorry, I would have missed out what is the changing in the policy provisioning norms that you have undertaken where the credit cost annualized rate is around 2.5% on the non -MFI book. Help me with what is the credit cost that we should look forward for '26? What has changed and transpired versus last quarter to this quarter?

P. N. Vasudevan: So our normal credit cost should be in the range of 1% to 1.2% for the non -MFI book. Thi s quarter, we have made -- we have changed the provisioning norms in certain buckets, which you can see in page -- I don't know which page Page 6, we have made extra provision in certain buckets for the non -MFI book.

The purpose of that or the reason of t hat was because our MFI book is coming down. And because of that, the overall provisions for the bank PCR from a PCR perspective will start going down. So we needed to increase the provisions in the secured book to keep the PCR up to a reasonable level. So this was a onetime exercise that we have done. But short of that, yes, we should still stick to that 1% to 1.2% credit cost for the rest of the book.

Priyank Chheda: So, this is actually not onetime. It has happened second time in last, whatever, 1.5 year s. What we want to really understand is that till what times the provisioning norms will keep getting tightened internal to the bank. I'm sure it is good on the long term.

And hence, we are the long -term shareholders for Equitas Bank, but we really want t o understand on the non -MFI book, when would this provisioning tightening ends and then we get back to the respectable PCR norm. So is that something which is yet to come more pain in the coming

quarters? Or is this a max pain that we are looking at it?
Dheeraj Mohan : Just to give you one perspective so that you don't think this keeps repeating. This INR112 crores, which is the non -micro finance credit cost, which we have done through strengthening the provision, its incremental impact will not be of the sa me magnitude because this is why we are saying it is onetime, it's on the stock. So incremental will be a much smaller number.
P. N. Vasudevan: No, no. That he has understood. What he is asking is that is understood. He has understood that this INR112 cror es is a onetime because you are doing it on a portfolio basis. Incrementally, only for that extra amount which comes into each bucket, there will be that extra provisioning. That he has understood.
What he is asking is you are saying that this is coming u p for that improving the PCR, because MFI is coming down, so PCR will go down because MFI is going down. And what he is asking is in the future also, we'll keep tightening the internal provision norms from the 70% PCR perspective. That's what he's asking.
I think we don't have that answer off the cuff now because I can't really tell you yes or no to that question. What we can say is that we will have to look at this from time to time and time the increase in provision norms properly.
And -- but I think at least for the rest of the year, I'm fairly clear we will not have to do it again for sure. Whether we'll do it in the next year is something I'm not right now able to predict with clarity.

Priyank Chheda: No problem. And just one last question on, again, MFI. For the full year last year, we undertook a credit cost of around 10%. Now in this year, a normalized credit cost, additional upfronting of the credit cost, all put together is another 11% right?
So what I wanted to understand is that the balance now -- so because the book has run down, it's been a 1 year, whatever disbursement that we would have done in last, whatever, 6 months to 9 months, I'm sure we would have take

n all the prospects of the pain that overleveraging of the borrower had. Even -- would it be prudent to call out that this is the max pain in MFI book also?
P. N. Vasudevan: Yes. I mean that's the purpose of taking that INR185 crores of standard asset provisioning in microfinance in the first quarter to kind of call out that, yes, this sh ould be the peak of credit cost stress that we should achieve in MFI. And hopefully, going forward, we should see more normalized credit cost for the subsequent quarters. The whole purpose is really only that. That's where we went for that standard asset p rovisioning.
And in terms of the last 6 months business that we generated, yes, I had mentioned that the collection efficiency in that is actually 99.6%, which is absolutely as good as what it used to be before all this crisis started. And the second thin g is -- there's one more question.
Priyank Chheda: Okay. So for the full year, what would be the credit cost for this book that we should think of -- sorry for the balance 9 months, we know that it has happened in Q1. For the balance 9 months, what should be the credit cost on MFI book then?
Dheeraj Mohan : We are expecting another conservatively about INR300 crores -- we have made INR400 crores and conservatively, another INR300 crores is what we are expecting.
P. N. Vasudevan: Yes. And the percentage is no t the right thing because, as you mentioned, the denominator has been going down. But as Jaggi mentioned, we started disbursement again in microfinance on a calibrated basis. So that will obviously reduce the percentage. But yes, to some extent, the percen tage is a little appreciated.
Priyank Chheda: So the INR300 crores is for the balance next 3 quarters for this year?
P. N. Vasudevan: Yes. That's right.
Priyank Chheda: Hopefully, we come back more stronger in the coming quarters.
Moderator: The next question is from the line of Ronak Chheda from Awriga Capital.
Ronak Chheda: My first question is, again, going back to credit cost. You said that we are kind of up -fronting the credit cost in the current quarter and also kind of improving the PCR. For the full year, if I were to assume, if it's a INR600 crores to INR700 crores ballpark for MFI and 1%, 1.5%, should your credit cost for full year of F '26 be higher than F '25, if the math serves right?
Dheeraj Mohan : Yes, it will be higher.

Ronak Chheda: Okay. And my second question is in terms of your cost to income. In terms of our readiness to apply for your universal license, do we have to now add -- is there something from a readiness point of view where we will have to invest in processes, tech, people or that investment is largely done and we are kind of gearing up for our application?
P. N. Vasudevan: There is no fresh investment required from that perspective at all. We should be able to apply next year. If we can continue to keep our GNPA and NNPA le ss than 3 and 1 for March '26, then we should be potentially able to apply subsequent to that. But from an investment perspective, there is no further investment required.
Ronak Chheda: Got it. And my last question is on NII item. I understand there is a r eversal in this quarter. But given the fixed rate nature of our book, how do you see that growth delta in the NII growth line vis-a-vis an AUM growth over the next 2 years, given the rate cycle is coming -- the rates are coming down?
Dheeraj Mohan : Yes. I'll try to address that from an expectation on NIM rather than NII growth. So we -- what's impacting NIM largely is the portfolio mix in MFI and also the interest income reversal. So these 2 are the large contributors for the NIM drop. And as you've seen, our cost of funds is also moderating quite well.
So I think in our expectation, our NIMs should roughly hover around here for the given year, even though we will get benefit

of lower interest income reversal as asset quality picks up. But again, we're st epping on the pedal from a growth perspective.
So we -- at least we expect NIMs to hover around here for this year. On NII, yes, you're right. NII should grow faster theoretically as you start getting income from these assets and you get the full yield. B ut I think more expectation is NIM to remain where it is.
Ronak Chheda: Okay. Just last thing on DPD movement in the non -MFI book. Despite -- I understand you commented that it is dipping in July, but the way to -- the movement from Q4 to Q1 is a sharp increase. So can you talk about where are we seeing the spreads except for the ones we have already called out?
Jagadesh J : This majorly happens only on the Karnataka market where we had a sudden flow in the DPD. That was the major impact we had it in the DPD movement, which we brought it under control, which we can be able to see in the month of July where the 1 to 90 DPD has come down both in MF as well as on the non -MF book.
Moderator: The next question is from the line of Ashlesh Sonje from Kotak Securitie s.
Ashlesh Sonje: Sir, if I look at the non -MFI book, on a on the basis, it is a gross slippages have not increased as sharply as the increase in net slippages. So it seems...
Moderator: Sorry to interrupt you, sir. Your voice is breaking.
Ashlesh Sonje: I will come back in the queue.

Moderator: The next question is from the line of Saumil Shah from Paras Investment.
Saumil Shah: Sir, what is the X -bucket collection efficiency for microfinance for the month of July?
Jagadesh J : It was around 99.14% on the 1 EMI demand against 1 EMI collection.
Saumil Shah: So in the month of June, I think it was 98.69%. So it has improved compared to the month of June?
Jagadesh J : Yes.
Saumil Shah: Okay. And how about Tamil Nadu and Karnataka?
Jagadesh J : Tamil Nadu, we are at close to 99% and Karnataka has been improved from 96% to close to 97.4%...
Saumil Shah: Okay. So overall, in all the -- I mean, states, it's improved even in Tamil Nadu?
Jagadesh J : Yes.
Saumil Shah: Okay. And sir, in previous calls, I think we mentioned that by end of this year, our ROA should be in excess of 1%. And FY '27, our ROA is to be in the range of 1.5% to 1.8%. So are we on track to achieve that? Or looking at the current quarter performance, we would like to revise our guidance?
P. N. Vasudevan: Yes. So I think we'll still be able to stick to that. The fourth quarter exit ROA for the fourth quarter should be around that 1% level.
Saumil Shah: Okay. And for FY '27?
P. N. Vasudevan: FY '27, it's, of course, early to predict that, but it will keep improving. That's for sure, because we definitely believe that MFI stress can't continue beyond that. And if MFI comes back, then everything is back to normal. So we should see back to normal levels of ROA subsequent to that. So if the fourth qu arter exit ROA is around that 1% level, then you should see progressive

improvement in the subsequent quarters.
Saumil Shah: Okay. Okay. And sir, my final question, since our 100% of MFI disbursements are now covered under CGFMU. So can we expect from now on from here, I mean, we'll be stabilizing at this 10% MFI book or we can even increase this book?
P. N. Vasudevan: Yes, it is unlikely to increase because MFI growth will be always a little lower than the rest of the book growth. And to that extent, it ma y not increase, but the sharp reduction that we have seen in the last 2 quarters may not happen.
Saumil Shah: So I mean, for us, the ideal level would be what 90 secured and 10 MFI?
P. N. Vasudevan: Around that, around that.

Moderator: The next question is from the line of Anil Tulsiram from Bestpals Research Advisory.
Anil Tuls

iram: My question is more to understand the strategy of the bank from next 3 to 4 years perspective and not looking for any number guidance. See, first on microfinance, my question is whatever little I have understood, the JLG business -- the JLG model has broken and now that group collections and group underwriting is not working anymore, and we have to do individual underwriting.
And individual underwriting is definitely not possi ble for ticket size less than INR1 lakh. And JLG loans are definitely less than INR1 lakh. So my question is why we want to be present in this MFI segment at all when the business model has broken? Or is my understanding wrong? That's the first question.
P. N. Vasudevan: Yes. Your understanding is correct. I'm not going to say your understanding is wrong. The group lending model still exists and the people still assemble in the group. What is really not beginning to work now, which used to work in the past is the willingness of the group members to pay someone else's EMI when that person has not come to the meeting and requesting someone else to pay, they normally used to end up paying. And then they will collect it between themselves subsequent later on.
Now that is the one which is really not happening now, but the rest of the group model still works. And as we keep saying that our own microfinance strategy is very clearly that we will -- that percentage of contribution of microfinance will come down over time, except that last 2 quarters, it was sharply down, which will not happen. It will reduce more marginally.
But otherwise, the rest of the group model still works because even today, we are able to get about 50% of attendance at the center meeting, whi ch used to be under normal circumstance around 70% -- 70%, 75%. So at least 50% are still turning up and making the payment at the group and leaving the rest of the members to be followed up individually.
And we'll have to keep watching this. These are al l evolving because now the MFIN guidelines -- sorry, MFIN guardrails have got implemented 2.0. Now people can't borrow more than 3 loans and the total loans can't exceed INR2 lakh and if they have an overdue with anyone, then no one else will be allowed to fund to her. So these are the norms which were not really properly followed in the last 2023 and 2024.
But now from Jan and from April -- from April, everybody has implemented. From Jan, some of us had implemented. And when these 3 norms get implemented strongly by all the players, that is when the members will also start recognizing that they need to repay the money.
If they want to be in the microfinance borrowing market, they need to also repay their money, whether they do it at the group or whether t hey do it outside the group. So to that extent, I think the collective disciplined lending of the entire industry is what can finally hold this group model going forward.

Anil Tulsiram: Got it. And sir, my second question is on the opex, but I'm not lookin g for the cost to income or any guidance. Where I'm coming from is -- I don't know my understanding is right or wrong for the size of our bank, I think we have too many products.
So is it that the opex is high because we have too many products and then th e products scale up, then the opex as a percentage of assets will automatically come down or is it just that the growth? So why exactly our opex is high as a business model? That is what I'm trying to understand.

P. N. Vasudevan: Yes. So I think we have be en investing in a few business lines over the last 3 to 4 years. Used car was one business that we started about 3, 3.5 years back. Affordable housing was another one which has started around the same point in time.
And both of them -- I mean, used car ha s been quite profitable even last year and this year also. But affordable housing last

year was not profit making. This year, it has just turned the corner in the first quarter. So hopefully, it will start contributing more going forward.
And then we had spent money on AD1 and also we have spent money on credit cards. So these 2 businesses, they have not started generating revenue. And this year, they will start generating revenue, but the real revenue should come from these 2 products from the next financ ial year.
So there is a certain amount of investments we had made. And so that way, the cost to income remained at a higher and elevated level. Of course, the fact that microfinance book was going down and creating a higher level of slippages impacting in come reversal was again a major factor.
If that had not happened, if that had not happened and if microfinance had continued under normal patterns, then our cost to income should have been in the range of 62%, 63%, 64%, somewhere in that range is where it should have been, given the investments that we have been making in other products.
Because of that MFI issue, it has gone a little elevated. But once the MFI comes back, naturally, it will produce higher level of income and so the cost to income should come down. But going forward, as Dheeraj had mentioned slightly earlier, in the short term, we should see the cost to income at around this level. But in the medium term, we should see it getting back to that 60% to 65% level.
Anil Tulsiram: Okay. And sir, one follow -up question on the microfinance. Is my understanding right that now that you are saying that the collection cost will go up drastically for the balance for not coming to the growth?
And RBI has been pressurizing that the rates cannot go up bey ond the point. And structurally, it looks like the credit cost of the MFI segment has increased. So without going into the numbers, can you say on a sustainable basis, the profitability on the microfinance has come down compared to the before this ceiling?

P. N. Vasudevan: Structurally, I think, again, you are right, structurally. I think the MFI, the profitability, the ROAs and the ROEs that MFI used to generate in the past, I think at an industry level, we will start getting used to seeing it at a more no rmal level. And over time, the returns on microfinance may be only equivalent to that of secured loan books, just slightly adjusted for the unsecured risk exposure.
So it will get -- it's probably be a little bit more than what a typical MLAP or a secured loan LAP can produce just adjusted for the unsecured credit part of it. Otherwise, the earlier situation of higher levels of ROA, ROE, I think, is something that at the industry level, we'll all start probably getting used to not having that kind of stuff going forward.
Moderator: The next question is from the line of Ashlesh Sonje from Kotak Securities.
Ashlesh Sonje: I hope you can hear me better now. Two questions from my side. If I look at the NPA recoveries and upgrades in the non -MFI book, that metric seems to have worsened quite a bit in this quarter. If you can shed some light on which segments or sub -segments and which regions are contributing to this worsening. That is one.
And secondly, I heard you say that the credit cost guidance for the non-MFI book should be around 1% to 1.25% -- this seems very different from what we used to indicate earlier for the entire book. If I go back a couple of years, we used to say that the overall credit cost should be around 1.1% to 1.2%. Now we are giving a similar guidance for the non -MFI book. So what has resulted in this change in expectation? Those are the 2 questions.
P. N. Vasudevan: Okay. I'll leave the first question to Jaggi to answer in terms of geography region -wise, where do we see stress on the non-MFI book. As far as the credit cost of the non -MFI book is concerned and the overall credit

cost of the bank is concerned, you are right.
When we became a bank in 2016 and then for the brief while that post demonetization, if you remove that impact fo r about a year impact, then from 2018 to 2020, where there was no external factors at play, again, our credit cost at the bank level used to be around the same 1.2%, 1.1%, 1.2%, 1.25%, which comprised of more or less equal kind of credit cost between MFI a nd non - MFI.

But now what we feel is that the non -MFI will still continue to be at the same 1% to 1.25% level. But the MFI could be at a different level. MFI could be different is what we feel. It can be -- I mean, earlier, we used to say long back before all this crisis, it used to be 1% to 1.5% credit cost. Subsequent to demonetization, we thought that 2% to 2.5% is a more normal credit cost for microfinance.
Post corona, we thought around 3% is a normal credit cost for microfinance. Now post this 2024 overleveraging crisis, probably anywhere between 3% to 4% could be a normal credit cost for microfinance.

So if you take that way, and if I assume that 10% of our book will be microfinance, then we are really looking at 0.3% to 0.4% credit cost once microfinance settles down and becomes normal. And then 1% to 1.25% from the other. So you can potentially then look at 1.5% as a credit cost at the bank level.
I'll leave Jaggi to answer the geography wise.
Jagadesh J: Okay. Regarding the non -MFI slippage s, there are 2 products which we had slippages compared to the previous quarter. One is on the VF, other one is on the SBL book. But VF, you normally see it's seasonality will be there for the Q1. We cannot make a comparison with Q4. But when you make a co mparison with the last financial year Q1, actually the slippages which is much more lower, both for the 1-90 DPD as well as on the GNPA print.
So we don't see much of problems as far as the VF, even though the slippages compared to Q4 were higher. But if you look at the SBL part, as in the -- clearly mentioned in the call that even the -- due to this ordinance, we had an impact even on the mortgage loans on the lower ticket sizes less than INR10 lakhs.
So we have been comfortably having a X-Bucket efficie ncy of close to 995 in Karnataka, which has dropped down to 96.2% in the month of February. So currently, we brought it down to almost close to 98.4% in Karnataka, but those slippages, which contributed majorly in the Q1.
So the maximum slippages happened from SBL is on the -- from the Karnataka region. And this is primarily on the both less than INR10 lakh ticket size, which is the micro LAP and GLAP products.
Moderator: Well, ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. P.N. Vasudevan for his closing comments.
P. N. Vasudevan: Yes. Thank you all of you for attending this call and highlighting areas for focus for the bank and for the management. Thank you so much, and see you again next qua rter. Bye -bye.
Moderator: Thank you. On behalf of Equitas Small Finance Bank Limited, that concludes today's conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

“Equitas Small Finance Bank Limited Q2 FY25
Earnings Call ”

November 08, 2024

MANAGEMENT : MR. P. N. VASUDEVAN - MD & CEO
MR. SRIDHARAN N. - CFO
MR. MURALI VAIDYANATHAN - SENIOR PRESIDENT & COUNTRY HEAD (BRANCH BANKING , LIABILITIES , PRODUCT AND WEALTH) EQUITAS SMALL FINANCE BANK LIMITED
MR. ROHIT PHADKE - SENIOR PRESIDENT AND HEAD (ASSETS)
MR. NATARAJAN M - PRESIDENT & HEAD (TREASURY)
MR. DHEERAJ MOHAN – HEAD (STRATEGY AND IR)

Moderator : Ladies and gentlemen, good evening and welcome to the Earnings Call of Equitas Small Finance Bank Limited Financial Performance for Q2 FY25.

We have with us today Mr. P. N. Vasudevan – MD & CEO ; Mr. Sridharan N . – CFO ; Mr. Murali Vaidyanathan – Senior President & Country Head, Branch Banking, Liabilities, Product and Wealth ; Mr. Rohit Phadke – Senior President and Head Assets ; Mr. Natarajan M – President & Head (Treasury) and Mr. Dheeraj Mohan – Head (Strategy and IR).

As a reminder, all participant lines will be in the listen -only mode, and there'll be an opportunity for you to ask questions after the presentation concludes. Should any assistant in the conference call, please signal an operator by pressing “*” and then “0” on your touchtone phone. Please note that this conference is being recorded.

I now like to hand the conference over to Mr. P . N. Vasudevan. Thank you, and over to you, sir.

P. N. Vasudevan: Good evening to all of you and thank you for logging in today.

The first six months of the financial year has been quite turbulent as we witnessed deterioration in the microfinance portfolio at an industry level. Before we discuss in detail about how the portfolio has behaved and steps the bank has taken to ensure we get back on track quickly, I would like to highlight a few good things which have happened during the year.

Our strategy on the liability side is taking shape well. We continue to see strong growth in retail deposits. The overall momentum in mobilizing de posit has been quite healthy during the quarter. About 74% of our deposits are retail and incrementally, we are seeing this holding up. During the first quarter, we had changed the slab for savings bank interest rate. In the first week of October, we have done one more tweaking of the slab for savings account rates and also reduced the peak interest rate for retail TD from 8.5 % to 8.25%. While the cost of savings accounts has come down by about 13 basis points in the second quarter compared to the first qua rter, the impact of TD interest rate reduction may be visible over the next few quarters.

Investments in products like personal loan, credit cards, and forex services have largely gone as per plan. Some of these products are being piloted and we aim to see it getting rolled out for our existing customers by end of this financial year.

Our investments in technology infrastructure like CRM, super app and customer app for borrowers have also progressed very well. This year our treasury desk has contributed wel l so far and have actively participated across asset classes taking advantage of the opportunities that the market has been giving us. The cost of funds of the bank has largely remained stable and within anticipated levels. Talking about our asset business , our flagship product small business loan continues to perform quite well. Ou r strategy to focus on micro lap has started to show results. As you can see , the disbursements in micro lap is picking up , the overall disbursement in small business loans has a lso remained robust, and we hope to see a good second half for this

product. Similarly, we are seeing affordable housing segment and the used car loans growing well, while new commercial vehicle loans remain subdued as per our plan.
Vehicle finance, which showed some weakness in the first quarter, is recovering, and we are confident the second half of the year will be even better. The disbursements in used commercial vehicle and used car loans have been the highest during the second quarter. During the quar ter, the team in vehicle finance has increased the focus on recoveries and improving collections across all the buckets. In October, for example, our X bucket collection efficiency in vehicles has mo

ved up to 97.1 % which is in the comfort zone and traditio nally the second half of the year has been stronger for vehicle financing both in terms of collections and disbursements. The realignment of our loans to healthier yields has helped us keep our yield on advance stable despite the fall in microfinance as a proportion to overall advance during the year.
Now coming to the stress we are seeing in microfinance. The situation continues to be a concern as fresh slippage and flow from SME 0 , 1 and 2 continues to be elevated. We have been working with our customers to see how best we can be of help to them to overcome the present stress. One of the new norms being introduced rewards customers by way of reduction in interest rates for loyalty and better repayment behavior. Similar measures for center attendance and gr oup behavior are also being extended. Structurally, we have strengthened the branches with dedicated teams to improve customer engagements, collections and DPD resolutions. These initiatives we expect will help improve resolution percentage of various DPD buckets. We need to see slippage into NPA reduced by half to bring microfinance portfolio to a stable level. We see some of the positive trends further strengthening in October . Disbursements in October crossed Rs. 1,900 crores w hich is after a gap of six months. X -bucket collections in vehicle finance has improved while in microfinance October saw stability in X -bucket collections.
Lastly on provisions, we have made extra provisions of about Rs. 146 crores in microfinance during the quarter. Out of Rs. 146 crores, about Rs. 100 crores is in the form of stress sector provision, which translates to about 50% of 31 to 90 DPD in microfinance. This is a buffer provision and is over and above the PCR. The balance Rs. 46 crores was done by strengthening the IRA C norms for microfinance NP A book. We now provide 100% for loans above 180 DPD in microfinance. Our intention is to try and upfront some of the provisions proactively and take the credit cost pain upfront.
To sum up, deposit growth is comfortable. FD rates are moderating. We'll wait and see the results of our latest rate reduction in FD. Treasury is doing well. Disbursements are picking up quite well. Vehicle finance collections have improved in October and should see a good second half. The credit cost of our non -microfinance portfolio, which is 84% of our total advance, is at 1.04% for the first half which is very comfortable and could see further improvements in the second half. Microfinance stress is likely to remain for possibly another two quarters, gi ven that the stress started about three quarters back and it's a two -year loan product. As mentioned last quarter, we are not providing guidance on credit cost and growth for the year, so please do bear with us. Our journey of building a robust and scalabl e bank is on track, supported by focus on

secured loans , declining percentage contribution of microfinance, high asset quality and a strong liability franchise enabling us to reduce the cost of funds difference with other banks over a period of time.
Thank ing you once again for dialing in, I now hand over to Sridhar.
Sridharan N.: Good evening to everyone.
I shall quickly give an overview of our “Financial Performance ” for the quarter. Most of this is already covered in our presentation. Our net interest income and ot her income for the quarter was Rs.802 crores and Rs.229 crores respectively. Treasury income and asset fee income majorly contributes to other income segment, with YoY increase of 156% and 37% respective ly, resulting in net income of Rs. 1,031 crores with YoY of 11%. Our yield on advances adjusting for securitization and other off book items remained flat on Y -on-Y basis despite a drop in microfinance mix. The yield on disbursement remained at 17.83

% and was under pressure due
to slow down in m icrofinance. Microfinance disbursement stood at 20% during Q2 FY25, vis-à-vis 28% in Q2 FY24.

On the cost side, operating expenditure came at Rs. 682 crores, clocking a growth of 14% over last year. Over the last two quarters, we have been tightening our n on-employee related costs, which is visible in our cost, that is flat on Q -on-Q basis. Cost to income increased to 66.09%, vis-à-vis 64.37% of last year. P POP grew 6% year -on-year to Rs. 350 crores and PPO P to assets remain stable at 2.94% for the quarter. With disbursement picking up, we should see these ratios to improve. Credit cost for the quarter came in at Rs. 330 crores. As explained by Vasu, as a prudent measure we have provided 146 crores of provision towards microfinance. The bank carried a total GNP A of Rs. 1023 crores and NPA provision of Rs. 693 crores.

Our PCR now stands at 67.71% , up from 57.72% in the previous quarter last year. PCR for individual product segments are given in the PPT for a granular view. As of September 30, 2024, the total C RAR has stood at 19.36% and we expect to raise the tier 2 bonds soon.

Thank you. Over to Murali.

Murali Vaidyanathan: Good evening. Thanks for joining this call.

I just want to give some “Key Thematic Insights ” than the absolute numbers. I think current account as a proposition, which is highly invested and more focused by the institution started giving some good yields. If you see, we have grown by 66% year -on-year. That's a very healthy sign, which brings us into the new segment of SEMP, as well as busi nessman community. And we have doing few things right there, actually focusing on the last leg of supply chain and also using acquiring as a n objective tool to get that aspect right.

Next part is our savings account :

Our continued focus on affluent as a segment is helping us in two fronts. One is to grow the elite as a book, which is now getting into close to 50 %-55% of our book, as well as sourcing. So, our relationship management structure from virtual to real is actually facilitating the real progress there. Second is one of our four pillars is family banking. We are happy to share that close to 30,000 families are now banking with us at the affluent space. So, I think that's one natural progression which is happening. And fourth important thing is RTD as a mix. For example, retail deposits today is close to 79% of our book . In that 444-day rules rose, 55% of my RTD comes from there. So, retail focus and retail poll is helping us to granularize and we have close to 70,000-80,000 new to bank customers who have been onboarded through this product. Now with this family bank as well as elite proposition, one good thing that has happened is MF AUM has grown by close to 70% year -on-year and I think 22% quarter -on-quarter and that's one good trajectory. This i s predominantly built through SI P as a route. And ASBA as a proposition is helping good trajectory in terms of savings account as well as qualified family coming in. NR E is another thing we have crossed 140 countries, we have customers now across close to 15 ,000-16,000 good cu stomers where we are coming in.

Now with AD -1 coming up, our remittance as well as FCNR should facilitate which we should go live very soon, maybe in quarter four. So, overall things are challenging, but I think our team at the front end as well as products , which we are differentiating and the relationship management structure overall is paying it off.

So, I'll hand it over now to Mr. Rohit Phadke to give insights on assets.

Rohit Phadke : Good evening everybody. Advances at Rs. 36,053 c rores , grew by 15% year -on-year and 3% quarter -on-quarter. Advances for SBL were at Rs. 14,678 crores grew by 28% year -on-year and 7% quarter -on-quarter. X-bucket collection efficiency was at 98.8%. Mi

cro LAP has been
growing very well and the focus on micro LAP has been seeing increasing disbursements month -on-month. The merchant overdraft order book grew to Rs. 1222 crores with 46,827 customers.

In the second quarter, Rs. 350 crores of loans were disbursed through our newly launched Selfie Loan app.

Vehicle finance in the CV segment grew by 14% year -on-year and 15% quarter -on-quarter. The vehicle finance advances stand at Rs. 8,877 crores. Used cars have grown by 53% year -on-year and 12% quarter -on-quarter. Used CV business grew by 14% year -on-year and 7% quarter -on-quarter. The new CV disbursements de -grew by 36% and advances grew merely 2%. The focus in vehicle finance is to grow the used CV and the used car book and de -focus on the new CV segment. The affordable housing finance book continues to g row well. Advances grew by 23% year-on-year.

The MSE portfolio is at Rs. 1,366 crores and which has grown by 32% year -on-year and 12% quarter -on-quarter. The MF book de -grew by 4% year -on-year and 6% quarter -on-quarter. We are making efforts to ensure that delinquencies come back to normal. Generally, the second half

of the first financial year is stronger than the first half and I am quite confident that we should be able to do well in the coming quarters. Thank you. I am handing over to Nataraj please .
Natarajan M. : Good evening. From the treasury side , Q2FY25 has been good on the market front. Our view on Indian bonds was that once the Fed started cutting benchmark rates, Indian yields also would rally, although with a lag and in smaller measure. This played out in the quarter gone by. US yields rallied by 60 basis points quarter -on-quarter on the back of US Fed cutting benchmark rates by 50 basis points in its September meeting. While the Indian 10 -year yields rallied by 25 basis points and closed arou nd 675. Indian bonds continue to see good buying on the back of inclusion in global Morgan Stanley bond index and the expectation of eventual withdrawal of accommodation stands from RBI.
With US Fed paving the way for further cut but the smaller doses in t he near future, as evidenced by the decision to cut rates by 25 basis points in their last night meeting. We feel there is room for Indian yield to soften once inflation and crude stay within comfortable levels.
On the equity side, Indian equities were qui te volatile for a better part of the quarter, but ultimately closed higher as market participants continued to react favorably to sustained economic activity. China's decision to announce stimulus measures to boost their local economy led to flight of capi tal from India to China with the heavy selling by FIIs. FIIs continue to remain net sellers in Indian equity markets for several weeks now on anticipation of announcement of follow -through measures from China. Globally, the geopolitics continue to be an is sue as escalations continue in Ukraine and the Middle East. Despite India's economy continuing to stabilize, consolidate and grow, considering the global nature of trade and supply chain, we can expect bouts of volatility going ahead despite a strong local economy. Hence, our view on the market is cautiously optimistic in the near term. We continue to remain positive on the India growth story over the medium to long term as domestic economic activity continues to be resilient. Now we're open to questions.
Moderator : Thank you. We will now begin the question and answer session. We have the first question from the line of Re nish from ICICI. Please go ahead.
Renish: Sir, I have two question s. Sir if we look at the SM A buckets for MFI and bank separately, it is very clear that your SM A 0 and 1 for bank is actually higher than SM A 0 and 1 in MFI , which essentially means that apart from MFI, there are other products segment as well, which are going to so

me sort of stress. Could you highlight which all products are going to some stress apart from MFI?
P. N. Vasudevan: So, basically, the SMA book for other products such as the vehicles or SBL, they will have some SMA book. But the resolution percentage in those are quite high. Typically, the resolution percentage for, let's say, SMA 0, 1, and 2 in vehicles or small business loan typically will be in the range of around 85% to 90%. And that is why, even though you will have s ome SMA book, but the ultimate slippage doesn't really happen because the resolutions tend to be very high.

Whereas in microfinance, the resolution percentage in the bucket s are actually much lower. And that is why we have created this extra buffer for the SMA book of microfinance and not for the others. Because for the others, though, it is normal , it's actually quite normal and standard situation. Whereas in microfinance, this level of SM A was not there in the past. And the resolution percentage being low er, that's where we thought we should create that buffer provision.
Renish: Got it sir. But even if you look at on the standalone basis right , the SMA 0 in 1 for Q2 is actually highest in last 4 -5 quarters , so of course I do understand the retention rates are higher but what is leading to this elevated stress?
P. N. Vasudevan: You mean to say that 4.13, which i s the one you are referring to?
Renish: Yeah, 4.13 and 2.7 both. Both the numbers are highest in last 6 quarters, 7 quarters.
P. N. Vasudevan: Yeah, I mean, that's the whole point, no? Because, largely the vehicle book had some stress in the first quarter, and it's improved in the second quarter, but still it is not completely normal. October, of course , I think we have mentioned in my opening comments also, that October slippage was, I mean, the October X bucket was the best in the last few months. And the second half of the year, typically vehicles should see a much better performance. So, that 4.13 is a combination of the microfinance as well as the vehicle finance. But the concern in those cases are not much because our resolution percentage as I mentioned is very strong. So, the concer ns are generally not that much.
Moderator: Thank you. We have the next question from the line of Vatsal Shah from Knightstone Capital. Please go ahead.
Vatsal Shah: Sir, a similar question. So, you said that the resolution numbers are 80 % to 90 % for the bank

SMA level. So, can we expect that like 20 % of that flows into NPA? Is that understanding correct?
P. N. Vasudevan: Yeah, I mean, so if in the third bucket, that is the SMA -2 bucket, if we have a resolution in a month, let's say in a given month resolution is say 85%, 15% will flow into NPA. But what also happens is that there will be some resolution of the previous NPA accounts. So, at the end of the month or end of the quarter, the net NPA increase would be the net of what flows into NPA and what gets resolved from the opening NPA. So, that is the ne t NPA that we'll end up having.
Vatsal Shah: Got it. And for MFI, this will be like what percentage the flows fro m SMA bucket into the NPA pool?
P. N. Vasudevan: So, the for microfinance in our SMA -2 bucket, the typical resolution is in the range of around 40% to 45 %, which means nearly half of them flow into NPA. And there will be of course some resolution of the opening NPA which helps to net it off and bring it down, but the resolution

itself is only in those ranges. Whereas for other secured loan products a s I mentioned, it's typically around 85 % to 90 %.
Vatsal Shah: Got it. And the last question is on cost to income. So, you like cost to income as you have mentioned in previous quarters as well is likely to remain elevated for the next 2 to 3 years. But what do you exp

ect over the longer term like five years like where it will stabilize according to you?
P. N. Vasudevan: So, two things on that. W e have been saying that our cost will be higher because we continue to remain as a very developing and evolving banks, so there is a level of investment that needs to keep happening in products, people and technology. So, to that extent from an overall perspective, yes there will be some increase in the cost, but if you see the first quarter to second quarter on pa ge #14, if you see employee cost has gone up from Rs. 375 crores to Rs. 402 crores between first and second quarter. However, if you see the operating other expenses, Rs. 243 crores to Rs. 245 crores, so consciously what we are trying to do is try and see how do we control our operating cost to other expenses to the extent that is possible. We are trying to see how do we control that cost and some effort was put in the last quarter and we have seen kind of a flat other expenses and that's one area where we are trying to see how do we keep our cost as much as possible down, while employee cost will go up because we are putting more people on the field, whether it is in terms of sales or collections, that number of staff will go up, so to that extent employee expense may go up. And other expense we are trying to see how best to control it and whether it is in terms of controlling cost or trying to avoid any expense that is possible to avoid. So, that is that effort which is going in. That is from an immediate p erspective. But your question from a longer term perspective, if you ask me, I think we have mentioned in the past also that the next three years will be an area where there will be some level of investment, because we are introducing three new products, w hich is our personal loan credit cards and AD -1 products. And so we have been expanding on those new products. There'll be some little bit more of expenses on that for the next few quarters after which they should stabilize. So, I think from a longer term perspective , you should see our cost to income actually maybe declining after a period of maybe three years.
Moderator: Thank you. We have the next question from the line of Darshan De ora from Indvest Cap Group, please go ahead.
Darshan Deora: Can you thro w some light on the MS E product? I see that disbursements have grown in that particular loan product. So, historically , our asset quality has not been so great in that product, just wanted to get some insight?
P. N. Vasudevan: Yeah, so that has grown. During this quarter , it's shown a good amount of improvement . In terms of asset quality in terms of GNPA , there is an increase in the GNPA from 7 point , it's now gone to 9.35 from 7 point something in the first quarter that was largely because there was one account of around Rs. 30 crores which slipped into NPA in the second quarter . But that account has actually got upgraded to standard in the third quarter. So, that should come back by end of this

quarter that NPA should come back. But otherwise there is s ome old NPA accounts which are there in that MS E book, which is causing that elevated NPA. But otherwise the book is performing quite well. And so we are able to see that there is no credit quality concern in the MSE book which is being created over the la st maybe 2-3 years.
Darshan Deora: In terms of microfinance, what is going to be our strategy going forward? I mean, we have brought it down from 18% to 16%. Once credit cards, personal loans gets launched, when you see the microfinance loan mix moving to ?

P. N. Vasudevan: In terms of microfinance, as we have been saying, it will keep coming down over a period of time as a percentage contribution to the total portfolio. And personal loan and credit cards, which are also unsecured loans as they start filling up. Overall, we h av

e an internal policy, that our total unsecured book should not exceed 20%. So, at any point in time, all the three products should put together should not exceed 20% and they should be within the 20% contribution. However, microfinance, in the beginning of the year, we had some plans in terms of disbursement in microfinance and disbursement in the other products. However, during the year, the disbursement in microfinance has been lower than whatever we had budgeted, given the fact that we are seeing some level of stress. So, obviously, the disbursement has slowed down in view of that. So, the planned reduction in microfinance percentage contribution that we had a plan, it might change because of the current scenario. But otherwise from a little bit medium term perspective if you look at it, I think in a 3-to-4 year time frame microfinance should be in single digits while personal loan and credit card should fill up the balance.

Darshan Deora: Just in terms of the credit card strategy, I think in the past you 'll have alluded to the fact that it's probably going to be more a hook for the liability customers than specifically a very focused product on the asset side ? Is that a fair understanding?

P. N. Vasudevan: Yeah, absolutely. One is it's a hook product for the liability customer. The other is that it is also a product which will be cross sold for our affordable housing and small business loan customers. I think we mentioned this also some time back, if I remember right where we give a loan of let's say five lakhs or 10 lakhs to a borrower secured against their house property. Then we will also try to give them a credit card with a let's say a limit of Rs. 50,000 to such customers where the LTV comfort still remains very high and that credit card outstanding w ill actually be a secured outstanding because we do have a security from the customer for another product and so that security will kind of run for the credit card also. So, for the asset customers principally focused on small business and affordable housi ng customer , we will offer credit cards which will be kind of a secured product while for liability customers , we'll offer it both as a secured card against deposit because there'll be customers who will offer a credit card as secured against deposits. And then standalone credit cards offered to cust omers who fit certain profiles.

Darshan Deora: Got it, so the latter would be a catering model with the elite customers, I'm assuming, right? The elite banking customers ?

P. N. Vasudevan: Absolutely, yes. And el ite, if you've seen in our presentations also, the elite base has been continuously going up, we have been able to add a good number of customers on a quarterly basis to our elite portfolio. And the deepening on the elite account also continues to be quite strong. And that is potentially the segment t o which we should aim to cross sell.

Darshan Deora: Got it, and just one last question regarding the credit cards. Given that cre dit cards usually, from a break even point of view, what's the math there, like in terms of, like number of car ds required to brea keven on that product if you are having those numbers if you are comfortable with the model that you all have built?

P. N. Vasudevan: Yeah, so for us the acquiring cost is something that we are trying to see that it's kept to the minimum because a significant part of our sales should be to existing customers so we are really expecting our acquiring cost to be at a minimum while the real cost will be not even the technology . The technology part of it actually i s not that big a cost on an ongoing basis. There's some initial investment on the system, but otherwise, the ongoing cost on technology is actually not that much. The ongoing cost will be principally contributed by the schemes and rewards programs which will

be rolled out. But acquiring cost because we don't plan to acquire through channels, DSAs, etc. in any significant volumes, and so that we don't expect it to be high. Because of this, we will not be able to give a specific number at w hich we should be able to break even , but typically we hear that in the industry a million cards is where you probably start breaki ng even. I think we will break even probably at anything like, let's say maybe one third or one fourth of that is where we will tend to start br eaking even principally because our acquiring cost should be low.

Moderator: Thank you. We have the next question from the line of Chetan Gindodia from PG IM Mutual Fund. Please go ahead.

Chetan Gindodia: Firstly, wanted to understand a little bit about the microfinance book. So, would it be possible for you to disclose what percentage of our microfinance book would have more than three borrowers?

P. N. Vasudevan: Yeah, we have lots of data on that. Four lenders is 14.5 %. So, 9% of our borrowers have an exposure of more than Rs. 2 lakhs total borrowing. I can give you Rs. 1.5 lakh exposure also. So, 12% of customers have an exposure of Rs. 1.5 lakh and 2 lakhs is 9% and 14% is having 4 loans and above. Below 1 lakh is 65% in terms of number and in terms of POS is 60% . Actually this is a good point that you are raising . This is where we are saying that we expect somewhere in the third and fourth quarter the stress should kind of start seeing some decline because there is a core set of customers. In our case for example, it is 81% of the customers have less than 1.5 lakh borrowing and so 81% of the book we should really not see much of stress in the future also. It is the balance 20 or 19% of the customers who have more than 1.5 lakhs where some of them will show some signs of stress, but many of them would be already stressed or are going through that stress right now. So, in the next 1-2 months or 3 months or 4 months, some of them who are really not going to be able to come up properly in their thing will probably slip into

NPA, while the rest will kind of recover and come back. So, that's where we feel that maybe in two quarters from today, we should see this s tress probably behind us.
Chetan Gindodia: So, still from an underwriting perspective, it seems like just 20% of borrowers being a little on the over leverage side seems a bit high, seems like in line with industry, but seems a bit high.
P. N. Vasudevan: See that 20% is 1.5 lakh and above. Okay, industry doesn't count 1.5, the industry counts 2 lakh and above. If you look at 2 lakh and above, it is 8% in our case. So, 2 lakh and above is 8%, whereas the remai ning 12% is 1.5 lakh to 2 lakh. So, that the indu stry doesn't count that because what happens is at the industry level we have the SRO and the SRO, the guideline is that we should not be more than four lending should not happen and we should not give a loan which is put together more than Rs. 2 lakhs . So, the Rs. 2 lakhs is kept as the kind of barrier at the industry level through the SRO resolution. So, industry talks of overborrowing at Rs. 2 lakh and above and at Rs. 2 lakh and above , we are at 8% whereas 1,50,000 to 2 lakh is 12%, which is not count ed by the industry as a stress at all. But we take it as a focus area for us because from this area also people might slip into NPA. So, we put extra focus and extra effort to be in touch w ith this set of customers also.
Chetan Gindodia: Okay, got it sir. And lastly, so incrementally if I see this quarter our disbursement on microfinance and microloans is total nearly Rs. 950 crores. So, what are the safeguards that we are placing on the incremen tal disbursements on this side?
P. N. Vasudevan: So, of course there are two things. One is that as per the SRO guidelines we don't lend if we are not the fourth l

ender or less we don't lend. Second thing is that if the total borrowing is more than 2 lakhs that also we don't. So, that guardrail of the MFIN is somethi ng that we have put in place. But second and very important thing is that our own data shows that the behavior of the portfolio for second, third, fourth and fifth cycle borrowers is better than the new coming, new first time customer. And so the focus is to try and restrict our lending as much as possible to existing borrowers. For example, in the month of October, 87% of all our disbursements was to existing customers. So, these are the few things that we are doing on the disbursement to try and ensure th at the new disbursements remain healthy.
Moderator: Thank you. We have the next question from the line of Shailesh Kanani from Ce ntrum Broking. Please go ahead.
Shailesh Kanani: Sir, couple of questions from my side. On the MFI side, have we changed any pr ovision policy and if you can highlight any other product as well if you have changed ? And secondly once we are out of this MFI cycle and as we introduce new products, so in 3-year to 5-year basis, what do you think our business should generate on a stable cross cycle basis ROA ? If you can th row some light on that as well?
P. N. Vasudevan: Okay, in microfinance in the second quarter, there are two things we did on provisioning. One is that we increase the IRAC provisioning norms for NPA accounts in microfinance from earlier we used to have 90 to 180 days was at 50%, 180 to 360 days was at 75%, above 360 days was

100%. This was the position as of June. What we did is that 100% provision from 360 days we reduced it to 180 days. So, at 180 days in the second quarter 180 days plus we make a 100% provision against what was 75% earlier. The second thing is that in the 90 to 180 , it was a flat 50% against that 150 to 180 we increased it to 75 %. So, these are the two changes we did in the provisioning and microfinance NPA, which accounted for Rs. 45 crores of extra provision for the quarter. This is one. The second extra provision that we did in microfinance in the second quarter is we created a buffer provision on standard assets of microfinance for about Rs. 100 crores. This Rs. 100 crores translates to approximately 50% of our SMA 1 and 2 book of microfinance. So, this is a buffer provision that we created in the second quarter. These are the two things that we created. Now coming to your next question in terms of on a little bit medium to longer term basis like three year plus what could potentially be the ROA for the bank. If the

credit cost normalizes at some point in time last year if you remember for continuously for about 5 quarters , our RO A was in the range of 2% when our credit cost was normal. So, that's the model. So, as and when our credit cost should normalize, we s hould be able to look at that kind of return s.
Shailesh Kanani: The reason I was asking that as we have this newer products coming in, they would obviously take time to mature with personal lending and credit cards. So, just wanted to get some sense. Shoul d we expect on steady state basis lower ROA in that case?
Dheeraj Mohan: Yeah, this is Dheeraj here. On ROAs and ROEs, from a guidance perspective, we thought we'll stay away from it currently. Let things improve, let credit costs normalize, then we'll see where we are in terms of ROAs. And you're right, as newer products come in, it will have an impact on ROAs, but like Vasu explained, we are not investing heavily on new -to-bank customers through these products. It's largely to improve stickiness. So, you'll bear with us for some time till we get credit cost normalized and then we'll see where ROAs are or we would leave it to your imagination . You've seen all the line items in terms of NIM s and cost to income and credit cost and we'll see how the bank

p rogresses on it .
Shailesh Kanani: Okay, just last question from my side on MFI. In our opening remarks, sir mentioned that October has been a little improvement. So, can you share some numbers and any reasons per se for this improvement in terms of collect ion efficiency or in general, what we are seeing on the ground? And if some data points on the state is also available, that would be helpful.
P. N. Vasudevan: We don't want to get into too many details of October, but I'll just give you one ballpark figur e which is our X bucket collection efficiency. X bucket collection efficiency was seeing some level of deterioration over the last 3, 4, 5 months, but in the month of October at least that level of deterioration had stopped. So, I'm not saying that it's ac tually gone improving further. But at least the level of deterioration has stopped in the month of October, which is the first good sign that we saw in the book. And maybe partly contributed by some of the most risk customers already moving to NPA earlier and also the kind of initiative that has been rolled out by the bank, including increasing the number of people available on the field to deal with the customers and spend time with the customers. So, that's the thing that we saw. X bucket does become a

crucial factor because if that's where you control the flow and then the rest of the bucket you have a little easier life after that. So, that's what I was really referring to.
Moderator: Thank you. We have the next question from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.
Pallavi Deshpande: Just wanted to understand what is the level of attendance we see at these center meetings now and what was it earlier in Q1?
P. N. Vasudevan: Yeah the center meeting long back when we s tarted microfinance way back some 18 -20 years back , the attendance used to be anywhere in the range of 90%. That was the best attendance that we used to have long, long time back. Subsequently, after that AP crisis and demonetization, the attendance did co me down, but it settled down at anywhere around 65 % to 70%. COVID, of course, is the one which is the biggest disrupter in microfinance because during COVID for nearly one and a half years or so, we told the customers not to come for the meeting. And we told them that to hand over the money to the leader and we'll go and collect it from her. So, for more than a year and a half, we ourselves told the customers don't come for meetings. And that I think was the biggest disruptor because even during demon, we never told them don't come for the meeting. We kept telling them come for the meeting. Even if you don't want to pay, no problem, just come for the meeting. But in COVID, we actually actively told them not to come and for too long a period of time and that became a habit. And so post -COVID, the central meeting attendance has really dropped. It's somewhere in the range of 45%, 50% today.
Pallavi Deshpande: Well, sir can we say that some part of this whole problem is coming from here until this improves? We won't see this sector improve?
P. N. Vasudevan: Yes, of course. See this. Attendance is a big indicator of the cohesiveness of the group. And if the attendance percentage is low, then naturally the cohesiveness also reduces, which is not good for the lender s. So, that's why we are rolling out some interest rate discount scheme for customers when they come for the next cycle, which will be based on their attendance as much as on the repayment. It also includes attendance as a parameter. So, if somebody has a higher level of attendance, she will get a lower rate of interest in the next cycle.
Moderator: Thank you. We have the next question from the line of Ashlesh Sonj e from Kot ak Securities. Please go ahead.
Ashlesh Sonje: Sir, couple of questions from my side. Firstly,

there is one slide where you have shown the power book in microfinance for Equitas versus the industry. If you look at the PAR 61 to 90 book, that

has been consistently higher for Equitas versus the industry, at least in the data points wher e you have shown it. What do we understand from this data, sir? How d o we attribute this difference?
P. N. Vasudevan: Yeah, that is true. I mean, it's data. So, that's true. And if you see also another slide, I don't know whether we have put it here. The PAR data of the type of players, SFB, banks, NBFC, MFIs and other NBF Cs. I don't know whether we have put it here. We have not put it here, I think, but

that's another data available. In that, if you see, the SFBs have a higher level of DPD as a type of len der compared to let's say the banks or the NBFC , MFIs. So, I mean if you ask me to guess why? I can give you a couple of reasons but there are some reasons because of which SFB as a lending type has a higher level of DPD compared to other type of lenders. So, that is why if you see the industry versus Equitas, ours is higher than the industry fundamentally flowing out of the fact that SFB itself as a type of lender has a higher DPD.
Ashlesh Sonje: So, but on the same slide you have shown SFB versus Equitas as well. There if you look at the 61 to 90, that number has been higher for Equitas ?
P. N. Vasudevan : Yeah, so we are talking of let's say PAR 60 to 90 .
Ashlesh Sonje: For Equitas and the SFB indus try which is on the same slide.
P. N. Vasudevan : Yeah 1.19 to 1.27 , is that right?
Ashlesh Sonje: Correct , yeah and the trend also for the past two quarters.
P. N. Vasudevan : If you see the first bucket, that is 31 to 60 bucket if you see, SFBs are at 1.13 %, this is as of June 24 and Equita s is at 1.05. So, if you see that 31 to 60, they are slightly lower than the SFB industry. Then if you go on to the 61 to 90, we are at 1.27 and the SFB industry is at 1.19. So, we are slightly on the higher side. Now, if you move on to 91 to 180, we are at 1.37 and the SFB is at 1.43. So, in two out of the three buckets, we are actually lower than the SFB industry, while on one we are slightly higher than the SFB industry. So, that is how it is. But the differences are not much, so ther e's not much to read into this.
Ashlesh Sonje : Secondly, you gave a data point that the four lender portfolio is about 14.5%. Just want to understand this, this is four or more other lenders, right, apart from Equitas?
P. N. Vasudevan : That's right.
Ashlesh Sonje : Understood. And this is the bor rower account or the proportion of the portfolio lying with these borrowers?
P. N. Vasudevan : That's a borrower account.
Ashlesh Sonje : Understood, sir. And just lastly, if I look at the non -MFI portfolio, the slippages there have increased Q oQ. So, just w anted to understand from you qualitatively what is the reason for higher delinquencies and whether this is coming predominantly from the vehicles portfolio or there is some increase for the SBL portfolio as well?
P. N. Vasudevan : The SBL is under normal levels. So, vehicles, there was elevated gross slippage and which also led to a higher level of credit cost for vehicles in the second quarter, but it's still within an acceptable level . But in terms of the MS E, I mentioned that the re was one account of Rs. 30 odd

crores which slipped into NPA in the second quarter . So, anyway that's come back to standard now in the third quarter, but that was there in the month of September . But if you see the credit cost, we have given a slide , a separate sheet somewhere in the beginning of the presentation. I think that is Page 7, if you look at it, we have given a half yearly credit cost summary for the bank. If you look at that, the rest of the portf

olio, which is 84% of the book, the credit cost for the half year is 1.04%, which is quite comfortable. We don't really have an issue with that level of credit cost at our given our kind of lending. It's really the microfinance which is a 10% which includes all this one time provision etc . but whatever be that it is a 10% and overall for the bank it becomes 2.59%. So, if you look at this sheet , fundamentally what it represents is that at the bank level at the 84% of the portfolio level , we are very comfortable in terms of our credit cost and going forwa rd it should actually improve because second half is always better than the first half from a collections and disbursement perspective. So, we should actually see an improvement on this for the rest of the year. And this microfinance is the one which of course causes the stress and has caused the stress in the first half. And that's where we have put in two things. One is we have put in extra efforts in terms of our products and people on the field etc . to meet the customers and work with the customers. S econd thing is we have done some up fronting of the provision so that we are trying to upfront the potential pain in the third and fourth quarter to try and reduce the impact of MFI credit cost for the rest of the year. That's what we have done in the MFI. But rest of the bank we are quite well placed.
Moderator: Thank you. We have the next question on the line of Ronak Chheda from Awriga. Please go

ahead.
Ronak Chheda : My first question is on small business loans with the growth continues to be strong in this segment . I just wanted to get your sense on how are we capacitated in terms of branch network and what are plans for the next 2 to 3 years to sustain this level of growth in SBL segment?
P. N. Vasudevan : Small business loan is our flagship product, it is now 41% of our total book and touch wood the credit quality etc. is good from all parameters and so that will continue to be the torch bearer for the bank. In terms of capacitating it for further growth in the future , we have been adding both the sales and collections team in that business over the last few months and we have been increasing the disbursement per branch. We currently operate roughly out of 400 odd branches, I think 415 or so branches and now at our current level we have a per branch disbu rsement, monthly disbursement of around 1.6 crores. This was of course lower some time back. We have been adding more feet on street into the branches and increasing the per branch productivity. And there is a plan to further improve that number of people per branch and the 1.6 ideally should keep moving up going forward which will help in terms of improving the volume from the existing branches. That's one thing. Second thing is that in the last 2 years we have added approximately about 60 odd branches where we offer small business loans. Next year we again plan to add, I don't know the correct number today, but somewhere in the range of 40 -50 branches is something that we should be adding, which will help improve the reach and distribution for all the prod ucts, including small business loans. So, I think we are fairly on track

in terms of capacit ating the bank to support the improved volumes from not just small business loan but the other products also.
Ronak Chheda : My second question is on slippages in the MFI book. You said the slippages, fresh slippages continue in the MFI book. So, how should we think of Q3 and Q4? Will the slippage s peak in Q3 or this is more a 6-month thing where we could see the peak slippages c oming in Q4 for the MFI book, per se?
P. N. Vasudevan : See, I don't think I'm in a position to tell you whether the peak is behind us at this point in time. I'm really not in a position to tell you that just now. The X-bucket efficiency that we have,

that
is people who are not having an overdue but who slip into an overdue in a given month, that X-bucket efficiency is currently around 98%. Now that needs to move to 99%. So, it has to move up by that 1% and that 1% will make a lot of difference from a potent ial further slippage and credit cost into the future. So, that's where the lot of efforts are going in both from us internally as well as from the industry in terms of an improved lending discipline to try and not have over leveraged borrowers. So, I think that the whole thing is hinging on how much we are able to improve the X-bucket efficiency and the more we are able to improve the less will be the potential pain into the future. But right now , I am not in a position to tell you whether we have seen the peak behind us and third and fourth quarter will be normal. I am not in a position to tell you that because we still need to wait and watch for some more time and see the effect of whatever we are trying to do in the field. So, we believe that we may have to be prepared for some level of pain even during the third and fourth quarter and probably somewhere during the fourth quarter I have feeling that we should start seeing some abatement in the pain because the transactions would have run through 5 or 6 quarters by then and it's a 2-year product. So, most of the potential delinquent customers should have fallen delinquent during this period and hopefully the newer loans which are given in the last 2-3 quarters should not be causing as much pain. So, that's where we believe that fourth quarter is possibly a time period by which we should see some level of abatement and maybe the first quarter of next year could be reasonably normal. But this is conjecture only, I am not saying that this is something I am su re about, this is something I am hoping and we'll have to just wait and watch and see how the trend happens.
Moderator : Thank you. We have the next question from the line of Pritesh Bumb from DAM Capital . Please go ahead.
Pritesh Bumb : Just a couple of que stions. First, if you can mention how much will be our Tamil Nadu exposure in MFI?
P. N. Vasudevan : 57%.
Pritesh Bumb : Of the MFI portfolio, 57% is Tamil Nadu?
P. N. Vasudevan : Yes, that is right.

Pritesh Bumb : Second , just wanted to check of the Rs. 143 crore provision which we took Rs. 43 crores is on the existing NPA which has fallen , the slippages which are coming in and there you have enhanced them ?

P. N. Vasudevan : That's right .

Pritesh Bumb: And the Rs. 100 crores is type of a contingency provis ion for the future years.

P. N. Vasudevan : That's right.

Pritesh Bumb : For future quarter basically ?

P. N. Vasudevan : Absolutely.

Pritesh Bumb : So, if you exclude the Rs. 100 crores which you may utilize in next few quarters, how much can we see a credit c ost perspective only on the overall basis because you gave a color of the non - MFI book. But can you just give a little bit color that how much requirement will be there for a provision perspective in next two quarters ?

P. N. Vasudevan : Okay, I am not giving you a guidance, but I am giving you some mathematics. If you look at the non-microfinance book at 1%, let's say that 1.04 is a potential credit cost for the 84% of the book. And microfinance, this 10% credit cost includes all this one -time provision and all that. If you remove that, it will be about 6.5% or so. If you remove that Rs. 100 crore , the credit cost of microfinance from 10% would be approximately around 6.75%. But that's actually a very elevated credit cost. It's not a norma l at all. So , if your credit cost starts normalizing, even if not at the pre -COVID level, but even within the current scenario, if it reasonably normalizes , and let us say that we end up with a credit cost of anywhere around say 4% to 5% in microfinance, then if y

ou multiply that with 16% of the book, then you are talking of 4% of 16% would be 0.6%. So , then you have a 1% credit cost for the rest of the book and a 0.6% credit cost for microfinance. So , then you are really looking at a 1.6% credit cost for t he bank as a whole , if the credit cost of microfinance can come down to say 4%. So, that's a little bit of math.

Pritesh Bumb : So, this math is in for next year basically just wanted to check because we have given annualized credit cost of 10 % will we see like a 6 %-7% credit cost for the full year because then the second half gets much better because your commentary was that you wanted to safeguard a bit of the next two quarters credit cost.

P. N. Vasudevan : That's right absolutely.

Pritesh Bumb: And anothe r clarification needed on the MSME book, sir, you mentioned some one -off NPAs happened. That's why the GNPA is opposite, 7% to 9.35%, if you look at the segmental GNPA ?

P. N. Vasudevan : That's right, yes.

Pritesh Bumb : That is the one -off there, right?

P. N. Vasudevan : That's right.

Pritesh Bumb : But the SBL book also, we've seen some inch up . Is that, I just wanted to check in terms of customer profile , is the customer profile still the same as the MFI and that the same stress is at the SBL as well? The over -leveraging front or even in terms of cash flow, do you feel that is a little bit spread out in the SBL as well , though it is a secured business but do you see that stress there as well?

P. N. Vasudevan : We would have given you our MLAP GNPA . So, if you look at the overall SBL GNPA, it' s at 2.19% in September. 2.03% in June, 2.19% in September. So, there's an inch up on the GNPA, but I think that's normal and it should be within that range only. There is no one -off or there is nothin g specific about that. So, it will be moving within that narrow range. And in terms of the profile of the borrowers, for small business loans, the bottom end of small business loan, which is what we call as MLAP, Micro Loan Against Property, where the loan size is typically up to Rs. 7 lakh, now there will be some amount of overlap with the top end of the microfinance cluster. But minus the MLAP, the overlap between MFI customer to small business loan, that overlap will be very nominal whereas it will be mu ch more in the MLAP segment. And MLAP segment, while the overall SBL is at 2.19%, within that MLAP will be definitely at a higher level of NPA. But then since it is secured, generally the ultimate credit cost is generally very low.

Moderator: Thank you. Th at was the last question. I would now like to hand the conference over to Mr. P. N. Vasudevan for closing comments.

P. N. Vasudevan: Thank you. Thank you all for dialing in and listening in and asking us all kind of queries. Happy to be of service to you. To kind of sum up at a bank level what I have mentioned in my opening comments also , 84% of the book remains quite strong and quite healthy and we should see potentially a further improvement in the quality over the second half which is always traditionall y the stronger half. Microfinance, we'll have to take it with a stride and we'll have to just take it in our stride and go along with it and see what best we can do to minimize its impact. On the deposit side we are doing quite well, treasury is doing quit e well and our technology initiatives are coming up well . Our new products are very close to launch. Some of them are already gone on a pilot launch. And so I think overall as a bank, many things have fallen into place and we should see the effect of all o f this going forward. And microfinance is something that anyway we have been at it for 17, 18 years now. So, we do know what that business is all about. And let's see how best we are able to manage and keep its impact as low as possible. So, that's it from our side. Thank you so much and wish you all very best. Thank you, bye bye.

Moderator: Thank you. On behalf of Equitas Small Finance Bank Limited, we conclude this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jan 2026

"Equitas Small Finance Bank Limited
Financial Performance Q3 FY '2 6
Earnings Conference Call"
January 30, 202 6

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SMALL FINANCE BANK LIMITED
MR. SRIDHARAN N. – CHIEF FINANCIAL OFFICER –
EQUITAS SMALL FINANCE BANK LIMITED
MR. JAGADESH J. -- HEAD OF ASSETS – EQUITAS
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MR. MURALI VAIDYANATHAN – SENIOR
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RELATIONS – EQUITAS SMALL FINANCE BANK
LIMITED

Moderator: Ladies and gentlemen, good morning, and welcome to the earnings call of Equitas Small Finance Bank Limited Financial Performance for Q3 FY '26. We have with us today Mr. P. N. Vasudevan, M.D. and CEO; Mr. Sridharan N., CFO; Mr. Jagadesh J., Head of Assets; Mr. Murali Vaidyanathan, Senior Preside nt and Country Head, Branch Banking, Liabilities, Product and Wealth; Mr. Gopalakrishnan G., Head Treasury; Mr. Suresh, Head Strategy and Business Intelligence; Mr. Sundararaman D., Head, Investor Relations; and Mr. Abeshek, Specialist Investor Relations.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded .

I would now like to hand the conference over to Mr. P. N. Vasudevan. Thank you, and over to you, sir.

P.N. Vasudevan: Thank you. Good morning to all of you and thank you for taking your time out to attend this call. I'm happy to start off by saying that many of the initiatives we had talked about a couple of quarters back have started yielding results.

In Microfinance initiatives such as rolling out the monthly repaym ent mode with EMIs till the 15th of the month, which forms around 63% of the book today, focus on acquiring new -to-credit and new -to-bank customers who have lower leverage and reducing caseload per staff, combined with improved lending discipline in the in dustry and the strict implementation of MFIN guardrails by all the players have resulted in significant improvement in performance of this book. The X Bucket collection efficiency on a POS basis, has moved up to 99.4% in December. And the percentage of bo ok slipping into NPA over the last few months has seen a sharp reversal. Microfinance today contributes about 8.5% of the total advances, excluding the direct assignment purchase of MFI Agri pool that we did in Q3.

And we keep -- we aim to keep this Microf inance at around 10% of the advances level on an ongoing basis. All other businesses have shown continued improvement. Small business loans, which showed some stress in Karnataka specifically, maybe about 2 to 3 quarters back, has seen a significant improv ement.

Overall delinquency in SBL has come back to near normal. Disbursement also has been picking up and portfolio quality across all parameters have shown good improvement over the last quarter. This enables us to continue growing this book strongly on an ongoing basis. Other businesses are also doing well, and Jagadesh will cover those more in detail. On liability, we had 18% growth in deposits in Q1.

We had to take the pedal off the deposit growth to prevent excess liquidity in the system. But we ende d up with just 7% growth in deposit in Q3 and now need to increase the momentum on deposit growth to support the increased advances growth. Murali would cover steps being taken to bring the deposit growth back to the earlier levels. The cost of funds has b een coming down

and presently stands at about 7.13%. It's expected to go further down before stabilizing as more of the old deposit gets replaced with lower -priced new deposits.

In terms of capital adequacy, we are placed comfortably at about 20.47% capit al adequacy ratio. During Q3, we took some initiatives to conserve capital, such as increasing the IBPC outstanding from INR1,250 crores to INR2,000 crores as well as getting about INR1,690 crores of vehicle finance covered under CGTMSE guarantee scheme.

This not only supports us in terms of credit cost in the future but also releases capital to the extent of the guaranteed portion o

f the principal. With these initiatives continuing into the subsequent quarters, along with better internal accruals that we expect to generate going forward, we do not expect a capital expansion requirement in the first half of the next financial year. We will review the situation in the second half and take a call at an appropriate time.

We have delivered a better -than-expect ed ROA of 0.65% for Q3 after taking into account around INR29 crores of impact due to the new labour code implementation. But for this onetime impact, the ROA would have been in the range of around 0.8% and cost to income would have been at about 70% level .

We have guided for a 1% exit ROA for the fourth quarter, and we believe that we are in line for delivering that. On advances growth, we have guided for a 15% growth for the year against 12% growth in Q3. That is, I'm talking of without taking into accoun t the DA purchase in Q3.

Along with the DA purchase, the advances growth has been 16% in Q3. But if you remove the DA purchase, it is 12% in Q3, and we have guided for a 15% full year growth, and we believe that we should be in line to deliver that.

Over all, with the impact -- we had a big impact in the income in the last 2 years because the MFI portfolio mix, which was 20% in March '24 was dropping over the last 2 years to reach 8.5% now. So, there has been a drop in income impact that we have seen over the last maybe 6 quarters or so.

But with that kind of coming to an end and the microfinance 8.5% expected to stabilize around the 10% contribution level and the rest of the portfolio seeing all -round improvement, we believe that we are well positioned to deliver consistent and improving performance going forward.

Thank you.

And with this, I hand over to Sridhar.

Sridharan N.: Thanks, Vasu. Good morning, everyone. Thank you for joining us today for the Q3 FY '26 earnings call of our bank. I appreciate your continued interest and support. Let me take a few minutes to walk you through the financial performance for the quarter.

Most of these details are also available in our investor presentation. We reported a net interest income of INR852 crores and other in come of INR285 crores, bringing our total net income to INR1,137 crores for the quarter.

Total net income grew by 8% Y -o-Y and 14% Q -on-Q. NIM has significantly improved by 43 bps Q -on-Q basis to 6.72% in Q3 FY '26 as compared to 6.29% in Q2 FY '26. The b ank reported a PAT of INR90 crores, a growth of 36% Y -on-Y and 273% Q -on-Q. This is after making a onetime incremental provision of INR29.5 crores due to the implementation of new labour law codes in Q3 FY '26. Return on assets and return on equity for Q3 FY '26 were at 0.65% and 6.1%, respectively.

In terms of asset quality, gross NPA reduced by 20 bps Q -on-Q at 2.62% in Q3 FY '26 as compared to 2.82% in Q2 FY '26. Net NPA reduced by 7 bps Q -on-Q to 0.88% in Q3 FY '26 as compared to 0.95% in Q2 FY '26. Cr edit cost also has reduced to 1.88% in Q3 FY '26 as compared to 2.16% in Q2 FY '26 and 2.65% in Q3 FY '25. Our provision coverage ratio remains healthy at 6 7.10% (Corrected) , and we expect credit costs to taper down by Q4 FY '26. Moving to the advances boo k.

Gross advances grew by 16% year -on-year to INR43,268 crores, driven by robust disbursement. The disbursement for the quarter stood at INR6,557 crores with a strong momentum across all verticals. On the liability side, total deposits grew 7% year -on-year to INR43,668 crores, and our CASA ratio remained stable at 30% and retail deposits now constitute 73% of the total deposit base. As of December 31, 2025, our capital adequacy ratio stood at 20.47%.

With this handing over to Jagadesh.

Jagadesh J.: Good mo rning to you all. On the asset business, for the quarter 3, we have demonstrated a notable improvement compared to the perform

ance in the preceding 2 quarters. This positive momentum was predominantly driven by the growth in non -Microfinance segments and t he strategy of risk calibrated expansion. And also, the shift towards the certain product segment contributed significantly to the overall better results for the quarter. Let me walk you through some key highlights.

On the advances front, we have grown 16% year -on-year and 11% quarter -on-quarter. This is primarily driven by the healthy uptick in disbursements. Microfinance and Micro Loan advances includes purchase of Agri assets under direct assignment deal of INR1,343 crores.

Excluding this direct assignment deal, overall bank advances grew by 12% year -on-year and 7% quarter -on-quarter. On the disbursement front, we have delivered the highest ever quarterly overall disbursement of INR6,557 crores, which is a growth o f 28% year -on-year and 22% quarter -on-quarter.

And Microfinance disbursement have surged 72% quarter -on-quarter to INR1,173 crores in this quarter, helping us to maintain MFI portfolio at around 9% of our overall advances mix. On the non-MFI front, we hav e delivered our highest ever quarterly disbursements of INR5,385 crores in quarter 3, which is a growth of 35% year -on-year and 15% quarter -on-quarter.

Our non -MFI, which is a secured book now stands at INR38,108 crores, marking a 19% year -on-year growth. Our small business loans, which continues to be our largest contributor, growing

at 14% year -on-year. And notably, the secured business loans saw a robust 22% year -on-year growth.

And on the vehicle finance, our strategic focus remains on the used CVs an d used cars. Our used commercial vehicles grew at 23% year -on-year and used cars posted a strong 36% year -on-year growth. And on the affordable housing, we grew at 17% year -on-year and 6% quarter -on-quarter at INR5,360 crores. On the MSE book, we grew at 3 5% year -on-year and crossing INR2,000 crores. Microfinance portfolio, excluding DA stands at INR3,800 crores and is expected to grow driven by the improved disbursements.

On the yield and asset quality front, the yield on gross advances declined by 10 bps quarter -on-quarter to 15.63%, primarily due to the lower contribution from the MFI mix. On the non -MFI yields, it's declined by 9 bps quarter -on-quarter to 14.97%, mainly due to the portfolio recalibration. On the asset quality, net slippages significantl y reduced to 2.52% in quarter 3, down from 3.78% in quarter 2. We reported the lowest net slippages for the bank in the last 6 quarters.

Credit costs saw a sharp decline to 1.88% compared to 2.16% in quarter 2 of the financial year '26. In Microfinance, 1 to 90 DPD improved significantly to 2.14%, down from 5.40% in quarter 2. This is driven by the enhanced collection efficiency. As stated earlier for the current financial year, we are in line with our stated advances growth of about 15% year -on-year. This is excluding the DA driven by the improved disbursements.

Thank you, and I will now hand over to Mr. Murali.

Murali Vaidyanathan: Good morning. Thanks to you all for joining this call. While the numbers are there, let me take you through some numbers, wh ich is very important for all of us to get a grip of things. Last quarter, we did rate tweaking strategically because that was the opportunity available for us as we strengthen the proposition across mass affluent, affluent and HNI as a segment. So, our co st efficiency in terms of interest pay-out came through 3 different things.

One is on savings rate. Second is on TD rate and then duration shifting from 444 to 888 as an opportunity. So that has helped us to bring the overall cost of funds down. That is one side. But absolute SA, which was at 6.08% as we started the year on April is today somewhere at 5.1% as we exited quarter 3 and TD, which was at 8.48% to

day is at 7.3%, which means close to 95 bps on TD on repriced book of 65% of the portfolio.

And im portantly, shifting the consumer from 444 to 888. Last quarter, we did close to 110,000

customers who had 444 in last 6 months to be very precise month -on-month migrating into 888.
So, there's a conscious effort to build the quality in terms of duration, b ringing down the price, enhancing the proposition has been our core driver.
And our family banking proposition, which we spoke about, we have now close to 30,000 families of Elite and to expand that Elite to next level, we are creating a product for mass a ffluent, which is called Elite Lite, which has gone live. And we are also getting into HNI program called ARTHA, which should go live today, tomorrow.

So, the important message, what we want to tell is we want to strengthen our relationship management. We want to move from only rate -conscious approach to value proposition. And third important thing is how -- what more can I do to the consumer. So, as a prop osition, we are strengthening the product, distribution and relationship and focused on 3 clear specific segments.
On NR, our FCNR has gone live.
We have crossed $20 million, $22 million worth of dollar, and we'll be launching our pound - based FCNR next we ek. And we are seeing a good trajectory at this point of time. And we predominantly at this point of time, we are only focused on giving it to our existing customers.
And so is our inward remittance gone live. So AD1 almost through in terms of that.
And w e specifically launched a product for seafarers, and this is meant for only shippies and which has started well, last quarter end we launched it. And this quarter, we have launched a program for NR also, which is specifically Elite. So Elite as a propositi on is going to be, what we want to call as House of Elite, entry for mass affluent, affluent and then HNI. This is going to be our approach in terms of our specific focus on SA. CA, we have some distance to cover.
We are coming out with a merchant program as well as asset -centric approach, which we will elaborate later on next quarter. Now last but not the least, gold loans from the branches, signs are very encouraging in line with markets. I think we are disbursing close to INR100 crores to INR120 crores a month on a steady state basis. This should only go up. Presently, we are focused as a cross -sell activity.
And at some point, of time, in the next year, we will have it as a focused activity in terms of new-to-bank sourcing also. With this, I hand over the phone to Gopi, who will give some treasury insights to us. Thank you all.
Gopalakrishnan G.: Thank you, Murali. Good morning, everyone. Markets remain extremely volatile, dominated by global trade and geopolitical uncertainty. Indian equities and rupee markets have underperformed versus global pace. This has mainly been caused by foreign investors exiting equity investments with a further pressure on account of returns being impacted by rupee depreciation.
Domestic CPI is expected to remain within the MPC inflation target. Upcoming budget will be closely watched with the market seeking further queues for government stimulus to strengthen growth. Government bonds market saw the benchmark 10 -year yields stay roughly flat during the last quarter and closed at 660.
With the overall system liquidity remaining tight and pricing in no further rate cuts, benchmark yields further went up during current month. More recently, RBI has announced steps to infuse system liquidity with borrowing rates for banks and corp orates spiking in the past few weeks.
We continue to be watchful in the near term with heightened volatility becoming the new normal.
Coming to Equitas specific, treasury income stood at INR34 crores in Q3 FY '26. Thank you.
Back to operator.

Moderator: The first question is from the line of Chetan Gindodia from Mahindra Manulife Mutual Funds.
Chetan Gindodia: My question is in the other income line item, do we have any income from sale of ARC -- sale to ARC or any other one -off income could be there becau se sequentially, it has jumped quite a bit.
Sridharan N.: This is Sridharan here. Yes, other income includes a onetime sort of ARC income of INR31.52 crores.
Chetan Gindodia: And with respect to credit cost, if it is possible to share any sort of guidance, how do you look at credit cost for us in Q4 and the year ahead because the slippages and most of the book for us, including SBL and MFI have started performing in line with your expectations. So, any light you can share on that?
Jagadesh J : As we clearly stated, the net slippages was the lowest among the last 6 quarters, and it was on

the downward trend. So, it clearly indicates that even the credit cost will be on the downward trajectory for Q4.

Chetan Gindodia: Okay. Okay. Got it. And TD -- lastly, with respect to TD repricing, so how much of our total book would have repriced as of now? And what quantum of book is left to reprice and how much in terms of cost of fund one can further expect and sort of decline from here.

Murali Vaidyanathan: 60% of the existing book has got repriced. And another 20% is due for this quarter, balance will slip into the next quarter. And we are going with -- already, as I said, we have tweaked the rates in line with better than market. And at the same time, in line with RBI , we are 1 cycle behind. As of now, we have saved 98 bps, as I said earlier, on the new price book of the existing portfolio.

Moderator: The next question is from the line of Rahul Kumar from Vaikarya Fund.

Rahul Kumar: Just one question. What is the PCR c overage ratio, which you are comfortable with? And what is the trajectory of NIM over the next few quarters?

P.N. Vasudevan: PCR ratio, it's around 67% today. We are reasonably comfortable at those levels. Around that level is something that we are fairly comfortable with. As far as the NIMs are concerned, we did have a sharp jump in the NIM basically because microfinance has stopped degrowing. And for the first time, I think actually it grew quarter -on-quarter from a portfolio perspective. But now microfin ance is about 8.5% or 9% of the total book. We expect that to remain at that 9% to 10% level. That's our stated objective. And because of that, we do not expect a downward pressure on NIM any longer because of MFI going down. And the rest of the book conti nues to grow well. So, we should expect our NIM to be -- I mean, I think our NIM is more or less where it will be. Maybe it may marginally tick up a little bit, but somewhere around this range is where we expect it to be.

Rahul Kumar: Okay. Okay. And other expense in this quarter has increased pretty sharply versus last quarter. So, what has driven that?

P.N. Vasudevan: Is it labour code stuff? So, there are 2 things. One is that there's been an increased disbursement happening in the quarter, which there i s a certain amount of cost associated with the disbursement. And second is INR29 crores of onetime impact because of the labour code. Yes. So, if you see the cost to income is 72%. But if that labour code impact is kind of netted out, it would have been 70 % actually. So that was a big impact in the quarter.

Moderator: The next question is from the line of Parth M. from 360 One Capital.

Parth M. : Sir, my question is again on margins. Given that the cost of funds should trend downward from here on because we have repriced our term deposits and also rationalized our SA rates. So -- and just in your pr evious comment, you guided that…

P.N. Vasudevan: The voice is unclear. Can you please repeat? The voice was not clear.

Parth M. : Yes, Sir, my question was on margin. Given that we have rationalized our term deposit rates, shouldn't the margins expand from here at least in FY '27 because we'll still have the cost of funds benefit? That was my first question. And my second question was in terms of SBL, when you s ay that it has normalized. So, should we expect the slippages around these levels within the SBL portfolio? Yes, those are my two questions.

P.N. Vasudevan: Okay. Okay. So, on the first point, let me take that. Yes, I mean, there are certain drivers in pla ce for expansion of NIM. One is that the cost of funds is expected to trend down a little bit more over the next 2 to 3 quarters because of the repricing of old deposit to the new deposit. So, the cost is definitely expected to go down, which could be one driver for NIM expansion. The second driver for NIM expansion is that microfinance is 8.5%, but we want it to be around the 10% level. So that 1.5% increase in the MFI portfolio mix could be another contributor to NIM expansion.

But on the other hand, NIM contraction perspective, if you look at it, our lending yields, the disbursement yield is likely to come down a bit given the overall interest rate scenario in the market. So, we may also have to fall in line with that, and there may be some little bit of disbursement yield drop. So that will be the negative side from a NIM perspective.

So, if you combine all of this, that's what I said in the earlier question asked that from 6.7% that we are in currently, we may expect it to mov e marginally up a little bit. But right now, we are not actually in a position to guide exactly where it will go and where it will stop. But definitely, we don't see it going down. That's for sure. It might marginally go up in the next few quarters.

On the SBL, I'll as Jaggi to.

Jagadesh J.: Yes. So, on the net slippages for SBL, if you look at between Q2 and Q3 itself, it has gone down from 2.49% to 1.46% in Q3, okay? So, the net slippages is an indication of both the X Bucket and 1 -90 DPDs. If you look at the X Bucket efficiency of SBL we are at 99.3%, which has improved from 99% from Q2 to Q3. Similarly, on the 1 -90 DPDs, also almost close to INR100 crores, we have reduced in actual value.

And in terms of the percentage, it has gone down from 7.53% to ar ound 7.3%. So based on the combining both these factors, the net slippages will go down in Q4.
Parth M. : And just my last question, the SBL portfolio, your PCR is around 27%. How comfortable are you with that PCR?
Sridharan N.: We are very comfortable with this one because the substandard is one thing actually. And we did some ARC sales. And because of that, it has come down actually, okay?
Jagadesh J.: And in addition to that, we are not only in terms of the comfortable... We are not even putting the provision based on IRAC norms. We have even -- let's say, an example, in certain DPDs between -- up to 455 , we just require a 25% PCR coverage, whereas we are putting almost close to 75% if it is 455. So, we are comfortable with that being a secured book.
Moderator: The next question is from the line of Deepak Poddar from Sapphire Capital.
Deepak Poddar: Yes. Sir, I missed one number you mentioned. So, in the third quarter, what was the ARC income you mentioned?
Sridharan N.: INR31.52 crores.
Deepak Poddar: It's included in which line item?
Suresh G .: Slide number 34, asset fee income. It is included in that.
Deepak Poddar: Come again?
Suresh G .: Slide number 34, asset fee income.
Deepak Poddar: No, no, I'm saying which P&L line item. I mean it's a part of other income?
Suresh G .: Yes, yes, yes.
Deepak Poddar: Okay. Okay. Understood. And you mentioned INR31.5 crores, right? INR31.52 crores?
Suresh G ..: INR31.52 crores, yes.
Deepak Podda

r: Okay. Understood. And on the PSLC, I think this quarter, we were close to around INR34 crores, right, PSLC income. So how should one look at going into fourth quarter? Generally, in fourth quarter, PSLC income is generally higher.
Suresh G .: That is treasury and PSLC fee income. So, it's largely. No PSLC income there during the quarter.
P.N. Vasudevan: We have not done any PSLC sale.
Deepak Poddar: So, there was...
P.N. Vasudevan: Only treasury income.

Deepak Poddar: Okay. And fourth quarter, any PSLC income we are expecting?
P.N. Vasudevan: Doubtful because Q3, we actually had to buy Agri portfolio from some of the MFIs to meet our PSL Agri requirement. So, we had to actually buy because we are a shortfall. But with microfinance disbursement picking up, we expect that in Q4, our own internal business generation should be enough to meet our PSL requirements. Doubtful that we may have excess, which we will be able to sell, doubtful.
Deepak Poddar: Okay. I understand. And in terms of your deposits, I mean, 100% of your deposit, the transmission has been done on your cost of funds? Or is there anything left?
Suresh G .: See, we are close to 65% in terms of reprici ng of deposits as a book as of December. And maybe Q4 exit will be close to 85% level. So that's the outlook.
Deepak Poddar: 85% in Q4. So that's the reason you're mentioning that there can be an upward bias on your NIMs?
Suresh G. : Yes, slight. So, it's one of the levers.
Deepak Poddar: Okay. Okay. Understood. And given -- I mean, the market is doing well and even improvement in MFI. So, anything on FY '27, how should one look at your growth and ROA?
P.N. Vasudevan: Yes. So, as we mentioned, we should end up with about a 15% growth for this year. And again, I'm asking, I'm excluding the DA, right? If I add the DA part of it, it might be about 17%, 18% growth. But for the minute, I'm taking the DA out because it's just a onetime one -off transaction. So, without that, we should be ending up this year at about a 15% growth. But historically, we have generally grown between 20% and 25% growth on a yearly basis. So going forward, next year, we should look at anything between 20% and 25%.
Deepak Poddar: 20% and 25 %. And ROA, you are talking about exit ROA of 1%. So how about FY '27 ROA?
P.N. Vasudevan: So, we should expect the next year fourth quarter exit ROA at 1.5%...
Deepak Poddar: Fourth quarter exit.
Moderator: The next question is from Ashish Agarwal, an individual investor.
Ashish Agarwal: Okay. So, one was regarding this -- our bank looking at the universal bank license, what is our

outlook on that?
P.N. Vasudevan: Well, we have mentioned this in the past also. By March '26, we hope to be meeting all the requirements of the guidelines of RBI for that conversion. So based on the March '26 financials, once we know that we are in compliance with the guidelines, then subsequent to that, we may probably end up applying.
Ashish Agarwal: Okay. The other thing is that our -- still our 90% plus of loan book is concentrated to the South India. So, what is the plan to geographically diversify, any timelines for that?

Suresh G. : Sorry, our TN as a geography meaning 90%. So, what is that? South?
Ashish Agarwal: So, all the states in South India, right, you have mostly concentration in Tamil Nadu, Karnataka, AP, Telangana. So that -- and we wanted to expand it across India. So, any strategy and timelines around that?
Jagadesh J .: If you look at the past 2 years, we have reduced our contribution from TN, okay, which was at around close to more than 50%. It has now come down to 44%. Even we have a clear strategy to reduce further. Maybe in the next 3 to 4 years, it will come down to around 36%. And south , we don't have a 9

0% book.
If you see only Tamil Nadu, we have 44%, okay? And South is around 62%, okay? And Maharashtra is the third biggest state for us in terms of the contribution. So, it's not 90%, it's around 60%. That will fur ther come down.
Ashish Agarwal: Okay. And this MFI book that we have got, will it be covered by the upcoming central government INR8, 000 crore MFI credit guarantee scheme that they are talking about to be coming in April, I believe.
P.N. Vasudevan: See, w e are already covering our Microfinance portfolio under the CGFMU credit guarantee scheme of the central government. And currently, what percentage? Around 50% of our existing Microfinance book is already covered under the guarantee. And this 50% is the on e which is generated after we signed up with the guarantee trust. And going forward, we will continue to be getting the incremental disbursements in microfinance guaranteed under that scheme.
As far as this INR8, 000 crore scheme is concerned, of course, the details are not in public space just now. They have not released it. So, we'll have to wait for the details. But in our view, it is not meant for guaranteeing the individual transactions. It's actually a guarantee cover provided to the banks for lendin g to NBFC MFIs. I think that's what people talk about. Anyway, we'll have more details as the government publishes it. But that is not meant for individual MFI transaction guarantee. That's already available under the CGFMU scheme.
Ashish Agarwal: Okay. And in the commercial vehicle space, do you see -- what is your foresight about increase in this segment because of the signs of tailwinds coming in the CV space?
Jagadesh J. : We don't see any kind of tailwinds. Even if you look at the current quarter, we have shown a good amount of traction in our used segment, which is our prime focus. So, we'll be growing on that, even the asset quality have been better compared to the previous quarter.
Moderator: The next question is from the line of Shreepal Doshi from Equirus .
Shreepal Doshi: My first question was on the MFI portfolio. So, with the headwinds behind, we've seen disbursements ramping up. However, we were looking at capping it at 8% to 9%, whereas it has already reached 12%. So, will we be a little practical here and look at maybe it expanding to 15%, 16% given the kind of momentum that we are seeing or the credit demand that we are seeing in that segment?

P.N. Vasudevan: See, 12% is because of the addition of the direct assignme nt purchase of Agri pool. So, we'll have to, for all our purposes, keep that on the side because obviously, that comes at a lower rate. And it's supposed to be a onetime, we just did it because we had a shortfall in the Agri PSL. And hopefully, we should b e able to generate our own PSL going forward. So, we may not do DA further. So that's just a one -off transaction. So, if you, for a minute, remove that, our Microfinance contribution is about 8.5% -- 8.8% of the total advances. And we want to keep it around the 10% level. So, it may marginally go up in the next few quarters to reach the 10% level. As far as the thought o f increasing it to 14%, 15% or anything above that, we do not have a thought on those lines fundamentally because we -- microfinance does come with its own plus and minus. And every time it comes with a minus, it has an impact, which is quite disproportion ate to its contribution. And so, we are basically wanting to build a bank which is a lot more stable and steady in terms of its financial returns and not having too much of volatility around that. A 10%, we believe, is something where we get the benefit of better yield. But at the same time, if there should be any further trouble in the future, the impact should not be too high on the bank. And the rest of the book, which is 90% of the book, which is non -microf

inance, actually, most of our products -- practically all our products are quite old in the system. They are not really new products. And so, either they are now fully profitable or they are on the way to being fully profitable in the next few quarters. So that way, we don't see any issue as far as pr ofitability is concerned because almost all the products are now quite mature in the system.

Shreepal Doshi: Got it. And so, sir, since you highlighted about the profitability, so even the housing vertical is profitable, let's say housing and used car vert ical that we have, which is contributing almost 10% of the overall portfolio, summing up the 2 segments.

P.N. Vasudevan: Yes, yes. Used car is quite profitable. And affordable housing, which is actually one of the newer products, it's about 4 years, 5 year s old, but it went through the corona phase of non -small growth. So, it's practically a 3 -year-old product now, you can say, post corona. And affordable housing was loss -making last year.

This year, it has turned the corner and it is now contributing prof it to the bank. And maybe next year and thereafter, it should become fully contributing from an ROI perspective.

Shreepal Doshi: Got it. Sir, the second question was on the vehicle finance segment. So there, our strategy is to scale up the used CV segment and used car and not do new commercial vehicle broadly. However, if you look at that segment was going through turbulence in terms of asset quality trends. How are you seeing that shaping up in the coming quarters with respect to asset quality trend as wel l as on the business momentum from our end?

Jagadesh J .: So, if you see the vehicle finance, both -- on all parameters, the Q3 has been good, and we expect the same in Q4. Even if you see the X Bucket, it has improved from 97.5% to 98.5%. And also, the DPDs, a considerable reduction has been done. And the same is with the GNP A as well as the credit cost. So, we don't see any kind of stress as far as the vehicle finance has been concerned in Q4 also.

Shreepal Doshi: Got it. So, will we look at increa sing our disbursements in this category or like especially in the used CV and used cars?

Jagadesh J.: Yes, that's our main focus. So, we'll be increasing our disbursements in used commercial and used car segment.

Shreepal Doshi: Just one last question to a dd here. What is your broad range of yield in used CV and used car?

Jagadesh J.: Around 17%.

Shreepal Doshi: So that is for used CV?

Jagadesh J. : Used CV is 17% and used car is also in the same range.

Moderator: The next question is from the line of Ashles h from Kotak Securities.

Ashlesh Sonje: Ashlesh here from Kotak. Sir, firstly, on your OPEX , how are you internally thinking about OPEX? What should be the drivers from here on? What are you internally budgeting for it?

P.N. Vasudevan: So Opex is something that we have discussed in the past. The -- most of our cost, I think we have mentioned in the past also is all of a fixed nature. There's only some small amount of the cost, which is a variable linked to the business. To that extent, yes, the cost is kind of -- it's a given. And our cost to income will come down as the business grows and the bank grows, the cost to income will come down as we leverage the existing investment in cost by doing better business.

So, as we have mentioned, this qua rter, it was around 70%, but for that INR29 crore impact of labour code, minus that, it would have been 70%. And we expect next year -- maybe by third, fourth quarter, we should expect this to go down to around 65% level. That will principally happen just as the driver will principally be basically the growth in the business of the bank. The growth should be the driver to bring down the cost.

Ashlesh Sonje: Understood. Secondly, on the cost of SA, cost of term deposit

s, just a clarification. I think you indicated that the incremental cost of SA is 5.1% and TD is 7.3%. Is that correct?

Murali Vaidyanathan : Correct, as of now. As of now, SA is 5.1%. We will go through one more iteration in coming February. So, it's a continuous exercise.

Ashlesh Sonje: Okay. But the disclosure on the presentation says cost of TD is 8.1%.

Murali Vaidyanathan : That is on the full book. This is on the repriced book.

Ashlesh Sonje: So, you expect that 8.1% to eventually decline closer to 7.3%, is it?

Murali Vaidyanathan : Correct as you renew the existing book. Normally, renewals happen at 60% levels, 30%, 40% move into alternate assets. So, as it reprices the same book will become at the 60% level at this pricing point.

Ashlesh Sonje: Understood. And lastly, this Microfinance direct assignment, which you have done? Can you just walk us through what were the evaluations which you have done at the time of the transaction? What is the quality of the book? What is the regional mix, et cetera?
P.N. Vasudevan: Okay. So, we did it wit h about 6 counterparties. Fundamentally, all the portfolio that we purchased will have to be MFIN guardrail compliant, which is all 3 lenders, INR2 lakh, all that norm, plus they should not have any overdue at the time that we purchased that asset, so it s hould be an X Bucket. And it should have had on 2-year loan, it should have completed at least 3 months. On a 3 -year loan, it should have completed at least 6 months of term. So those were the criteria that we used for acquiring that asset. The yield on the asset, I can give you an idea on that. The yield is approximately 10.75% on that asset. I think we purchased about INR1, 350 crores or so, around INR1, 350 crores is what we purchased. The overall yield around is 10.75%. And none of the portfolio includes any exposure from Karnataka. We just ensure that we exclude Karnataka and also Gujarat, because Gujarat traditionally has been always having issues. Karnataka recently that it's been going through issues. So, these 2 states, we excluded. So, these are the parameters that we use for that.
Ashlesh Sonje: Understood. Just last clarification. This one, the collection responsibility does not lie with you on this book, right?
P.N. Vasudevan: No, it doesn't. We have a collection agreement with the originating company, and they will continue to do the collection and pay it to us.
Moderator: The next question is from the line of Vivek Ramakrishnan from DSP Mutual Fund.
Vivek Ramakrishn an: Sir, my question is partly answered. So, in terms of term deposits, we've of late seen a scramble for deposits happening across the system. So -- but your cost of deposits at 8.1%. It means even if the rates go up a little, you're still having cushions in terms of reducing deposit rates. So is m y understanding correct, number one? And number two, are all your deposits non -callable when it comes to bulk deposits?
Murali Vaidyanathan : Close to 92% of the bulk deposit is 1 -year duration and non -callable. In terms of book, see, if you see last 2 year s, we have been totally going heavy on 444 days. Now we are replacing that 444 days with 888 days with a lower. As I said, total book arbitrage is 90 bps. So, this will continue in that direction only. And anyway, the projection is there is one more rate c ut either it may not happen in Feb, but April. So as and when the rate cut happens, we'll follow and catch the graph.
Vivek Ramakrishnan: Excellent, sir. Sir, the other question is on capital. I mean, as of now, you are comfortable on -- as far as the regu lations go with 16.6%. But if growth were to come and you were to maintain your credit ratings as well, you may have to raise fresh capital. So, is there any thought on timelines for that? Or is there a minimum capital adequacy that you'll go to and

then h ave to
definitely raise capital?
P.N. Vasudevan: See, we have an internal guideline that as soon as we touch 20%, we should start looking at how to beef up capital. Generally, we do not want our capital adequacy to go below 18% against the

regulatory requi rement of 15%. We really do not want it to go below 18%. Right now, it is 20.47% or so. So, as we mentioned in the presentation as well as in my opening comments, there are various ways of conserving capital other than just raising fresh capital. So, we are working on all of that like IBPC, where you shed assets in favour of other banks. And then we do the CGTMSE, especially the vehicles, we have done that we are signing -- I think we have done INR1,650 crores or so of vehicles, which we got guarantee d under the CGTMSE. Under that scheme, I think what percentage of principal gets released from capital? Almost 80% of the principal of the transactions covered under CGTMSE gets released from capital requirement. So, we did that. And going forward, we will continue to keep getting the vehicle finance incremental portfolio also covered under CGTMSE based on whatever is eligible. So that will again release a good amount of capital going forward. Our gold loan now has started to pick up. Now in fourth, in thir d -- in second quarter, we had a gold loan book of INR400 crores. It's almost come to INR600 crores in the third quarter. And that's something, again, we are pushing for growth by introducing it in more branches going forward. So that will come again with no capital requirement. Our affordable housing is growing. And again, that has a much lower risk weightage compared to every other business. So, there are various drivers for capital conservation, and that's something that we are focusing on. And at the en d of it, in our view, first half of next year, we will not require capital. We will be comfortable with whatever we are doing. And second half, we will review it. Based on our internal accruals and what's the level of capital adequacy we are sitting on, we will do a review probably in the second half. The objective from our side clearly is to postpone capital raise as long as possible given our current market price scenario. We would like to postpone it as far as possible and try and ensure that we do not compromise on growth but manage capital through a variety of instruments available to the bank.

Vivek Ramakrishnan: Yes, sir, I can see that, sir, in fact, in the last quarter, despite the growth, your capital adequacy, CET1 ratio has just actually improved . So, in terms of the CET1 ratio, you talked about total capital adequacy. CET1, do we have any kind of guidelines in terms of where you won't go below?

P.N. Vasudevan: The regulatory requirement CET1 is 7.5%, 50% of the 15%. So that's the regulatory. But I think we'll be fairly comfortable on CET1. We'll never go anywhere near the regulatory floor.

Vivek Ramakrishnan: Right, sir. I was looking more at the rating rationale, which said 15%. One of the rating rationales which said in terms of credit rating. S o that was my angle.

P.N. Vasudevan: Yes, because our internal accrual also should start coming in. Last year and the first 2 quarters of this year was very poor on internal accrual. That's also expected to start generating P&L from this quarter. I mean, t he third quarter itself, we have delivered some INR90 crores. Going forward, that should also help. So overall, I think we should be comfortable on CET1 also.

Moderator: The next question is from the line of Jignesh Shial from AMBIT Capital.

Jignesh Shial: Just a couple of questions. First, as I understand it correct, we -- our deposit repricing will be gradual. So, we expect this to fall down. How do we see yields moving up? Because obviously, we are not -- we don't want to do more of MFI loans, which hav

e been the -- I mean, high -yield

category. How do we see yields moving? Or -- I understand this time; it is also because of the buyout portfolio. But anything on the yield side, if you can guide us?

Jagadesh J .: Yes. If you look at the advances yield becaus e of the portfolio recalibration, you can see the small reduction in bps. But if you look at the disbursement yield, okay, which is going to be a significant factor. In Q2, our disbursement yield is at 15.78%, whereas in Q3, our disbursement yield is 16.22 %, overall asset book. So overall asset book in Q2 is 15.78%, whereas in Q3 is 16.22%, even after the recalibration, whatever we have done. So, it's almost close to 43 bps increase in the disbursement yield.

Jignesh Shial: That is also because you had seen on MFI surge, that disbursement had picked up for MFI, which we want to cap at below 10%. So incrementally, if the overall growth will be -- your disbursement growth will be in line with -- your MFI growth will be more or less in line with other businesse s growing, then do we see this kind of movement happening yield again for Q4 onwards?

Jagadesh J.: Yes. Not only on the MFI book, even if you look at VF, we had an increase of 22 bps and SBL 5 bps and AHF which has been a growing book. It has been increase d by 25 bps. So fairly, I'm able to say maybe we will be maintaining or it will be on the upward side. It will not go down.

Jignesh Shial: Okay. Understood. Secondly, on the SBL side, now if we see that sequentially, the disbursement had more or less remai ned flat, right, if I see it correct, Y -o-Y, there is a 1% kind of a decline. How -- and obviously, we had seen this trend happening for almost like similar number for almost like last 5 quarters, I see it in your PPT.

So how do we see -- so can you give some colour on what is this SBL loan? Which geographies are you doing it further? It is unsecured piece, right? It's not secured one. It's not LAP, right? So how are we seeing traction happening in SBL? Can you give some colour on that? That will be helpf ul. And obviously, coverage remains very low on this. So, any volatility in this can impact our provisions and all? Just some clarity on SBL overall as a portfolio.

Jagadesh J.: First, I would like to give a clarification. On the overall book, we have only that Microfinance is unsecured. Otherwise, all other books is a secured book. Small business loan, it's a 100% secured by the property. If you look at small business loans, quar ter-on-quarter, if you see in the current financial year, our disbursement at Q1 is at -- on an average per month is INR440 crores, whereas in Q2 is INR575 crores, whereas in Q3, our average disbursement is INR612 crores. Why we couldn't be able to see th e year -on-year growth, which -- the underlying reasons is because of our Karnataka and certain product segment where we have recalibrated in SBL in the -- between the Q3 and Q4 of the last financial year. Now it's almost coming back to normalcy. We can see the upsurge in the disbursement in SBL as well. And the numbers that I mentioned, if you look at, it will be on the upward trend.

Jignesh Shial: Okay. So, do we -- can we expect this that Q4 -- this INR600 crores quarterly, what kind of trend? So not only Q4 overall for next year, say, so what monthly trend or annualized -- I mean, when we talk about the disbursement for SBL that we will be comfortable with?
Jagadesh J.: So, the numbers that I mentioned, first of all , is the monthly average, okay… For the next year, we are looking at advance's growth of at least 20 -plus in SBL. So automatically, the disbursement number will be on an upward movement compared to the current numbers.
Jignesh Shial: Understood. And this will be -- so as I understand now

, this i s a LAP loan. So, your -- what will be the tenure of this to overall around?
Jagadesh J.: Average, it would be around 7 to 8 years.
Jignesh Shial: Understood. Understood. Fine. That's helpful. And finally, on Opex side, as you say that either of these expenses are remaining fixed it means a very limited amount and a variable one. So how do you -- so you're gradually planning to bring it down from, say, 70%, which is excluding that one -off of labour code things. So, 65% is the target that your target -- I mean over what period are you targeting the 65% in of cost -to-income?
Suresh G.: Yes, yes. So 4Q exit next year, we should be there around 65% mark.
Jignesh Shial: Okay. Okay. So, this is for the year itself, we ar e targeting this, right, for the next year itself?
Sridharan N.: Next year, yes. Yes. As also MD clearly said, when the fixed actually, the income goes up, the percentage will come down.
Jignesh Shial: Yes, I understood. Yes, that's why I was asking. I got that point. And finally, on credit cost, what kind of trajectory are we looking for -- I mean, for next year? Because as I understand, our major ROA improvement or 1.5% exit what we are talking about 4Q, obviously, credit cost decline will be one of the m ajor driver. So, what kind of credit cost trajectory are we looking for, say, FY '27, just broad range, if you can give some colour on that?
Jagadesh J.: Between 1.5% to 1.7%.
Jignesh Shial: And currently, we are at 1.8%, right, 1.88%?
Jagadesh J.: For the quarter, okay. In Q4, it will be around less than 1.5%. But what I mentioned is for the year entire year.
Jignesh Shial: Entire year should be somewhere in the range of 1.5% to 1.7%?
P.N. Vasudevan: Yes.
Moderator: The next question is from the line of An and Dama from Emkay Global.

Anand Dama: My question was related to our CV book. A lot of players are actually talking about that there is a noise, there is a stress which is emerging into the CV portfolio. Are we seeing any signs of that in our new or mayb e used CV portfolio?
Jagadesh J.: I've clearly indicated even in my earlier response, we are seeing an improved asset quality compared to Q2 to Q3 in all aspects, not only on the net slippages or the credit cost, but also on the 1 -90 DPD as well as on the X Buckets. So, we hope the things would be better in Q4.
Anand Dama: So, then the players who are actually witnessing that kind of a stress operate into a different segment or a different geography altogether?
P.N. Vasudevan: See, in our case, as Jaggi mentioned, a large part of our book is the used commercial vehicle. I think the used commercial is doing quite well. And in our case, used commercial vehicle also, we are really -- the focus is only on the small operators. And so, I think at that level, the s mall commercial vehicle, light commercial vehicle, individual owner or owner with just 1 or 2 vehicles. I think that segment is doing quite well, and we are not seeing any stress on that segment.
If you want to compare with the market and other players, t heir portfolio might have a lot of a different profile of borrowers. New could be a good contribution to them possibly. And maybe the heavy commercial could be again a large contribution to them possibly. I mean those might be the differences that you migh t probably see. But in our case, the focus is largely on the small and light commercial vehicles and in the used category. And in that segment, we see the experience is pretty good, not only now. I mean, we have been doing used commercial vehicle now for almost 15 years. And we've never really had a serious issue on the portfolio quality in the used commercial vehicle segment.
Anand Dama: Sir, secondly, I just wanted to understand how should we look at our overall credit growth and deposit growth for FY '2 7? Now that th

e Microfinance has also started turn ing positive. And I think the SB L, the vehicle financing book is delivering strong growth. So, should we get into a

20% kind of a loan growth next year?
P.N. Vasudevan: So next year, as we mentioned, our gr owth should be in the range of 20% to 25%. So, it should be definitely above 20%. That's for sure. And the deposit growth will be in line with that.
Typically, it should be about 2% to 3% higher than the advances growth.
Anand Dama: Okay. And third, sir, a ny ECL impact that you have worked on? And because I think your PCR is still below 70%. You used to have 70%, and you brought it down to about 66%, 67%. So, any ECL working that you have already done, how are you going to take that impact, if you can just talk about that?
Sridharan N. : So, we have done ECL working based on the draft list of RBI. And most of our is secured book and other things, we will have a positive - this one on the ECL not on the negative as compared to the IRAC norms.

Moderator: Thank you. Well, ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. P. N. Vasudevan sir, for his closing comments.
P.N. Vasudevan: Yes. So, thank you. Thanks all of you for dialling in and giving us a good insight of what's happening in the market and also asking us questions, which will help us to think as we go forward. As we sign off, I can only reiterate that I think the issues of microfinance is clearly behind not just us but the industry. And goin g forward, let's hope for better times for all of us.
Thank you and wish you all the best. Bye.
Moderator: Thank you. On behalf of Equitas Small Finance Bank Limited, we conclude today's conference.
Thank you for joining us. You may now disconnect your lines.

Call: May 2026

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"Equitas Small Finance Bank Limited
Q4 FY '2 6 Earnings Conference Call"
May 02, 202 6

MANAGEMENT : MR. P. N. VASUDEVAN – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – EQUITAS SMALL FINANCE BANK LIMITED
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MR. – SUNDARARAMAN D –HEAD INVESTOR RELATIONS – EQUITAS SMALL FINANCE BANK LIMITED
MR. ABESHEK – SPECIALIST INVESTOR RELATIONS – EQUITAS SMALL FINANCE BANK LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the earnings call of Equitas Small Finance Bank Limited Financial Performance for Q4 FY '26.
We have with us today Mr. P. N. Vasudevan, MD and CEO; Mr. Balaji N., Executive Director and Head of Operations and Information Technology; Mr. Sridharan N., CFO; Mr. Jagadesh J., Head of Assets; Mr. Murali Vaidyanathan, Senior President and Country Head, Branch Banking, Liabilities, Product and Wealth; Mr. Gopalakrishnan G., Head, Tr easury; Mr. Suresh, Head, Strategy and Business Intelligence; Mr. Sundararaman D., Head, Investor Relations; Mr. Abeshek, Specialist Investor Relations.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. P. N. Vasudevan. Thank you, and over to you, sir.
P.N Vasudevan: Good morning, everyone, and thank you for taking the time to join us today. Building on the sign of resilience demonstrated in Q3 of the last financial year, Q4 co ntinued to be a good quarter for the bank marked by strong performance across business growth, asset quality and profitability.
The NIM increased for the first time in the -- in Q3 after many years of decline. And in Q4, the NIM continued to show an upwar d trajectory. This was led by higher levels of income due to growth, lower reversal of income due to lower net slippage and a simultaneous reduction in cost of funds. And credit cost at 1.11% for the Q4 came in lowest compared to the previous 8 quarters.
The combined effect of the above has enabled us to deliver a PAT of INR213 crores for Q4, which is the highest ever PAT achieved by the bank so far. This translates to a reasonably healthy ROA of 1.46% and an ROE of 14.1%. This is in spite of the fact that Microfinance portfolio only contributes to around 10% of the advances. And going forward, we expect to maintain Microfinance portfolio contribution to the similar levels of 10%.
In terms of sustainability of this performance of Q4, the income levels are expected to maintain their upward trajectory given the visibility on sustaining growth in advances of about 20%. It should be, however, impacted by any increase in GNPA slippage, which may result in reversal of income. Further, we have increased our intere st rate on TD and SA during March '26, and this

is expected to increase the cost of funds going forward.
Credit cost at 1.11% represents the traditionally strong Q4 performance that we normally see. Going forward, this is expected to normalize to our guided range of around 1.5% for the full year. Given the above, we expect to end the current financial year with a Q4 exit ROA of about 1.5%.
Macroeconomic factors: The ongoing geopolitical tensions in West Asia do present certain risk, particularly throu gh their potential impact on global supply chains and in turn, on broader GDP indicators. The customer segments that we serve are at a Level 2 and Level 3 order of

dependency, which substantially limits the direct transmission of such external shocks to th e cash flow of our borrowers. As a result, the immediate impact of these developments on our portfolio remains contained. However, if the government decides to pass on the increase to cost of gas and fuel to consumers, this could have an inflationary impac t.
In small business loans and affordable housing, we believe our borrowers may be able to pass on the increase in cost to their customers since our borrowers largely deal in daily use products and services. However, in commercial vehicle

s, freight rates may take some time to adjust
upwards. And during such interim period, our borrowers are likely to be affected. We will continue to closely monitor the situation and remain vigilant.
In the unlikely event of any emerging risk, we are well prepared to respo nd with calibrated and timely actions, which include tightening credit norms, moderating leverage levels, along with other prudent underwriting measures. Our focus in case of such eventuality would remain on preserving quality of asset over growth.
On the advances side, I'm happy to share that all products have turned profitable now. Products introduced during the past 3, 4 years, such as affordable housing and MSE finance have turned positive during the previous year and expected to improve their contribu tion to the bottom line during the current financial year.
In terms of deposits, the overall deposit growth was 8% year -on-year. We believe this relatively muted growth is largely transitory. We have introduced new products such as Elite ARTHA, Elite EPIC , Elite Lite and FCNR B deposits during the last quarter. And we are enabling -- I mean, these enable us to cater to different customer segments while creating incremental deposit opportunities.
Alongside this, continued enhancement of our technology plat forms are strengthening customer experience and supporting better customer acquisition and retention. Importantly, we remain firmly focused on building a stable, granular diversified deposit franchise anchored around retail deposits, CASA and non -callable wholesale deposits, where we believe the bank is well positioned on the deposit front. Murali will elaborate further on these aspects.
Capital adequacy: We ended the last year with a capital adequacy ratio of about 20.3%. We continue to pursue multiple in itiatives to conserve capital, including increasing central government guarantee coverage for our eligible loans, IBPC and focus on lower risk weightage products such as affordable housing and gold loans.
To sum up, we believe that with Microfinance colle ction efficiencies coming back to normal with all lending products lines turning profitable, sustainable improvement in collection efficiencies across products, we should look forward to continued good performance in the coming quarters. Thank you.
And with this, I hand over to Sridharan.
Sridharan N. : Good morning, everyone. Thank you for joining us today for the Q4 FY '26 earnings call of Equitas Small Finance Bank. I appreciate your continued interest and support. Let me take a few

minutes to walk you through the financial performance for the quarter. Most of these details are also available in our investor presentation.
We reported a net interest income of INR980 crores and other income of INR259 crores, bringing our total net income to INR1,239 cror es for the quarter. Total net income grew by 18% Y-on-Y and 9% on Q -on-Q.
NIM has significantly improved by 57 bps Q -on-Q to 7.29% in Q4 FY '26 as compared to 6.72% in Q3 FY '26. The bank reported highest quarterly PAT of INR213 crores, a growth of 406% Y -on-Y and 136% Q -on-Q. Return on assets and return on equity for Q4 FY '26 were at 1.46% and 14.1%, respectively.
In terms of asset quality, gross NPA reduced by 13 bps Q -on-Q at 2.49% in Q4 FY '26 as compared to 2.62% in Q3 FY '26. Net NPA reduced by 20 bps Q -on-Q to 0.68% in Q4 FY '26

as compared to 0.88% in Q3 FY '26. Credit costs significantly declined to 1.11% in Q4 FY '26 as compared to 1.88% in Q3 FY '26 and 2.74% in Q4 FY '25. Our provision coverage ratio remains healthy at 73.03%, including techni cal write -off PCR stands at 86.81%.

Moving to the advances book. Gross advances grew 22% year -on-year to INR46,165 crores, driven by robust disbursement. Disbursement for the quarter stood at INR7,347 crores with strong momentum across all verticals.

On the liability side, total deposits grew 8% Y -on-Y to INR46,533 crores. Our CASA ratio at 26%, retail deposits now constitute 68% of our total deposit base. As of March 31, 2026, our capital adequacy ratio stood at 20.31%. Thank you. Handing over to Jagades h.

Jagadesh J.: Good morning, everyone. We closed the quarter with gross advances of INR46,165 crores, delivering 22 percentage year -on-year and 7 percentage quarter -on-quarter growth, which is driven by the strong disbursement momentum. Excluding DA, our overall bank advances grew 19 percentage year -on-year.

I will cover 3 things. One is on the growth momentum, product performance and asset quality.

Firstly, on the growth momentum. We delivered our highest ever quarterly disbursement at INR7,347 crores in this quarter with a growth of 72 percentage year -on-year and 12 percentage quarter -on-quarter. Within this, our Microfinance disbursement increased to INR1,512 crores in this quarter, up 326 percentage year -on-year and 29 percentage quarter -on-quarter.

On our secured book, we also delivered our highest ever quarterly disbursements of INR5,835 crores, up 49 percentage year -on-year and 8 percentage quarter -on-quarter. Our non -MFI secured book stood at INR40,409 crores, which is growing at 21 percentage year -on-year.

Secondly, on the product performance. Our small business loans remained the largest contributor at INR18,559 crores, up 13 percentage year -on-year. Within the small business loans, the secured business loans growing at 26 percentage year -on-year. And on the Vehicle Finance segment, our focus is on the used segments. Our used commercial vehicles at INR5,899 crores, which has grown by 25 percentage year -on-year and 7 percentage quarter -on-quarter. And used

cars grown by 31 percentage year -on-year a nd 7 percentage quarter -on-quarter. Our new CV declined 20 percentage year -on-year to INR2,270 crores.

On the housing finance, we grew to INR5,782 crores, up 21 percentage year -on-year and 8 percentage quarter -on-quarter. And MSE finance, we grew up to INR2,090 crores, up by 24% year-on-year.

On the MFI, excluding DA, we stood at INR4,667 crores at quarter end, and we expect it to grow in a calibrated manner supported by improved disbursement and collection trend. And coming back to the asset quality. Our net slippages reduced to 0.79% in this quarter from 2.52% in the previous quarter, which is lowest level in the last 10 quarters.

On the SBL front, our net slippages reduced to 0.11 percentage from 1.53% in the previous quarter. On the credit cost, it ha s declined to 1.11% compared to 1.88% in the previous quarter and 2.74% in Q4 financial year '25.

On the Microfinance, our 1 to 90 DPD improved to 1.34 percentage from 2.14% compared to the previous quarter, supported by strong collection efficiency. And looking ahead for financial year '27, we remain aligned to our stated advances growth guidance of 20% plus year -on-year, supported by improved disbursements. Thank you.

I will now hand over to Mr. Murali.

Murali Vaidyanathan: Good morning. Thanks for joining the call. While the ratios as well as growth details are given in the P PT, I would like to dwell upon 4 things, what is planned, what is happening at this point of time.

First, let me start with savings account. Savings account, we have strengthen ed our proposition covering from Mass to HNI through House of Elite as a proposition, which means earlier, we had Elite as a program for HNI. Today, we have 3 different categories within the HNI, one for Mass Affluent, one for Affluent and third for HNI, w hich we call it as ARTHA, Elite Lite and Elite.

Now this categorization is very important because we are moving towards the direction of family banking and product holding as a key thing, which is shown in our key liability strategy slide. So today,

we ha ve cl ose to 28,000 - 29,000 families. Our aim is to double in this coming year and also to add ARTHA customers close to 3,000 to 4,000 and start of ARTHA is really encouraging.

So based on this categorization of customers, we have categorized branches whe re a set of 100 branches is going to focus only on House of Elite and manning is planned as per that. So strengthening RM channel, enhancing the product proposition and more importantly, this year, you will see more and more value -added services within the account along with a reasonably good pricing at the entry point.

In terms of current account, current account, we are shifting it at this point of time into 3 different categories. One is we have now got our sound box , our POS and QR ready operational in the

market, CUG done. So increasingly, branches will source transaction and payment -led current account.

We are launching a specific current account product, which is with -- backed by unsecured based on our own norms, so which means asset -led approach. And third is high variant only to focus on debt -free and payment non -centric companies. This is on current account. And current account last quarter showed a reasonable growth, but to sustain that, we need this proposition.

NR, we already launched our FCN R. We have crossed $30 million. So we are seeing a good appetite. We have gone live on 3 more currencies. And most importantly, full range of AD1 product, we have gone live. And here, again, our focus is going to be Elite, that is HNI and most importantly, family banking, and we have launched a specific product last quarter, which we called it as explorer for seafarers as a segment, which the initial days are good. So this should help us inward and outward remittance.

In terms of RTD, retail TD, we had a h uge last year renewal in terms of yearly pricing on 444 days, which we have focused and converted 70% of that into 888. Today, our 70% of the book is duration -centric with 888, and we are planning to add 30,000 customers internally and externally, and this will help us to enhance the PS proposition also.

In mobile banking, we have crossed our 5.5 lakh to 6 lakhs closer to mobile bank downloads on our Equitas 2.0, which is on par. I think this is one of the few apps where one can do entire payments as well as ASBA -related, that is secondary market when it's live, we are ready and primary market, they can do an invest ment and insurance proposition.

So this is a year, it's going to be clear segmentation, categorization, resource management through RM and most importantly, driving transaction -centric. We will cover as and when questions arise . Thank you.

I'll hand it over to Gopi.

Gopalakrishnan G. : Thank you, Murali. Good morning, everyone. The quarter went by was very challenging given virtually how by our -- change in geopolitics and other and fuel price, global supply chain impact. Financial markets continue to exhibit volatility with the effects of geopolitical uncertainty continuing to impact asset prices across the board. All Indian asset classes contin ue to underperform. This has largely been caused by foreign investors seeking safe haven bets and rebalancing in favour of indexes with AI constituents and high technology access.

Rupee depreciation pressure continues. However, there have been active inte rventions by RBI to better manage volatility. In the immediate term, CPI is expected to broadly remain within MPC inflation target. However, the effects of imported inflation, impact of extreme weather events such as the current heat wave, expected impact of Super El Nino on this year's monsoon are likely to see some upside risk materialize against current RBI projections.

Government bonds saw benchmark 10 -year yields significantly hardened during the quarter and close at above 7% against a 6.6% at the beg in

ning of the quarter, with the market beginning to

price in possibility of rate hikes this fiscal. RBI actions will be keenly watched for further cues given the overall pressure on domestic economy and consumption.

Coming to Equitas, Income from investme nts was a loss of INR7.3 crores for this quarter. For the full year, treasury income stood at INR179.9 crore s. With heightened volatility becoming new normal, we approach the coming quarter with caution. Thank you. Back to operator.

Moderator: Our first qu estion comes from the line of Renish from ICICI Securities.

Renish : Sir, my first question is on this FY '27 ROA guidance, right? So we are looking at 1.2% ROA versus 1.5% in Q4. And you also mentioned that credit cost is likely to normalize maybe from 1.1-odd percent to 1.5%. But in that case, are we not expecting any margin expansion from here on?

P.N Vasudevan: See, as I mentioned -- this is Vasu here. As I mentioned in my opening comments, we have a NIM of 7.29% in Q4, while we should continue to look a t a 20% -plus growth in advances, which will lead to a higher lev el of income. However, we have two issues. One is that our net slippage was the lowest in Q4, which means our income reversal on GNPA, again, is obviously the lowest.

But that's because Q4 is seasonally the strongest always. Now Q1 and Q2 are seasonally the weakest and Q3, Q4 will again pick up. So there is a likelihood of a higher GNPA slippage resulting in lower -- I mean, higher income reversal in Q1 and Q2.

Second thing is in March, we ha ve raised our rates on TD and savings accounts, and that is expected to have an increase in the cost of funds. So these 2 together might moderate the NIM from 7.29%. And that is one at the top line. And at the bottom line, the credit cost at 1.11% is proba bly again the lowest given the Q4 seasonality issue, but it is more likely to be at around 1.5% for the full year.

So if you kind of take all of this into account, that's where we are -- we believe that we should be able to deliver a 1.2% to 1.25% ROA for the full year, while we should exit the fourth quarter at around 1.5%.

Renish : Got it. Got it. So I mean, just a follow -up on that. So basically, pre -crisis, our NIM used to be anywhere between 8.5% to 9% . And now given our NIM at 7.29% and we are not exp ecting any improvement from here on. So does that mean that NIM at this level would be a new normal NIM for our business mix?

P.N Vasudevan: Yes, absolutely, because our Microfinance, which used to be around 50% -- 45%, 50% in the past, now it's come down to 10%. And so as -- in fact, if you see our NIMs over the last maybe 3 years or 4 years, if you see the trajectory of our NIMs, it's been coming down quarter after quarter, largely because Microfinance has been coming down as a percentage of the portfolio . And MFI, we all know, has the highest yield. And as it was coming down, the NIM was also coming down. And now today, we have reached a level where MFI is just 10% of the book, and we should expect that MFI to continue to remain around the 10% level. And that's why we

believe that our NIMs are more or less bottomed out and somewhere around 7% to 7.1% is where we believe it should kind of stabilize on an ongoing basis.

Renish : Got it. Got it. My last question on the corporate book side. So this book has actually become 3x in past 1 year. And I'm assuming it will be one of the lowest yielding book for us. So when we are seeing the definite pressure on NIM, then what's the strategy of growing corporate book so aggressively?

P.N Vasudevan: If you're meaning by corporate, if you're meaning the NBFC?

Renish : Yes, yes.

P.N Vasudevan: Right. So NBFC for us is a filler. It's not a product where we have a target to lend. It's a filler. So wherever we hav

e surplus money, we lend to the NBFCs because otherwise, we would have to park it in government securities.

So last year, we had some excess liquidity at some point. In fact, our CD ratio had gone down as low as 79% at some point in time during the last year, and we were stuck with some excess liquidity. So we jus t deployed short -term loans to especially gold loan NBFCs because they have short -term assets. And so that's where the numbers reflect.

Renish : Got it. Can I ask last question.

P.N Vasudevan: Yes, please.

Renish : Okay. So just on the CV portfolio, right? I mean you did mention about there's -- we don't foresee any near -term pressure. I mean it's a Level 2, Level 3 order impact. But in your assessment, what kind of a fuel price hike do you think CV operator will not face challenges? And at what fuel price hi ke do you think we as a company should be cautious in terms of CV portfolio behaviour ?

P.N Vasudevan: See, it's all very, very, very open -ended at this point in time. But the latest news report that we are seeing is that the oil marketing companies are act ually out of pocket by as much as INR100 on per litre of diesel. INR100 per litre, practically the cost of today's diesel is also about INR100. So practically, it looks like they are out of pocket by as much as 50% of what they are selling at. So we don't know exactly how far the government will try to recoup this cost from the consumers. But it all depends on how much they want to pass on the diesel costs, especially the diesel cost to the pump purchasers. So we don't know. I mean, frankly, it's very, ver y open - ended, very difficult to put a number or anything around it.

But anything -- normally, we have seen in the past over the last so many years that we have been financing commercial vehicles. We have seen in the past that anything up to 10% increase in diesel prices has no effect on the performance of the portfolio. Wh en it goes beyond 10%, then we start seeing some effect.

Renish : Yeah. That’s exactly what I want ed to check. Thank You, Sir

Moderator: The next question comes from the line of Pritesh Bumb from DAM Capital Advisors.

Pritesh Bumb: Congrats on a great set o f numbers. Just two questions. One is on the savings account. There's a sharper decline in this quarter. Generally, this is a stronger quarter, but any reason for that? And what is the strategy for the same?

Murali Vaidyanathan: See, we have analysed our book. We have seen where we have lost the book is between INR5 lakhs to INR10 lakh s and INR10 lakh s to INR15 lakh s. That is why in March, we calibrated those accounts with slightly higher interest rate because primary market ASBA was also weak during the quarter. We had close to 35,000 customers who are on this bucket using savings account for ASBA. So we have enhanced the rate in that particular segment moving up. Earlier, it was at 3% levels. Now it is at competitive level of double what other compet ition can offer. This is on one side. Second thing, we are enhancing, as I said in my presentation, the proposition by itself house of Elite, focused more on program and specific targeted segment and branches. So these are the two approaches by pricing, by program expansion and offerings. So you will see the take-off from this segment.

Pritesh Bumb: Sure. And also in continuation for the same, we've seen also our bulk deposits move up significantly this quarter. Any thought process on the same as well?

Mura li Vaidyanathan: See, bulk, we got it non -callable. If you see year -on-year, till quarter 3, we were spreading it and building a retail portfolio. And there was an opportunity available at bulk and non -callable across segment, government, insti and financi al institution. It is not skewed towards one segment. So we leveraged what we had at that point of time and built it up. But our e

ntire strategy for insti as always is hold and grow so that 70% to 75% of the portfolio remains always retail.

Pritesh Bumb: Sure. Sure. And just in continuation from the previous question on NIM front, what is our sustainable NIMs for our business where now we are going to calibrate mix and mix on the both side of balance sheet? What can be the sustainable NIM if you look at a 2 -, 3-year perspective?

P.N Vasudevan: Yes. So I think we should be looking at a sustainable 7% NIM give or take a few basis points, largely because of, as I mentioned, 2 factors. One is that our cost of funds might start seeing an upward trend because we h ave increased the rates in the month of March. And second thing is that our CD ratio is slightly over 90%. So we will be trying to bring it to slightly less than 90%. So that could again mean some level of impact on interest income. So I think broadly, we should be able to look at about - around 7%, give or take some basis points this way that way.

Pritesh Bumb: For the concentration side, so now as we are...

Moderator: I'm sorry to interrupt, Pritesh sir, you're not quite audible. Could you be a little lou der and use your phone on the handset mode in case if you're not using it on the handset mode. Ladies and gentlemen, the participant has got disconnected. We will move to the next participant. The next question comes from the line of Ashlesh Sonje from Kot ak Securities.

Ashlesh Sonje: Sir, first question is on the SBL business and particularly the micro LAP side. Sir, assuming that over the next year, the global tensions don't worsen from here, how comfortable are you with growth in the MLAP segment in cont ext of the challenges which you experienced last year? And along with that, if you can share, in FY '26, you made total provisions of about INR1,140 crore s. How much of that went towards Microfinance and how much went towards micro LAP?

Jagadesh J.: Yes. This is Jagadesh. So we don't see any kind of impact due to global tensions for micro LAP or the Microfinance book, okay? So micro LAP, if you look into that, even the current year, we have been growing in that particular segment, okay? But not at the high level because our focus has been more on the business loans, which is about INR10 lakh s segment, which we have grown at 26% year -on-year. But micro LAP within the available opportunities and with good credit quality customers, refining our credit nor ms, we are growing at a double -digit growth in micro LAP, okay? So...

Moderator: Does that answer your question, Ashlesh?

Ashlesh Sonje: Sir, if you can -- so this micro LAP growth today is around 13 -odd percent. Do you think that can go closer to a 20% nu mber?

Jagadesh J.: It's a small business loans. It's growing at a 13 percentage, which might go up to a level of 20 percentage, okay? They're not given on the micro LAP 13%. It's overall small business loan segment.

Ashlesh Sonje: Understood, sir. I was ca lculating based on the mix which you share in percentage terms, but that answers the first part of my question anyway. If you can also share the provision breakup for the full year FY '26, that would be helpful. Then I can ask the next question.

Jagadesh J .: Yes. Microfinance, we made a provision of INR588 crores in the last year. And on the micro LAP, it's INR42 crores.

Ashlesh Sonje: Sir, the next thing on the liability side for Murali sir. Sir, what would be the incremental cost of term deposits and savi ngs account for you in the last quarter?

Murali Vaidyanathan: See, we brought it down from 6.3% to 5.98%. Now with the increased slabs what we have anticipated based on present slab static is close to 0.7% to 0.8% only on savings account.

Ashlesh Sonje: Sorry sir, this 0.7% to 0.8% is the...

Murali Vaidyanathan: It will be 6.06%. It will go 5.98% to 6.06% or 6.07%.
Ashlesh Sonje: This is

incremental cost on the savings account?
Murali Vaidyanathan: It's 9 bps. Savings will go to 6.07%. Cost of funds will go up to 7.1% plus.
Ashlesh Sonje: Understood. And this was for 4Q. Is that right?
Murali Vaidyanathan: Yes.
Ashlesh Sonje: Understood, sir. Perfect. And lastly, if you can share that the provisions which you have made in 4Q, have you utilized any standard a sset provisions? And are there any standard asset non - NPA provisions, which are still outstanding on the balance sheet? That was my last question.

Sridharan N. : Yes. See, we had in Microfinance, INR75 crores brought forward, of which INR30 crores we used, INR29.6 we used in Q4, and we are carrying for the INR46 crores of standard stress sector provision
Moderator: The next question comes from the line of Shailesh Kanani from Asian Markets Securities.
Shailesh Kanani: Congrats on a good set of numbers. Sir, just wanted to understand, we have in one of the brackets that is INR5 lakh s to INR10 lakh s, we have in the saving account, we have increased the rate by around 200 bps. So just wanted to understand what is the contr ibution of that bracket. And the hike seems to be quite steep. It is even higher than the Jan numbers, if my data is correct. Can you just throw some light on this?
Murali Vaidyanathan: See, our principal -- our focused sourcing is through Elite, and we ar e -- Elite is for HNI as a segment. So INR5 lakh s to INR10 lakh s today contributes to close to 13% of my entire book. So 13% of the entire book actually today doesn't have any secondary offering because of ASBA market still, SIP market came into a standsti ll. And second thing, we are pushing through family banking as a proposition.
So it is a conscious decision because earlier, it used to be 3.5%. And we saw there was a bleed inside this. So to grow the customer to a reasonable level, within that cost of funds not going up to this level, we have taken this bucket as a key approach, which helps in sourcing, deepening and most importantly, getting retail participation. That is why in SA, as I said, it came down up to as low as 5.98% from 6.1%.
Shailesh Kanan i: Just one clarification. This is 13% of our total deposits, right?
Murali Vaidyanathan: INR10 lakh, yes.
Shailesh Kanani: Okay. Fair enough. So another thing, sir, we -- I have noticed there is a jump in the disbursement ATS of SBL. Is it primarily because of we have stopped lending in less than 3 lakh packet or anything else we can read into? And also, if you can specify what is the current sweet spot and impact if you can -- is visible on the macro -- because of the macro on this portfolio?
Jagades h J.: Yes. This is Jagadesh. So we don't want to depend on any specific product segment, okay? Earlier, we have been focusing more on the Micro LAP and GLAP, which is the sub 10 lakh segments. Now we have diversified our product segment into various catego ries, okay? That's what you can able to see that the recalibration of the product mix shows the ATS has been increased. But if you look at the growth, we have been focusing on all the segments.
Even the previous question on the micro LAP as a segment alon e, we have grown by 16 percentage. And our primary focus would be majorly on the BL, which is about INR10 lakh segment, which we have grown by 27 percentage. So we do the recalibration based on the available opportunities, but we don't want to specifically focus on any specific customer segment.
Shailesh Kanani: Fair enough. Just a last question, if I can squeeze in. Sir, just I noticed there is a sequential drop in terms of number of employees, right, despite we are having highest ever disbursement

volumes . So how should we think about this? And any benefit we had in the employee expenses in terms of one -offs or an

ything?
Jagadesh J.: On the asset part, if you see, we have reduced the employees to close to 600 numbers between Q3 and Q4. This is basically in tegration of the supporting functions. We have not reduced our sales or the collection numbers because we integrate the affordable housing and SBL within the same branches, so we can able to leverage the supporting functions, which effectively can able to demonstrate better productivity and efficiency. On the employee cost numbers, Mr. Sridharan sir, will answer.
Sridharan N. : This Sridharan is here. On the one -off in Q4 in employee expenses, we had a reversal of around INR14 crores in gratuity and leave en cashment, though we have provided INR29 crores with

regard to new labor law code in Q3.
Shailesh Kanani: Just one clarification that employee decrease is predominantly can be considered as an operating thing, right? It's a structural change, right?
Sridhar an N. : Yes.
Moderator: The next question comes from the line of Shreepal Doshi from Equirus Capital.
Shreepal Doshi: Congrats on a good quarter. My question was again on the deposit side and its implications on margins. So if you look at, we've taken -- we've already taken some rate hikes on the deposit side. So incrementally, if the systemic rates further go up, we would also take a rate hike. Then in that case, do you see the margin contraction for the year to be higher, especially when I don't think we p lan to change the loan book mix broadly. So in that case, do you see the margin contraction being relatively higher than what we are envisaging today?
P.N Vasudevan: Okay. I'll take that. See, as far as the cost of funds is concerned, interest rates on dep osits is concerned, we will have to keep it tuned to what's happening in the external market. And we need to ensure that deposit flow continues to be strong into the bank and the rates will be aligned from that perspective. So going forward, if RBI raises the rate and the market rates go up, of course, we'll necessarily follow suit.
We have to follow suit. Even if the RBI does not raise the rates, we have seen that some of the banks have actually started raising the rates in the last 1 to 2 months. And we don't know how this will go forward happen because as you know, sectoral deposit growth is less than the sectoral credit growth. So somewhere along the way, banks might start increasing the rates on their own, even if repo rate does not really change. If s uch a thing happens, we'll also have to follow suit and our cost of funds will go up.
The only advantage we have in the system is that the segments to which we lend to is largely the underserved to unserved segment of the borrowing segment. And because of that, 0.2% or 0.1% or 0.2% increase in cost of funds, by and large, you can say we should be able to pass it on maybe with some little bit of a timing gap, but it should be possible. And so that around the 7% NIM that we are talking of is something we sho uld be able to maintain even if cost of funds does go up in the future.

Shreepal Doshi: Okay. Got it, sir. That was helpful. And the second question was on -- I mean, our aspiration on the universal banking license as well as visibility on the capital rais e plans if we have in the near term.
P.N Vasudevan: Okay. So on the Universal Bank license, RBI has a guideline for SFBs to convert to Universal Bank. And so now we have completed the -- this year's financials are now completed. So we'll be doing a full an alysis. And then we'll have to take it up with RBI and see whether we comply with the various requirements of that guideline. And if there's a consensus feeling that, yes, we do qualify, then we'll end up applying. So that's something that we will dialogue and come to a decision and do it on that basis.
As far as capital raise is concerned, our approach has been consistent ov

er the last 1 year, that
we will try and manage capital conservancy approaches as much as we can, conserve capital as much as we can through various forms. So we have started getting a lot of our qualifying assets guaranteed under the central government, various fund schemes like our vehicle finance under CGTMSE, Microfinance under CGFMU. So all those release capital to the bank.
Secon d thing is that our affordable housing and gold loans have been growing quite strongly. So they are all lower risk -weighted assets. And third is IBPC is a tool that we use from time to time based on demand and supply appetite from the other banks. And so a ll of this is something we continue to do.
Now our Tier 2, we raised about INR1,000 crores last year. Out of INR1,000 crores by September, I think around INR300 crores will run out from the Tier 2 classification. And so somewhere by end of this calendar y ear, we are looking to raise another maybe INR400 crores to INR500 crores of Tier 2. We will be putting up a suitable resolution into the AGM at some point in time. And so all of this, we hope will enable us to keep our capital adequacy at a comfortable le vel.
And RBI has come with a draft guideline on capital adequacy. There are a few factors which might actually support our capital adequacy if those guidelines become an applicable guideline from being a draft guideline. So we'll keep monitoring it. And i f at all required, we will try and raise the Tier 1 capital towards the end of fourth quarter maybe or first quarter of next year, maybe. But our objective is to try and see how do we manage capital through various other instruments and means.
Moderator: The next question comes from the line of Nitin Ag garwal from Motilal Oswal Financial Services.
Nitin Aggarwal : So sir, I have 2 questions. One is on the gold loan book. Last 2 quarters, we are seeing pretty strong like 45%, 50% sequential growth. In the pas t, we have not been, I will say, so successful

in scaling up this portfolio. And -- but now the traction is really quite evident. So how -- what is our game plan here? Like how much mix do you see this book shaping up to in the next 2, 3 years? What all un derwriting changes have been made to drive this kind of growth? And any color around the yields also that we are making in this business?

Murali Vaidyanathan: Murali here. See, conceptual changes, 3 things. One is we did the data mining, and we first found out how many of our existing customers are having gold loan outside. And we went behind those

campaign, and that campaign has yielded numbers. Second thing is we focused our activity to the largest markets, which means we actually brought in resources clo ser to those markets where gold loan naturally exists, and we targeted if you see with the new RBI norms up to 2.5 lakh, 85% and on.

So our entire ticket ATS went up, campaign went up, and we added resources in those branches where there is an opportunity . So these 3 things actually help. And now we have started using asset branches to cross -sell gold loan. That has stepped in, and that should add more and more cross -sell as an opportunity in coming days. And we have the entire range of gold loan products from bullet payment to gold loan OD.

Now every line of product actually expands the market. So while gold loan OD today is less than 5%, it should help in coming days current account -led acquisition. Overall, it is a mix of campaign, understanding data mi ning, allocating resources and focused on branches. That is the reason.

Nitin Aggarwal : Right. And any color around the yield also and the mix that you see this portfolio gaining in the next 2 years?

Murali Vaidyanathan: See, today, we are predominantly cross -selling to asset into liability -based customers. So our yield is anything around closer to 14%. So moment we start expanding it thr

ough asset branches,

the yield should shoot up because here, the ATS is high, requirement is nonseasonal, but for consu mption or emergency purpose, so it comes up to 14%. And it should start looking up as we expand into asset branches.

Nitin Aggarwal : Okay. Got it. And the other question is around like LCR ratio, which is fairly high for us. So while we talked about NIMs t o kind of start kind of seeing some moderation after this sharp rise this quarter, and we have raised deposit rates. But do you plan to like use LCR as a lever to deploy additional liquidity and so as to support margins? What is the thought process there?

Gopalakrishnan G. : Yes. This is Gopi here. Yes, you are right, our LCR is high. One, if you look at it, what we focus is also on the quality of deposits. So naturally, what we look at is the quality of deposits naturally tend to be LCR friendly. That is th e primary reason why our LCR remains high vis -a-vis the market.

Second thing is with respect to the surplus liquidity, we are -- while we carry this surplus in the balance sheet, it is adequate for the immediate growth plans. So there is no massive liquid ity being carried in the balance sheet, which may cause a drain on interest income.

Nitin Aggarwal : Okay. Okay. And sir, one data point also on the interest reversal because you talked about that next quarter, it may not be there as much level. So any one-off beside interest reversal that is there in this quarter number that you would want to call out?

Suresh G : Nothing as such. Nothing specific...

Nitin Aggarwal : And how much is this number?

Suresh G : INR27 crores for the quarter is the reversal.

Nitin Aggarwal : Okay. So that's only like a kind of measurable one -off, meaningful one -off?

Suresh G : Yes. Sorry? Does it answer the question?

Nitin Aggarwal : Yes, yes. So basically, INR27 crore s is the only meaningful one -off in this quarter?

Suresh G : It's no t a one -off. This is a reversal for the quarter. Interest reversal for the quarter. Every quarter, we do have it. For this Q4, it is INR27 crores.

Moderator: The next question comes from the line of Rajiv from Yes Securities.

Rajiv : Congratulations on stro ng numbers. Firstly, I want to understand the work between -- I mean, you're exiting at a credit cost of 1.1%, but you're trying to indicate is that for the whole year FY '27, your guidance is kind of building in 1.5% as a credit cost number. So I'm just t rying to understand we are at a PCR of 73%. We are seeing strong trends, which is st ructural in terms of slippages. And we also have a leftover standard asset provision of INR40 crore s, INR46 crore s on the MFI. So what makes us guide for 1.5% credit cost? Because given the trends as we see right now, things are looking pretty strong. So are we building in any geopolitical risk of higher slippages coming through in Q1? Or are we building it that your LGDs may increase possibly?

Are you seeing something like that already? That's the first question.
P.N Vasudevan: Yes. So Q4 traditionally is the best in terms of performance for us, probably for the rest of the system also. So that 1.1% is not something w hich we can assume to be a repeatable number.
Now if you look at Equitas specifically, our Microfinance is now back to complete under control. The bucket collection efficiencies are totally back to normal. And so we expect the Microfinance credit cost to b e back to the normal range, which used to be anywhere between 2%, 3%. So the credit cost of Microfinance could be in that range.
And the rest of the business, all of them have actually been improving over the last 2, 3, 4 quarters and performance of them have been good. So we expect the credit cost across the board to be kind of comfortable going forward. But we really don't have much of an idea what is the entire effect of the war that's going aro

und, is going to have, we don't really know. And that's one thing.
Second thing is that first and second quarter, traditionally, the collection efficiencies will be lower because of the fact that April to June is seasonally the weakest. And July to September, there will be a lot of rains all over the place, which will have an impact on customers' cash flows. All this is what we are factoring in when we are guiding for that.
Moderator: Does that answer your question, Rajiv? I'm sorry to interrupt, Rajiv, you are not audible...
Rajiv : Am I audible now?
Moderator: Yes, now it's better.

Rajiv : Now it's better. Yes, yes. I think my question is on the product level ROAs. Sir spoke about in the initial remarks that the new products have turned ROA profitable in the last year. So how further you see the ROA needle moving f or affordable MSE, gold loan in the current year? And also, could you share ROAs -- exit ROAs for some of the existing products like vehicle, SBL and MFI? Can you give some color on the ROA of the vintage product also?
P.N Vasudevan: Okay. So in Equitas, w e do 100% transfer pricing to the lending divisions, which means that the entire cost of the rest of the bank is transfer price to the asset side. So when an asset does an ROA, it's actually an ROA. If the -- let's say, we take the ROA of the different len ding business divisions and you sum it up, it should actually come equivalent to the ROA of the bank because the entire rest of the cost of the bank is transfer price to the asset side.
So that's how we do it. So when I say that all products turned profit able last year, it is on a fully loaded cost basis. And so the new products like affordable and MSE turn in black for the first time last year. And hopefully, with increased volumes and better leverage of their cost, they should become more and more contri buting from a bottom line perspective.
We haven't and we don't want to really give the ROA at different product levels. At this point in time, we are not really wanting to give that. But broadly, we can say that Microfinance when the collection efficiency is good, will be very high from an ROA perspective.
Micro LAP, on an ongoing basis, Micro LAP is probably one of our best products from an ROA perspective. The SBL as a whole, including Micro LAP, is, again, a well -performing product from an ROA perspect ive. Vehicle Finance, maybe just marginally lower than SBL from an ROA perspective. And the other products, we should see them catching up soon.
Rajiv : Yes. Sir, can I just ask one more, one last question, please?
P.N Vasudevan: Okay.
Rajiv : Yes. Just comparing Q4 to Q4 ROAs, I mean, you exited this Q4 with 1.4% ROA. Now you're guiding that your exit FY '27 ROA will be 1.5%. So what is the difference? What will change between these 2 years in 12 months? See, the credit cost number is already lower at 1. 1%. You are exiting at a higher NIM. Then would be cost scale efficiencies and the growth efficiencies and the cost efficiencies try and overcome whatever dip you see in the NIMs? Or are you also building in some lending rate hikes following some deposit r ate hikes?
P.N Vasudevan: See, what we are saying is that the NIM might contract a bit compared to Q4 of this year to Q4 of -- I mean, last year to Q4 of this year. And credit cost, at least at the Q4 level, credit cost may not be very different to the Q4 credit cost of last year. And the other thing is that our operating cost, cost to assets, which is about 5.8% at this point in time, should come down a bit because of the growth, basically the growth in the advances and overall asset growth.
So if you see NIM contracting a little bit, credit costs will remain more or less at similar levels on Q4 to Q4 basis. I'm not talking of full year, just Q4 to Q4. And operating cost, cost to assets should come down a bit.

So the NIM reduction and operating cost reduct ion should hopefully net each other out. And if Q4 of this financial year, credit cost is similar to Q4 of last financial

year, that's why we are saying that this 1.45% of this year exit ROA should be around 1.5% for the current financial year.
Moderator: The next question comes from the line of Parth Gutka from 360 ONE Capital .
Parth Gutka : Sir, what is the comfortable level of PCR that you would like to operate at? Our PCR has gone up substantially over the last couple of quarters. So what is the sustaina ble or what is the target PCR that the bank would like to operate at?
P.N Vasudevan: Around 70%.
Parth Gutka : Okay. Fair enough. And the second question is what segments of your -- on the asset side are covered under CGTMSE?
P.N Vasudevan: So under CGTSME 2 type of businesses are getting covered. One is on our MSE loans where it is -- where we don't take a collateral. And that part of MSE loan, which is non -collateralized is something that we cover under CGTMSE. Second thing is that Vehicle Finance, the com mercial Vehicle Finance, a large part of our commercial Vehicle Finance are eligible for cover under CGTMSE, which gets covered.
Parth Gutka : Okay. Okay. And just trying to squeeze in one more. Considering it's around 1.5 months that the West Asia conflict is going on, are we seeing any signs of stress on the ground or the early bucket delinquencies? And have you guys tightened the risk filters in March end or somewhere in early part of April?
Jagadesh J.: This is Jagadesh. So as we early clearly indicated, we didn't -- not going to have a direct impact due to the West Asia conflict, okay? So even in the month of March, we have seen an excellent collection efficiency in terms of all parameters. And even April, we don't want to comment immediately. But lookin g at the Microfinance as such, we didn't see much of the impact on that. We need to see whether any kind of impact maybe the month or so. As of now, we don't see any kind of impact due to West Asia for our client segments.
Moderator: The next question come s from the line of Deepak Poddar from Sapphire Capital.
Deepak Poddar: A few clarifications first, sir. Now this cost of fund you mentioned is likely to increase due to higher saving rate and higher term deposit rate. And that's right, right? Hello?
Suresh G: Yes. Yes, Deepak it is.
Deepak Poddar: And it's effective from what, 1st April?
Suresh G : So we have done this change from March.
Deepak Poddar: Okay, effective from March only. Okay.
Suresh G : Yes, yes.

Deepak Poddar: Okay. And the NIM pressure is largely because of higher cost of funds and lower CD ratio that you're expecting?
Suresh G : Yes, Deepak, those are the couple of factors which will have an impact on the NIM as we move forward.
Deepak Poddar: Understood. And the NIM pressure will be visibl e from first quarter itself?
Suresh G : From -- marginally, yes, from Q1. And further as we move forward, it will...
Deepak Poddar: Full impact by 2Q and 3Q?
Suresh G : Yes, yes, Q3 and Q4 time.
Deepak Poddar: Okay. Understood. And sir, you -- borrower profi le, I mean, having getting impacted due to this macro scenario and you are looking at a tightened credit norm with focus more on quality of asset over growth. So sir, can you throw some more light? I mean, how much percentage of your borrower is being impa cted due to this? And what sort of credit norm tightening? I mean this 20% growth that you have mentioned is after factoring in tightening, right? And what sort of impact do you see on the slippage front, yes?
P.N Vasudevan: See, as I mentioned in my openi ng remarks, the inflation, which is the most likely outcome of the West Asia war, right, the inflation may actually go up. But

in our small business loan and affordable housing, we do not expect that to have any effect from a borrower perspective because our borrowers are dealing in daily use products and services.
Like let's say that she's having a provision store or he's running a salon, barber shop or a salon or eatery or something like that. Now these are not discretionary consumption by people. These are just the daily use products and service.
I mean if an idly cost you INR25, INR30 today and if that INR30 has to go to INR35 or INR38 tomorrow, people will still have to just consume that idly. You can't just stop it, right? Most of our borrowers use -- are dealing in daily use products and service. And that is where -- not only now, historically, in the last, say, 15 years that our SBL has been operating, we have never seen inflation. We have never seen GDP movements up and down affecting the borrower s' ability to repay because they actually are able to adjust their selling prices in line with what's happening

in the economy.
The area where I mentioned we might see an impact will be our commercial vehicle borrowers because if the diesel price goes up, freight rates will also go up, but there's always a lag time. There's always a lag period. And during that lag period, the operators' income cash flow comes down. And obviously, during that time, they may struggle to repay.
For us, commercial vehicle cus tomers on our total advances should form about 12%. So about 12% of our total advances represent commercial vehicle borrowers. And that's a segment where if the diesel price goes up, let's say, beyond 10% or so, if the diesel price moves up, yes, those

people are the ones who are likely to feel an impact till the time that the freight rates get adjusted. So any tightening of credit norms and all that will be primarily in that segment.
The rest of the business, we don't see really much of an issue because w e have seen this over the last 15 years. GDP movements have been going up and down and inflation has been going up and down, but we have never seen that having an impact on our customers. So it's this 12% business that we'll have to continuously track from a credit tightening if the diesel price starts going up.
Deepak Poddar: Understood. That's very helpful, sir. And what does it mean for slippage? I mean, are you seeing right now? I mean, we are already, I mean, 30 days into the month of April in terms of increased slippages in the segment?
P.N Vasudevan: April has been good. I mean, last year, April -- compared to last year, April, this year, April has actually been much better. So we are keeping our fingers crossed.
Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. P. N. Vasudevan for the closing remarks.
P.N Vasudevan: And putting a lot of questions to us, always they enable us to keep us on our feet, look at what the market look fo r and ensure that we deliver an all -round performance, so look forward to seeing again next quarter, and we hope to continue to be able to deliver a good performance.
Thank you. Bye -bye.
Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Equitas Small Finance Bank, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.